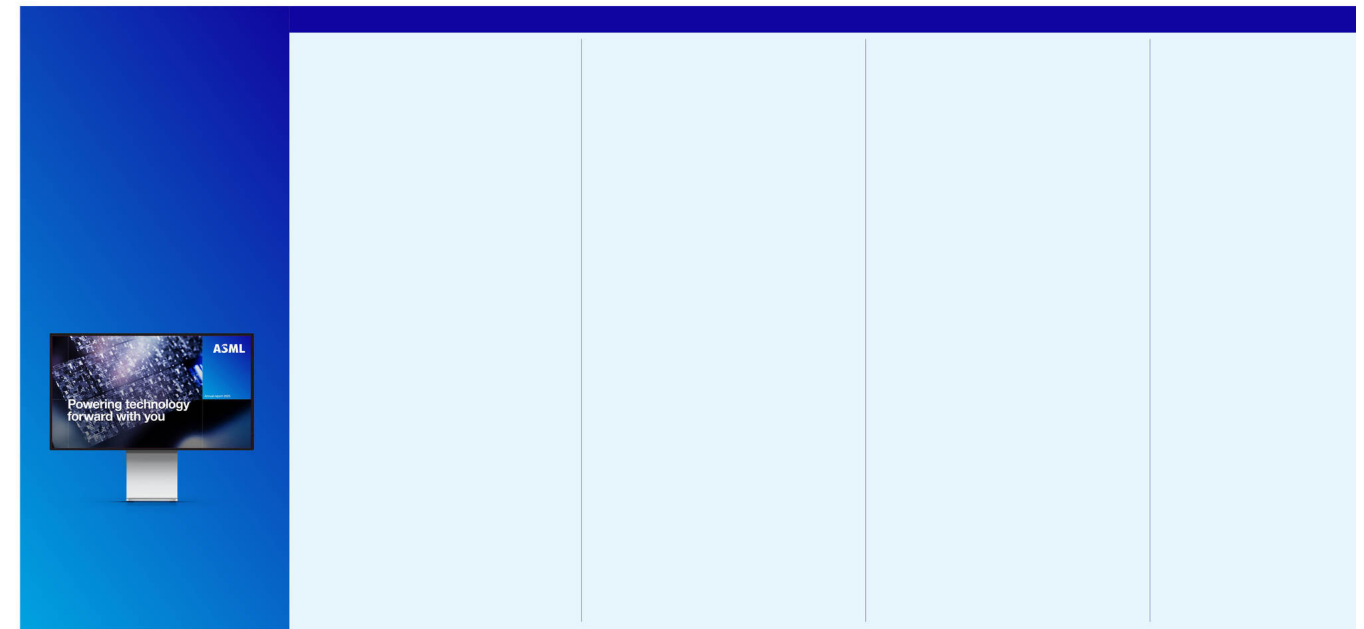


United States
Securities and Exchange Commission
Washington, D.C. 20549
Form 20-F
ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d)
OF THE SECURITIES EXCHANGE ACT OF 1934
for the fiscal year ended December 31, 2025
Commission file number 001-33463
ASML HOLDING NV
(Exact Name of Registrant as Specified in Its Charter)
The Netherlands
(Jurisdiction of incorporation or organization)
De Run 6501, 5504 DR Veldhoven, The Netherlands
(Address of principal executive offices)
Jim Kavanagh
Telephone: +31 40 268 3939 E-mail: jim.kavanagh@asml.com
De Run 6501, 5504 DR, Veldhoven, The Netherlands
(Name, Telephone, E-mail, and / or Facsimile number and Address of Company Contact Person)
Securities registered or to be registered pursuant to Section 12(b) of the Act:
Title of each class Trading Symbol Name of each exchange on which registered
Ordinary Shares ASML The Nasdaq Stock Market LLC
(nominal value €0.09 per share)
Securities registered or to be registered pursuant to Section 12(g) of the Act:
None
Securities for which there is a reporting obligation pursuant to Section 15(d) of the Act:
None
Indicate the number of outstanding shares of each of the issuer's classes of capital or common stock as of the close of the period covered by the annual report.
385,417,665 Ordinary Shares
(nominal value €0.09 per share)
Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act.
Yes ☒ No ☐
If this report is an annual or transition report, indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934.
Yes ☐ No ☒
Indicate by check mark whether the registrant: (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days.
Yes ☒ No ☐
Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files).
Yes ☒ No ☐
Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, or an emerging growth company. See definition of "large accelerated filer," "accelerated filer" and "emerging growth company" in Rule 12b-2 of the Exchange Act.:
Large accelerated filer ☒ Accelerated filer ☐ Non-accelerated filer ☐ Emerging growth company ☐
If an emerging growth company that prepares its financial statements in accordance with U.S. GAAP, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐
† The term "new or revised financial accounting standard" refers to any update issued by the Financial Accounting Standards Board to its Accounting Standards Codification after April 5, 2012.
Indicate by check mark whether the registrant has filed a report on and attestation to its management's assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report.
Yes ☒ No ☐
If securities are registered pursuant to Section 12 (b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐
Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant's executive officers during the relevant recovery period pursuant to §240.10D-1(b). ☐
Indicate by check mark which basis of accounting the registrant has used to prepare the financial statements included in this filing:
U.S. GAAP ☒ International Financial Reporting Standards as issued by the International Accounting Standards Board ☐ Other ☐
If "Other" has been checked in response to the previous question, indicate by check mark which financial statement item the registrant has elected to follow.
Item 17 ☐ Item 18 ☐
If this is an annual report, indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act)
Yes ☐ No ☒
Name and address of person authorized to receive notices and communications from the Securities and Exchange Commission:
James A. McDonald
Skadden, Arps, Slate, Meagher & Flom (UK) LLP
22 Bishopsgate, London, England EC2N 4BQ





General

General
This Annual Report and related discussions contains statements relating to our business, expected results, business and industry trends, and other matters that are "forward-looking" within the meaning of the Private Securities Litigation Reform Act of 1995. You can generally identify these statements by the use of words like "may," "will," "opportunity," "potential," "could," "should," "confident," "project," "believe," "prospects," "anticipate," "expect," "plan," "estimate," "forecast," "model," "aim," "seek," "intend," "continue," "commit," "target," "future," "progress," "goal" and

variations of these words or comparable words. They appear in a number of places throughout this Annual Report and include statements with respect to: expected trends, plans, expectations, strategies, priorities, goals, prospects and outlook, expected financial results, including expected results for Q1 including expectations with respect to net sales, gross margin, R&D costs, SG&A costs, and expected financial results for full year 2026, including expected full year 2026 total net sales and growth, gross margin and annualized effective tax rate, sales by market segment, EUV and non-EUV sales and net service and field option sales and expected drivers thereof, and other full year 2026 expectations and outlook, expectations with respect to expected net sales growth in 2026 and other statements with respect to outlook and expected drivers thereof, statements made at our 2024 Investor Day, including revenue and gross margin opportunity, model, opportunity and potential for 2030 and annual growth in sales 2025-2030 and expectations on growth in semiconductor end markets, statements made in the section entitled "Long-term growth opportunities", expected capital expenditures and R&D spending targets and plans, expected business and industry trends and outlook, including expected semiconductor industry size and trends and trends in markets served by our customers, expected trends in product mix and geography, expected growth in the semiconductor market and industry and ecosystem and expectations of worldwide semiconductor sales and growth by 2030, expected GDP outlook, business environment trends, including expected demand.

STRATEGIC REPORT	CORPORATE GOVERNANCE	SUSTAINABILITY	FINANCIALS	ASML Annual Report 2025
At a glance	Q&A with the CEO	Our business	Financial performance	Risk and security

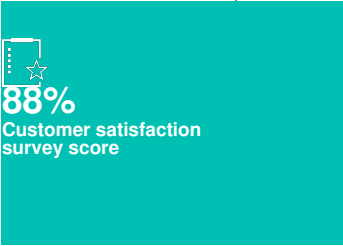
At a glance – 2025 overview

ASML has been helping microchip manufacturers power technology forward since 1984. Our holistic lithography solutions, software and services help chipmakers achieve their highest yields and best performance.

Unlocking the potential of people and society by pushing technology to new limits.

We enable groundbreaking technology to solve some of humanity's toughest challenges.

Together with our partners, we provide leading patterning solutions that drive the advancement of microchips.



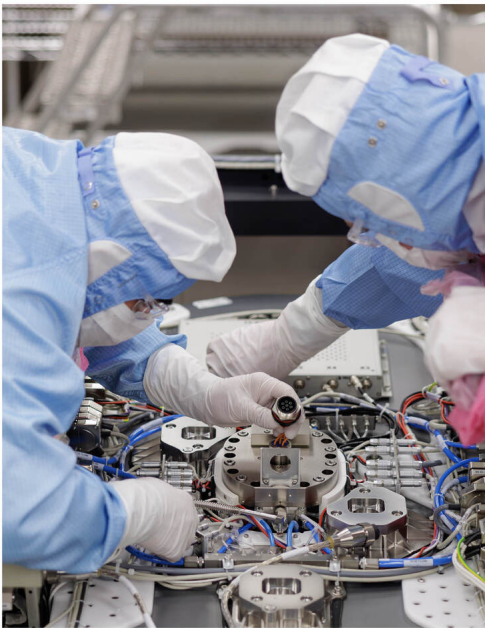
STRATEGIC REPORT	CORPORATE GOVERNANCE	SUSTAINABILITY	FINANCIALS	ASML Annual Report 2025
At a glance	Q&A with the CEO	Our business	Financial performance	Risk and security

At a glance – 2025 overview (continued)



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Net scope 1 and 2 CO₂e emissions



President, Chief Executive Officer and Chair of the Board of Management



Our guiding principle is to always ask where we can add the most value and have the greatest impact for our customers, both today and in the future.”

Christophe Fouquet

President, Chief Executive Officer and Chair of the Board of Management



Q What technological breakthroughs have given you the greatest sense of pride?

If I had to pick just one, then it would be

STRATEGIC REPORT	CORPORATE GOVERNANCE	SUSTAINABILITY	FINANCIALS	ASML Annual Report 2025
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In conversation with Christophe Fouquet (continued)
President, Chief Executive Officer and Chair of the Board of Management

Q ASML has a long-standing commitment to ESG. What progress did you make in 2025?

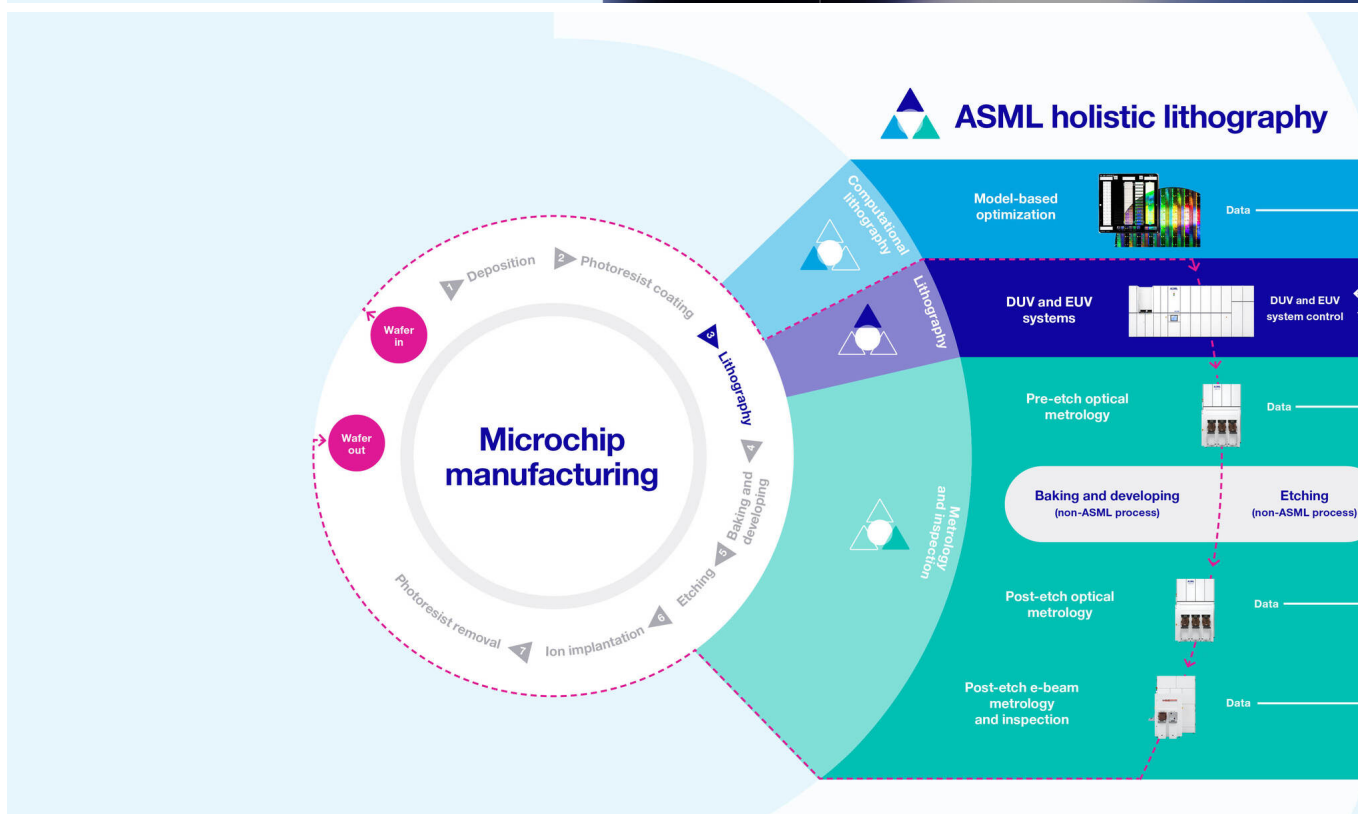
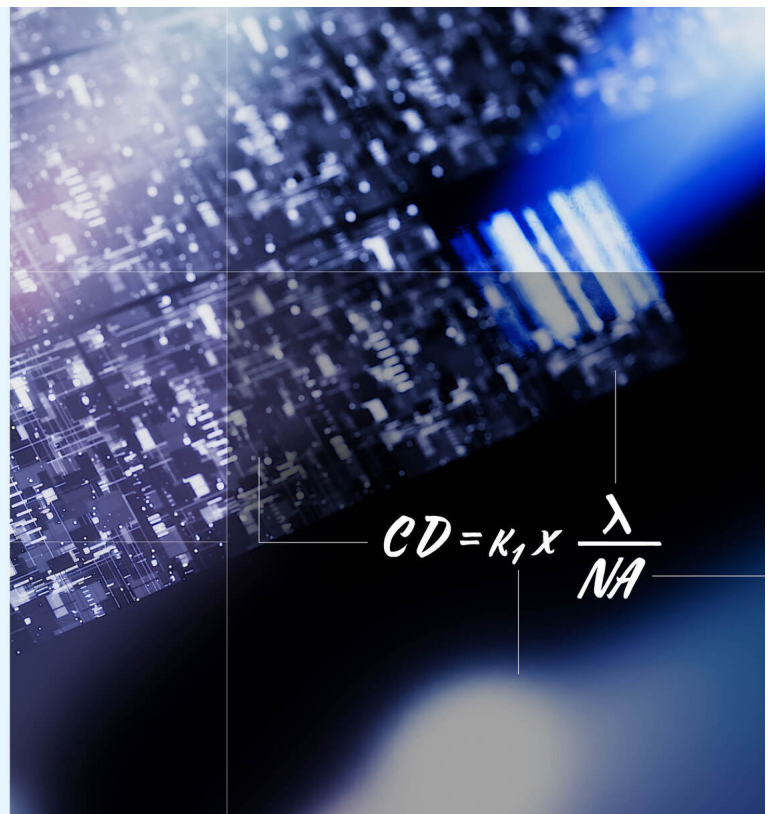


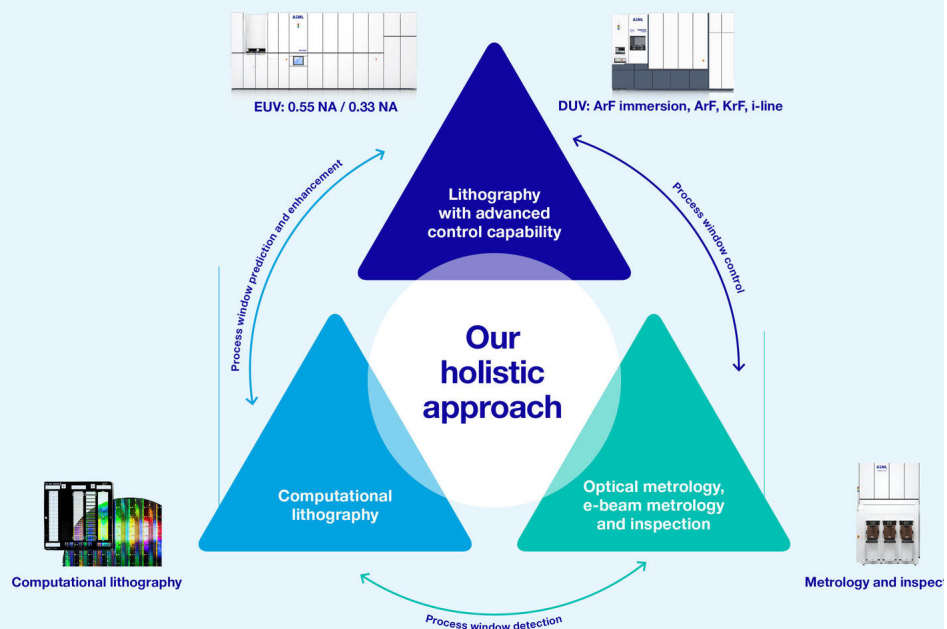
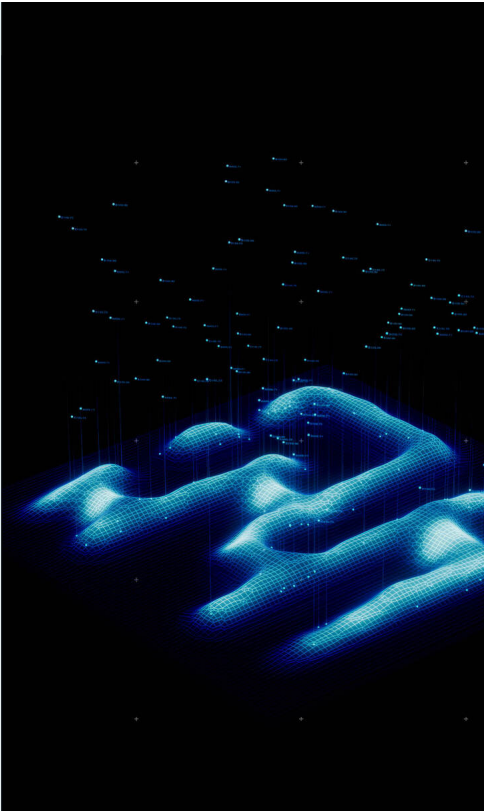
We believe that leading the way on ESG issues has always been the right thing to do for all our stakeholders as well as for the planet we all share. Over the years, we have established and systematically executed plans to achieve clear ESG targets, and this continued at pace during 2025.

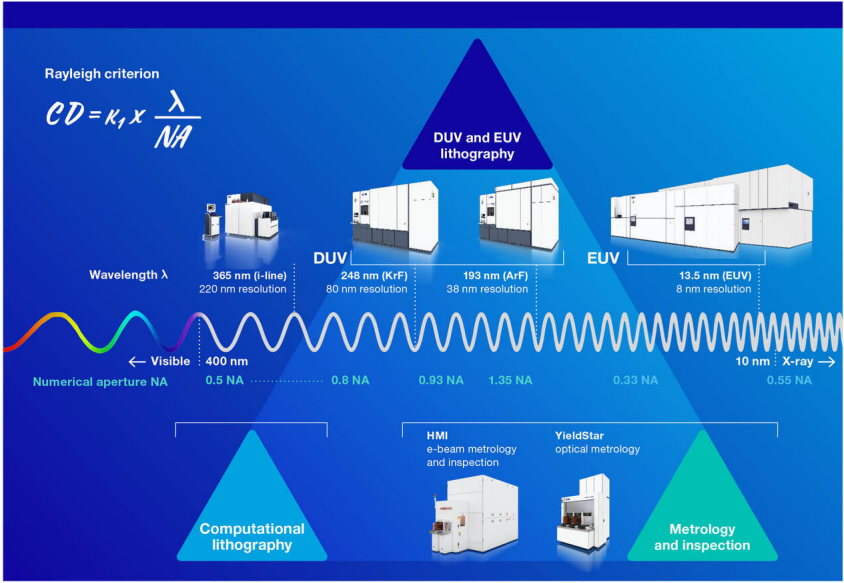
Turning first to the 'E' in ESG, the energy consumption of an EUV machine is a long-term challenge. Today, the energy consumption per wafer pass has fallen by 57% since the shipment of the first system for high-volume manufacturing in 2018, and we are now targeting a further 30-40% reduction over the next five to ten years. In our supply chain, emissions have decreased. However, more effort is needed to reach our ambitious target.

AI growth fuels concerns related to energy consumption by data centers. Global electricity supply is projected to grow over the next 10 years, but if we extrapolate the current data on energy demand from leading-edge AI models, that is not fast enough. To address this, there will need to be both more efficient AI models and improved









Our products and services (continued)

Lithography systems (continued)

TWINSCAN NXE platform (EUV 0.33 NA)

Our TWINSCAN NXE platform was first introduced in 2013 and is now widely adopted in high-volume manufacturing by our major customers.

[Read more about our EUV lithography systems at asml.com](#)

Latest: TWINSCAN NXE:3800E reaches full productivity specification

In 2025, we shipped TWINSCAN NXE:3800E systems to our customers at full specification, which includes 220 wafers-per-hour throughput – a 37% improvement compared to the TWINSCAN NXE:3600D – a higher-power light source, new water handler, faster water stages and high-power imaging control functionality. We completed field upgrades to bring systems that were already in customer fabs to the same specifications. The rollout across the installed base remains on track.

Deep ultraviolet (DUV) lithography systems

DUV lithography systems are the workhorses of the industry, producing the majority of layers in microchips. Supporting numerous market segments, our immersion and dry lithography systems use a range of light sources to offer all wavelengths currently used in the semiconductor industry – argon fluoride (ArF) lasers for 193 nm wavelength, krypton fluoride (KrF) lasers for 248 nm and mercury vapor discharge lamps (i-line) for 365 nm. Our systems lead the industry in productivity, imaging and overlay performance to help manufacture a broad range of semiconductor nodes and technologies and support the industry's cost- and energy-efficient scaling.

Immersion systems (TWINSCAN NXTI platform)

Argon fluoride (ArF) immersion lithography maintains a thin layer of water between the lens and the wafer, increasing NA to improve resolution and to support further shrink. Our immersion systems are suitable for both single-exposure and multiple-patterning lithography, and can be used in seamless combination with EUV systems to print different layers on the same chip.

Our products and services (continued)

Metrology and inspection systems (continued)

We offer two categories of systems for use before and after etching. Pre-etch metrology measures the overlay and focus of the lithography system based on the pattern printed on the photoresist. Post-etch metrology measures the overlay and CD of the final patterns formed on the wafer.

Latest: YieldStar 550 and YieldStar 1390

The YieldStar 500 has achieved broad acceptance among our leading customers, providing advanced pre-etch overlay control with improved cost of technology and performance in matching and accuracy. Building on this success, the YieldStar 550 is designed to further improve matching and accuracy while maintaining productivity – even when utilizing multi-wavelength recipes – to ensure process robustness for overlay. Early-access packages have been delivered to customers for initial qualification on next-generation nodes, with phase 1 of the product scheduled for release in 2026.

The first YieldStar 1390 was shipped in 2025, featuring a higher-power light source and advanced software to accelerate recipe setup. With increased throughput from faster optical metrology, the YieldStar 1390 is positioned to drive broader customer adoption for after-etch overlay control by delivering superior performance and cost effectiveness.

E-beam metrology and inspection (HMI)

Our HMI e-beam systems use an electron beam to locate and analyze individual chip defects – errors that would affect the chip’s performance – among millions of printed patterns. It is a slower method of detection,

STRATEGIC REPORT	CORPORATE GOVERNANCE	SUSTAINABILITY	FINANCIALS	ASML Annual Report 2025
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At a glance	Q&A with the CEO	Our business	Financial performance	Risk and security
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Our products and services (continued)

Computational lithography

During lithography, diffraction of the light and various physical and chemical effects distort the image the machine is trying to print. Think of this like trying to draw a fine line with a broad watercolor paint brush – it smudges in many places.

Using computational lithography, we can predict and enhance the process window of our lithography systems by calculating the optimal settings for each specific application. During the R&D phase, our customers rely on computational lithography to optimize the imaging conditions of our systems and develop the recipes to optimize reticle patterns to achieve the best pattern fidelity. This ensures robust, manufacturable designs that deliver high yields.

Insights from computational lithography solutions are also increasingly used to guide metrology and inspection, increasing throughput and enabling more precise process monitoring and control in high-volume manufacturing.

These solutions are based on accurate computer simulations of the lithography system and process, representing a wide variety of physical and chemical effects – enabling us to predict how a designed pattern will appear when printed on a wafer.

Managing our installed base

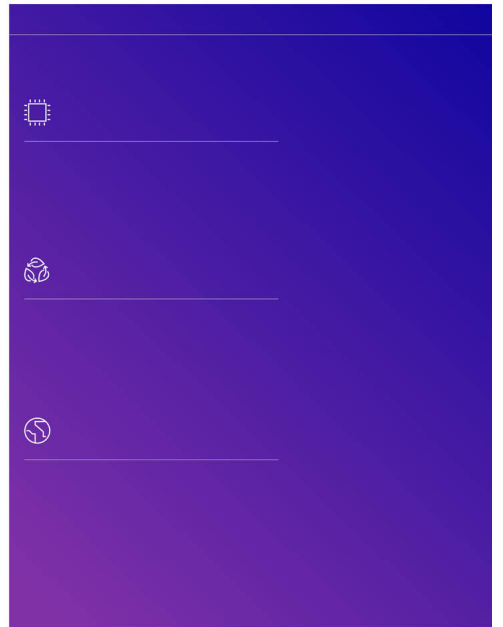
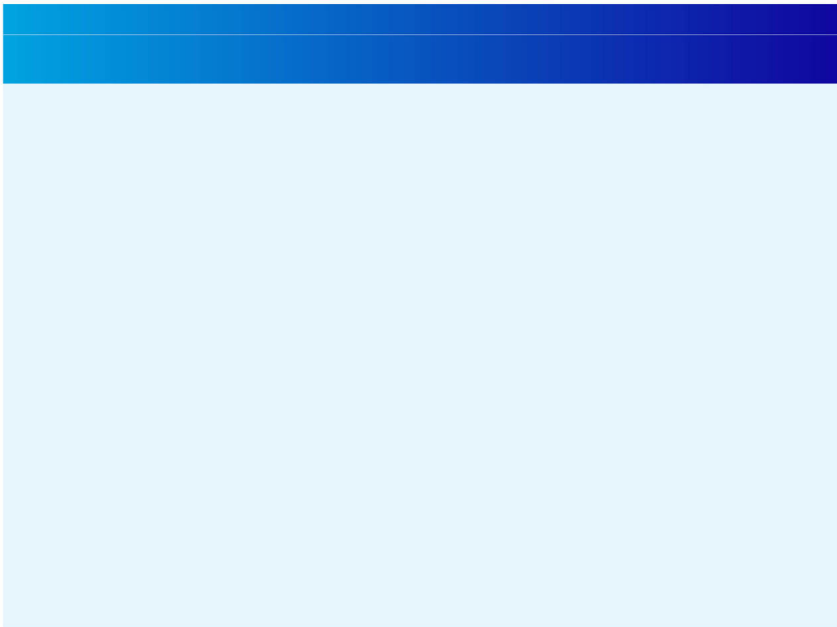
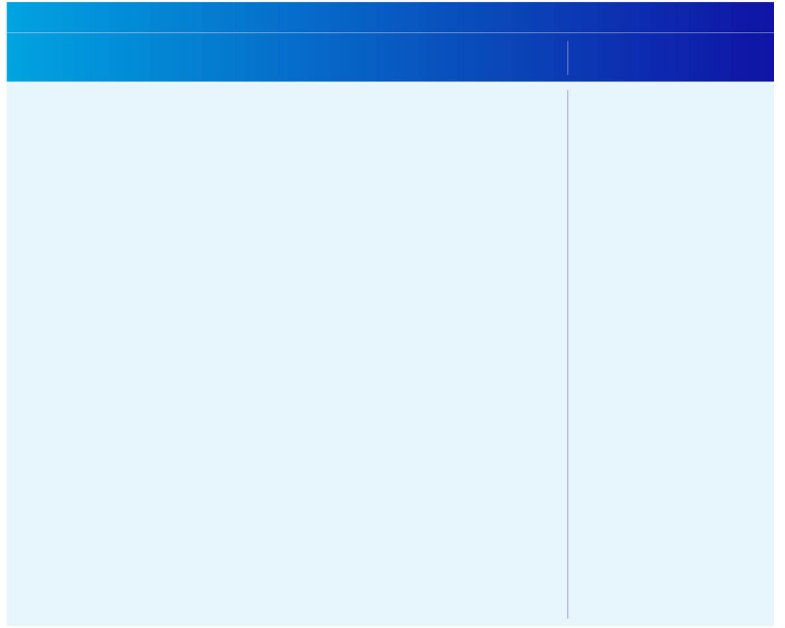
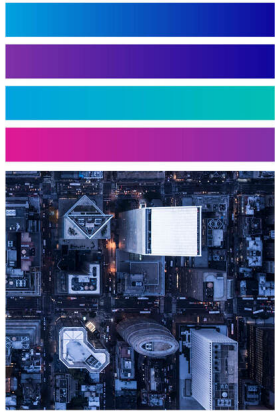
We are increasingly using machine-learning techniques to further enhance the accuracy of models and reduce the computational time and cost. Our roadmap aims to apply more powerful algorithms with higher-order corrections, to enable our customers to continue improving EPE performance.

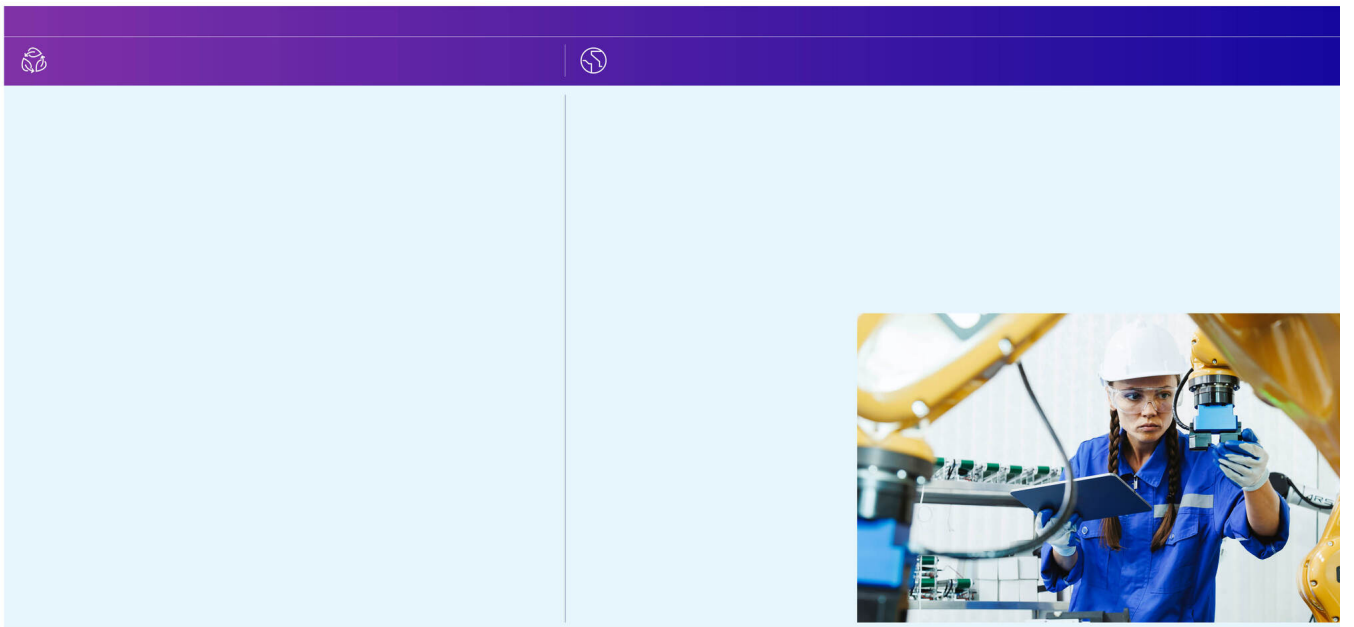
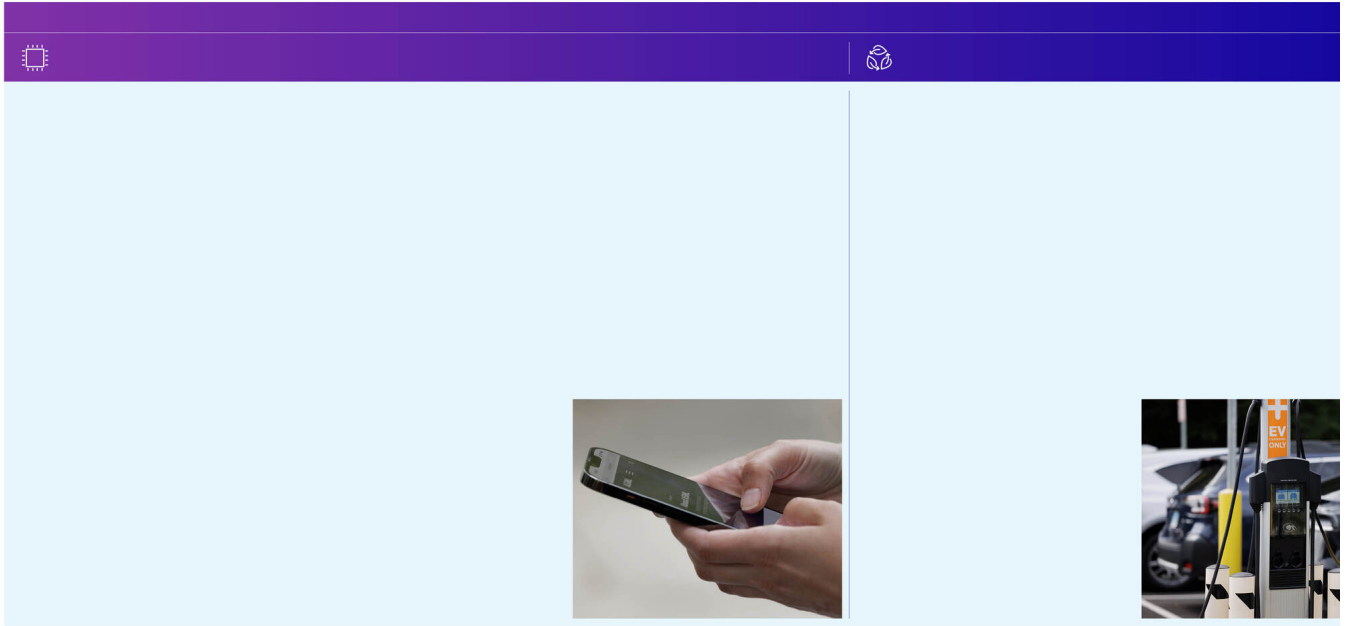
[Read more about our computational lithography solutions at **asml.com**](#)

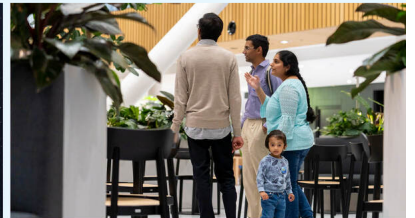
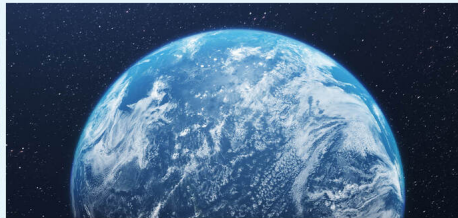
Latest: Enhanced computational lithography solutions for High NA EUV

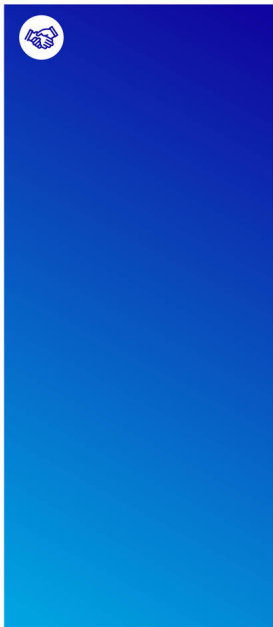
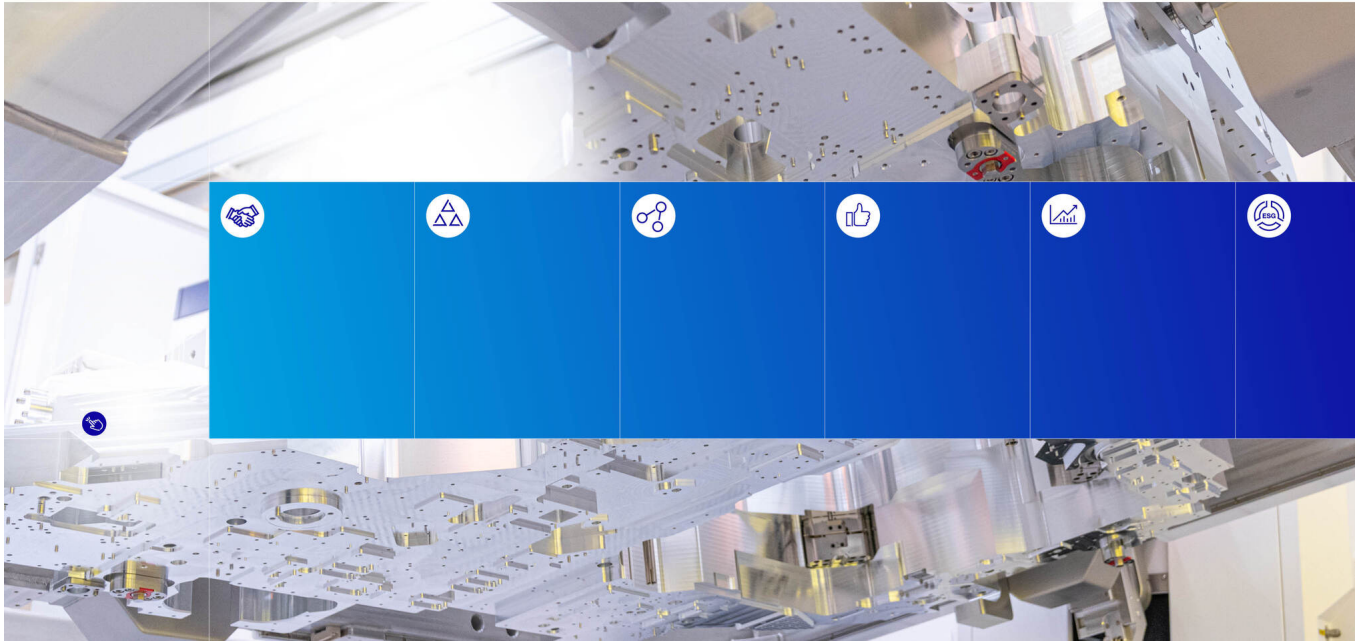
In 2025, we enhanced our solutions for High NA EUV with source, mask and wavefront co-optimization; model capability and accuracy improvements; optical proximity correction (OPC); and curvilinear OPC performance enhancements.

Machine learning and AI continue to enable these advanced techniques by delivering accuracy and speed.





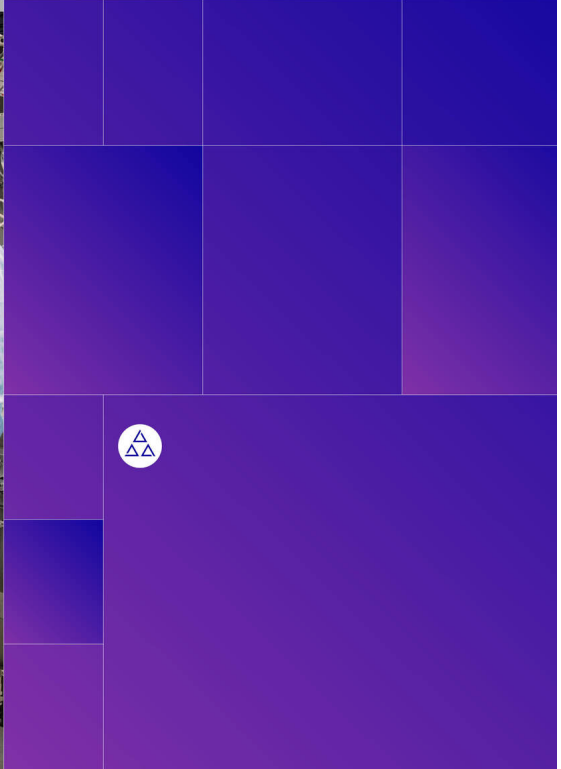
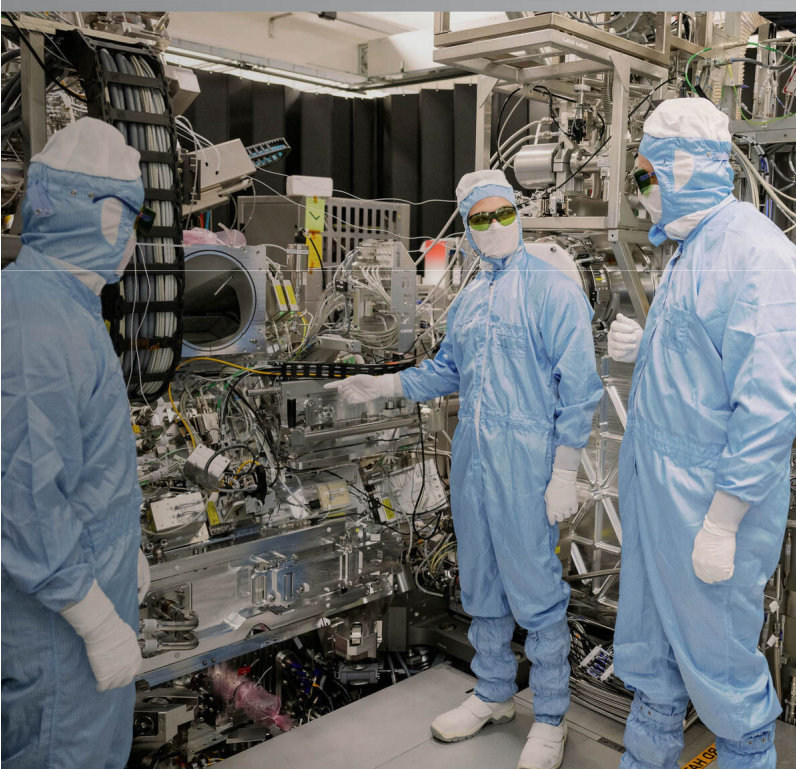




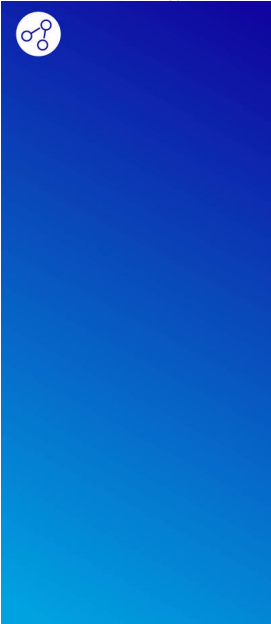


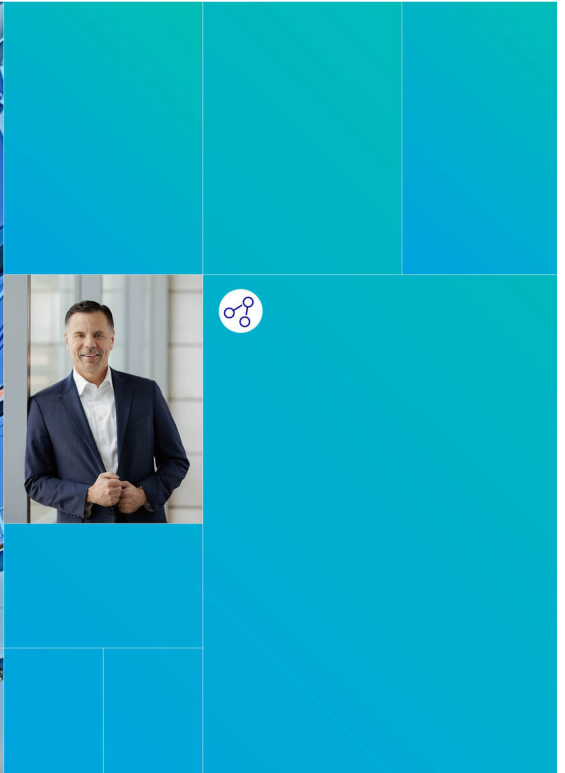
Our business strategy (continued)





Our business strategy (continued)



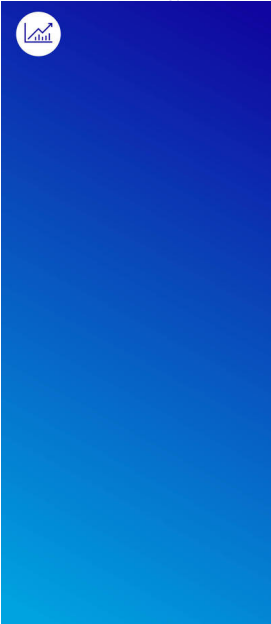


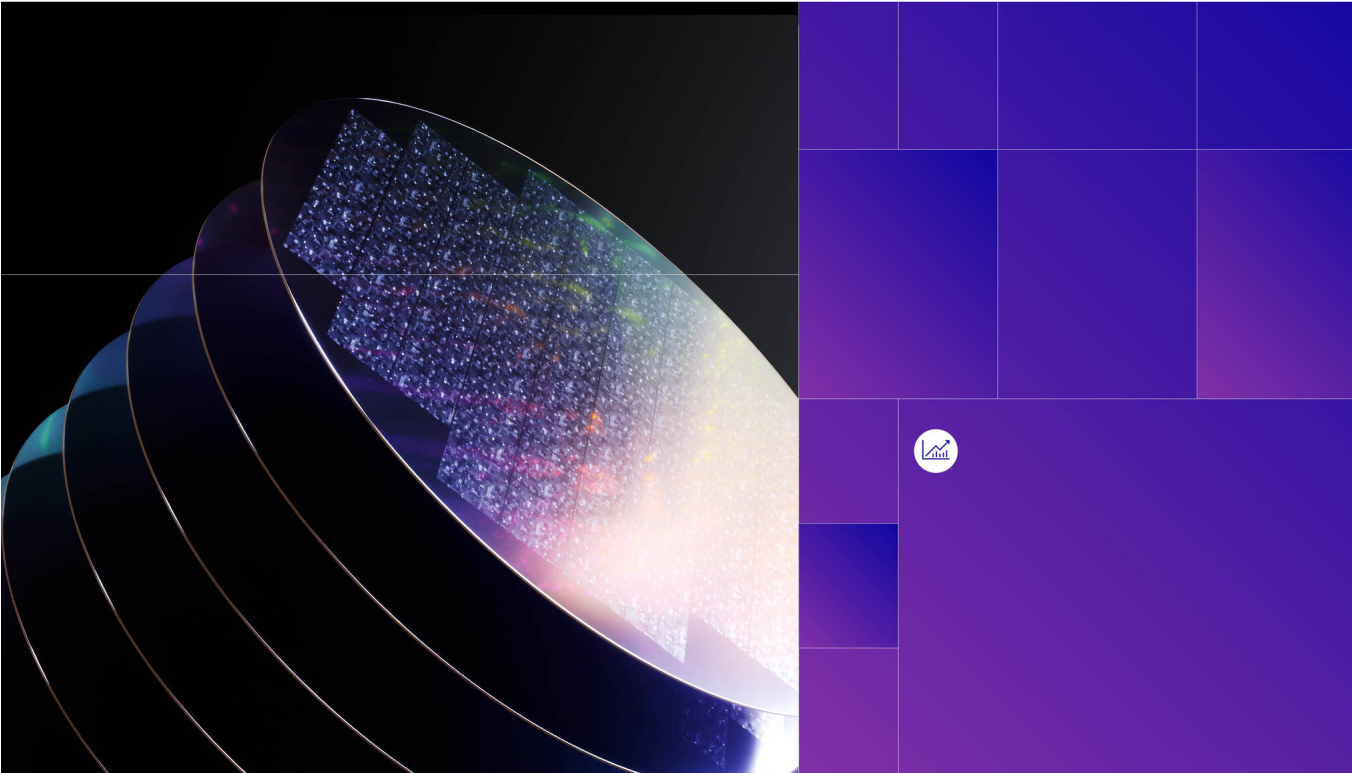
Our business strategy (continued)



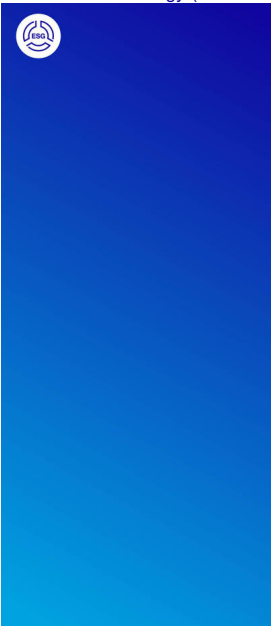


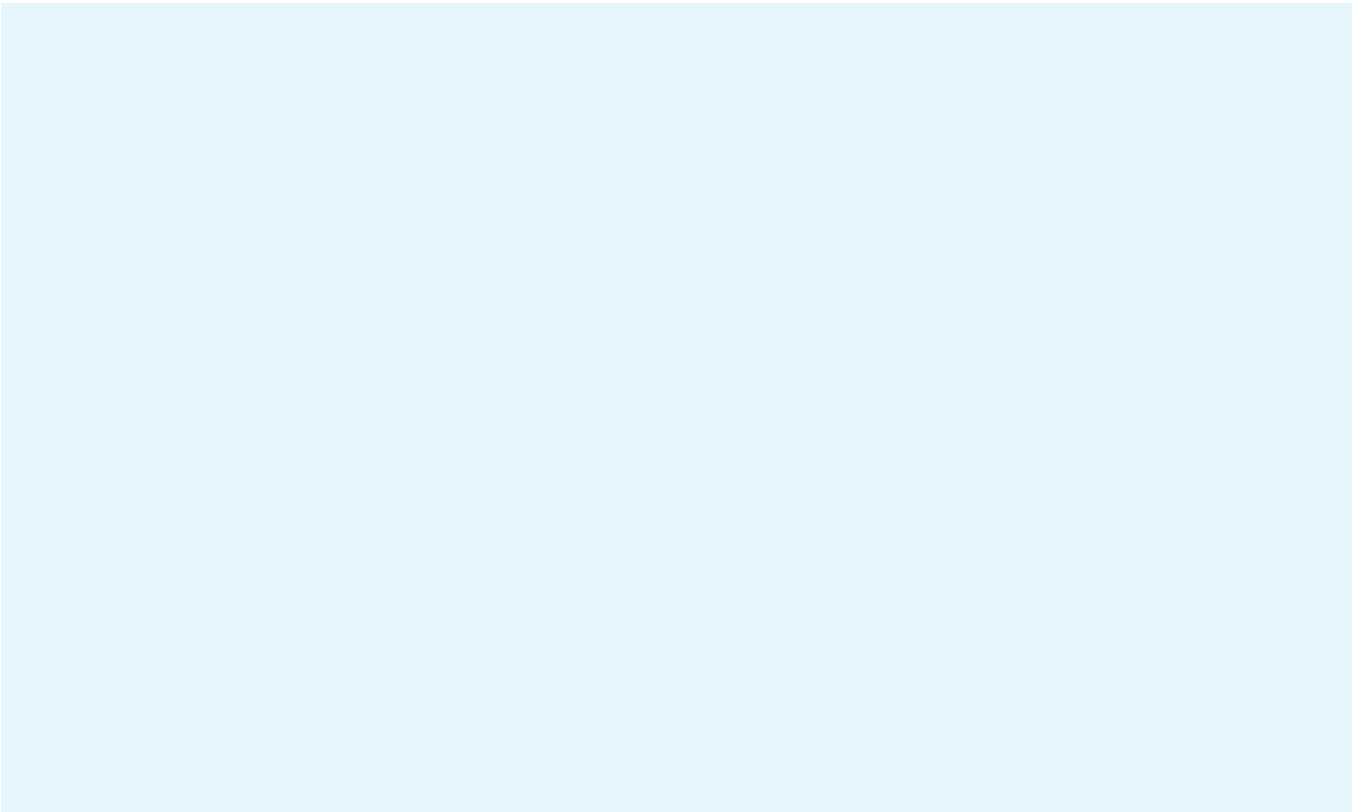
Our business strategy (continued)



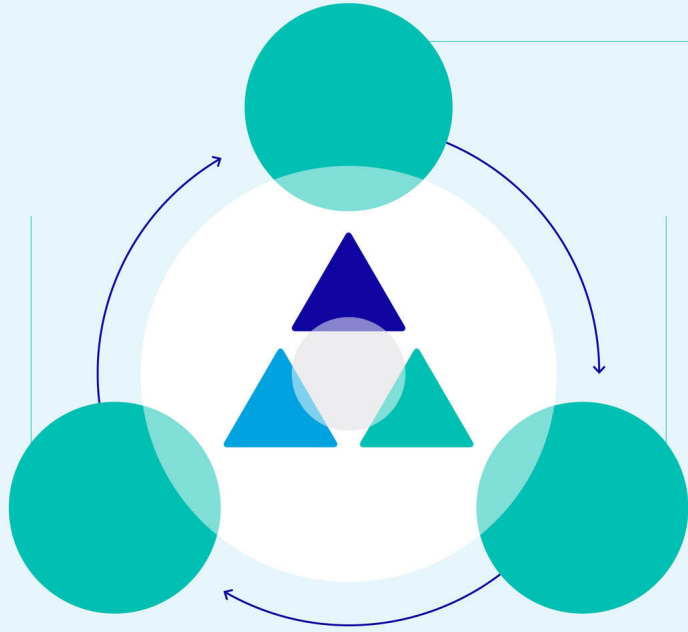


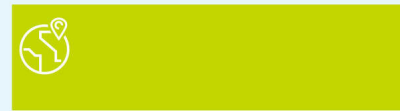
Our business strategy (continued)

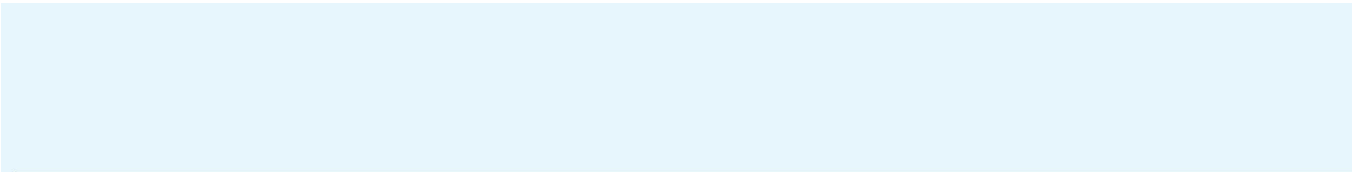




THE UNIVERSITY OF CHICAGO





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In conversation with Roger Dassen (continued)

Executive Vice President and Chief Financial Officer

Dear Stakeholder,

This was another excellent year for ASML. In line with expectations, sales grew 15.6% as compared to 2024, driven by continuing growth in AI and a steady increase in the number of customers capitalizing on this significant industry trend.

Our EUV business performed well on the back of strong sales of the TWINSCAN NXE:3800E. This latest addition to our NXE series has been well received by our customers as this system delivers greater productivity, enabling them to achieve higher wafer capacity. We also carried out a significant number of TWINSCAN NXE:3800E field

upgrades, which resulted in a substantial portion of EUV system revenue being shifted to installed base revenue. Our DUV business in China turned out to be stronger than anticipated, offsetting marginally lower than anticipated non-China DUV business as mainstream business outside of China remained weak.

Total net sales rose by €4.4 billion, or 15.5%, reflecting an increase in net system sales of 12.4%, and an increase in net service and field option sales of 26.2% compared to 2024. The increase in system sales was primarily driven by higher EUV and DUV immersion system sales – this was partially offset by a decrease in ArF dry, KrF and i-line sales volumes.

The increase in net service and field option sales was primarily due to the growing installed base, higher levels of lithography tool use for certain customers and more NXE field upgrades.

Our gross profit and gross margin increased in 2025 compared to 2024, mainly driven by a favorable NXE product mix and higher net service and field option sales and margins.

These positive effects on gross margin were partially offset by the dilutive impact of EXE systems recognized in sales.

Key dynamics of 2025

There were three important factors this year. Firstly, during the year, several question marks emerged around geopolitical challenges, notably tariffs. Heightened levels of uncertainty were apparent for some customers, who were understandably apprehensive about investing in major manufacturing bases if the equipment they needed could potentially become



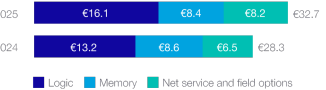


Financial performance KPIs (continued)
Operating results of 2025 compared to 2024

Year ended December 31 (€, in millions)	2024	% ¹	2025	% ¹	% Change
Net system sales	21,768.7	77.0	24,474.3	74.9	12.4
Net service and field option sales	6,494.2	23.0	8,193.0	25.1	26.2
Total net sales	28,262.9	100.0	32,667.3	100.0	15.6
Cost of system sales	(10,406.9)	(36.8)	(11,384.0)	(34.8)	9.4
Cost of service and field option sales	(3,364.0)	(11.9)	(4,025.3)	(12.3)	19.7
Total cost of sales	(13,770.9)	(48.7)	(15,409.3)	(47.2)	11.9
Gross profit	14,492.0	51.3	17,258.0	52.8	19.1
Research and development (R&D) costs	(4,303.7)	(15.2)	(4,698.8)	(14.4)	9.2
Selling, general and administrative (SG&A) costs	(1,165.7)	(4.1)	(1,257.8)	(3.9)	7.9
Income from operations	9,022.6	31.9	11,301.4	34.6	25.3
Interest and other, net	19.8	0.1	104.7	0.3	428.8
Income before income taxes	9,042.4	32.0	11,406.1	34.9	26.1
Income tax expense	(1,680.6)	(5.9)	(2,013.4)	(6.2)	19.8
Income after income taxes	7,361.8	26.0	9,392.7	28.8	27.6
Profit from equity method investments	209.8	0.7	216.7	0.7	3.3
Net income	7,571.6	26.8	9,609.4	29.4	26.9

¹As a percentage of total net sales.
For a comparison of ASML's operating results for the year ended December 31, 2024, with the year ended December 31, 2023, please see Financial performance – Performance KPIs – Operating results of 2024 compared with 2023 of ASML's Annual Report on Form 20-F for the year ended December 31, 2024.

Total net sales
In 2025, total net sales increased by €4.4 billion, representing a 15.6% year-over-year increase. This growth was driven by a 12.4% increase in net system sales and a 26.2% increase in net service and field option sales compared to 2024.
Total net sales growth (in billions)



Financial performance KPIs (continued)
Net sales (in billions)



The increase in total net sales was primarily driven by greater NXE and NXT immersion adoption supported by leading-edge foundry investments for AI demand,

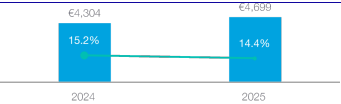
EXE systems being delivered to and installed at more customers, and higher service and field option sales. This was partially offset by a decrease in ArF dry, KrF and i-line sales volumes. We recognized four EXE and 44 NXE systems in sales in 2025 compared to two EXE and 42 NXE systems in 2024. Our system sales across our DUV technologies decreased from 374 units in 2024 to 279 in 2025. The increase in net service and field option sales was primarily due to the growing installed base, higher levels of lithography tool use for certain customers and more NXE field upgrades.

Gross profit (in millions) and gross margin (in %)



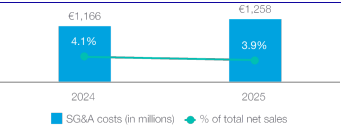
Gross profit and gross margin increased, mainly driven by a favorable NXE product mix and higher net service and field option sales and margins. These positive effects on gross margin were partially offset by the dilutive impact of EXE systems recognized in sales.

Research and development costs (in millions)



Financial performance KPIs (continued)

Selling, general and administrative costs (in millions)



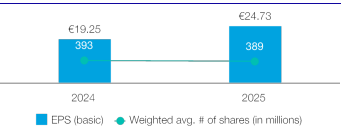
Selling, general and administrative (SG&A) costs increased by 7.9% year-over-year, primarily due to higher average wages and salaries per FTE, and continued investments in our Community Partnership Program.

Income taxes (in millions)



The effective tax rate (ETR) decreased to 17.7% in 2025, compared to 18.6% in 2024. This reduction is primarily due to a correction for a historic tax position recognized in 2024 that pertained to multiple years, for which the underlying tax position has a lower impact in 2025.

Net income and earnings per share



Net income for 2025 amounted to €9,609.4 million, representing 23.4% of total net sales and €24.73 basic net income per ordinary share. This compares to €7,571.6 million, or 26.8% of total net sales, and €19.25 basic net income per ordinary share in 2024. The increase in basic net income per ordinary share was primarily driven by higher net income.



Financial performance KPIs (continued)

Cash flow analysis

We continued to invest significantly in next-generation technologies to secure future growth opportunities. These investments required substantial cash outflows in net working capital, capital expenditures, and R&D. At the same time, we remained committed to returning cash to our shareholders through dividends and the share buyback program.

Year ended December 31 (€ in millions)	2024	2025
Cash and cash equivalents, beginning of period	7,004.7	12,735.9
Net cash provided by (used in) operating activities	11,166.2	12,658.5
Net cash provided by (used in) investing activities	(2,609.3)	(3,777.8)
Net cash provided by (used in) financing activities	(2,832.1)	(8,670.5)
Effect of changes in exchange rates on cash	6.4	(30.1)
Net increase (decrease) in cash and cash equivalents	5,731.2	180.1
Cash and cash equivalents, end of period	12,735.9	12,916.0
Short-term investments, end of period	5.4	405.9
Cash and cash equivalents and short-term investments	12,741.3	13,321.9
Purchases of property, plant and equipment and intangible assets	(2,083.1)	(1,631.2)
Free cash flow ¹ (Non-GAAP measure)	9,083.1	11,027.3

¹Free cash flow is a non-GAAP measure and is defined as net cash provided by operating activities (2025: €12,658.5 million and 2024: €11,166.2 million) minus purchase of property, plant and equipment (2025: €1,573.6 million and 2024: €2,067.2 million) and purchase of intangible assets (2025: €57.6 million and 2024: €15.9 million).

Net cash provided by (used in) operating activities

Net cash provided by operating activities increased by €1,492.3 million compared to 2024. This was mainly due to an increase in net income of €2,037.8 million, which is partially offset by an increase in working-capital.

Net cash provided by (used in) investing activities

Net cash used in investing activities increased by €1,168.5 million compared to 2024, primarily due to the €1,302.2 million investment in Mistral in 2025. This was partially offset by a reduction in capital expenditures, with cash outflows for property, plant, and equipment decreasing from €2,067.2 million in 2024 to €1,573.6 million in 2025.

Net cash provided by (used in) financing activities

The net cash used in financing activities increased by €5,838.4 million compared to 2024. This was primarily driven by a €5,450.0 million increase in share repurchases under our share buyback program, the repayment of an outstanding €1,000.0 million bond that was due on December 6, 2025, and a €97.4 million increase in total dividends paid. These outflows were partially offset by the issuance and repayments of Euro Commercial Paper, which generated a net cash inflow of €689.2 million.

As of December 31, 2025, ASML has sufficient capital for the company's present obligations.

Long-term growth opportunities

Trend information

Looking to 2026, we expect full-year revenue between €34 billion and €39 billion and gross margin between 51% and 53%.

This outlook has strengthened significantly in the final months of 2025, mainly due to the anticipated increase and acceleration of capacity expansion plans by our advanced Logic and DRAM customers to meet the strong end-market demand driven by AI.

Looking at market segments, we expect Logic-related revenues to remain strong and Memory revenues to be significantly higher compared to 2025.

We anticipate our EUV revenue to be significantly higher, driven by advanced node ramps. Our non-EUV revenue is expected to be similar to 2025.

With our net service and field option sales, we expect another year of growth, primarily due to increasing service revenue from our growing EUV installed base and our customers' plans for productivity upgrades.

We have been preparing for growth, and our capacity planning is continuing while we work with our supply chain to support a multi-year ramp.

Our expectations and guidance for the first quarter of 2026 can be summarized as follows:

- Total net sales between €8.2 billion and €8.9 billion
- Gross margin between 51% and 53%
- R&D costs of around €1.2 billion
- SG&A costs of around €0.3 billion.

The trends, expectations and guidance discussed above are subject to risks and uncertainties.

[Read more in Strategic report – Special note regarding forward-looking statements](#)

Long-term growth opportunity for 2030¹

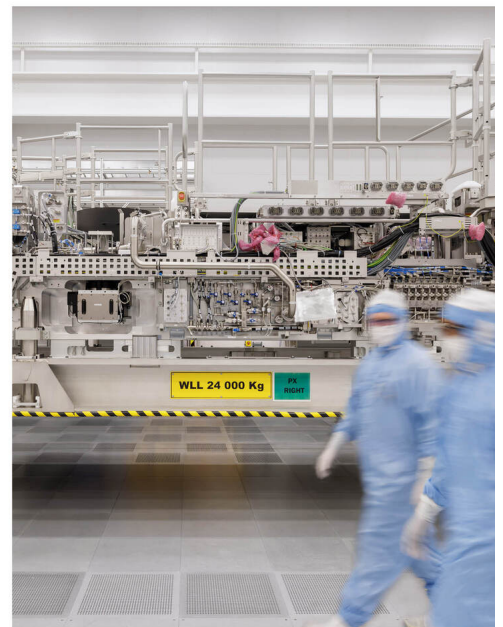
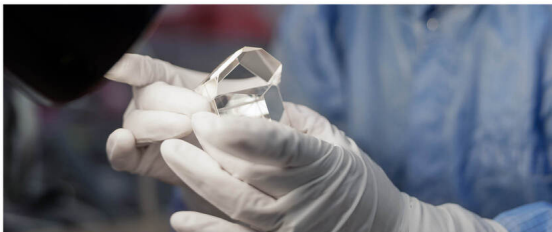
At our November 2024 Investor Day, we provided an update on our long-term growth opportunity for 2030. The semiconductor industry remains strong and AI is expected to create further opportunity.

Our industry will require major innovations to address the anticipated cost and power consumption challenges of AI and this will further boost the industry roadmap in a product mix shifting toward advanced Logic and DRAM. Our customers remain at the core of our strategy, and we believe that lithography will remain at the heart of their innovation. We also anticipate that an increased number of critical lithography exposures for advanced Logic and Memory processes will continue to support our customers in addressing their challenges.

We expect that our ability to 1) scale our EUV technology well into the next decade, 2) extend holistic lithography into supporting 3D front end integration and 3) improve the performance and cost effectiveness of our EUV and DUV products will continue to address all our customers' needs with a flexible and versatile portfolio.

ASML values the strong industry partnership which are

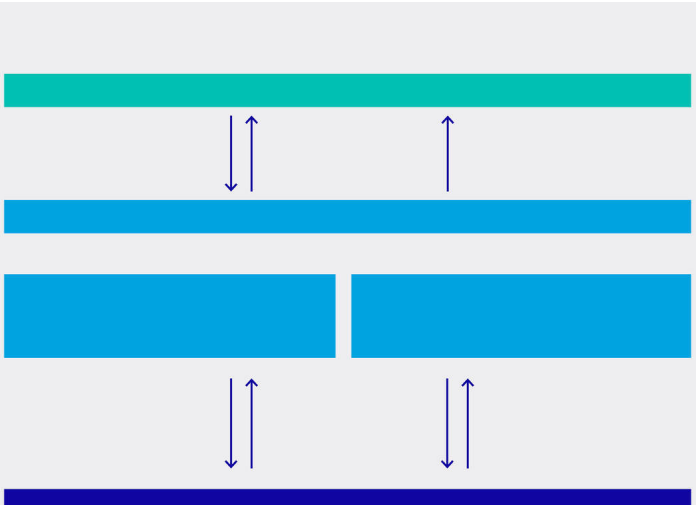




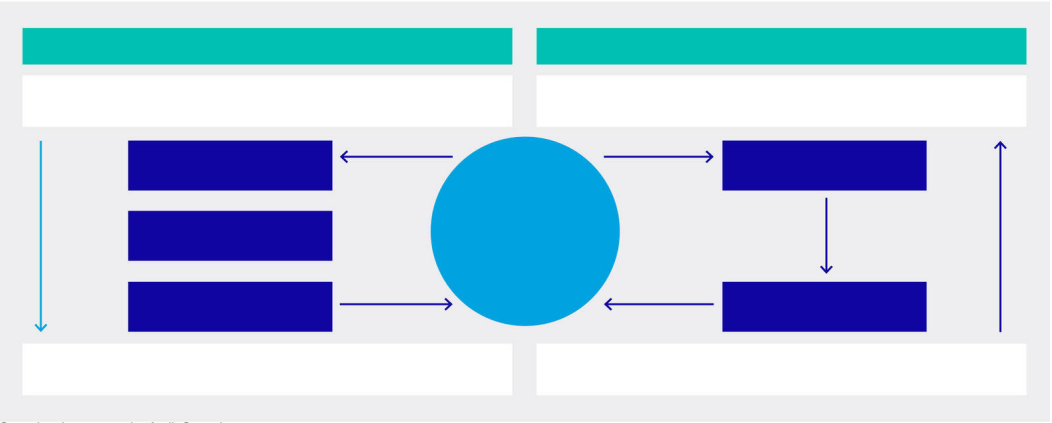
How we manage risk

ASML manages risks through an enterprise risk management (ERM) framework that integrates risk management into our daily business activities and strategic planning.

Enterprise risk management



How we manage risk (continued)
the CEO and CFO on the progress of this assessment.
The Chair also includes this update in the Internal Control



Committee's report to the Audit Committee.

Risk owners

Risk owners monitor the development of risks across the ASML risk universe and drive risk response across ASML according to requirements defined by the CESR.

ASML risk universe

The ASML risk universe is a consolidated overview of the risks that may have a material adverse impact on our ability to achieve our business objectives. The risk universe enables us to have a consistent approach to risk assessments across ASML. We take into account a broad range of internal and external information sources such as macroeconomic and industry trends, relevant guidelines and legislation, and stakeholders' needs and expectations in all areas. The risk universe is updated based on internal and/or relevant external developments.

ERM process

The ERM process provides a holistic approach combining business and experts' perspectives to identify, qualify and manage risks at the right

How we manage risk (continued)

Risk type

- ☒ Strategic
- ☒ Compliance
- ☒ Operations
- ☐ Other
- ☒ Finance and reporting

Overview of risk factors	
Risk factor type	
1	Our future success depends on our ability to respond in a timely manner to commercial and technological developments in the semiconductor industry
2	The success of new product <u>introductions</u> is uncertain and depends on our ability to successfully execute our R&D programs
3	We face intense competition
4	The semiconductor industry can be cyclical, and we may be adversely affected by any downturn
5	We derive most of our revenues from the sale of a relatively small number of products
6	Failure to adequately protect intellectual property could harm our business
7	Defending against intellectual property claims brought by others could harm our business

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Risk factors

The risk factors outlined in this section are categorized into the following types: Strategic, Operations, Finance and reporting, Compliance, and Other. Each of these risks, along with the associated events described, could have a material adverse impact on our business, financial position, operating results, and reputation. Additionally, there may be risks currently unknown to us, or risks we presently consider immaterial, that could become significant over time. Some of the factors and events discussed may have occurred previously. Any such disclosure does not constitute a representation that such factors, events, or contingencies have or have not occurred in the past; it is provided because their potential future occurrence could have a material adverse effect on our business. Moreover, many of these risks may be exacerbated by global developments, such as wars, geopolitical tensions, inflation, industry downturns, and international responses – including new regulations or tariffs – alongside broader adverse economic and business conditions.

Strategic		
Our future success depends on our ability to respond in a timely manner to commercial and technological developments in the semiconductor industry	The success of new product introductions is uncertain and depends on our ability to successfully execute our R&D programs	We face intense competition

Our ability to develop new technologies and improve existing ones – across products and services – relies on several key factors. These include the success of our own and our suppliers' R&D efforts, as well as our ability to complete product development and design efficiently and ahead of competitors. If the technologies we pursue to help customers produce smaller, more energy-efficient chips are less effective or more costly than those of our competitors, our business could be negatively impacted. Similarly, if customers choose not to adopt our innovations or shift toward architectures that rely less on lithography, our competitive position may weaken. For instance, the success of our EUV 0.55 NA (High NA) technology – which we view as essential to advancing Moore's Law – depends on continuous technical progress by both us and our suppliers. We invest heavily in developing and launching new and enhanced technologies, products, and services. If these efforts fail, or if customers do not adopt them, or if alternative solutions gain traction, our competitive edge and financial returns may suffer. This could also lead to impairment charges on capitalized technologies, including prototypes, or costs related to obsolete inventory – especially as technological complexity increases. Due to the high complexity and cost of our systems, customers may opt for existing technologies over newer ones, or delay investments if they are not economically justified or aligned with their product cycles. Moreover, global economic conditions and fluctuations in the semiconductor market influence customer investment decisions, creating uncertainty around the timing and demand for new systems. This can slow the overall transition to new nodes and technologies. Finally, we rely on our suppliers to maintain their development roadmaps. Any delays – whether due to technical challenges, financial constraints, or other factors – can hinder our ability to meet our own development timelines.

As our products become more complex, the cost and time required to develop new products and technologies continue to rise – a trend we expect to persist. Developing new technologies demands substantial R&D investments from both ASML and our suppliers. Suppliers may be unable or unwilling to commit the necessary resources for continued (co-)development, which has led and can continue to lead to ASML funding these R&D efforts or limiting our own investment capacity. If our R&D initiatives fail to deliver the desired technologies on time or at all, we may struggle to launch new products, services, or innovations – and risk not recovering our R&D expenditures. Additionally, during periods of high customer demand, we may need to prioritize production over R&D activities which may hinder the advancement or success of new product introductions.

The semiconductor equipment industry is highly competitive. Our competitiveness depends on our ability to develop new enhanced products and services that bring value to our customers and are competitively priced and introduced on a timely basis, as well as our ability to protect and defend our intellectual property, trade secrets or other proprietary information. We compete primarily with Canon and Nikon in respect of systems. Both have substantial financial resources and robust patent portfolios. Each continues to offer products that compete directly with our DUV systems, which may impact our sales business. In addition, adverse market conditions, long-term overcapacity or a decrease in the value of the Japanese yen relative to the euro have increased and could continue to increase price-based competition, resulting in lower prices and lower sales and margins. We also face competition from new competitors with substantial financial resources, as well as from those driven by the artificial intelligence (AI) boom. Furthermore, we may face competition from alternative technological solutions or semiconductor manufacturing processes. We also compete with providers of applications that support enhanced complex patterning solutions, such as Applied Materials, Inc. and KLA-Tencor Corporation. These applications compete with our offerings, which is a significant part of our business.

STRATEGIC REPORT	CORPORATE GOVERNANCE	SUSTAINABILITY	FINANCIALS	ASML Annual Report 2025
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Risk factors (continued)

Strategic (continued)		
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The semiconductor industry can be cyclical, and we may be adversely affected by any downturn	We derive most of our revenues from the sale of a relatively small number of products	Failure to adequately protect intellectual property could harm our business
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The semiconductor industry has historically been cyclical. As a supplier to the global semiconductor industry, we are subject to its business cycles. The timing, duration and volatility are difficult to predict and can have a significant impact on semiconductor equipment manufacturers including ASML. New entrants to the industry, including Chinese semiconductor manufacturers, could increase the risk of cyclicality in the future. Certain key end-market customers – Logic and Memory – exhibit different levels of cyclicality and different business cycles. Cyclicality may be worsened by the geopolitical situation – for example, if countries increase semiconductor capacity for higher levels of self-sufficiency, thereby creating global overcapacity. Sales of our lithography systems, services and other holistic lithography products depend in large part on the level of capital expenditures by semiconductor manufacturers. These in turn are influenced by industry cycles, the drive for technological sovereignty and a range of competitive and other factors, including semiconductor industry conditions and prospects. The timing and magnitude of capital expenditures of our customers also impact the available production capacity of the industry to produce chips, which can lead to imbalances in the supply and demand. Reductions or delays in capital expenditures by our customers, or incorrect assumptions by us about our customers' capital expenditures, could adversely impact our business. We make various assumptions about future demand in our financial models and our capital expenditures and planning for production capacity. To the extent that actual results prove to be materially different from our assumptions, we may have overcapacity, capacity constraints, or may have allocated capital expenditure and resources to make products that are not in demand by customers (at the expense of products that are in demand) and our actual results could differ substantially from those implied by our financial models.

Capital expenditures by our customers may not continue at current levels and may decline. Capital expenditures by some customers have declined compared to prior years and we have experienced changes in timing of orders from certain customers, and we are subject to uncertainty in future customer demand. The global economic environment, including inflation, interest rates and geopolitical events, contributes to this uncertainty. An uncertain global economy frequently leads to reduced consumer and business spending, and could cause our customers to decrease, cancel or delay their orders – and we have experienced customers scaling back their capacity additions. High interest rates and volatility in financial markets could make it more difficult for our customers to raise capital, whether by debt or equity, to finance their purchases of equipment, including the products we sell. The foregoing could lead to reduced demand, which may adversely affect our product sales and revenues and may harm our business and operating results. As we have significantly increased our organization in previous years in terms of employees, infrastructure, manufacturing capacity and other areas, it would be difficult to adjust our costs adequately in a timely manner in the event of an industry downturn. If we are unable to adapt appropriately and in a timely manner to changes resulting from macroeconomic conditions, our business, financial conditions or results of operations may be materially and adversely affected.

We derive most of our revenues from the sale of a relatively small number of lithography systems (327 units in 2025, 418 units in 2024 and 449 units in 2023). As a result, the timing of shipments and recognition of system sales for a particular reporting period, as a result of shipment delays or other factors, may have a material impact on our results of operations in that period, and this impact is greater as prices for our systems increase. In recent years, we have used fast shipments for some customers, which allows us to deliver systems more quickly by having some final testing and formal acceptance carried out on customer sites instead of at our own facilities. This typically leads to a delay of revenue recognition for those shipments until formal customer acceptance, which can impact comparability of our results of operations from period to period. In addition, our installed base revenues are impacted by the number of systems we sell, and other factors; for example, customers may perform more of these services themselves, find other third-party suppliers to provide them, or we may be limited by export control restrictions.

We rely on intellectual property (IP) rights such as patents, and trade secrets to protect our proprietary technology. However, we face the risk of such protective measures proving inadequate, which could suffer material harm because, among other matters: 1. IP laws may not sufficiently support our proprietary rights may change adversely in the future. 2. Our agreements (e.g. confidentiality, licensing) with our customers, employees and technology development partners and others to protect our IP may not provide sufficient protection or may be breached or terminated. 3. Patent rights may not be granted or interpreted as we expect. 4. Patent rights will expire, which may result in key technology becoming widely available, which may harm our competitive position. 5. The steps we take to prevent misappropriation or infringement of our proprietary rights may not be successful. 6. IP rights can be difficult to enforce in countries where the application and enforcement of the laws governing such rights may not have reached the same level of comparability with other jurisdictions where we operate. 7. Third parties may be able to develop or obtain patents to our own or for similar competing technology. Legal proceedings may be necessary to enforce our IP rights and the validity and scope may be challenged by others. A such proceedings may result in substantial costs and diversion of management resources, and, in the event of decisions unfavorable to us in proceedings, could result in significant costs or have a significant impact on our business. We have experienced and may in the future experience misappropriation attacks by third parties or our employees, including theft of IP. Such incidents may result in third party or others, without authorization, obtaining, copying, using or disclosing our IP, despite our efforts to protect our rights. Our suppliers face similar risks which could have a consequential impact on us.

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Risk factors (continued)

Strategic (continued)			
Defending against intellectual property claims brought by others could harm our business	We are exposed to economic, geopolitical and other developments in our international operations.	We may be unable to make desirable acquisitions to invest successfully, or to integrate successfully any businesses we acquire	
In the course of our business, we have been and may be subject to claims by third parties alleging that our products or processes infringe upon their IP rights. If successful, such claims could limit or prohibit us from developing our technology, and manufacturing and selling our products. Our customers may also be subject to claims of infringement from third parties, including patent-holder companies, alleging that our products used by such customers in the manufacturing of semiconductor products and/or the processes relating to the use of our products infringe on one or more patents issued to such third parties. If such claims are successful, we could be required to indemnify our customers for losses incurred by or damages assessed against them as a result of such infringement. We may incur substantial licensing or settlement costs to settle claims or limit our exposure to the IP claims of third parties. Patent litigation is complex and may extend for a protracted period of time, giving rise to the potential for substantial costs and diverting the attention of key management and technical personnel. Potential adverse outcomes from patent litigation may include payment of significant monetary damages, injunctive relief prohibiting our manufacturing, exporting or selling of products, reputational damage and/or settlement involving significant payments by us.	Our business is subject to a range of export control restrictions, sanctions, tariffs, and broader international trade regulations that affect our ability to deliver systems, technology, and services. Geopolitical tensions have already led – and may continue to lead – to an increase in such restrictions. For example, deliveries to certain countries, such as China, have been increasingly impacted by export regulations, which impose requirements to obtain specific licenses and approvals. Specifically, under Dutch, US and other applicable laws, we are required to secure export licenses for EUV systems, specific DUV immersion systems, and some of our other products. In addition, the US government has implemented trade measures that include license requirements for transacting with certain Chinese entities. These include license requirements for the sale or transfer of US-origin items, as well as limitations on support by US persons for non-US origin items destined for advanced-node fabs in China. These measures have restricted, and may continue to restrict, our ability to supply specific products and services, as we do not control the licensing process or approval criteria. The scope and list of restricted entities remain subject to change and may be further expanded. Further, obtaining US licenses to authorize foreign nationals to work on programs involving controlled US items has become increasingly difficult in recent years. A significant number of our customers and suppliers are located outside of the US. Rise in tariffs increase our costs for importing materials, parts and components and can negatively impact our margins and reduce our competitiveness. Tariffs also increase the cost for customers of importing our products, which could harm customer demand for our products. ASML is also subject to export control regulations in jurisdictions outside the EU and US. Developments in multilateral and bilateral treaties, national regulations, and trade, security, and investment policies have already impacted – and may continue to impact – our operations, as well as those of our suppliers and customers.	These developments, as well as a global push for technological sovereignty, may lead to long-term shifts in global trade dynamics, competition, and technology supply chains, which could potentially affect our business and growth prospects. Customers in China represented 29.1% of our 2025 total net sales and 36.1% of our 2024 net sales. Countries affected by export control restrictions may also introduce countermeasures, which could result in conflicting regulations and legal liabilities. The semiconductor industry relies on raw materials that are controlled by specific countries. In the current geopolitical climate, the risk of these materials becoming restricted or unavailable is increasing, which could affect our suppliers, customers, and ASML directly. For example, China has imposed or issued directives to impose various export controls on its products including certain minerals. Geopolitical instability and potential nationalization of assets also poses risks to our business. For instance, several of our facilities, supply chain partners, and customers are located in Taiwan, which has a unique international political status. Changes in cross-strait relations, Taiwanese government policies, or broader political, economic, or social developments could affect our ability to serve customers in Taiwan – who represented 25.5% of our 2025 total net sales and 15.4% of our 2024 total net sales. Similarly, we have operations and customers in South Korea. A deterioration in relations with North Korea or the outbreak of conflict could disrupt our ability to serve such customers. Customers in South Korea represented 25.0% of our 2025 total net sales and 22.7% of our 2024 total net sales. A limited portion of our suppliers, customers, and support teams are based in Israel. Regional tensions have had limited impact but could further impact our business operations. We also plan to initiate sales and support operations in countries where ASML does not currently have such operations, such as India. As we expand into new markets, risks related to matters such as regulatory compliance, intellectual property protection, political and infrastructure challenges, talent acquisition and cultural and social differences may be further amplified.	From time to time, we may acquire or make investments in businesses, business lines or technologies to complement enhance, or expand our existing operations and product portfolio or to pursue strategic growth opportunities. However, these transactions may not always deliver the expected financial strategic benefits and could disrupt our operations or hinder our performance. Even when transactions are finalized, integrating the acquired business or technology can present significant risks – including difficulties in aligning operations, retaining key talent, and integrating systems, processes, and cultures. Acquisitions and investments may also place additional strain on our management and operational resources, potentially divert attention from core business activities. Furthermore, acquired entities may have compliance gaps or liabilities that are not immediately apparent, and their existing controls may not meet our standards. In connection with acquisitions, antitrust and national security regulators have imposed and may in the future impose continuing requirements to divest assets or other conditions could make it difficult for us to integrate the businesses we acquire. Furthermore, we may have difficulty in obtaining, unable to obtain, antitrust and national security clearances, which could inhibit future desired acquisitions. Additionally, acquisitions and investments often result in the recognition of goodwill and intangible assets. These must be reviewed periodically for impairment under accounting standards. If impairment indicators arise, we may be required to adjust valuations and record impairment charges, which could negatively impact our financial results.

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Risk factors (continued)

Strategic (continued)			Operations
A high percentage of net sales is derived from a few customers	We may not be able to achieve our ESG objectives or adapt and respond in a timely manner to emerging ESG expectations and regulations		We depend on our ability to manage the growth of our organization and attract and retain a sufficient number of adequately educated and skilled employees
We sell our lithography systems to a relatively small number of customers, making our business vulnerable to customer concentration risk. The loss of any major customer, or a significant reduction or delay in their orders, could materially impact our financial performance. This risk is heightened by ongoing consolidation within the semiconductor manufacturing industry. Although our metrology and inspection systems and computational lithography are contributing an increasing share of revenue, many of these customers overlap with those purchasing our lithography systems. As a result, while the ranking of our largest customers may shift year to year, our sales remain concentrated among a limited group. Total net sales to our largest customer amounted to €7,795.7 million, or 23.9% of total net sales in 2025, compared with €4,692.4 million, or 16.6% of total net sales in 2024. In 2025, 38.0% of total net sales were made to our two largest customers. The loss of any key customer, or a substantial change in their purchasing behavior, could have a material adverse effect on our business, financial condition, and operating results.	Companies are under growing scrutiny regarding their ESG policies and practices. A wide range of stakeholders – including, but not limited to, investors, capital providers, shareholder advocacy groups, market participants, customers, suppliers, regulators and local communities – are increasingly focused on ESG-related issues. In certain jurisdictions where we operate, there is heightened attention on making positive contributions to society and minimizing negative environmental and social impacts throughout the entire product lifecycle. Not all stakeholders may agree or align with our ESG goals and initiatives, and stakeholder expectations may shift over time. Regulatory bodies and governments across the different jurisdictions in which we operate may also hold conflicting views on ESG practices and standards. Failing to meet our ESG objectives or to respond effectively to evolving or conflicting stakeholder expectations, regulations, practices and disclosure requirements could harm our brand and reputation, hinder our ability to attract and retain talent, increase costs, cause lower sales, and negatively impact our operations and growth ambitions. Our ESG sustainability strategy may not achieve the intended results, and our estimates concerning the feasibility, timing and cost of meeting stated goals are subject to risks and uncertainties. We use offsets to help us meet some of our emissions targets. Our ability to meet our ESG goals could be hindered by for instance the availability of offsets at commercially reasonable terms. The complexity of our technology and products may also limit our ability to achieve certain aspects of our ESG goals – which also depends heavily on our suppliers' ability to reduce their ecological footprints and on our customers' ability to source renewable electricity. If they fall short, we may not meet our targets. Similarly, achieving our ESG goals depends on governments delivering on their stated ambitions on decarbonization. Finally, customer satisfaction with our ESG progress can influence demand.	The shift toward a low-carbon and circular economy, including the reduction and abandonment of toxic materials, has led to increased regulation, which may require changes to product designs, impose technology restrictions, raise costs, and introduce carbon taxes or pollution controls and may also result in supply chain interruptions if we are not able to adapt in time. New laws and regulations driven by environmental and social concerns may affect us, our suppliers, and our customers, potentially resulting in higher compliance costs and indirect costs across our value chain. The regulatory landscape for ESG disclosure requirements continues to evolve, potentially leading to non-compliance, inconsistencies in data, incorrect ESG disclosures, and increased scrutiny. This could lead to potential fines, litigation, and/or reputational damage. Read more in Sustainability statements – General disclosures – Impact, risk and opportunity management	Our business depends significantly on our ability to attract and retain employees in the long term, including a large number of highly qualified professionals. Our R&D programs, in particular, require a substantial number of skilled employees. If we are unable to recruit, develop, and retain enough qualified personnel, our ability to execute R&D efforts and on schedule may be compromised. Due to the unique and complex nature of our technology, engineers with the necessary expertise are scarce and typically not available from other industries. We invest heavily in training our employees to work with our systems, making their role a critical factor in our success. The increasing complexity of our products also means that new and existing employees face longer learning curves. Our suppliers face similar challenges in attracting and retaining qualified talent, particularly for programs that support our R&D and technology development. If they are unable to maintain necessary workforces, it could impact their technology road map and, in turn, affect our R&D efforts and timely delivery of our products. The growth of our organization, driven by strong customer demand, has placed pressure on our ability to effectively manage our facilities, operations, and resources. If we are unable to address these challenges successfully, it could negatively impact our operational performance and our reputation as an employer.

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Risk factors (continued)

Operations (continued)

We may face challenges in managing the industrialization of our products and bringing them to high-volume production

Successfully bringing new products to high-volume production at a value-based price and in a cost-efficient manner depends on our ability to manage product industrialization and control costs. Customer adoption is closely tied to product performance in the field. As our systems become more complex, the risk increases that products may not meet development milestones, specifications, or quality standards. If performance or quality falls short – particularly in areas such as wafer capacity – demand may decline and additional costs may arise.

Scaling newly developed products to full production requires significant infrastructure expansion, including enhanced manufacturing capabilities, increased component supply, and training of qualified personnel. It may also require suppliers to scale their operations. If we or our suppliers are unable to adapt accordingly, we may face delays or limitations in introducing new technologies, products, or enhancements, or in achieving high-volume production.

Even when industrialization is successful, reaching profitable margins can take years. New technologies may not yield the same margins as existing ones, and we may face challenges in adjusting pricing and cost structures effectively. Additionally, new product introductions can impact liquidity, as longer cycle times increase working capital requirements. The growing complexity of our products also demands greater upfront investment, and delays in revenue recognition can negatively affect our cost structure and margins.

Furthermore, the increasing number of EUV systems in the field requires expanded customer support capabilities. The ability to efficiently manage shipments, maintenance, servicing, and

We are highly dependent on the performance of a limited number of critical suppliers of single-source key components

We depend on third-party vendors for the components and subassemblies used in our systems, including their design. Many of these parts are single-sourced or supplied by a limited number of vendors. As our business has grown, so has our reliance on single suppliers – particularly due to the highly specialized nature of many components. This is especially true for EUV systems, where the complexity and uniqueness of parts often make multi-sourcing economically impractical.

In many cases, our sourcing strategy follows the principle of “single sourcing, dual competence”. However, relying on a limited group of suppliers introduces several risks – including potential shortages, delays in obtaining components at acceptable costs, and reduced control over pricing and quality. Supply disruptions may arise from various causes, such as labor strikes, fires, energy shortages, infrastructure access, pandemics, flooding, cyberattacks, blockades, sabotage, or other natural or man-made disasters. Such disruptions can delay the delivery of parts and subassemblies, which in turn may delay our product shipments and negatively impact our business.

For example, some suppliers have faced operational disruptions due to (raw) material shortages and cyberattacks. Persistent delays or an inability to secure timely deliveries – or any other circumstance that requires us to find alternative sources – could significantly hinder our ability to meet customer demand, damaging relationships and materially impacting our business.

The number of lithography systems we are able to produce is limited b

Occasionally, we experience supply constraints that affect production. Both we and our suppliers continue to invest in expanding capacity, but we may still fall short of meeting full customer demand. Conversely, if demand decreases or fails to match our increased capacity, we risk overcapacity, leading to higher costs and potential losses on those investments.

Additionally, most of our key suppliers, including Carl Zeiss SMT, operate a limited number of manufacturing facilities. Any disruption at these sites could significantly impact our production. As our products become more complex, lead times for components have increased. Inaccurate demand forecasting or shipment delays can result in insufficient supply, delaying system deliveries and limiting our responsiveness to market changes. On the other hand, overestimating demand could lead to excess inventory and obsolescence.

We also rely on suppliers to develop new models and products aligned with our technology roadmap. If they fail to meet our specifications or timelines, our business could be adversely affected. Historically, we shipped systems by air, but have recently begun using ocean freight for some deliveries. This shift introduces new risks, such as delays, defects, or damage during transit.

We are dependent on the continued operation of a limited number of manufacturing facilities

All of our manufacturing activities, including subassembly, assembly and system testing, take place in (cleanroom) fa in Veldhoven, Eindhoven, Oirschot (the Netherlands), Berlin (Germany), Wilton, San Diego (US), Pyeongtaek (South K and Linkou and Tainan (Taiwan). These facilities may be s to disruption for various reasons, including work stoppage, energy shortages and access issues, pandemic outbreaks, flooding, cyberattacks, blockages, sabotage or other dias natural or otherwise. Alternative production capacity may r available if a major disruption were to occur.

Climate change is contributing to more frequent and severe weather events, rising sea levels, and droughts, all of whic risks to our operational continuity and supply chain resilier We do not fully insure our risk exposure, and not all disast other potential disruptions and risks are insurable. As a re we may be subject to the financial impact of uninsured los which could have an adverse impact on our financial cond and results of operations.

STRATEGIC REPORT CORPORATE GOVERNANCE SUSTAINABILITY FINANCIALS ASML Annual Report 2025

At a glance Q&A with the CEO Our business Financial performance Risk and security

Risk factors (continued)

Operations (continued)

Our operations expose us to health, safety and environmental risks

Hazardous substances are used in the production and operation of our products and systems. Their use subjects us to a variety of governmental regulations relating to environmental protection and employee and product health and safety. This includes the transport, use, storage, discharge, handling, emission, generation and disposal of toxic or other hazardous substances. In addition, operating our systems (which use lasers and other potentially hazardous components) can be dangerous and can result in injury. Non-compliance with these regulations could lead to harm to individuals and the environment, and may result in substantial fines, production halts, changes to our manufacturing and testing processes, reputational damage, and restrictions on our operations or sales.

As our products become increasingly complex, we continue to invest in risk assessments and the development of preventive and protective measures to safeguard the health and safety of both our employees (during production, installation, and service activities) and those of our customers (during system operation). However, these measures may not fully eliminate all risks. A failure to comply with applicable regulations could expose us to significant liabilities and adversely affect our business.

Cybersecurity and other security incidents, or disruptions in our processes or technology systems, could materially adversely affect our business operations

We depend heavily on the accuracy, availability, and security of our information technology (IT) and operational technology (OT) systems. While we have implemented various safeguards, including cybersecurity measures, our systems remain vulnerable to breaches or damage caused by malware, cyberattacks, natural and man-made disasters, human error, or unauthorized physical or electronic access. We have encountered such incidents in the past. As ASML's prominence in the semiconductor industry grows, so does the likelihood of being targeted in security attacks. Cyberattacks targeting our IT and OT infrastructure – as well as those of our customers, suppliers, and service providers – are increasing in frequency and sophistication. These attacks include malware, unauthorized attempts to access data, and other security breaches. Such incidents can disrupt critical systems and lead to the unauthorized release, corruption, or loss of confidential information, including data relating to our customers, employees, and suppliers. Emerging technologies like AI and quantum computing may further enable advanced cyber threats or circumvent existing security protocols. Cybersecurity threats continue to evolve, and we remain exposed to both known and unknown risks. In some cases, we or our stakeholders may be unaware of an incident or its full impact. There is also a risk that our products could inadvertently expose customers to cyber threats, which could harm their operations.

We rely on our employees and those of our suppliers and partners to classify and handle sensitive data responsibly, to deploy our assets securely and to provide access on a need-to-know basis. However, inadvertent actions or misconduct by these individuals have led – and may continue to lead – to unauthorized access, data breaches, theft, system interruptions, or loss of information. These insider risk events can result in competitive disadvantages, violations of export controls and other regulations, and may expose us to fines, penalties, reputational damage, and increased regulatory scrutiny.

Any system failure, accident or security breach or any other of the foregoing risks could result in business disruption, theft of our IP or trade secrets, unauthorized access to, or disclosure of, customer, employee, supplier or other confidential information, corruption of our data or of our systems, reputational damage or litigation, and violation of applicable laws.

Furthermore, malware may harm our products and could be inadvertently transmitted to our customers' systems and operations. This could result in loss of customers, litigation, regulatory investigation and proceedings that could expose us to civil or criminal liabilities and diversion of significant management attention and resources. We may incur substantial costs to recover from such incidents, including rebuilding systems, enhancing security measures, modifying products and services, defending against legal claims, and responding to regulatory actions. We are also dependent on our strategic IT suppliers to recover from disruptions or attacks. Despite these efforts, remediation may not be fully effective and could result in service interruptions, negative publicity, customer dissatisfaction, and loss of business.

Additionally, our processes and systems may struggle to keep pace with our growth. From time to time, we implement updates to our IT systems and software which can disrupt or shut down our IT systems. We may not be able to successfully launch or migrate IT systems as planned without disruption to our operations – for example, our planned ERP migration.

Our organization increasingly relies on a limited number of cloud service providers and third-party IT services to support critical operations, data storage, and infrastructure. This creates a concentration risk, where disruptions affecting one provider can have widespread operational, financial, and reputational consequences. Additionally, dependency on other IT services, such as identity management, networking, software platforms, and interfaces, can compound this risk. Key concerns include operational disruptions, vendor lock-in, regulatory and compliance challenges, integration complexity and security vulnerabilities, including shared infrastructure risks.

We are exposed to risks related to the use of artificial intelligence

We are increasingly integrating artificial intelligence (AI) into technology development, business operations, and the products and services we offer. While AI presents significant opportunities, it also introduces a range of complex and rapidly evolving risks, including competitive, legal, regulatory, operational, and ethical challenges.

We may fail to implement AI in a timely and effective manner. AI can be costly, and there is no assurance that it will improve our productivity, enhance our operations, or result in products or services that resonate with our customers. Competitors may adopt more effective AI strategies, potentially providing competitive advantage.

AI systems can also be vulnerable to flaws in algorithms, methods, or datasets, which may contain irrelevant, outdated, or biased information. These issues can result in unintended inaccuracies, legal liabilities, reputational damage, or material harm to our business.

The adoption of AI technologies may introduce several risks, including potential loss, infringement, or misappropriation of intellectual property, as well as concerns related to data privacy and cybersecurity. Additional security challenges may arise as managing contextual access and defining the scope of AI permitted for AI agents. Furthermore, ethical considerations surrounding AI could impact market acceptance and potentially reduce demand for our products and services.

Governments are actively developing laws and regulations related to AI. Compliance with these evolving requirements may increase operational costs and restrict how we use AI in our product services. Any actual or perceived failure to meet these standards could lead to legal consequences, reputational harm, or other adverse impacts on our business.

STRATEGIC REPORT CORPORATE GOVERNANCE SUSTAINABILITY FINANCIALS ASML Annual Report 2025

At a glance Q&A with the CEO Our business Financial performance Risk and security

Risk factors (continued)

Operations (continued)	Finance and reporting	
We face challenges to meet expected demand	We are exposed to financial risks including liquidity risk, interest rate risk, counterparty credit risk, foreign exchange risk and inflation risk	Changes in taxation could affect our future profitability

STRATEGIC REPORT	CORPORATE GOVERNANCE	SUSTAINABILITY	FINANCIALS	ASML Annual Report 2025
At a glance	Q&A with the CEO	Our business	Financial performance	Risk and security

Risk factors (continued)

Compliance	Other
We are subject to regulatory and compliance obligations in the various countries where we operate and the complexity of compliance requirements increases	Restrictions on shareholder rights may dilute voting power
We are subject to a variety of laws and regulations across the jurisdictions where we operate, including but not limited to those relating to trade, national security, tax, export controls including licensing or authorization requirements, reporting, product compliance, anti-corruption, antitrust, foreign direct investment, ES&G, human rights, data protection, AI technologies, spatial planning, environmental matters, workplace safety regulations, securities laws and stock exchange rules. With the significant growth of our business in recent years, ensuring compliance with laws and regulations and our internal policies across our continually expanding organization has become more challenging. We face the risk that, despite our significant efforts and proactive approach to compliance, we may fail to comply with such laws, regulations or policies. We operate in a significant and growing number of countries in the world, and we are therefore subject to numerous and differing, and sometimes conflicting, regulatory frameworks, which can impact how we operate our business. In particular, the regulatory environment regarding export and sanctions has become increasingly restrictive, and, as a result, our ability to sell some of our products and services to certain customers is subject to restrictions and requires government authorization, which can lead to delays in or a prohibition on shipments of products to certain customers.	ASML's Articles of Association provide that it is subject to the provisions of Dutch law applicable to large corporations, called 'structuurregime'. These provisions concentrate control of certain corporate decisions and transactions in the hands of the Supervisory Board (SB). As a result, holders of ordinary shares may have more difficulty in protecting their interests in the face of actions by members of the SB than if we were not subject to the 'structuurregime'. Our authorized share capital includes a class of cumulative preference shares. We have granted our preference shares foundation (Stichting Preferentie Aandelen ASML) an option to acquire, at the nominal value of €0.09 per share, such cumulative preference shares. Exercise of the preference share option would effectively dilute the voting power of our outstanding ordinary shares by one-half, which may discourage or significantly impede a third party from acquiring a majority of our voting shares.
Laws and regulations that impact our business are regularly amended and we are subject to new laws and regulations. We are also subject to the changing interpretations by and positioning of regulators, including in the granting of required licenses to ship products as well as in investigations and enforcement. Additional or amended regulations or changes in policies of governments and regulators could increase compliance costs and risks associated with non-compliance, or could impact our manufacturing or distribution processes or location of sales and where and to whom we can deliver and service our products and services, and could affect the timing of product introductions, the cost of our production, and products themselves as well as their commercial success in each market in which we operate. We are subject to investigations, audits and reviews by regulatory authorities in the various jurisdictions where we operate regarding compliance with laws and regulations, including tax laws. These may arise due to misunderstandings, disputes, or suspicions of non-compliance or otherwise, and can be resource-intensive and have reputational and financial implications for us. Despite our efforts and proactive compliance program, we may be found to be non-compliant with applicable regulations. Compliance with existing and new regulations can result in compliance costs, increased risk of non-compliance and limitations on our business, which can impact our results of operations. The consequences of non-compliance include fines, penalties and litigation, business disruption, the loss of trade or export privileges, reputational harm, additional regulatory scrutiny measures and the erosion of stakeholder trust, any of which could have a material adverse effect on our business and results of operations.	We aim to pay a quarterly dividend that is growing (on an annualized basis) over time, and we conduct share buyback time to time. The dividend proposal and amount of share buyback in any given year are subject to, among other factors, the level of distributable profits, retained earnings and cash, the Board's views on our potential future liquidity requirements, including for investments in production capacity and working capital requirements, the funding of our R&D programs and acquisition opportunities that may arise from time to time, and future changes in applicable tax and corporate laws. The Board may decide not to pay a dividend or to pay a low dividend. The Board's decision on the dividend and share buyback programs is not intended to, and will not, be a guarantee of future performance. In addition, the Board's decision on the dividend and share buyback programs, we may not enter into new share buyback programs, we may otherwise fail to complete buyback programs.

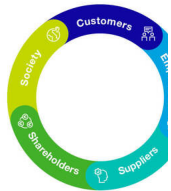
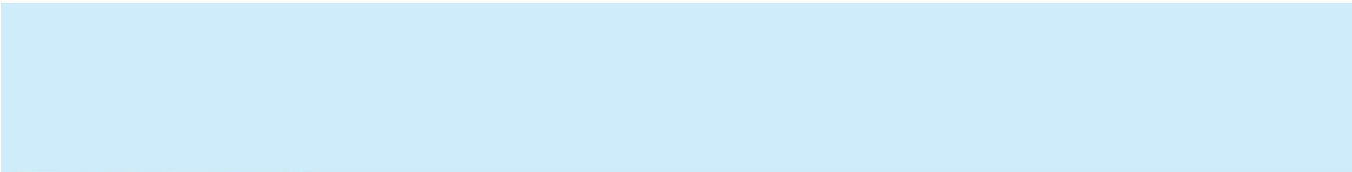
STRATEGIC REPORT	CORPORATE GOVERNANCE	SUSTAINABILITY	FINANCIALS	ASML Annual Report 2025
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Information security

We believe ASML's competitive edge is grounded in knowledge and IP built over decades. While this expertise is developed collaboratively by our people and our thriving ecosystem of suppliers, partners, customers and knowledge institutions, we aim to ensure it is systematically captured, documented and protected to maintain our industry leadership.

Our innovation ecosystem is largely based on the exchange of ideas and insights, which makes the protection of knowledge a challenge, but also makes it difficult for others to replicate our work. This knowledge is captured in our information management infrastructure. Our prime objective is to protect the integrity and confidentiality of our critical information and data while ensuring continuity of our operations. This should be embedded in our processes, people and infrastructure. However, as we innovate and collaborate together, our partners inevitably need access to some parts of our systems' infrastructure. We aim to enable this in a secure way, with best-in-class security functions deployed across our infrastructure to manage security threats and risks. We are also confronted with EU laws such as the NIS2 Directive and the Cyber Resilience Act (CRA), and with Cyber Incident Reporting for Critical Infrastructure (Cybersecurity and Infrastructure Security Agency) in the US, which highlight regulations seeking to ensure critical infrastructure organizations are securing themselves effectively. As perpetrators make use of more advanced methods, implementing adequate responses becomes more complex – so we continue to take steps to try to deal with this effectively. In the event of a security incident involving the loss of information assets, the materiality of the incident is jointly assessed by technology leaders and subject matter experts with support from Corporate Intellectual Property and Legal and Compliance. In 2025, as far as we are aware, ASML had zero incidents with a material impact.

Read more in Strategic report – Risk and security – Risk factors – Cybersecurity and other security



Corporate governance

We endorse the importance of good corporate governance – of which independence, accountability and transparency are the most significant elements. These are also the elements on which we can build a relationship of trust with our stakeholders.

ASML Holding N.V. is a public limited liability company organized under Dutch law. Our shares are listed on Euronext Amsterdam and Nasdaq.

We have a two-tier board structure consisting of a Board of Management responsible for managing the company, and an independent Supervisory Board that supervises

and advises the Board of Management. For the fulfillment of their duties, the two Boards are accountable to the General Meeting, the corporate body representing our shareholders.

Our governance structure is based on our Articles of Association, Dutch (and where relevant EU) corporate and securities laws, and the Dutch Corporate Governance Code (mcoq.nl/english). Because we are listed on Nasdaq, we are also required to comply with applicable provisions of the Sarbanes-Oxley Act, the Nasdaq Listing Rules, and the rules and regulations promulgated by the US Securities and Exchange Commission as applied to 'foreign private issuers' such as ASML.

We are subject to the relevant provisions of Dutch law applicable to large corporations ('structuurregime') – which have the effect of concentrating control over certain corporate decisions and transactions in the hands of the Supervisory Board. Procedures for the appointment and dismissal of Board of Management and Supervisory Board members are based on the *structuurregime*.

This section of the Annual Report addresses our corporate governance structure and the way we apply the principles and best practices of the Dutch Corporate Governance Code. It also provides information required by the Decree adopting further rules related to the content of the management report and the Decree implementing Article 10 of the Takeover Directive.

We signed up to the VNO-NCW Tax Governance Code. More information on our approach to tax can be found in our Tax Report 2025 on our website.

In accordance with the Dutch Corporate Governance Code, other parts of this Annual Report address our strategy and culture aimed at sustainable long-term value creation, our values and Code of Conduct, and the main features of our internal control and risk management systems.

On March 20, 2025, the updated Dutch Corporate Governance Code 2025 was published, which applies to the financial years starting on or after January 1, 2025.

STRATEGIC REPORT **CORPORATE GOVERNANCE** SUSTAINABILITY FINANCIALS **ASML Annual Report 2025**

Corporate governance Supervisory Board report Remuneration report

Board of Management

Our Board of Management is responsible for managing ASML. Its responsibilities include establishing a position on the relevance of sustainable long-term value creation for ASML and our business, defining and deploying our strategy, establishing and maintaining effective risk management and control systems, and managing the realization of our operational and financial objectives and the environmental, social and governance (ESG) aspects relevant to us. In fulfilling its responsibilities, the Board of Management is guided by the interests of ASML and our business – and takes into consideration the interests of our stakeholders.

The current Board of Management comprises five members and the composition remained unchanged in 2025. On October 9, 2025, ASML announced that the Supervisory Board intends to add the role of Chief Technology Officer (CTO) to the Board of Management effective per the 2026 Annual General Meeting (AGM), underscoring our ambition to drive forward our technology roadmap in service of our customers. As a result, the Board of Management will comprise six members effective per the 2026 AGM.

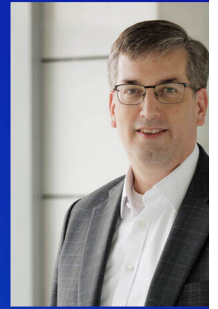
The Board of Management divides tasks among its members, charging individuals with specific managerial tasks, but remains collectively responsible for the management of ASML.

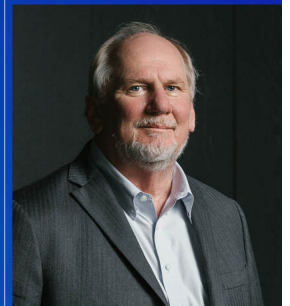
The Board of Management is supervised and advised by the Supervisory Board. The Board of Management provides the Supervisory Board – in writing or otherwise – with all information necessary for the Supervisory Board to properly carry out its duties. In addition to the information provided in their regular meetings, the Board of Management provides the Supervisory Board with regular updates on developments relating to our business, financials and operations, and industry developments in general. Certain important decisions of the Board of Management require the approval of the Supervisory Board.

Read more in Corporate governance – Supervisory Board report
Further information regarding the general responsibilities of the Board of Management, its relationships with the Supervisory Board and various stakeholders, the decision-making process within the Board of Management and the logistics surrounding the meetings can be found in the Board of Management's Rules of Procedure as published on our website.

Appointments

Members of the Board of Management are appointed for





Other Board-related matters

This section addresses a number of topics that apply to both the Board of Management and the Supervisory Board.

Diversity

On January 1, 2022, the Dutch gender diversity bill came into force, introducing a quota for the supervisory boards of Dutch listed companies – which should comprise at least one-third men and one-third women. New appointments will be declared null and void in the event of non-compliance with this requirement. The bill also introduced a requirement to set ambitious gender-balance targets for boards of management and senior management of large listed and non-listed Dutch N.V.s and B.V.s, and to have a plan outlining the actions needed in order to meet gender

diversity targets. Companies are required to report to the Dutch Social and Economic Council on gender-balance targets, plans and progress made within 10 months after the end of the financial year, and in the management report. The 2025 Dutch Corporate Governance Code contains a requirement to adopt inclusion and diversity policies for the Board of Management and the Supervisory Board as well as a company-wide Diversity and Inclusion Policy for the entire workforce including senior management. As part thereof, ASML has set targets on gender diversity and other I&D aspects relevant for ASML.¹

Currently, the Supervisory Board meets the gender quota of the Dutch gender diversity bill, as both men and women are represented by at least three out of nine members. During 2023, the Supervisory Board adopted the Supervisory Board Diversity Policy, which has been incorporated as an annex to the Supervisory Board's Rules of Procedure, and which can be found on our website.

As set out in the Board of Management Diversity Policy, we seek to maintain a Board of Management comprised of talented, competent executives who individually meet the requirements for their specific role and collectively have the experience and background required to successfully lead an R&D-intensive high-tech company of the size and complexity of ASML. Appropriate weight is placed on diversity considerations, including experience, background, gender, age and tenure, in the selection and appointment process.

Our aim for the Board of Management is to have at least one female member of the Board of Management by 2032 taking into account the current composition and rotation schedule of our Board of Management.

Currently, the Board of Management is composed of male members only. The Supervisory Board recognizes that the 2026 gender balance target has not been met for the reasons set out below, and that Board of Management composition leaves room for improvement on gender diversity. The Supervisory Board is committed to addressing this in future appointments. *Current Board of*

STRATEGIC REPORT **CORPORATE GOVERNANCE** SUSTAINABILITY FINANCIALS ASML Annual Report 2025

Corporate governance Supervisory Board report Remuneration report

Other Board-related matters (continued)

Diversity complements our company values: challenge, collaborate and care.

The 'Attractive workplace for all' section contains more information about our I&D approach and our targets and performance in 2025, as well as a look ahead at our I&D agenda and priority areas for 2026.

[Read more in Sustainability statements – Social – Attractive workplace for all](#)

For the Board of Management specifically, the Supervisory Board selects candidates for appointment with due observance of our objective to foster a diverse and inclusive working environment. Accordingly, we aim to fill vacancies by considering candidates who bring the required expertise and contribute to our diversity. The Supervisory Board, when assessing the composition of the Board of Management and identifying suitable candidates for succession, will consider objective criteria and the specific profile for the job while having due regard for the relevant aspects of diversity. This applies in particular to continuously striving for more balanced gender representation.

In our internal development efforts for potential Board of Management members, we strive for participation of a diverse group of employees, specifically senior leadership.

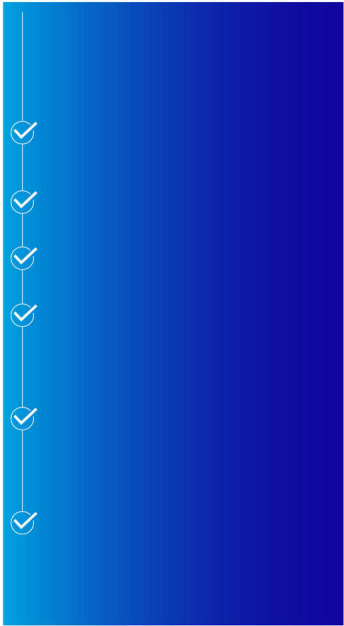
Any search firm engaged by the Supervisory Board or its Selection and Nomination Committee will be specifically directed to include diverse candidates in general and multiple female candidates in particular.

[Read more in Sustainability statements – Social – Attractive workplace for all – Inclusion and diversity](#)

Remuneration, share ownership and indemnification

The remuneration of the Board of Management is determined by the Supervisory Board, upon recommendation of the Remuneration Committee and in accordance with the Remuneration Policy for the Board of Management. The current Remuneration Policy was adopted by the General Meeting in 2025. The remuneration of the Supervisory Board is based on the Remuneration Policy for the Supervisory Board. The current Remuneration Policy was adopted by the General Meeting in 2023, and the remuneration amounts were updated and approved at the 2025 AGM. The remuneration of the Supervisory Board is not dependent on our (financial) results. Members of the Supervisory Board do not receive ASML shares, or rights to acquire ASML shares, as part of their remuneration.

Board of Management and Supervisory Board members who acquire or have acquired, for their own risk and account, ASML shares or rights to acquire ASML shares must intend to keep these for long-term investment only. In concluding transactions in ASML shares, members of the Board of Management and the Supervisory Board must comply with our Insider Trading Rules. Any such transactions in ASML shares performed by members of



AGM and share capital (continued)

Powers

In addition to the items submitted annually at the AGM, the General Meeting also has other powers, with due observance of the statutory provisions.

These include resolving:

- To amend the Articles of Association.
- To issue shares if and insofar as the Board of Management has not been designated by the General Meeting for this purpose.
- To adopt the remuneration policies for the members of the Board of Management and the Supervisory Board, and to adopt the remuneration of the Supervisory Board.

(Proposed) amendments of the Articles of Association require the approval of the Supervisory Board. A quorum requirement applies for the General Meeting at which an amendment of the Articles of Association is proposed – more than half of the issued share capital is required to be represented, and the proposal requires a voting majority of at least three-quarters of the votes cast. If the quorum requirement is not met, a subsequent General Meeting shall be convened, to be held within four weeks of the first meeting. At this second meeting, the resolution can be adopted with at least three-quarters of the votes cast, irrespective of the share capital represented.

If a resolution to amend the Articles of Association is proposed by the Board of Management, the resolution will be adopted with an absolute majority of votes cast irrespective of the represented share capital at the General Meeting.

ASML's authorized share capital amounts to €126.0 million and is divided into:

Type of shares	Number of shares	Nominal value	Votes per share
Cumulative preference shares	700,000,000	€0.09 per share	1
Ordinary shares	700,000,000	€0.09 per share	1

The issued and fully paid-up ordinary shares with a nominal value of €0.09 each were as follows:

As of December 31	2023	2024	2025
Issued ordinary shares with nominal value of €0.09	393,421,721	393,283,720	385,417,665
Issued ordinary treasury shares with nominal value of €0.09	6,162,857	546,972	2,730,009
Total issued ordinary shares with nominal value of €0.09	399,584,578	393,830,692	388,147,674

Our Articles of Association are included as Exhibit 1.1 hereto, and are incorporated by reference herein. As of December 31, 2025, 87,904,216 ordinary shares were held by 316 registered holders with a registered address in the US. Since certain of our ordinary shares were held by brokers and nominees, the number of record holders in the US may not be representative of the number of beneficial holders, or of where the

AGM and share capital (continued)

We may repurchase our issued ordinary shares at any time, subject to compliance with the requirements of Dutch law and our Articles of Association. Any such repurchases are subject to the approval of the Supervisory Board and authorization by the General Meeting, which authorization may not be for more than 18 months.

At the 2025 AGM, the Board of Management was authorized, subject to Supervisory Board approval, to repurchase through October 23, 2026, up to a maximum of 10% of our issued share capital at April 23, 2025, at a price between the nominal value of the ordinary shares purchased and 110% of the market price of these securities on Euronext Amsterdam or Nasdaq.

Read more details on our share buyback program in Consolidated financial statements – Notes to the Consolidated

ASML Preference Shares Foundation

The ASML Preference Shares Foundation (Stichting Preferentie Aandelen ASML) has been granted an option right to acquire cumulative preference shares in the share capital of ASML. The Foundation may exercise this Preference Share Option when, in the opinion of the Foundation's Board of Directors, the interests of ASML, its business or its stakeholders are at stake, including in the event that:

- a public bid for ASML's shares has been announced or made, or there is a justified expectation that such a bid will be made without any agreement having been reached with ASML in relation thereto; or
- an attempted exercise of voting rights by one or more shareholders, which in the opinion of the Foundation's Board of Directors is materially in conflict with the interests of ASML, of its business or of its stakeholders.

Objectives of the Foundation

The Foundation's objectives are to look after the interests of ASML and the enterprises maintained by and/or affiliated in a group with ASML, in such a way that ASML's interests and those of enterprises and all parties concerned are safeguarded in the best possible way. The Foundation is responsible for ensuring that influences in conflict with these interests, which might affect the independence or the identity of ASML and those companies, are deterred to the best of the Foundation's ability. The Foundation aims to realize its objects by acquiring and holding cumulative preference shares in our capital and by exercising the rights attached to these shares, particularly the voting rights.

The Preference Share Option

The Preference Share Option entitles the Foundation to acquire cumulative preference shares, whereby the

	Shares	% of class ⁴
BlackRock, Inc. ¹	26,325,103	6.83%

Financial reporting and audit

Annual Reports

We publish, among others, the following annual reports regarding the financial year 2025:

• The statutory Annual Report, has been prepared in accordance with the requirements of Dutch law. The Financial statements included therein are prepared in accordance with Part 9 of Book 2 of the Dutch Civil Code and EU-IFRS, and the Sustainability statements included therein are prepared in accordance with the European Sustainability Reporting Standards (ESRS).

• The Annual Report on Form 20-F, prepared in accordance with the requirements of the Exchange Act and regulations and the Form promulgated by the SEC. The Financial statements included therein are prepared in conformity with US GAAP.

Both reports have the same qualitative base and provide the same description of our business, corporate governance, and risk factors specific to the semiconductor industry, ASML and our shares.

We also provide sensitivity analyses through:

- A narrative explanation of our Financial statements.
- The context within which financial information should be analyzed.
- Information about the quality and variability of our earnings and cash flow.

We annually prepare two annual reports including Financial statements and Sustainability statements, as set out on this page. With respect to the process of creating the Annual Report, we have extensive guidelines for its content and layout, primarily based on the applicable laws and regulations referred to above. With respect to

Financial reporting and audit (continued)

Dutch rules require strict separation of audit and advisory services for Dutch public-interest entities, and US regulations restrict services that can be provided by an auditor of a US listed company. Dutch law prohibits the acceptance by the external auditor of non-assurance services when an audit is performed. The Audit Committee monitors compliance with Dutch and US rules on services provided by the external auditor. The remuneration of the external auditor is approved by the Audit Committee on behalf of the Supervisory Board, and after consulting the Board of Management. The Supervisory Board has delegated these responsibilities to the Audit Committee, as it has the most relevant insight and experience in this area.

Read more in Financial statements – Other appendices – Appendix – Principal accountant fees and services

In principle, the external auditor attends all Audit Committee meetings. The external auditor's findings are discussed at these meetings. The Audit Committee reports to the Supervisory Board on the topics discussed with the external auditor, including the external auditor's reports regarding the audit of – as well as the content of the annual reports. Furthermore, the external auditor may attend the Supervisory Board meeting in which the annual external audit report is discussed. The external auditor may also attend Supervisory Board meetings at which the quarterly financial results are discussed.

The Audit Committee is to be informed by the external auditor without delay if the external auditor discovers irregularities in the content of the audit of the financial reports.

The external auditor is present at our AGM to respond to



Compliance with corporate governance requirements

Corporate information
ASML Holding N.V. is a holding company that operates through its subsidiaries. We have operating subsidiaries in Belgium, China, France, Germany, Hong Kong, Ireland, Israel, Italy, Japan, Malaysia, Singapore, South Korea, Taiwan, the Netherlands, the United Kingdom and the United States.

Read more in Exhibit Index – Exhibit 8.1 – List of main subsidiaries

US listing requirements
As our New York Shares are listed on the Nasdaq Stock Market LLC, Nasdaq corporate governance standards in principle apply to us. However, Nasdaq rules provide that foreign private issuers may follow home-country practice in lieu of the Nasdaq corporate governance standards subject to certain exceptions. Our corporate governance practices are primarily based on Dutch requirements. The table on the right side of this page sets forth the practices we follow in lieu of Nasdaq rules, pursuant to the exception described above.

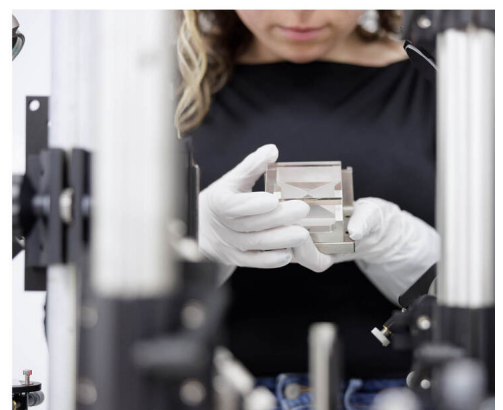
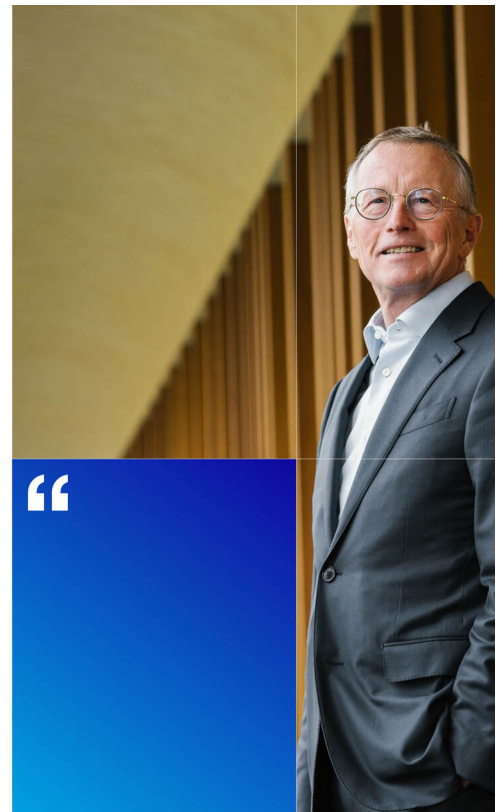
Compliance with the Corporate Governance Code
We closely follow developments in the area of corporate governance and the applicability of the relevant corporate governance rules for ASML. Any substantial changes to our corporate governance structure or application of the Corporate Governance Code will be submitted to the General Meeting for discussion.

We are of the opinion that we fully comply with the applicable principles and best practice provisions of the Dutch Corporate Governance Code as in effect for the financial year 2025.

The Board of Management and the Supervisory Board, Veldhoven,
February 25, 2026

Practices followed by ASML in lieu of Nasdaq rules	
Quorum	ASML does not follow Nasdaq's quorum requirements applicable to meetings of ordinary shareholders. In accordance with Dutch law and generally accepted Dutch business practice, ASML's Articles of Association provide that there are no quorum requirements generally applicable to general meetings of shareholders.
Solicitation of proxies	ASML does not follow Nasdaq's requirements regarding the solicitation of proxies and the provision of proxy statements for general meetings of shareholders. ASML does furnish proxy statements and solicit proxies for the General Meeting. Dutch corporate law sets a mandatory (participation and voting) record date for Dutch listed companies at the 28th day prior to the date of the General Meeting. Shareholders registered at such a record date are entitled to attend and exercise their
Distribution of Annual Report	ASML does not follow Nasdaq's requirement regarding distribution to shareholders of copies of an annual report containing audited Financial statements prior to our AGM. The distribution of our annual reports to shareholders is not required under Dutch corporate law or Dutch securities laws, or by Euronext Amsterdam. Furthermore, it is generally accepted business practice for Dutch companies not to distribute annual reports. In part, this is because the Dutch system of bearer shares has made it impractical to keep a current list of holders of the bearer shares in order to distribute the annual reports. Instead, we make our Annual Report available at our corporate head office in the Netherlands (and at the offices of our Dutch listing agent, as stated in the convening notice for the meeting) no later than 42 days prior to convocation of the AGM. In addition, we post





Supervisory Board focus in 2025



9

Supervisory Board meetings

(2024: 7)



44%

Female members

(2024: 44%)



98%

Attendance rate

(2024: 95%)



4.1

Years average tenure

(2024: 4.2)



In a complex geopolitical environment, our strategy centered on resilience and sustainable long-term value creation.

Supervisory Board focus in 2025 (continued)

Risk

Focus areas 2025

•Geopolitics

•Strategic risks

•(IT) Security

Overseeing the company's risk management continues to be a key element of our responsibilities, which includes the risk management process and its effectiveness. More information on risk management can be found in the section of the Audit Committee. The Supervisory Board's discussions with the Board of Management on strategy and execution are anchored in risk awareness, factoring in external developments, risk appetite, and mitigation approaches. In 2025, we continued to pay close attention to the risks related to geopolitical developments, not only looking at short term developments, but also assessing the potential long-term risks to ASML's strategy and business. Furthermore, the Supervisory Board spent time on looking into strategic risks in the area of technology and markets in dedicated deep dive sessions. On (IT) Security, the Supervisory Board received regular updates in accordance with our governance framework to oversee and follow-up on related developments.

Deep dive: Geopolitics

As a Supervisory Board we closely followed geopolitical developments, including developments related to export controls and tariffs and we looked at potential impacts for ASML and mitigation measures. We provided the Board of Management with advice concerning amongst others advocacy, scenarios, risk, engagement with stakeholders and we also invited external experts on geopolitics to provide their outside views. We highly value these discussions, as they bring additional perspectives to the Supervisory Board.



Strategy and sustainable long-term value creation (continued)

Other strategic topics discussed throughout the year included the geopolitical strategy and transformation programs in the following areas: the integrated operating model, the supply chain, customer, technology, and the

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Supervisory Board focus in 2025 (continued)

Financial and operational performance

Focus areas 2025

•Annual Results and Annual Report
•External audit report
•Statutory interim report

•Cash return including dividend policy, final and interim dividend, share buyback program and share cancellation
•ERP migration
•Cost, flexibility and order lead time

We reviewed the annual and interim Financial

Given the challenging economic climate – and because

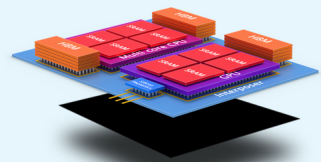
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Supervisory Board focus in 2025 (continued)

Deep dive: Technology – 3D device integration

As a Supervisory Board, we also reviewed industry needs and the evolving customer roadmaps. Together with the Board of Management, we recognize that, while 2D packaging remains relevant, 3D packaging is becoming more important. We fully support the Board of Management entering into this technology. In line with ASML's plans to support our customers in the 3D integration space, we saw ASML shipping its first product serving the advanced packaging market. We are pleased with the achievement of this milestone, and we are proud of our people working everyday to improve our ASML technology.



Additional topics

Governance and stakeholders

Focus areas 2025

•Supervisory Board evaluation
•AGM agenda
•Legal and Corporate governance developments

•AGM update
•Engagements with stakeholders

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Meetings and attendance

The Supervisory Board meets at least four times per year in accordance with its annual schedule and whenever the Chair, one or more of its members, or the Board of Management requests a meeting. In 2025, the Supervisory Board held nine meetings. Of these, four were held virtually and five were in person. Three in-person meetings were held at ASML's headquarters and two were held offsite in the Netherlands and in Phoenix, the United States. In addition, there were several informal meetings, including educational sessions and interactions among Supervisory Board and/or Board of Management members. Supervisory Board meetings and Supervisory Board committee meetings are held over several days, ensuring time for review and discussion. At each meeting, the Supervisory Board members discuss the goals and outcome of the meeting – as well as topics such as the functioning and composition of the Supervisory Board and the Board of Management. Also discussed during each meeting are the reports from the different committees of the Supervisory Board. The Supervisory Board meetings and those of the five Supervisory Board committees were well attended, as shown in the table on the right. In addition to the Supervisory Board members, the

Supervisory Board meeting attendance overview



98%

Attendance rate

Name	Supervisory Board	Audit Committee	Remuneration Committee	Selection and Nomination Committee	Technology Committee	ESG Committee
Nils Andersen (Chair)	9/9	10/10	n/a	4/4	n/a	n/a
Terri Kelly (Vice Chair)	8/9	n/a	7/7	4/4	n/a	n/a
Birgit Conix	9/9	10/10	n/a	n/a	n/a	3/3
Mark Durcan	9/9	n/a	n/a	4/4	5/5	n/a
Warren East	9/9	10/10	n/a	4/4	5/5	n/a
Alexander Everke	9/9	n/a	7/7	n/a	n/a	3/3
Karien van Gennip	7/7	n/a	4/4	n/a	n/a	2/2
Jack de Kreijl	9/9	10/10	7/7	n/a	n/a	n/a
An Steegen	8/9	n/a	n/a	n/a	5/5	3/3
Annet Aris	2/2	n/a	3/3	1/1	2/2	n/a

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Composition and skills

The Supervisory Board determines the number of members required to perform its duties – the minimum being three members. The Supervisory Board currently consists of nine members. We attach great importance to our composition, independence and diversity, and strive to meet all the associated guidelines and requirements. To ensure an appropriate and balanced composition, we spend considerable time on an ongoing basis discussing our profile, composition and rotation schedule.

Independence

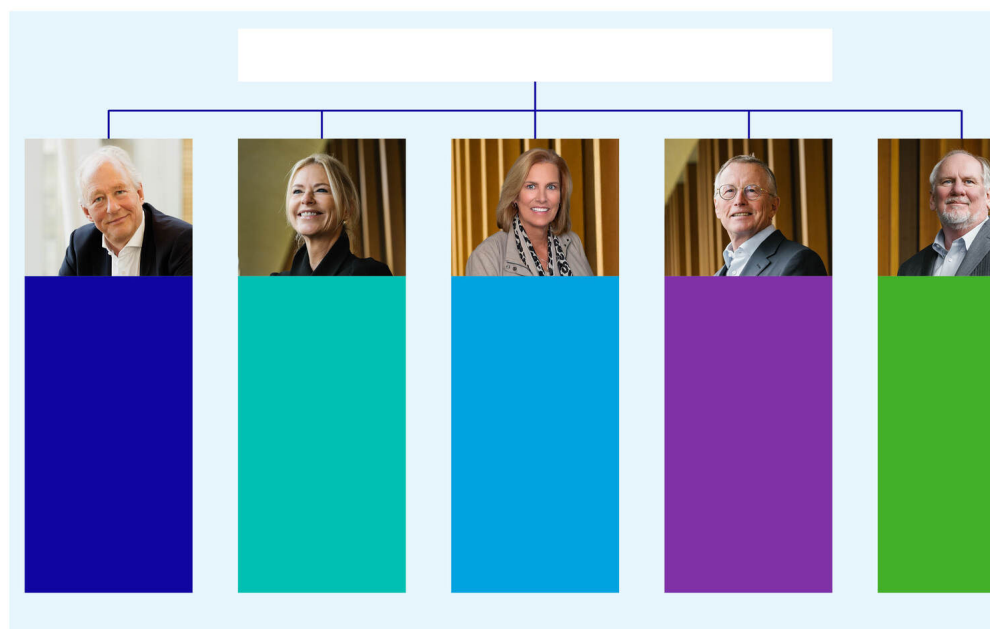
In order to properly perform our tasks, we consider it very important that our members are able to act critically and independently of one another, the Board of Management and other stakeholders. Our independence and that of our individual members is assessed on an annual basis. All current members of the Supervisory Board are fully independent – as defined by the Dutch Corporate Governance Code and under Nasdaq rules.

Diversity

The current composition of ASML's Supervisory Board is diverse in terms of gender, nationality, knowledge, experience and background, and has a suitable level of experience in the financial, economic, technological, social and legal aspects of international business.

[Read more in Corporate governance – Other Board-related matters](#)





Supervisory Board committees (continued)

The Audit Committee is provided with all relevant



The Audit Committee assists the Supervisory Board in overseeing the integrity and quality of our financial reporting and the effectiveness of the internal risk management and internal control systems.



Amidst geopolitical uncertainty and market volatility, we focused on disciplined risk management and resilience in support of ASML's long-term

Members

[Jack de Kreijl \(Chair\)](#)

[Nils Andersen](#)

[Birgit Conix](#)

[Warren East](#)

The members of the Audit Committee are all independent members of the Supervisory Board. The Supervisory Board has determined that both Jack de Kreijl and Birgit Conix qualify as Audit Committee financial experts pursuant to section 407 of the Sarbanes-Oxley Act and Dutch statutory rules, taking into consideration their extensive financial

Supervisory Board committees (continued)

Audit Committee meetings in 2025

The Audit Committee meets at least four times a year and always before the publication of the quarterly, half-year and annual financial results. In 2025, the Audit Committee held nine meetings.

Financials

In 2025, the Audit Committee focused, among other matters, on financial reporting – most particularly the review of ASML's annual and interim reports, including the annual and interim Financial statements and the Sustainability statements. The Audit Committee also closely monitored the progress and discussed the outcomes of the year-end US GAAP and EU-IFRS audits. The quarterly results and the accompanying press releases were reviewed before publication.

On a quarterly basis, the Audit Committee was provided with accounting updates by the Corporate Chief Accountant, highlighting the main accounting matters relevant for the quarter. A recurring item of focus of the Audit Committee in this regard is revenue recognition,

as this is a complex accounting matter: identification of distinct performance obligations in volume purchase agreements has been identified as a critical audit matter by the external auditor. Other important elements of the Audit Committee's quarterly procedures included the discussion of the observations of the external auditor in relation to the accounting matters, as well as the report by the Disclosure Committee on the accuracy and completeness of the quarterly disclosures. Throughout the year, specific accounting topics were addressed in depth. Semi-annual in-depth balance sheet reviews were also performed.

The operational and financial short- and long-term performance of ASML was discussed extensively, looking at various performance scenarios and their impact on ASML's results and cash generation.

Particular attention was paid to the developments in the semiconductor industry and those related to our customers, and the impact on ASML's cash generation. Geopolitical challenges and in particular the potential impact of increasing export control restrictions and tariffs on ASML's business was another topic of focus.

The Audit Committee reviewed and provided the Supervisory Board with advice regarding the long-term financial plan, the financing of ASML and ASML's cash-return policy. Topics specifically discussed included the execution of the share buyback program and the proposed final dividend payment in respect of the 2024 financial year and the interim dividends for the financial year 2025, which were approved by the Supervisory Board following recommendation by the Audit Committee. Attention was also paid to free cash flow, not only during the planned meetings but also in dedicated deep-dive sessions.

Risk management and internal control



Supervisory Board committees (continued)

ESG Committee meetings

ESG Committee



The ESG Committee advises the Supervisory Board in carrying out its governance and oversight responsibilities with regard to sustainability, environmental, social and governance matters.

“ASML continues to embrace ESG responsibly and pragmatically, safeguarding compliance with evolving regulations.”

Birgit Conix
Chair of the ESG Committee

Members

Birgit Conix (Chair)

Alexander Everke

An Steegen

Karien van Gennip

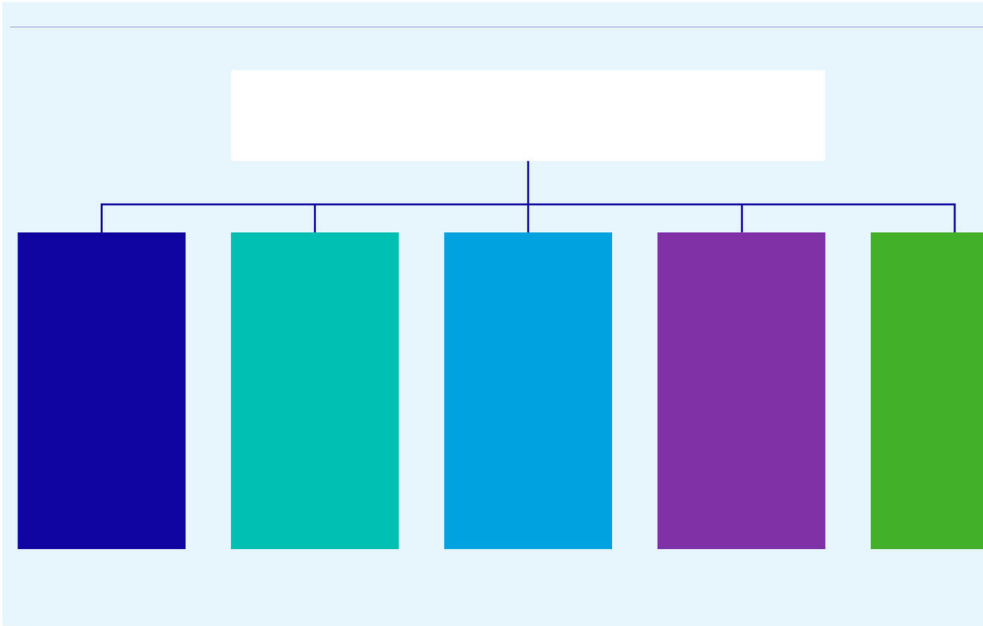
The ESG Committee may be supported by external experts as well as those from within ASML, who act as advisers on the subjects reviewed and discussed.

The ESG Committee meets at least twice a year and more frequently when deemed necessary.

Main responsibilities

Assisting and advising the Supervisory Board in relation to its governance and oversight responsibilities related to:

- The ESG sustainability strategy, including the various



Supervisory Board committees (continued)

Main responsibilities

Selection and Nomination Committee



“This year we prioritized leadership continuity and an enhanced board composition by adding Marco Pieters as CTO, with his intended appointment to the Board of Management in 2026.”

Nils Andersen

Chair of the Selection and Nomination Committee

Advising the Supervisory Board in relation to:

- Preparing the selection criteria and appointment procedures for members of the Supervisory Board and Board of Management, and the supervision of the Board of Management's policy in relation to the selection and appointment criteria for senior management.

The Selection and Nomination Committee assists the Supervisory Board in relation to its responsibilities regarding the composition and functioning of the Supervisory Board and the Board of Management, and the monitoring of corporate governance developments.

Members

Nils Andersen (Chair)

Warren East

Mark Durcan

Terri Kelly

Each member is an independent member of our Supervisory Board, in accordance with the Nasdaq Listing Rules.

Supervisory Board committees (continued)

Composition, role and responsibilities of the Board of Management

In 2025, the Selection and Nomination Committee focused on ASML's governance, its functioning and the composition of the Board of Management. Per the 2026 AGM, the terms of the positions of the CFO and COO would come to an end. After careful considerations on the approach, timing and composition, the Selection and Nomination Committee acknowledged it to be in ASML's best interests to re-appoint Roger Dassen for a new four-year term and to re-appoint Frédéric Schneider-Maunoury for a two-year term. In addition, after thorough deliberations with the Board of Management, there was a desire to appoint a new CTO to enhance the Board of Management profile, optimizing the roles and responsibilities. Technology plays a vital role within ASML.

and its future and adding such function to the Board of Management is important for our continued focus driving technology forward. Marco Pieters has been appointed as ASML CTO by the Board of Management and the Supervisory Board intends to appoint CTO Marco Pieters to the Board of Management at the 2026 AGM. The Selection and Nomination Committee furthermore devoted significant time to evaluate the leadership structure implemented in the previous year and can conclude that the process has been successful. As the Selection and Nomination Committee, we are confident that ASML will continue to lead the global lithography market. The current and envisaged Board of Management is well positioned to sharpen our responsiveness to customer needs and to consistently deliver high-performance products and services. The Supervisory Board also regularly discussed succession planning with respect to the Board of Management, safeguarding ASML's leadership for the future.

Composition, role and responsibilities of the Supervisory Board

This year, the Selection and Nomination Committee spent a time discussing the Supervisory Board's composition, profile and rotation schedule, particularly the appointment and reappointment of Supervisory Board members to fill vacancies both in the short and longer term. The Supervisory Board profile, as last amended in 2024, was assessed during the evaluation of the Supervisory Board.

In early 2025, the Selection and Nomination Committee advised the Supervisory Board on the nominations for the appointment of Karien van Gennip and reappointment of Birgit Conix. Birgit Conix was reappointed by the General Meeting for a consecutive term, in line with the nomination made by the Supervisory Board. Annet Aris' term ended per the date of the 2025 AGM.

The Selection and Nomination Committee also discussed changes to the composition of the Supervisory

Supervisory Board committees (continued)

Technology Committee meetings in 2025

Technology Committee



“
In Q4 2025,
the Technology
Committee visited
ASML's facility in
San Diego, US.”

Mark Durcan
Chair of the Technology Committee

The Technology Committee advises the Supervisory Board with respect to the technology plans required to execute our business strategy.

Members

Mark Durcan (Chair)

Warren East

An Steegen

The Technology Committee is supported by external experts and those from within ASML, who act as advisers on the subjects reviewed and discussed. External experts may include representatives of customers, suppliers and partners – increasing the Committee's understanding of the technology and research required to develop our leading-edge systems.

In general, the Technology Committee meets at least twice a year and more frequently when deemed necessary. In 2025, the Technology Committee held five meetings.

Main responsibilities

Assisting and advising the Supervisory Board in relation to:



Financial statements and profit allocation

The Financial statements of ASML for the financial year 2025, as prepared by the Board of Management, have been audited by PwC. The auditor's report can be found in the section Financial statements. All members of the Board of Management and the Supervisory Board have signed the 2025 Financial statements.

We recommend that our shareholders adopt the Board of Management's proposal to make a final dividend payment of €2.70 per ordinary share. Together with the interim dividends paid in respect of the 2025 financial year, which add up to €4.80 per ordinary share, this leads to a total dividend of €7.50 per ordinary share for the year 2025.

Finally, we would like to extend a word of thanks to the Board of Management and all ASML employees for their continued commitment and hard work during this dynamic year.

The Supervisory Board:

Nils Andersen, Chair
Terri Kelly, Vice Chair
Birgit Conix
Mark Durcan
Warren East
Alexander Everke
Karien van Gennip
Jack de Krelj
An Steegen

Veldhoven, February 25, 2026





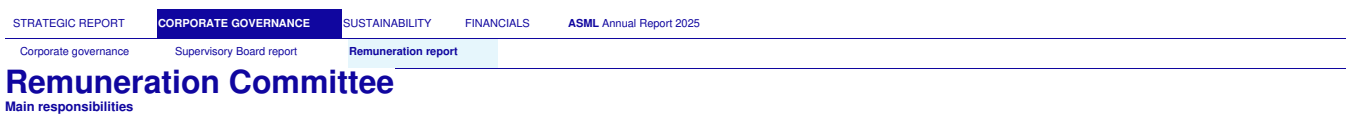
In conversation with Terri Kelly (continued)
Chair of the Remuneration Committee

Q How did you engage with stakeholders while developing the new policy for the Board of Management?

A key aspect of our work in the months leading up to the AGM involved extensive outreach to ASML's stakeholders. As executive remuneration is a sensitive topic, particularly locally, we engaged with policy advisers, the Works Council, various shareholders and shareholder interest organizations to explain the proposed changes and our rationale behind them, and to obtain stakeholder input. The entire stakeholder engagement process was enormously helpful and led to a number of changes to our initial proposals. This helped build mutual respect and goodwill because it underlined our commitment to listen and to take on board the views of stakeholders. Of course, seeking the views of stakeholders is not only important when we're working through a policy update. We maintain regular and ongoing dialogue to better understand questions and potential concerns as they arise and fine-tune our performance measures accordingly.

Q What role does the Remuneration Committee play in attracting and retaining the right talent on the Board of Management?

One of the key challenges for the Remuneration Committee is to balance external competitiveness with internal and societal fairness. Only taking input from our global peer group could lead to a much more financially aggressive approach, particularly regarding the LTI. Our aim is to provide a remuneration package that is competitive in the relevant labor market, while at the same time being aware of societal trends and perceptions. It's a tough but vital balance to strike – we do not want to contribute to the escalation that can happen when everyone takes part in a race to the top. Board of Management members also





The Remuneration Committee advises the Supervisory Board and prepares the Supervisory Board's resolutions with respect to the remuneration of the Board of Management and the Supervisory Board.



The updated policy further enables the Committee to select performance measures to drive sustainable long-term value creation."

Members

Terri Kelly (Chair)

Karien van Gennip

Alexander Everke

Jack de Kreijl

Each member is an independent, non-executive member of our Supervisory Board in accordance with the Rules of procedure of the Remuneration Committee. Ms. Kelly is neither a former member of our Board of Management, nor a member of the management board of another listed company. Currently, no member of the Remuneration Committee is a member of the

Remuneration Committee (continued)

Remuneration of the Board of Management

In Q1 2025, the Remuneration Committee, supported by an external advisor, finalized its extensive review of the Remuneration Policy for the Board of Management. Hereby, the Remuneration Committee's challenge was to balance external competitiveness with internal and societal fairness. Prior to the submission of the proposed Remuneration Policy to the General Meeting, the Remuneration Committee engaged extensively with various stakeholders to obtain their perspectives – this included ASML's shareholders, shareholder interest organizations, proxy advisors and the Works Council. For more information about the stakeholder feedback, reference is made to the 2025 AGM page on our website.

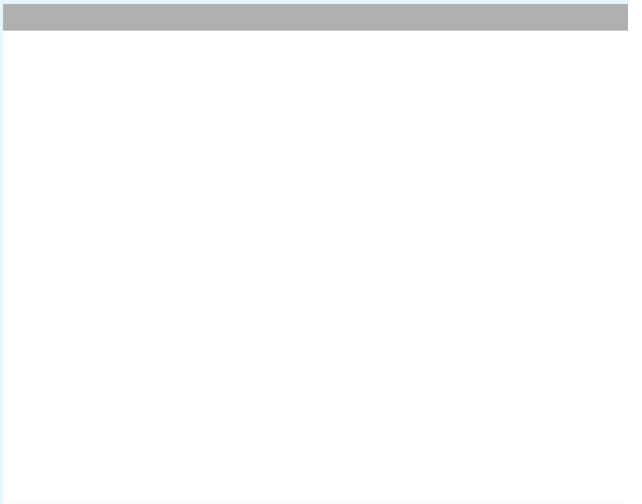
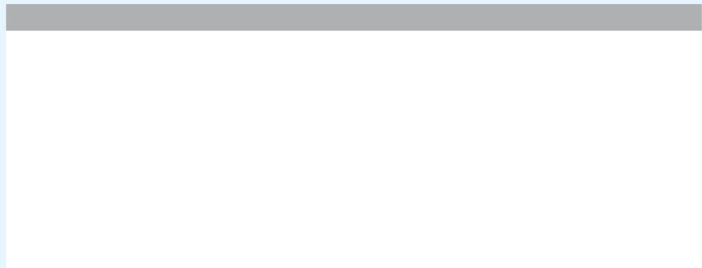
On April 23, 2025, the Supervisory Board, upon recommendation of the Remuneration Committee, proposed to the General Meeting to amend the Remuneration Policy of the Board of Management. The new Remuneration Policy for the Board of Management was adopted with 91.43% support at the 2025 AGM. An overview of the 2025 Remuneration Policy, including the implementation thereof in 2025, can be found in this Remuneration Report.

Staying true to ASML's commitment to fostering an inclusive workplace where everyone can thrive while respecting laws and regulations wherever we do business, the Supervisory Board, upon advice from the Remuneration

Committee, following the US executive order 14173¹, decided to modify the running LTI plans for the Board of Management, in line with the modifications made for other senior and executive management. For members of the Board of Management outside the US, gender diversity performance measures are calculated excluding US employees. For the Board of Management member based in the US, such performance measures are omitted and an increased weighting is applied on the Employee engagement and inclusion score. For more information in this regard, reference is made to the Board of Management – LTI paragraph of this Remuneration Report.

The Remuneration Committee made recommendations to the Supervisory Board concerning the total remuneration package of the Board of Management. The Remuneration Committee proposed 2025 targets for the Board of Management's variable remuneration to the Supervisory Board. During the year, the Remuneration Committee closely monitored the Board of Management's performance, providing recommendations to the Supervisory Board regarding the achievement of the 2025 targets and related compensation levels for the Board of Management members. In proposing and evaluating the Board of Management's performance in relation to the corporate goals and objectives for the variable remuneration of the Board of Management members, the Remuneration Committee closely cooperates with the Audit Committee, the ESG Committee and the Technology Committee.

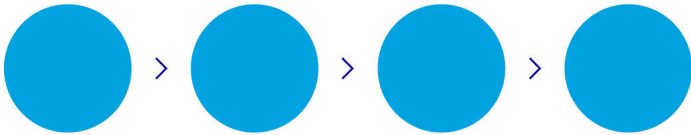
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Board of Management remuneration (continued)

Remuneration of Board of Management in 2025

The remuneration of the Board of Management for the financial year 2025 is an implementation of and complies with the 2025 Remuneration Policy for the Board of Management. As such, the remuneration of the Board of Management in 2025 contributed to the objectives of the 2025 Remuneration Policy for the Board of Management and, as a result, to our strategy aimed at sustainable long-term value creation. The Supervisory Board carried out a scenario analysis when determining the structure, level and actual pay-outs of Board of Management remuneration for 2025, in accordance with the Dutch Corporate Governance Code. For variable remuneration elements, the Supervisory Board reviews performance measures, target-setting and pay-out levels to understand the possible outcomes on total remuneration of the Board of Management and to ensure appropriate pay-for-performance relationships under different economic scenarios and performance levels. The Supervisory Board believes the current remuneration structure and outcomes are appropriate for 2025 and are aligned with company performance and shareholder experience.



Base salary

The base salaries of the members of the Board of Management were set at the beginning of 2025. Implementing the 2025 Board of Management Remuneration Policy, 4% base salary increases were applied for the Board of Management in 2025. For a detailed overview, reference is made to the section Total remuneration Board of Management.

Short-term incentive 2025

The financial and non-financial target levels for the STI were set at the beginning of the 2025 financial year in accordance with the 2025 Remuneration Policy for the Board of Management and taking into account the annual plan (forecast) for 2025.

For the STI, the Supervisory Board, taking into consideration our business challenges and circumstances in 2025, decided to select a performance metric focused on profitability:

• EBIT Margin % (non-GAAP measure), measuring Income from operations as percentage of total net sales (based on US GAAP).

In addition, the following non-financial performance metrics applied for the STI in 2025, in accordance with the 2025 Remuneration Policy for the Board of Management:

• Customer Orientation: This metric consisted of five sub-targets measuring ASML's positioning in the market and its performance in terms of customer experience, customer satisfaction and quality. The sub-targets were: adoption of multibeam within Metrology & Inspection; DUV Cost and Competitiveness; EUV 0.33 NA maturity; EUV 0.55 NA insertion; and ASML's Customer Trust Survey.

• Strategic Orientation: This metric consists of four sub-targets measuring the key business priorities that are critical

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Board of Management remuneration (continued)

After the end of the performance period, the Supervisory Board assessed the performance achieved against the targets, in cooperation with the relevant sub-committees: the Technology Committee, Audit Committee, ESG Committee and Remuneration Committee. The target and actual achievement levels for the STI performance criteria are set out in the table below, excluding information which qualifies as commercially or strategically sensitive. The Supervisory Board considers disclosure of this information not to be in the interest of ASML and its stakeholders. In view of transparency, we report performance for these metrics as percentage of target.

Performance metric	Weight	Performance targets ¹			Actual performance	Pay-out: % of target
		Threshold	Target	Stretch		
EBIT Margin (%) (Non-GAAP measure)	60%	28.0%	30.5%	33.0%	34.6%	150.0%
Customer Orientation	20%					113.1%
<i>Consisting of the following weighted sub-targets:</i>						
Adoption of multibeam	2.5%	*				75.0%
DUV Cost and Competitiveness	2.5%	*				120.0%
EUV 0.33 NA maturity	2.5%	*				110.0%
EUV 0.55 NA insertion	2.5%	*				0.0%
ASML Customer Trust Survey	10%	*				150%
Strategic Orientation	20%					149.2%
<i>Consisting of the following weighted sub-targets:</i>						
Enterprise Resource Planning	5%	*				150.0%
High Productivity Platform	5%	*				148.9%
New Product Quality	5%	*				147.9%
Global Supply Chain Development	5%	*				150.0%
Total	100%					142.5%

¹ Certain performance targets (*) are not disclosed due to strategic or commercial sensitivity.

² The pay-out % is based on the pay-out levels as included in the 2025 Remuneration Policy Board of Management.

The 2025 EBIT Margin % (Non-GAAP measure) of 34.6% is calculated as Income from operations of €11,301 million divided by Total net sales of €32,667 million.

The achieved pay-out % for Customer Orientation amounts to 113.1%, which is an increase compared to last year's performance.

The achieved pay-out % for Strategic Orientation of 149.2% cannot be compared, since 2025 is the first year we measure this performance metric.

The total STI outcome for the current Board of Management results in a cash pay-out of €7.3 million, representing a pay-out as a percentage of target of 142.5%.

Short-Term Incentive 2026

For 2026, the Supervisory Board has decided to apply the following STI performance measures:

Performance metric	Weight
EBIT Margin (%) (Non-GAAP measure)	60%
Customer Orientation	20%

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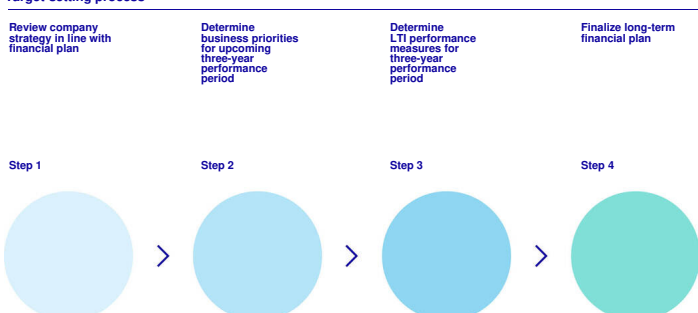
Board of Management remuneration (continued)

Board of Management Remuneration in 2025 – Long-term incentive

Conditionally granted LTI Plan 2025–2027 in 2025

At the beginning of 2025, approximately 30,481 performance shares were conditionally granted to the current members of the Board of Management who were eligible to participate in the 2025–2027 LTI performance plan. These conditional grants are based on the maximum-achievable opportunity.

Target-setting process



At the beginning of 2025, the Supervisory Board, in line with the recommendation of the Remuneration Committee, selected the performance metrics to be used to measure ASML's performance related to Relative Total Shareholder Return (RTSR), Return on Average Invested Capital (ROAIC) (Non-GAAP measure), Technology Leadership Index (TLI) and ESG performance metrics. The Supervisory Board also set the target levels related to all performance metrics for the 2025–2027 LTI Plan, as listed below. This took into account the long-term product roadmap, ESG goals and long-term financial plan, thereby ensuring alignment between the various targets and our long-term strategic priorities – and encouraging behavior focused on sustainable long-term value creation.

For the 2025–2027 LTI Plan, the following performance metrics apply, in accordance with the 2025 Remuneration Policy for the Board of Management:

•Relative TSR: ASML's change in New York (NASDAQ) share price plus dividends paid, relative to the TSRs of the other individual companies of the Philadelphia Semiconductor Index (PHLX Semiconductor Index, total return index) over the relevant performance period.

•ROAIC: A non-GAAP measure based on a three-year average by dividing the income after income taxes (at target R&D) by the average invested capital. Average invested capital is calculated by taking the average of total assets minus cash and cash equivalents, short-term investments, total current liabilities and non-current contract liabilities at the start and end of each quarter over three years. Mergers and acquisitions are to be excluded from the evaluation period.

•Technology Leadership Index: As a qualitative metric for the LTI, the Technology Leadership Index consists of targets to be achieved three years ahead, two years ahead and in the coming year. Each year, new targets are defined for the period three years ahead. The targets for two years ahead are based on the prior-year targets (that were three years ahead at that time) and a correction factor on the score (up or down) depending on whether targets appeared to be easier or more difficult to achieve. The same approach is used for subsequent years. The total score for the Technology Leadership Index over the three-year performance period is the average of the scores over the three years, including the relevant correction factors applied on each year's score.

Board of Management remuneration (continued)

The target levels for the LTI performance metrics are set out in the table below:

Performance metric		Performance targets		
	Weight	Threshold	Target	Stretch
Relative TSR	25%	As per Remuneration Policy		
ROAIC (2025–2027) ¹ (Non-GAAP measure)	35%	35%	50%	65%
ESG Measures	20%			
Consisting of equally weighted sub-metrics:				
Gender diversity:	6.7%			
• % Inflow of women JG 9+ (external and internal inflow)		23%	25%	27%
• % Representation of women in JG 13+		14%	15%	16%
Engagement and inclusion:	6.7%			
• Employee engagement (Relative benchmark target vs. top 25% performing companies (3 year rolling))		—4p.p	—2p.p	0p.p
• Inclusion score (Relative benchmark target vs. top 25% performing companies (3 year rolling))		—4p.p	—2p.p	0p.p
EUV energy use per wafer pass (kWh per wafer pass)	6.7%	5.0	4.7	4.5
Technology Leadership Index	20%	4	6	10
Total	100%			
Vesting of shares process				

Vesting period
within three
years

Holding period
two years

Board of Management remuneration (continued)

The target and actual achievement levels for the LTI performance criteria based on the policy are set out in the table below:

Performance metric	Weight	Performance targets			Actual performance	Pay-out % ² % of target
		Threshold	Target	Stretch		
Relative TSR	30%	115.9%	202.8%	365.4%	203.9%	100.7%
Normalized three-year average cash conversion rate % ¹ (Non-GAAP measure)	30%	85.0%	90.0%	95.0%	92.0%	140.9%
Technology Leadership Index	20%	4	6	10	8.4	160.1%
ESG Measures	20%					164.3%
Consisting of the following sub-measures:						
Net zero emission (scope 1+2) with minimum compensation	6.7%	<37kt compensation	<30kt compensation	<20kt compensation	19.4	200.0%
Employee engagement (Relative benchmark target vs. top 25% performing companies (3 year rolling))	6.7%	-4%	-2%	0%	-2.3%	93.0%
Total and JG9+ female inflow ³	6.7%	22%	24%	26%	28.8%	200.0%
Total	100%					137.4% ⁴

1. The Normalized three-year average Cash Conversion Rate % (CCR) (Non-GAAP measure) is calculated by dividing Normalized Free Cash Flow (Non-GAAP measure) by Net Income (three-year average). Free Cash Flow (Non-GAAP measure) is normalized by excluding early payments received in a certain financial year from customers without a contractual payment obligation in that financial year.

2. The pay-out percentage is based on the pay-out levels as included in the 2022 Remuneration Policy of the Board of Management.

3. For the Board of Management members outside the US, the gender diversity performance metric is calculated excluding US employees. No LTI Plan 2023-2025 has been granted for the US based Board of Management member in his capacity as such.

4. Total actual performance score of 137.4% is based on weighting of individual performance metrics multiplied by the pay-out percentage.

The total LTI outcome results in a share vesting of 137.4% of target.

Long-Term Incentive Plan 2026–2028

In 2026, the Supervisory Board intends to grant approximately 30,909 performance shares to the current members of the Board of Management for the 2026–2028 LTI performance plan. These conditional grants are based on the maximum-achievable opportunity for 2026 under the 2025 Remuneration Policy for the Board of Management. For the 2026–2028 performance period, the Supervisory Board has decided to apply the following LTI performance measures and target-setting under the 2025 Remuneration Policy for the Board of Management:

Board of Management remuneration (continued)

Total remuneration Board of Management

The remuneration of the members of the Board of Management based on incurred accounting expenses in 2025, 2024 and 2023 is included in the table below (amounts are in € thousands). The accounting expenses of the remuneration reported as LTI is evenly distributed over the three-year vesting period of each share award. The accounting expenses are divided into market-based and non-market-based elements. For the non-market based elements, the accounting expense is based on the maximum-achievable payout during the first two years of the vesting period. In the third and final year of the vesting period, the share award's estimate is adjusted to reflect the actual payout. The market-based element is accounted for at the target payout.

Board of Management member	Financial year	Base salary	Pension	Other benefits	Total fixed	% Fixed	STI	LTI	Total variable	% Variable	Ratio fixed/variable	Total remuneration
C.D. Fouquet ¹	2025	1,125	181	72	1,378	19.6%		2,405	3,238	5,643	80.4%	0.24
	2024	979	111	63	1,153	21.2%		1,532	2,747	4,279	78.8%	0.27
	2023	725	82	56	863	24.5%		883	1,773	2,656	75.5%	0.32
F.J.M. Schneider-Maunoury	2025	784	171	59	1,014	23.2%		1,229	2,123	3,352	76.8%	0.30
	2024	754	161	51	966	23.0%		1,026	2,217	3,243	77.0%	0.30
	2023	725	148	45	918	25.7%		883	1,773	2,656	74.3%	0.35
R.J.M. Dassen	2025	784	146	68	998	22.9%		1,229	2,123	3,352	77.1%	0.30
	2024	754	133	60	947	22.6%		1,026	2,217	3,243	77.4%	0.29
	2023	725	121	56	902	25.4%		883	1,773	2,656	74.6%	0.34
W.R. Allan ²	2025	784	138	189 ⁵	1,111	24.9%		1,229	2,123	3,352	75.1%	0.33
	2024	754	133	163 ⁵	1,050	26.9%		1,026	1,821	2,847	73.1%	0.37
	2023	492	82	38	612	29.6%		599	860	1,459	70.4%	0.42
J.P. Koonmen ^{3,4}	2025	757	12	433 ⁵	1,202	29.4%		1,186	1,695 ⁶	2,881	70.6%	0.42
	2024	516	8	206 ⁵	730	31.1%		702	915	1,617	68.9%	0.45
Total Board of Management		2025	4,234	648	821	5,703	23.5%	7,278	11,302	18,580	76.5%	0.31
		2024	3,757	546	543	4,846	24.1%	5,312	9,917	15,229	75.9%	0.32
		2023	2,667	433	195	3,295	25.9%	3,248	6,179	9,427	74.1%	0.35

¹ Christophe U. Fouquet was appointed as President and CEO of ASML on April 24, 2024.
² Wayne R. Allan was appointed as a member of the Board of Management on April 26, 2023.
³ James (Jim) P. Koonmen was appointed as a member of the Board of Management on April 24, 2024.
⁴ James (Jim) P. Koonmen is remunerated in US dollars. In 2025, his US dollar-denominated equivalent of his cumulative base salary as a member of the Board of Management was \$849,323 (€756,747). His 2025 Short-Term Incentive (STI) payout is calculated based on his US dollar-denominated equivalent cumulative base salary, resulting in a total of \$1,331,314 (€1,186,202).
⁵ Wayne R. Allan (2025: €120,911; 2024: €102,867) and James (Jim) P. Koonmen (2025: €384,784; 2024: €177,055) received compensation to address the effects of double taxation in both the Netherlands and the United States.
⁶ As a member of the Board of Management, (Jim) P. Koonmen received LTI grants in 2024 and 2025.

Board of Management remuneration (continued)

Total remuneration former Board of Management

Peter Wennink and Martin van den Brink are no longer part of the Board of Management, as they retired as Presidents from ASML on April 24, 2024.

Former Board of Management member	Financial year	Base salary	Pension	Other benefits	Total fixed	% Fixed	STI	LTI	Total variable	% Variable	Ratio fixed/variable	Total remuneration
P.T.F.M. Wennink ^{1,2,3}	2024	345	82	119	546	10.9%		494	3,953	4,447	89.1%	0.12
	2023	1,040	248	61	1,349	22.7%		1,400	3,192	4,592	77.3%	0.29
M.A. van den Brink ^{1,2}	2024	345	82	111	538	10.8%		494	3,953	4,447	89.2%	0.12
	2023	1,040	248	59	1,347	22.7%		1,400	3,192	4,592	77.3%	0.29
Total former Board of Management		2024	690	164	230	1,084	10.9%	988	7,906	8,894	89.1%	0.12
		2023	2,080	496	120	2,696	22.7%	2,800	6,384	9,184	77.3%	0.29

¹ On April 24, 2024, Peter T.F.M. Wennink and Martin A. van den Brink stepped down from their roles as Presidents of ASML. They are still eligible for the performance shares awarded under the LTI plans for the years 2022, 2023 and 2024, which will vest based on the performance outlined in their grant letters. Their 2024 LTI plan has been granted on a prorated in time basis to reflect end of term. Consequently, the remaining associated LTI expenses have been recognized over the remaining service period, from the announcement of their retirement on November 2023, until their actual retirement on April 24, 2024.
² In 2025, a release of accounting expenses upon vesting was recorded linked to the LTI plan for 2023-2025 amounting to €692,465 individually, in order to reflect the actual payout.
³ An amount of €616,372 is payable in 2026 for the tax levy payable to the Dutch tax authorities by the Company pursuant to Article 32bb of the Dutch wage tax act.

Board of Management remuneration (continued)

Share-based payments

Performance-based share-based remuneration for current members of the Board of Management is disclosed in the table below. Fractional shares are rounded to full shares for reporting purposes.

Board of Management member	Grant date	Status	Full control	Of market-based element		Of non-market-based elements		Total number of shares at target	Total number of shares at maximum (200%)	Vesting date	Number of vested shares on publication date ¹	Year-end closing share price in year of vesting ²	End of vesting ³
				Number of shares at target	Fair value at grant date	Number of shares at target	Fair value at grant date						
C.D. Fouquet	4/23/25	Conditional	No	1,157	918.9	3,472	567.2	4,629	9,258	1/1/28	n/a	n/a	1
	1/23/24	Conditional	No	1,065	939.9	2,485	692.7	3,550	7,100	1/1/27	n/a	n/a	1
	1/27/23	Conditional ¹	No	731	901.9	1,706	603.4	2,437	4,874	1/1/26	3,348	921.4	1
	4/29/22	Unconditional	No	483	596.0	1,126	533.5	1,609	3,217	1/1/25	2,128	678.7	1
	1/22/21	Unconditional	No	717	635.6	1,670	454.9	2,387	4,774	1/1/24	3,763	681.7	1
F.J.M. Schneider-Maunoury	4/23/25	Conditional	No	660	918.9	1,979	567.2	2,639	5,278	1/1/28	n/a	n/a	1
	1/23/24	Conditional	No	668	939.9	1,559	692.7	2,227	4,453	1/1/27	n/a	n/a	1
	1/27/23	Conditional ¹	No	731	901.9	1,706	603.4	2,437	4,874	1/1/26	3,348	921.4	1
	4/29/22	Unconditional	No	483	596.0	1,126	533.5	1,609	3,217	1/1/25	2,128	678.7	1
	1/22/21	Unconditional	No	717	635.6	1,670	454.9	2,387	4,774	1/1/24	3,763	681.7	1
R.J.M. Dassen	4/23/25	Conditional	No	660	918.9	1,979	567.2	2,639	5,278	1/1/28	n/a	n/a	1
	1/23/24	Conditional	No	668	939.9	1,559	692.7	2,227	4,453	1/1/27	n/a	n/a	1
	1/27/23	Conditional ¹	No	731	901.9	1,706	603.4	2,437	4,874	1/1/26	3,348	921.4	1
	4/29/22	Unconditional	No	483	596.0	1,126	533.5	1,609	3,217	1/1/25	2,128	678.7	1
	1/22/21	Unconditional	No	717	635.6	1,670	454.9	2,387	4,774	1/1/24	3,763	681.7	1
W.P. Allan	4/23/25	Conditional	No	660	918.9	1,979	567.2	2,639	5,278	1/1/28	n/a	n/a	1

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Board of Management remuneration (continued)

Performance-based share-based remuneration for former members of the Board of Management is disclosed in the below table. Fractional shares are rounded down to full shares for reporting purposes.

Former Board of Management member	Grant date	Status	Full control	Of market-based element		Of non-market-based elements		Total number of shares at target	Total number of shares at maximum (200%)	Vesting date	Number of vested shares on publication date ¹	Year-end closing share price in year of vesting ²	End of vesting ³
				Number of shares at target	Fair value at grant date	Number of shares at target	Fair value at grant date						
P.T.F.M. Wennink ¹	1/23/24	Conditional	No	316	939.9	738	692.7	1,054	2,109	1/1/27	n/a	n/a	1
	1/27/23	Conditional ²	No	1,049	901.9	2,447	603.4	3,496	6,991	1/1/26	4,802	921.4	1
	4/29/22	Unconditional	No	709	596.0	1,655	533.5	2,364	4,727	1/1/25	3,126	678.7	1
	1/22/21	Unconditional	No	1,053	635.6	2,455	454.9	3,508	7,016	1/1/24	5,531	681.7	1
	1/23/24	Conditional	No	316	939.9	738	692.7	1,054	2,109	1/1/27	n/a	n/a	1
M.A. van den Brink ¹	1/27/23	Conditional ²	No	1,049	901.9	2,447	603.4	3,496	6,991	1/1/26	4,802	921.4	1
	4/29/22	Unconditional	No	709	596.0	1,655	533.5	2,364	4,727	1/1/25	3,126	678.7	1
	1/22/21	Unconditional	No	1,053	635.6	2,455	454.9	3,508	7,016	1/1/24	5,531	681.7	1
	1/23/24	Conditional	No	316	939.9	738	692.7	1,054	2,109	1/1/27	n/a	n/a	1

1. On April 24, 2024, Peter T.F.M. Wennink and Martin A. van den Brink stepped down from their roles as Presidents of ASML. They are still eligible for the performance shares awarded under the LTI plans for the years 2022, 2023 and 2024, which will vest based on the performance outlined in their grant letters. Their 2024 LTI plan has been granted on a prorated in time basis to reflect end of term. Consequently, the remaining associated LTI expenses have been recognized over the remaining service period, from the announcement of their retirement on Nov 2023, until their actual retirement on April 24, 2024.

2. The LTI plans that were granted on January 27, 2023 became unconditional after the vesting date on January 1, 2026.

3. Multiplying the number of vested shares by the year-end closing share price gives the total value of vested shares for that year, reflecting their worth using that year's closing price.

Reasons, criteria and principal conditions for granting shares
ASML has sufficient treasury shares as per December 31, 2025 for the purpose of exercising rights related to performance-based share-based remuneration. For the reasons and criteria for granting the performance shares to each member of the Board of Management, reference is made to the 2025 Remuneration Policy Board of Management and to the section Board of Management Remuneration in 2025 – Long-term incentive as included in this Remuneration Report. The principal conditions applicable to the 2025 performance shares are described below. These apply to each member of the Board of Management.

Instrument	Performance shares
Grant	Conditional grant on an annual basis based on maximum-achievable opportunity. The number of performance shares to be conditionally awarded is calculated using the volume-weighted average share price of the last quarter of the year preceding the conditional award.
Grant date	Date on which the performance shares are conditionally granted.
Performance period	Period of three years over which the achievement of the predefined performance targets is measured.
Vesting	The shares will become unconditional after the end of the performance period, depending on the level of achievement of the predetermined performance targets.
Holding period	The minimum holding period is two years after the vesting date. Upon termination of contract, the transfer restrictions will remain in place during the holding period except in case of decease. In case a tax payment is due by the members of the Board of Management over the retrieved variable income, performance shares may be partially sold at vesting ('sell to cover') in accordance with the law and internal regulations.

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Board of Management remuneration (continued)

Relationship between accounted remuneration and company's performance

The following table provides an overview of the relationship between accounted remuneration and the company's performance for the past five years:

For the year ended December 31 (€ in thousands)	2021	2022	Change (in %)	2023	Change (in %)	2024	Change (in %)	2025	Char
Net sales	18,610,994	21,173,448	13.8	27,558,506	30.2	28,262,877	2.6	32,667,251	15.6
Net income based on US GAAP	5,883,177	5,624,209	(4.4)	7,838,994	39.4	7,571,563	(3.4)	9,609,432	26.9
Net income based on EU-IFRS	6,134,595	6,395,775	4.3	8,115,168	26.9	8,348,971	2.9	10,212,993	22.3
ASML share price (closing price on Euronext Amsterdam in €)	706.7	503.8	(28.7)	681.7	35.3	678.7	(0.4)	921.4	35.8
Average number of payroll employees in FTEs	28,223	33,071	17.2	38,805	17.3	41,697	7.5	43,267	3.8
Employee engagement score	78.0%	77.9%	(0.1)	80.3%	3.1	78.4%	(2.4)	78.0%	(0.5)
Remuneration C.D. Fouquet (CEO) ¹	3,137	2,798	(10.8)	3,519	25.8	5,432	54.4	7,021	29.3
Remuneration F.J.M. Schneider-Maunoury	3,158	2,844	(9.9)	3,574	25.7	4,209	17.8	4,366	3.7
Remuneration R.J.M. Dassen	3,800	2,834	(25.4)	3,558	25.5	4,190	17.8	4,350	3.8
Remuneration W.R. Allan ³	n/a	n/a	n/a	2,071	n/a	3,897	88.2	4,463	14.5
Remuneration J.P. Koonmen ⁴	n/a	n/a	n/a	n/a	n/a	2,347	n/a	4,083	74.0
Remuneration P.T.F.M. Wennink (former CEO) ²	4,820	4,280	(11.2)	5,941	38.8	4,993	(16.0)	n/a	n/a
Remuneration M.A. van den Brink	4,819	4,279	(11.2)	5,939	38.8	4,985	(16.1)	n/a	n/a
Average remuneration per FTE based on US GAAP	122	125	2.5	138	10.4	145	5.1	153	5.5
Average remuneration per FTE based on EU-IFRS	122	118	(3.3)	143	21.2	145	1.4	153	5.5
Internal pay ratio (CEO versus employee remuneration based on US GAAP) ⁵	40	34	(15.0)	43	26.5	40	(7.0)	46	15.0
Internal pay ratio (CEO versus employee remuneration based on EU-IFRS) ⁵	40	36	(10.0)	42	16.7	40	(4.8)	46	15.0

1. Christophe D. Fouquet was appointed as President and CEO of ASML on April 24, 2024.

2. As announced by ASML on November 30, 2023, Peter T.F.M. Wennink stepped down from his role as President of ASML on April 24, 2024. As a result, the Long-Term Incentive (LTI) expenses for his ongoing LTI plans were accelerated over his remaining service period in 2023. For comparison purposes, if Mr. Wennink were to remain in service, his normalized LTI expense would amount to €2,575 thousand in 2023, with an internal pay ratio of 42 based on US GAAP and 40 based on EU-IFRS for the same year.

3. Wayne R. Allan was appointed as a member of the Board of Management on April 26, 2023.

4. James (Jim) P. Koonmen was appointed as a member of the Board of Management on April 24, 2024.

5. The calculation of the internal pay ratio is disclosed in the section Relationship between CEO and average remuneration (pay ratio).

Board of Management remuneration (continued)

Explanation of changes in company's performance versus remuneration
The foregoing table aims to provide insight into our performance over the past five years and the development of the remuneration. The metrics net sales, net income and share price are used to measure performance, as they are key metrics serving as a good proxy for our general performance, as well as in view of comparability with other companies. Actual remuneration may fluctuate year on year depending on actual STI pay-out in any year, as well as the vesting of performance shares (LTI) in any year and the share price at that moment.

We have grown significantly over recent years, which is not only reflected in the number of employees but also in terms of performance. Over the last five years, total net sales increased by 76%, net income increased by 63% based on US GAAP (66% based on EU-IFRS) and ASML's share price increased by more than 30%. This shows that our performance has improved significantly, leading to several revisions of the Remuneration Policy for the Board of Management in past years (last update in 2025), resulting in higher base salaries as well as higher target levels of STI and LTI.

1. Read more in Sustainability statements — Attractive workplace for all – Metrics table – Annual total remuneration ratio
Relationship between CEO and average remuneration (pay ratio)

The internal pay ratio consists of the CEO's total remuneration (including all remuneration components) during 2025 of €7,021 thousand, compared to the average remuneration of all employees. The average remuneration of all employees was calculated taking into account the total employee personnel expenses (wages and salaries + social security expenses + pension and retirement expenses + share-based payments), divided by the average number of payroll employees in FTE = €6,612.8 million divided by 43,267 = €153 thousand. This ratio has neither been prepared to comply with the Pay Ratio Disclosure requirements under SEC regulations nor with the ESRS requirements¹. The ratio is based on the highest-paid individual according to accounting values consisting of fixed and variable remuneration elements compared to the average remuneration of all employees that are in service with the company, which excludes all other Board of Management members. This calculation approach brings the ratio in line with the requirements of the Corporate Governance Code.

The internal pay ratio (CEO versus employee remuneration) based on US GAAP and EU-IFRS increased to 46:1 in 2025 (2024: 40:1). The increase is mainly the result of increased expenses for Mr. Fouquet following the 2025 Remuneration Policy for the Board of Management. We intend to grant competitive remuneration to employees at all position levels. At each level remuneration should reflect the responsibilities of the role. The build-up of remuneration from level to level should therefore be

Supervisory Board remuneration

In this section of the Remuneration Report, we provide an overview of the 2023 Remuneration Policy for the Supervisory Board, which was adopted by the General Meeting on April 26, 2023, and has been in force since April 1, 2023. Additionally, we outline the remuneration levels adopted by the General Meeting on April 26, 2023, and April 23, 2025, which are in force from April 1, 2023, and April 1, 2025, respectively. We provide information about the implementation of the 2023 Remuneration Policy in 2025 by giving details of the members' actual remuneration in 2025. The 2023 Remuneration Policy and remuneration levels can both be found in the Governance section of our website.

Remuneration Policy

Remuneration objectives and principles

The 2023 Remuneration Policy for the Supervisory Board is designed to enable ASML to attract and retain qualified Supervisory Board members, who together compose a diverse and balanced Supervisory Board with the appropriate level of skills, competencies and experience required to properly supervise (the execution of) our strategy and performance, which is focused on the creation of sustainable long-term value for all stakeholders.

The Remuneration Policy for the Supervisory Board is built on the following principles:

- Competitiveness – The remuneration structure and levels intend to be competitive in the relevant market, while at the same time taking into account societal trends and perceptions.
- Alignment – The policy is benchmarked to market practice.
- Fairness – The remuneration should reflect the time spent and the responsibilities of the members.
- Independence – The remuneration of a member may not be made dependent on the results of the company.
- Compliance – ASML adopts the highest standards of good corporate governance.
- Simplicity and transparency – The Remuneration Policy and its execution are as simple as possible and easily understandable for all stakeholders.

Reference group and market positioning

The remuneration of the Supervisory Board should be competitive compared with a relevant reference market. This market is defined using a reference group of companies with a two-tier board structure included in the AEX Index of Euronext Amsterdam. To determine

Supervisory Board remuneration (continued)

Summary of Remuneration of the Supervisory Board

This table provides an overview of the 2024 and 2025 implementation of the Remuneration Policy for the Supervisory Board as adopted by the 2023 AGM and remuneration levels of the members of the Supervisory Board as adopted at the 2023 AGM and 2025 AGM.

Fixed remuneration				
Description in 2023 Remuneration Policy		2024	2025	1
Fixed remuneration paid in cash including a base membership fee, committee fees and additional compensation contingent on Supervisory Board members' activities and responsibilities.	Chair of Supervisory Board	€140,000	€165,000	
	Vice Chair of Supervisory Board	€100,000	€125,000	
	Member of Supervisory Board	€80,000	€105,000	
	Chair Audit Committee	€27,000	€32,000	
	Member Audit Committee	€18,000	€22,000	
	Chair of other committees	€22,000	€26,000	
	Member of other committees	€16,000	€18,000	

Extra allowance for intercontinental meetings				
Description in 2023 Remuneration Policy		2024	2025	1
Extra, fixed allowance paid in connection with additional time commitment for intercontinental travel.	For each meeting that involves intercontinental travel.	€5,000	€5,000	

Expenses				
Description in 2023 Remuneration Policy		2024	2025	1
Expenses incurred in relation to meeting attendance are reimbursed. In addition, a fixed net cost allowance may be granted, covering certain pre-defined out-of-pocket expenses.	Fixed net cost allowance			
	Chair of Supervisory Board	€1,980	No longer applicable	
	Member of Supervisory Board	€1,380	No longer applicable	
Remuneration in special circumstances				
The Supervisory Board may, upon recommendation of the Remuneration Committee, grant additional remuneration in special circumstances. This may concern granting increased Supervisory Board and/or committee fees, depending on the character of the circumstances – for instance, if there were a significant increase in time investment by its members.		The additional annual remuneration per member will be capped at one time the amount of the annual Supervisory Board membership fee payable to such member.		
		The Supervisory Board considers an increase of at least 25% a significant increase in time investment.		
Loans and guarantees				
Description		Value		

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Corporate governance	Supervisory Board report	Remuneration report		

Supervisory Board remuneration (continued)

Remuneration of the Supervisory Board in 2025

Overview of the remuneration of the Supervisory Board members based on incurred accounting expenses over the last five years (amounts are in € thousands):

Supervisory Board member	Membership fees 2025	Committee fees 2025	Allowances 2025 ¹	Ratio fixed/variable 2025	Total remuneration 2025	Total remuneration 2024	Total remuneration 2023	Total remuneration 2022	Total rer 2021
N.S. Andersen	159	46	5	1.0	210	187	123	n/a	n/a
T.L. Kelly	113	43	15	1.0	171	129	137	126	107
B.M. Conix	99	46	5	1.0	150	126	109	99	63
D.M. Durcan	99	43	15	1.0	157	144	137	126	112
D.W.A. East	99	52	10	1.0	161	120	119	99	93
J.P. de Kreij	99	48	5	1.0	152	129	85	n/a	n/a
A.F.M. Everke	99	35	5	1.0	139	118	104	66	n/a
A.L. Steegen	99	35	10	1.0	144	118	109	66	n/a
C.E.G. van Gennip	72	25	10	1.0	107	n/a	n/a	n/a	n/a
Total	938	373	80	1.0	1,391	1,071	923	582	375

¹ Allowances consist of fixed-expense allowances (until April 1, 2025) and allowances for intercontinental meetings. No pay has been granted in 2025 pursuant to the 'Remuneration in special circumstances clause' as included in the 2023 Remuneration Policy for the Supervisory Board. No variable pay has been granted to the current and former members during the last five years. The remuneration of the Supervisory Board is not directly linked to the performance of ASML, in line with the remuneration principles set out in the 2023 Remuneration Policy for the Supervisory Board

Remuneration of former Supervisory Board members
Overview of the remuneration awarded to the former Supervisory Board members in 2025, 2024 and 2023 (amounts are in € thousands):

Former Supervisory Board member	Total remuneration 2025	Total remuneration 2024	Total remuneration 2023
A.P. Aris	48	154	152
G.J. Kleisterlee	n/a	n/a	61
R.D. Schwalb	n/a	n/a	37
Total	48	154	250

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Other Information

Total remuneration

The total annual remuneration for the members of the Board of Management and the Supervisory Board members (current and former) during 2025 amounts to €25.7 million (2024: €31.3 million).

Other arrangements

No remuneration has been granted for (supervisory) directorships or other positions of Board of Management members in subsidiaries of ASML or other companies whose financials are consolidated by ASML, in accordance with the agreements with the members of the Board of Management.

No (personal) loans have been granted to the members of the Board of Management or the Supervisory Board and no guarantees or the like have been granted in favor of any of the members of the Board of Management and the Supervisory Board.

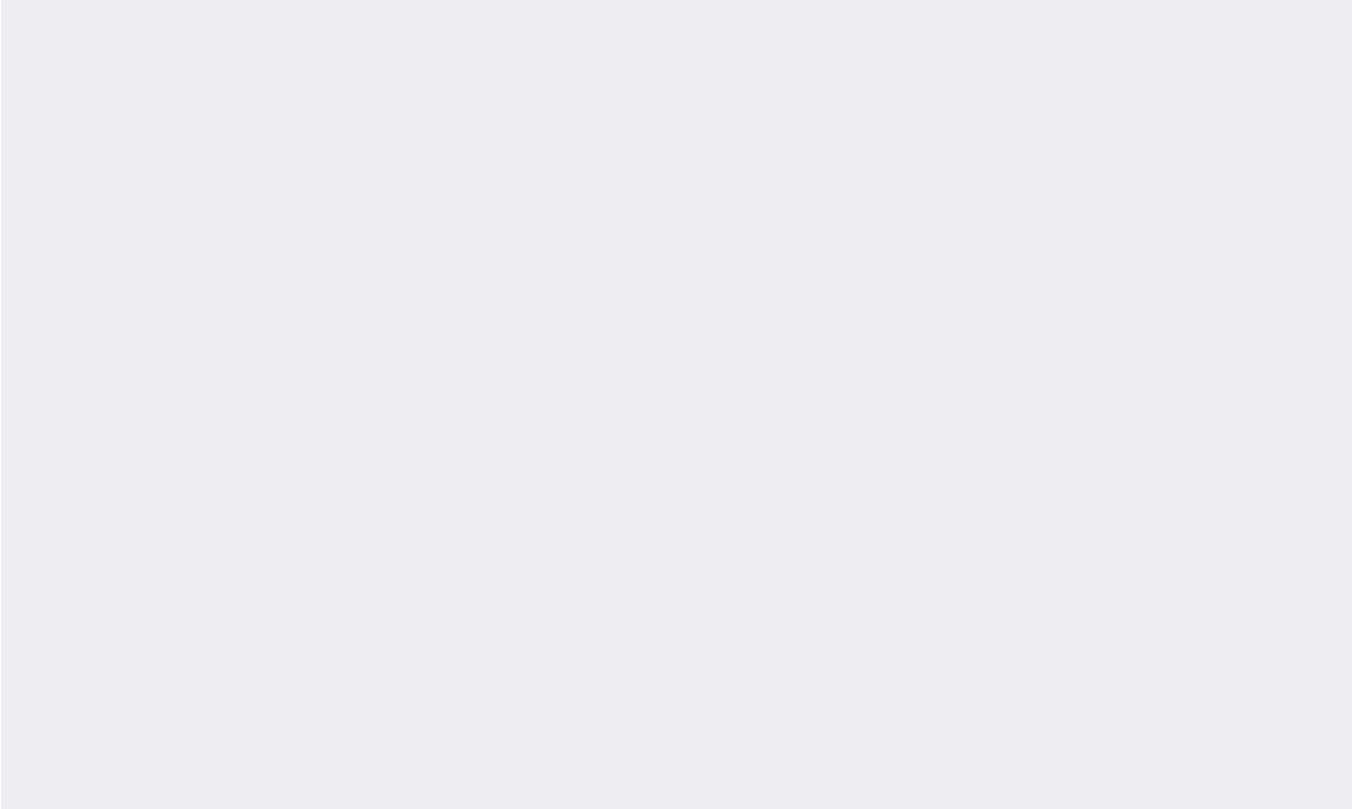
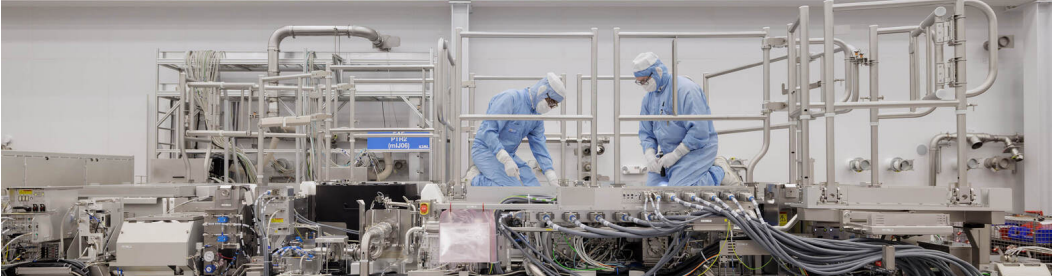
No severance payments were granted to members of the Board of Management and the Supervisory Board in 2025.

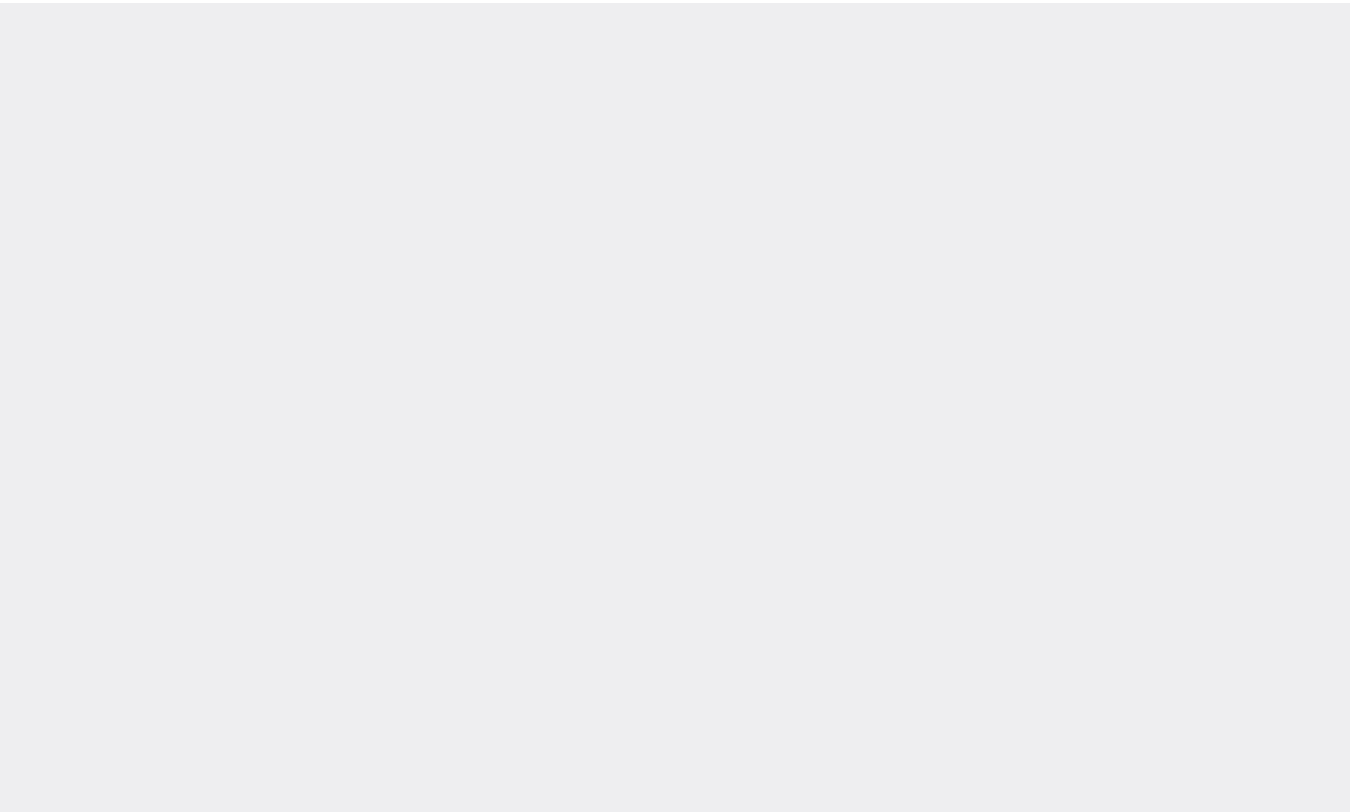
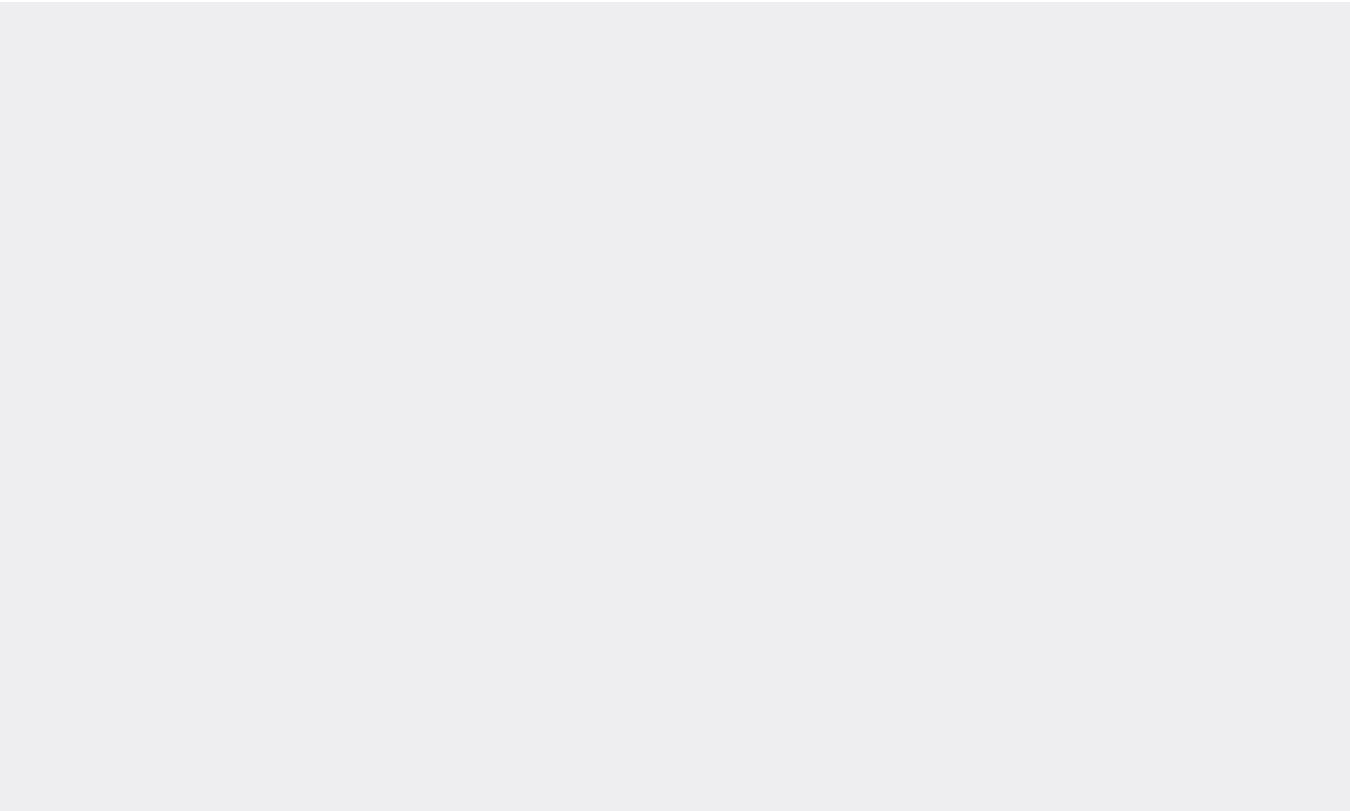
Clawback

ASML has implemented the clawback provisions as laid down in the Dutch Civil Code in the agreements with the members of the Board of Management. Furthermore, in order to comply with the rules implementing incentive-based compensation recovery (clawback) as issued by the SEC and Nasdaq, the Supervisory Board adopted the ASML Clawback Policy under US/Nasdaq Rules.

This policy has been filed as an exhibit to ASML's 2023 Annual Report on Form 20-F and is incorporated by reference into this report.

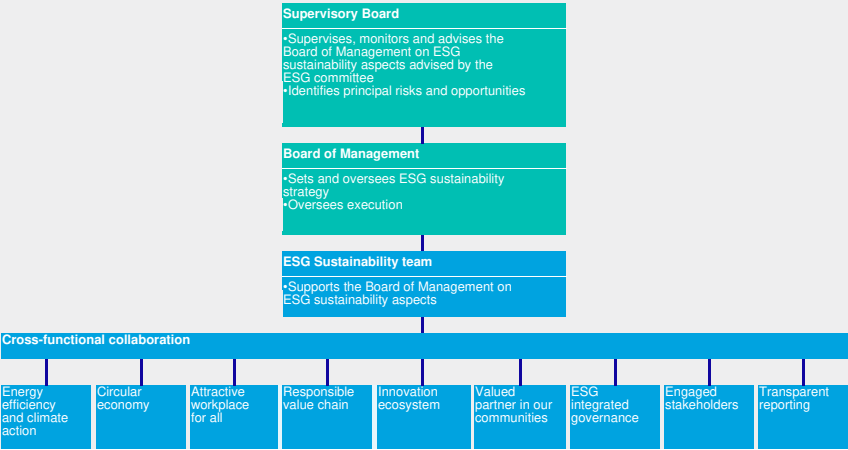
No variable remuneration has been clawed back during 2025.





ESG sustainability governance

Our environmental, social and governance (ESG) sustainability governance model



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General disclosures Environmental Social Governance

ESG sustainability governance (continued)

The ESG Sustainability team supports the BoM in relation to ESG sustainability and makes recommendations to the BoM regarding focus areas, targets, external commitments and disclosures. Changes in material topics, external inputs and new insights are included in the recommendations – ensuring insights and legislation are effectively integrated into our sustainability practices.

The ESG Sustainability team monitors risks and opportunities including climate-change-related matters, global trends, stakeholder expectations and best practices that could impact ASML's short-, medium- and long-term ESG sustainability objectives.

Identifying and assessing the impact of ESG sustainability-related risks and opportunities is an integral part of our enterprise risk management (ERM) process and ensures we take a holistic approach to risk management.

[Read more in Strategic report – Risk and security – How we manage risk](#)

Measuring our strategy's effectiveness

We have established a set of key performance indicators (KPIs), parameters and associated targets. KPI and target development is a collaborative process involving our ESG Sustainability team, the business and relevant internal and external stakeholders, and is adopted by the BoM. The BoM has also adopted the Climate Transition Plan.

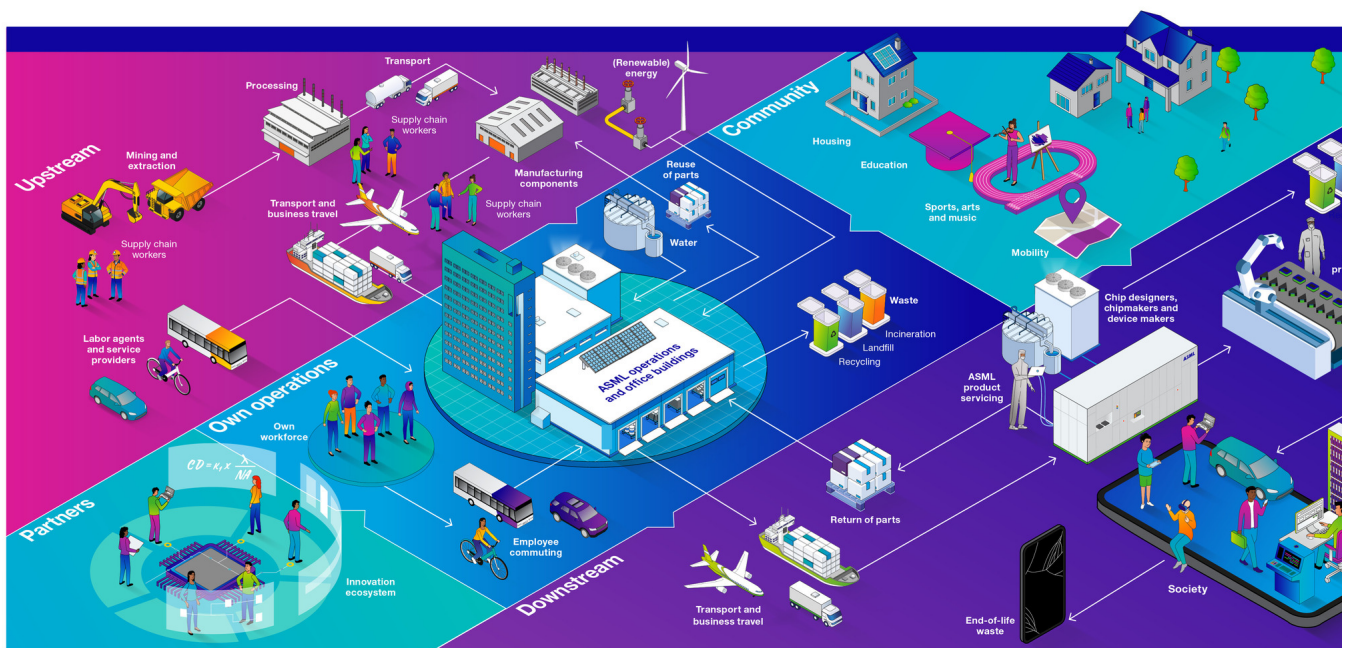
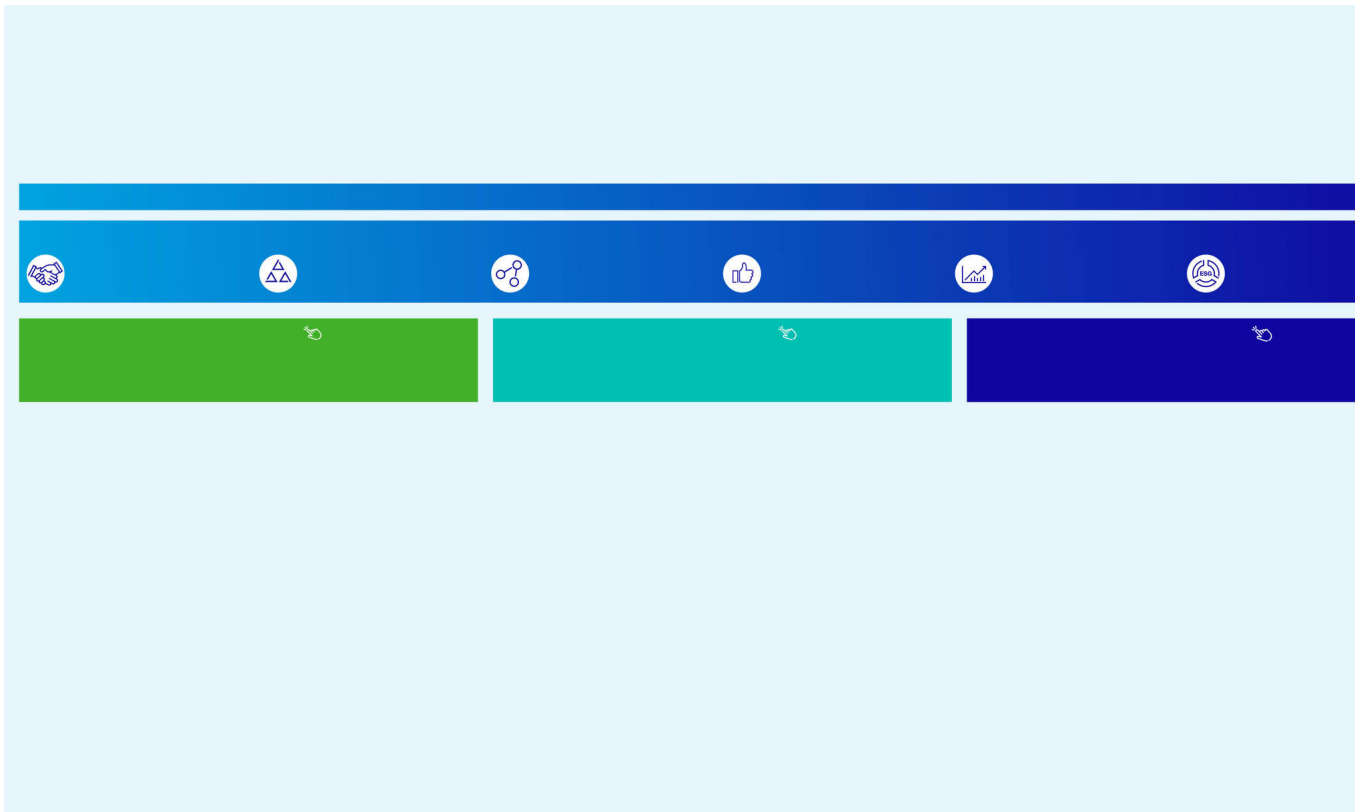
A subset of the KPIs and progress against targets is reviewed on a quarterly basis with the BoM. The full set of targets is subject to periodic review by business representatives to discuss progress and actions if necessary.

Performance against key sustainability metrics forms part of the long-term incentive (LTI) plans of the BoM and senior management. There is an annual update of sustainability metrics, which currently constitute 20% of the total LTI score.

Full detail on how sustainability has been factored into the remuneration of the BoM and SB is available in the Remuneration report.

[Read more in Corporate governance – Remuneration report](#)

Additionally, we revised the targets that reached the end of their target period at the end of 2025. For most of these topics we have established new targets to maintain our commitment and focus on our key sustainability matters. Some targets, that have been achieved, are discontinued. More



Environmental and human rights due diligence

Environmental and human rights due diligence

Our environmental and human rights due diligence process serves as a cornerstone in assessing the potential and actual impacts associated with our business operations – including impacts we cause through our operations, those we have contributed to in business relationships, and those linked to our activities, products or services by a third party or other actors across our value chain. The process allows us to prioritize actions based on the severity and likelihood of the impacts, thereby informing the assessment of material impacts.

Due diligence is an ongoing practice through which we dynamically respond to – and potentially instigate alterations in – our business strategy, model and various operational contexts. Its core elements are described in this Annual Report:

- Embedding due diligence in our governance, strategy and business model.
- Engaging with affected stakeholders.
- Identifying and assessing adverse impacts.
- Taking action to address adverse impacts.
- Tracking and communicating the effectiveness of our efforts.

We are dedicated to respecting human rights and protecting the environment across our value chain, and strive for transparency, positive contributions, and prevention and mitigation of adverse impacts. We have a number of policies that define commitments, principles and governance for specific aspects of environmental and human rights due diligence, including our Code of Conduct, our Human Rights Policy and the Responsible Business Alliance (RBA) Code of Conduct. Through these, we actively support the principles laid down in international human rights and environmental instruments. Through implementation of internationally recognized standards for human rights and environmental due diligence we prepare for the implementation of legislation like the EU Corporate Sustainability Due Diligence Directive (CSDDD). We will continue to monitor (legislative) developments in the area of due diligence.

[Read more in our Human Rights Policy at asml.com](#)

How we manage environmental and human rights protection

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Environmental and human rights due diligence (continued)

Remediation and grievance mechanism

We are committed to conducting due diligence in order to prevent our activities from causing or contributing to adverse impacts on human rights, and to ensure we do not engage in human rights abuses in any way. We aim to provide effective remedies to affected rights holders where an impact has been identified and confirmed. Our global Speak Up Service is available to our own employees, on-site external workers, workers across our value chain, people in affected communities, and any other individual impacted by our operations. In 2025, we received 111 grievances about human rights concerns. Fifteen were substantiated and related to diversity, work-life balance, health and safety, harassment, discrimination, privacy, and secure employment. All grievances are subject to prompt investigation, with progress and outcomes communicated to the complainant. When grievances are substantiated, we take appropriate actions, such as issuing formal apologies and committing to remedy, enhancing oversight of working hours to protect work-life balance, respectful workplace coaching, implementing consistent and proportionate disciplinary measures, and ensuring employment contract execution to prevent, mitigate, or bring the impact to an end. We strive to apply lessons learned and continue to address the most common issues identified through our grievance mechanism, such as the risk of harassment and discrimination, by embedding these topics in our awareness programs and Code of Conduct and associated training to help prevent future incidents. Our global employee networks offer a platform to raise and discuss shared concerns, including inequality and harassment, while our Ignite Inclusion and Inclusive Leaders programs provide targeted training to foster a more inclusive workplace.

[Read more in Sustainability statements – Governance – ESG integrated governance](#)
[Responsible business conduct and compliance and Sustainability statements – Social – Attractive workplace for all](#)

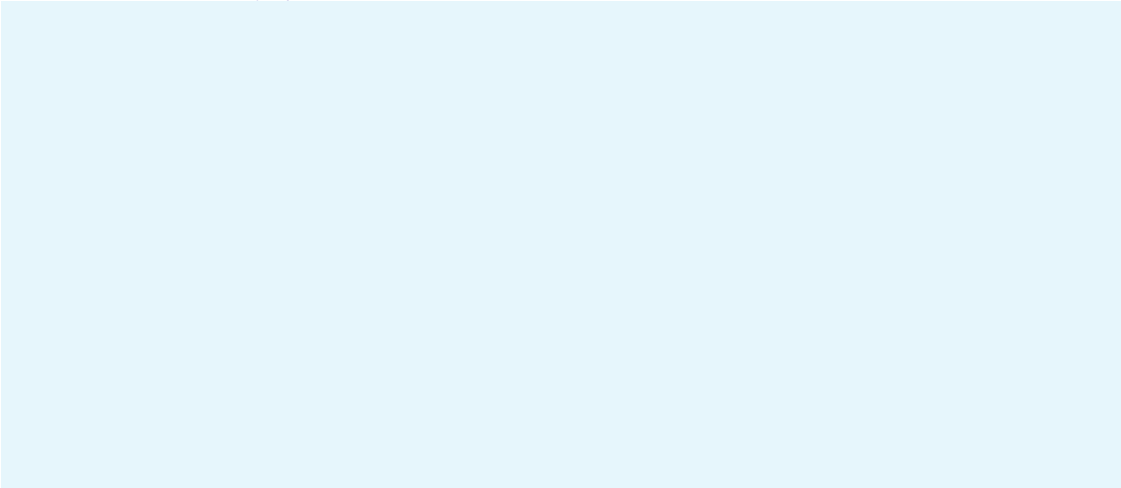
Resources

We dedicated four FTEs to teams working on the environmental and human rights due diligence, including our Human

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Impact, risk and opportunity management

Our material ESG sustainability topics

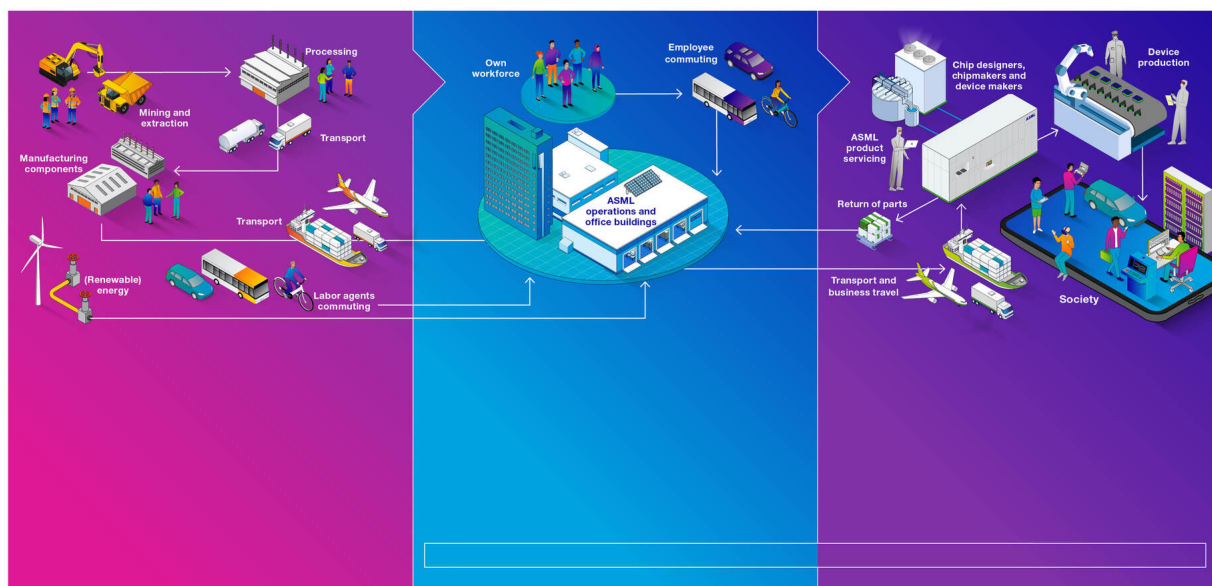


How we identified our material topics

General disclosures	Environmental	Social	Governance
Impact, risk and opportunity management (continued) The table below shows the material IROs identified through our DMA. They are linked to our ESG strategy themes, indicating whether these impacts are positive or negative, actual or potential, and where in the value chain they occur.			
Environmental topics Social topics Governance topics Entity specific topics	Before suppliers Suppliers Own operations Customers Beyond customers	Actual positive impact Potential positive impact Actual negative impact Potential negative impact	Risk Opportunity Short term Medium term Long term

General disclosures	Environmental	Social	Governance
Impact, risk and opportunity management (continued)			
Environmental topics Social topics Governance topics Entity specific topics	Before suppliers Suppliers Own operations Customers Beyond customers	Actual positive impact Potential positive impact Actual negative impact Potential negative impact	Risk Opportunity Short term Medium term Long term





How we are managing energy efficiency and climate action: Our Climate Transition Plan

Introduction

Climate change is a global challenge requiring urgent action from all stakeholders. We have been developing and enhancing our climate strategy for many years, both internally in our operations and externally with our value chain partners. Following three consecutive successful energy savings master plans, we are implementing our fourth five-year energy savings master plan to further reduce emissions from our own facilities and increase our use of renewable electricity. We are also collaborating with suppliers to reduce our supply chain's carbon footprint, and are making our products more energy-efficient through R&D.

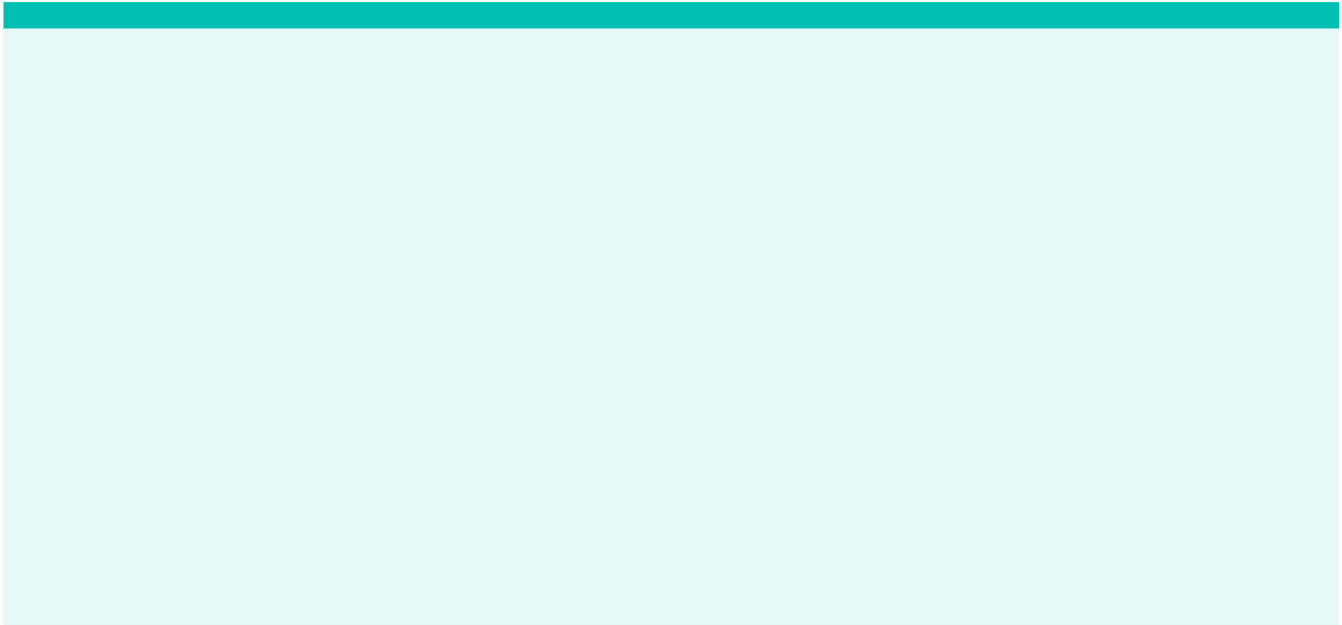
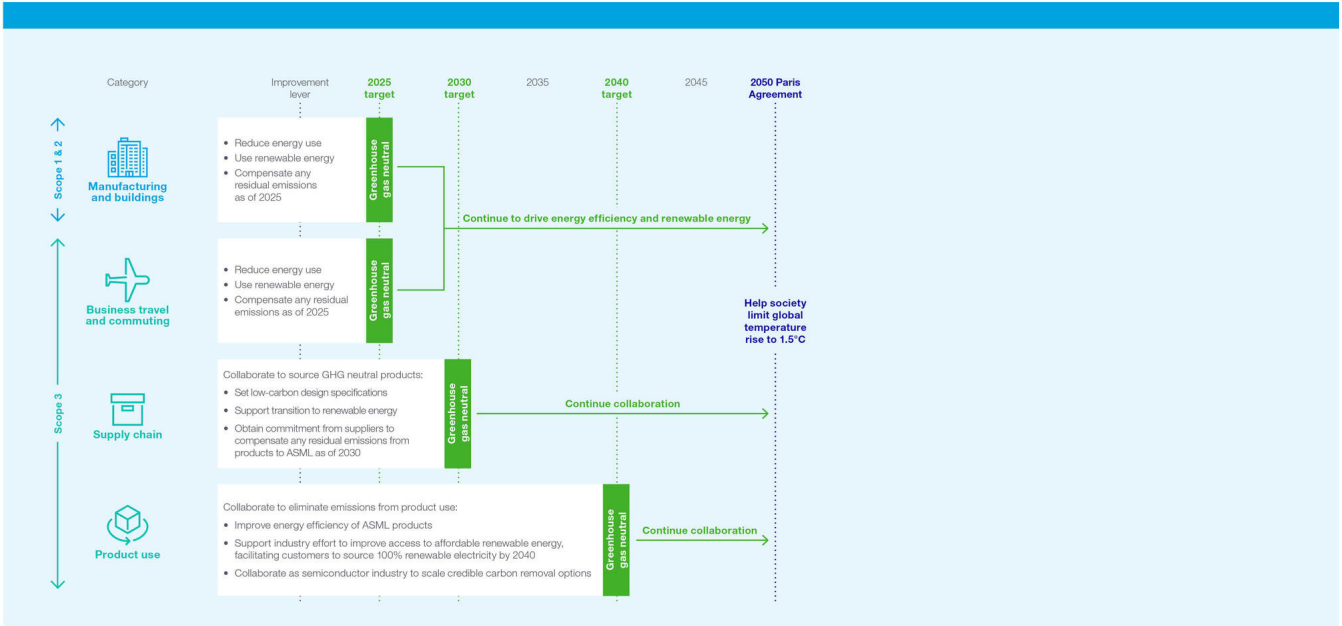
Our Climate Transition Plan is our strategic roadmap underpinning our ambition to align with the goals of the Paris Agreement – which states that, to keep global warming below 1.5°C, GHG emissions need to be reduced by 45% by 2030 and reach net zero by 2050. However, according to the latest climate science, the 1.5°C target is slowly getting out of reach. Recognizing this urgency, we continue to aim for GHG neutrality across our value chain by 2040.

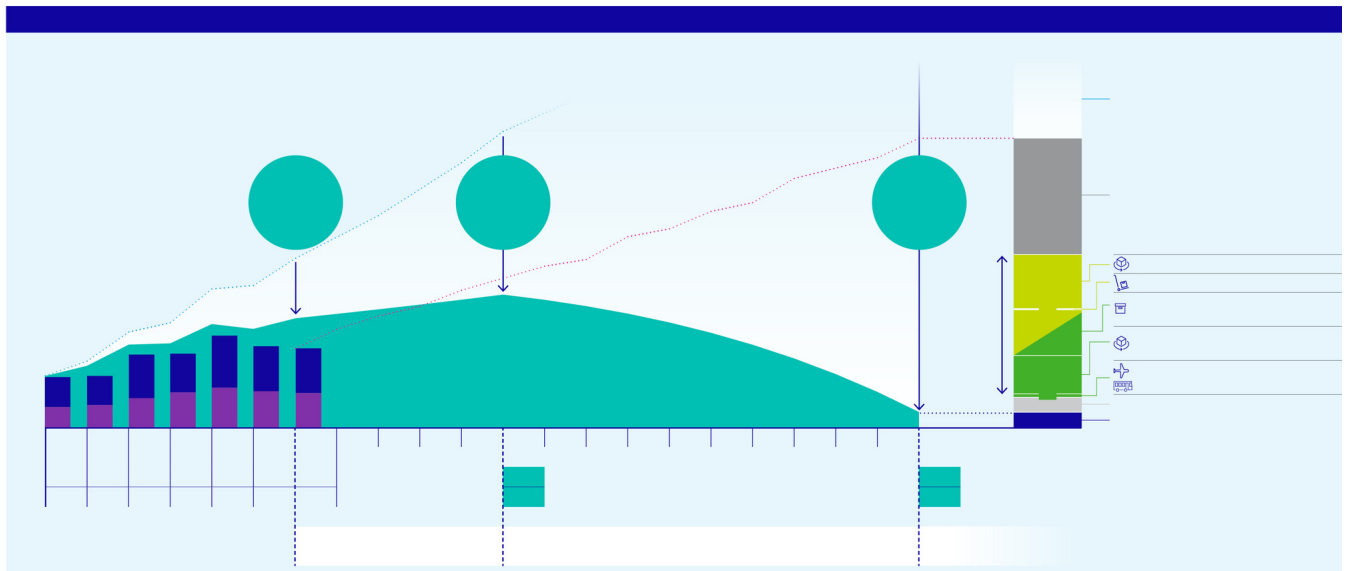
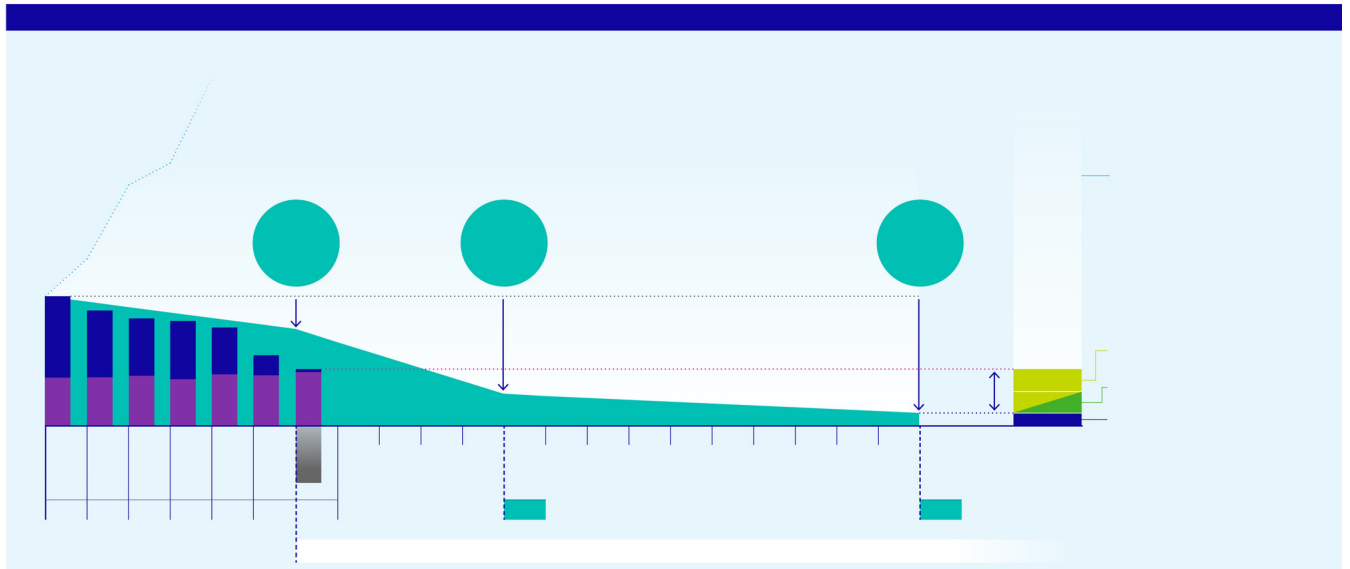
Our actions focus on three improvement levers: reducing energy use; using renewable energy; and compensating for residual emissions. To deliver on our ambitions, our Climate Transition Plan is embedded in our business strategy – responsibility for its execution lies with the business. The concrete actions executed in the past and toward the future, as described in this plan, are determined in collaboration between our ESG Sustainability team and the business.

To ensure sufficient resources are allocated in a timely manner throughout the business, the actions of our Climate Transition Plan are also embedded in our financial planning cycles – with implementation strengthened by an internal carbon price.

The BoM has adopted the Climate Transition Plan, which was also discussed with the ESG Committee and reported on to the Supervisory Board.

We are committed to updating our Climate Transition Plan on an annual basis to ensure assumptions and projections are reasonable in view of the latest information. We welcome stakeholder feedback to enable us to further





How we are managing energy efficiency and climate action: Our Climate Transition Plan (continued)

Our ambitions and progress

To keep track with the pathway of our Climate Transition Plan – which is in line with the objective of the Paris Agreement – we have determined the following SBTi-validated and approved ambitions:

Scope 1 and 2

The graph on page 159, visualizes our SBTi scope 1 and 2 targets (against a 2019 baseline value of 80 kt), namely:

• **Reduce absolute gross scope 1 and 2 GHG emissions by 25.2% by 2025:**

In 2025, with emissions of 26 kt CO₂e, we have already reduced absolute gross scope 1 and 2 emissions from 2019 by

56%, exceeding the SBTi target.

•Reduce absolute gross scope 1 and 2 GHG emissions by 75% by 2030:
This translates to lowering our CO₂e emissions to below 15 kt by 2030.

•Reduce absolute gross scope 1 and 2 GHG emissions by 90% by 2040:
This translates to lowering our CO₂e emissions to below 6 kt by 2040.

We have reduced our scope 1 and 2 emissions from 60 to 26 kt CO₂e between our base year 2019 and 2025 by deploying our energy savings master plan of 2021–2025 – achieving energy savings by, for example, reusing waste heat from our factories for office conditioning through our energy grids, installing solar panels, replacing chillers, installing boilers and heat pumps, and optimizing the use of air-conditioning systems. We have also been working to further increase the amount of renewable electricity purchased for our premises in multiple locations around the world – reaching 100% for all our locations in 2025.

Scope 3
For scope 3, (as shown on page 160) we have the following SBTi-validated and approved intensity targets (against the 2019 absolute baseline value of 7.6 Mt):

•Reduce scope 3 GHG emissions per €m gross profit by 35.3% by 2025:
This target represents an intensity reduction from our baseline value of 1.44 kt CO₂e per €m gross profit to a target level of 0.93 kt CO₂e per €m gross profit. Our achieved scope 3 emission intensity in 2025 was 0.67 kt CO₂e per €m gross profit, this equals a reduction of 53% against our 2019 baseline value.

How we are managing energy efficiency and climate action: Our Climate Transition Plan (continued)

•Employee commuting: Including our initiatives to switch to low-carbon travel modes.

•Product use: Including actions to realize our energy-efficiency roadmaps for our different product categories, to ensure less energy is required to produce a chip – providing an opportunity for our customers to reduce their scope 2 emissions. The biggest impact can be achieved by customers purchasing renewable energy for their manufacturing locations, which we are further stimulating through active participation in the SCC.

In addition, the information and communications technology (ICT) industry also has a material impact on the broader emissions of society, as defined by our DMA. There are a few smaller scope 3 categories (fuel- and energy-related activities, waste generated in operations, end-of-life treatment and investments) that we do not address explicitly. Although the resulting GHG emissions reduction is an integral part of overall target-setting, these categories make up less than 0.1% of our total scope 3 emissions.

Innovation gap
The innovation gap for scope 3 shows the additional emission reductions needed after the current key actions (as described in the next section) in order to reach the 2040 target. We aim to close this gap in collaboration with our supply chain partners and customers based on additional actions to be taken and agreed upon in the (near) future.

Making carbon a financial consideration

How we are managing energy efficiency and climate action: Our Climate Transition Plan (continued)

Dependencies, challenges and locked-in emissions

We are dependent on the actions taken by our customers (uptake of renewable energy) and suppliers (for example compensating for residual emissions from products to ASML) – and on the complexity of our supply chain, with a long tail existing of many different tiers.

We are also dependent on the accessibility of affordable low-carbon energy, which is not available in all regions where we, our suppliers and customers operate. In addition, we are aware that the availability of carbon credits might be impacted by an increasing market demand toward 2030 and 2040.

We also have to consider potential 'locked-in' GHG emissions – those caused by our assets and products sold within their operational lifetime. We still use gas boilers at multiple locations, for example, and it may take years to replace these with low-carbon alternatives. Our products, including critical components such as the EUV light source and the wafer and reticle stages, consume significant amounts of energy, and we are developing energy efficiency roadmaps aimed at minimizing this energy consumption as much as possible. However, whether the remaining energy use results in locked-in emissions largely depends on the availability of affordable low-carbon energy to achieve our ambitions toward 2040. As an active founding member of the SCC, we collaborate with industry partners and governments to promote the availability of, and access to, renewable electricity in the regions where our customers operate.

We also foresee a challenge in our supply chain regarding hard-to-abate emissions,

for example in purchasing low-carbon raw materials such as steel and aluminum – both used in our products and accounting for most of the weight of our machines. Currently there are no viable low-carbon alternatives and the production industries for these materials are not aligned with the Net Zero Emissions by 2050 Scenario provided by the International Energy Agency (IEA). We aim to investigate opportunities in these areas. For example, we are working on more sustainable design principles for our systems, products and processes to maximize reusability and recyclability of these materials – such as by opting for

Energy efficiency and climate action: Manufacturing and buildings

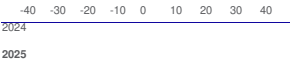
Our objective



We aim to reduce emissions from our manufacturing locations and buildings by lowering energy consumption, increasing the use of renewable energy, and compensating for residual emissions.

Our scope

In scope are our scope 1 and 2 emissions



from manufacturing and buildings, which include our manufacturing locations and both owned and leased office locations worldwide. We report on all our buildings in use. Scope 1 emissions comprise direct CO₂ emissions from the use of natural gas – the majority of which is used for heating and humidifying our buildings – petrol and diesel used for generators, process CO₂ used in our operations and the use of company cars. Scope 2 emissions arise from our purchased heat and electricity, which accounts for approximately 83% of our energy use. Most of our electricity consumption relates to the manufacturing of chipmaking equipment – assembly and testing of lithography, metrology and inspection systems – and maintaining consistent climate conditions such as temperature, humidity and air quality in our cleanrooms.

Targets and performance

Become GHG neutral for scope 1 and 2 emissions from our manufacturing and

Energy efficiency and climate action: Manufacturing and buildings (continued)

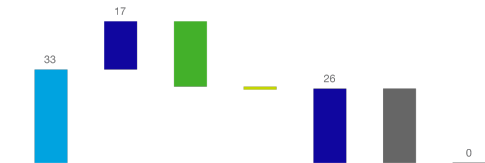
Manufacturing and buildings GHG neutrality pathway

Resources

The total investments toward our five-Kt CO₂e

2024 emissions net of renewables
Using renewable energy
2025 gross emissions before renewables
Reducing energy use
Emissions compensated

year energy savings master plan in 2025



amounted to €126 million, of which the projects for the heat pumps and renovation

60
50
40
30
20
10
0

of office buildings in Veldhoven, and the solar

panels for our San Diego location, are the most significant. In total, next to external support, 10 FTEs worked on the energy savings master plan. The net proceeds of

Energy efficiency and climate action: Purchased goods and services

Our objective



We aim to reduce emissions in our supply chain by working closely with suppliers to embed low-carbon practices and drive systemic change toward a GHG neutral supply chain by 2030.

Our scope

Our systems comprise hundreds of thousands of parts, most of which come from our suppliers. The elevated carbon footprint of our purchased goods and services is largely attributable to the energy-intensive manufacturing processes and complex supply chains of the materials used in their production – including printed circuits, optics, electronics and metals like steel and aluminum. Our supply chain emissions are predominantly driven by purchased goods and services, corresponding to scope 3 category 1 Purchased goods and services and category 2 Capital goods – the scope of this section. For purchased goods and services, all upstream (in other words, cradle-to-gate) emissions from the production of products purchased or acquired by ASML are in scope. Products include both goods (tangible products such as capital goods, materials, parts and modules) and services (intangible products such as maintenance contracts). Purchased goods and services (85%) and capital goods (8%) contribute to 92% of upstream emissions. Most of the remaining upstream emissions are from outbound logistics (scope 3 category 4).

Targets and performance

Become GHG neutral for scope 3 emissions related to purchased goods and services by 2030

Reaching GHG neutrality by 2030 requires strong collaboration with our suppliers. Although our Climate Transition Plan highlights challenges in addressing hard-to-abate emissions

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Energy efficiency and climate action: Purchased goods and services (continued)

carbon footprint of materials throughout their lifecycle. We also discussed options for reducing carbon emissions in their upstream supply chain and own operations, including sustainable sourcing, more environmentally friendly transportation modes and increased use of renewable energy in their facilities. Additionally, we identified a supplier need for specific 'green design' requirements from their customers, such as ASML. Internally, we see growing focus and support for reducing our upstream carbon footprint. We have contracted a service provider to help us improve suppliers' emissions data quality. The number of FTEs in the SS&P ESG sustainability program remained at five in 2025.

Tackling energy efficiency and emissions industry-wide

We increasingly cooperate cross-industry to reduce emissions across our value chain. In practice this means working with our supplier base and sharing our Supplier Handbook, and working with customers and peers, both directly and in cross-industry collaboration platforms – such as the SCC – to address energy efficiency and climate change issues, increase transparency and collaboration, and increase global access to renewable electricity.

Identifying low carbon footprint alternatives

We believe an effective way to estimate the carbon footprint of purchased goods and services is life cycle assessment (LCA) that uses mass data. Conducting an LCA typically requires significant data collection and effort, so we developed a simplified LCA tool: The Carbon Quickscan tool. With this tool, we were able to conduct a mass-based carbon assessment of an entire product – the TWINSCAN NXT:870B. We collected and stored data on mass, material, assembly, testing and transport at the building-block level. Over a six-month period, the assessment included more than 400 building blocks and provided new insights on the carbon footprint of our products. Building on the carbon data collected last year, we aim to integrate our cost of goods reduction initiatives with our ongoing supplier GHG reduction commitment program. Through this combined approach, we encourage suppliers to reduce the carbon footprint of products delivered to us—by increasing reuse or identifying alternative

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Energy efficiency and climate action: Logistics

Our objective



We aim to reduce emissions by reconsidering our logistics flows and collaborating with logistics partners to transition toward more sustainable modes of transport.

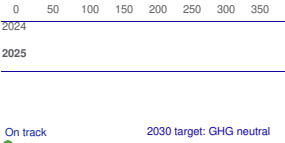
Our scope

In scope are scope 3 category 4 emissions, related to transportation and distribution services purchased by ASML, including inbound logistics (such as transportation of materials, parts and modules from suppliers to our facilities), outbound logistics (such as transportation of products to customers), and outsourced logistics between our

own facilities.
Outbound logistics services purchased are categorized as 'upstream' because they are a purchased service. Included are GHG emissions related to freight – such as those from air freight, ocean freight and road transport – and emissions caused by the use of outsourced warehouses.

Targets and performance

We have one target for our scope 3 emissions related to logistics (category 4):
Become GHG neutral for scope 3 emissions related to logistics by 2030



Energy efficiency and climate action: Business travel

Our objective

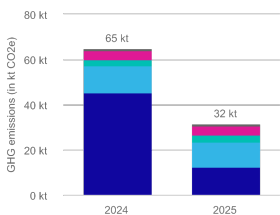


We aim to reduce emissions from business travel by limiting travel where possible, encouraging train and electric vehicle for shorter distances and contributing to SAF programs, while compensating for residual emissions.

Our scope

In scope are scope 3 category 6 emissions, related to transportation of our employees and the 'N1-conversion' category of non-employees for business-related activities in vehicles owned or operated by third parties, such as aircraft, trains, buses and passenger (rental) cars. Hotel stays are also included.

Targets and performance



We have defined one target for our scope 3 emissions related to business travel

(category 6):
Become GHG neutral for scope 3 emissions from business travel by 2025

Energy efficiency and climate action: Employee commuting

Our objective



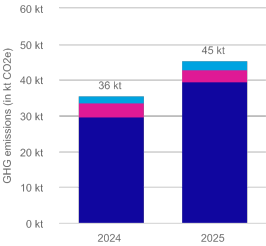
We aim to reduce emissions from employee commuting by supporting the shift to alternative modes of transport and the shift to electric vehicles, while compensating for residual emissions.

Our scope

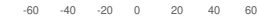
In scope are scope 3 category 7 emissions, related to the transportation of (fixed-contract) employees between their homes and worksites.

Targets and performance

We have one target related to reducing our scope 3 emissions from employee commuting (category 7):



Become GHG neutral for scope 3 emissions from employee commuting by 2025



Energy efficiency and climate action: Product use

Our objective



In collaboration with our customers, we aim to reduce emissions from product use when designing new lithography, metrology and inspection systems or parts, increasingly focusing on reducing their energy consumption , supporting progress toward GHG neutrality by 2040.

Our scope

The largest portion of our (indirect) GHG emissions arises during use of our systems at our customers' factories. Our scope 3 emissions from the use of sold products relate to scope 3 category 11. In scope are expected lifetime emissions from the use of goods and services we sell: EUV and DUV lithography systems, metrology and inspection systems and computational lithography.

Targets and performance

Until 2025, energy efficiency targets were set for the EUV NXE product family. From 2026 onward, we plan to extend these targets to include EUV EXE and DUV NXT product families.

Achieve a 10% decrease (on 2018 baseline) in absolute equivalent power consumption (MW) of our NXE systems



consumption (MW) of our NXE systems

Energy efficiency and climate action: Product use (continued)

Reducing emissions from the use of sold products

In 2025, total emissions from the use of sold products were 6,443 kt CO₂e, of which EUV accounted for 3,257 kt CO₂e, DUV for 2,824 kt CO₂e, and metrology and inspection

systems for 311 kt CO₂e.

Between 2019 and 2025, total emissions from the use of sold products have increased from 4,374 kt CO₂e to 6,443 kt CO₂e, primarily due to the annual increase in sales volumes and partly offset by our methodology update of 2024, reflecting that our customers are sourcing increasing percentages of low-carbon electricity.

The energy used per wafer pass for EUV decreased between 2018 and 2025. Our machines in general are becoming more energy efficient per output measure, confirming that we are working on the right actions toward our energy-efficiency targets.

Our actions and resources

Continuously improving our roadmaps

We continue working on energy-efficiency improvements for our (future) products, which requires long lead times and takes years to achieve. Energy-saving roadmaps have been developed for all product categories – and, during 2025, we have further developed and detailed these roadmaps toward 2030. For the expected emission reduction of this key action, we refer to our Climate Transition Plan.

We monitor progress during quarterly cross-functional meetings. In addition, we use the SEMI S23 standard – the Guide for Conservation of Energy, Utilities and Materials Used by Semiconductor Manufacturing Equipment – as a tool to measure and analyze the energy use of our systems.

It is a positive trend that both internal stakeholders and our customers are increasingly aware of the energy consumption of our products. The prioritization of related aspects at a product system engineering level is speeding up progress on our targets. Alongside our energy-efficiency roadmaps, the gradual increase in renewable energy uptake by our customers is instrumental in helping reduce our product-use emissions.

Reducing our EUV product roadmaps

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Energy efficiency and climate action: Product use (continued)

By migrating Central Processing Unit (CPU)-

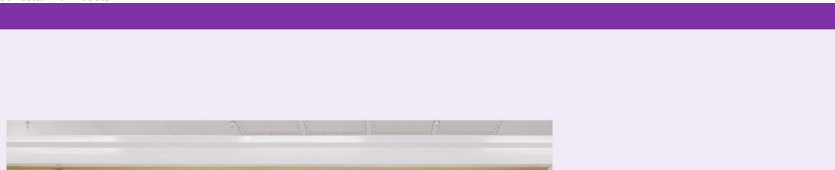
based OPC workflows to GPU acceleration, we have achieved significant reductions in

Innovation and collaboration are important watchwords as we work to reduce the energy use and emissions of both our newly built and installed systems. The introduction of sleep mode features and of high-temperature process cooling water are seeing good results and have the potential to make a big difference when adopted at scale by customers.

total processing power requirements and strengthened our ESG outcomes. Ongoing investment in next-generation GPU platforms and GPU efficient algorithms will further minimize the computational footprint per device layer.

Resources

Following our product roadmaps, we innovate across our entire product portfolio through strong investments in R&D. When we design new systems, we increasingly focus on reducing energy consumption and cost, while increasing performance and availability. The R&D costs are therefore not solely attributable to our GHG emission reduction targets, but our product roadmaps always aim to contribute to ASML's strategic goals. The R&D costs related to the design and manufacturing of our products are reported as eligible opex under the target activity CE 1.2 Manufacture of electrical and electronic equipment. When the R&D costs are capitalized under IFRS, it is part of the EU Taxonomy capex KPI. In line with prior years, we aim for R&D costs to be in the 10–15% range of revenue in future years. The incremental part of the financial resources directly contributing to the achievement of our product use energy-reduction targets cannot be derived from our total R&D costs.



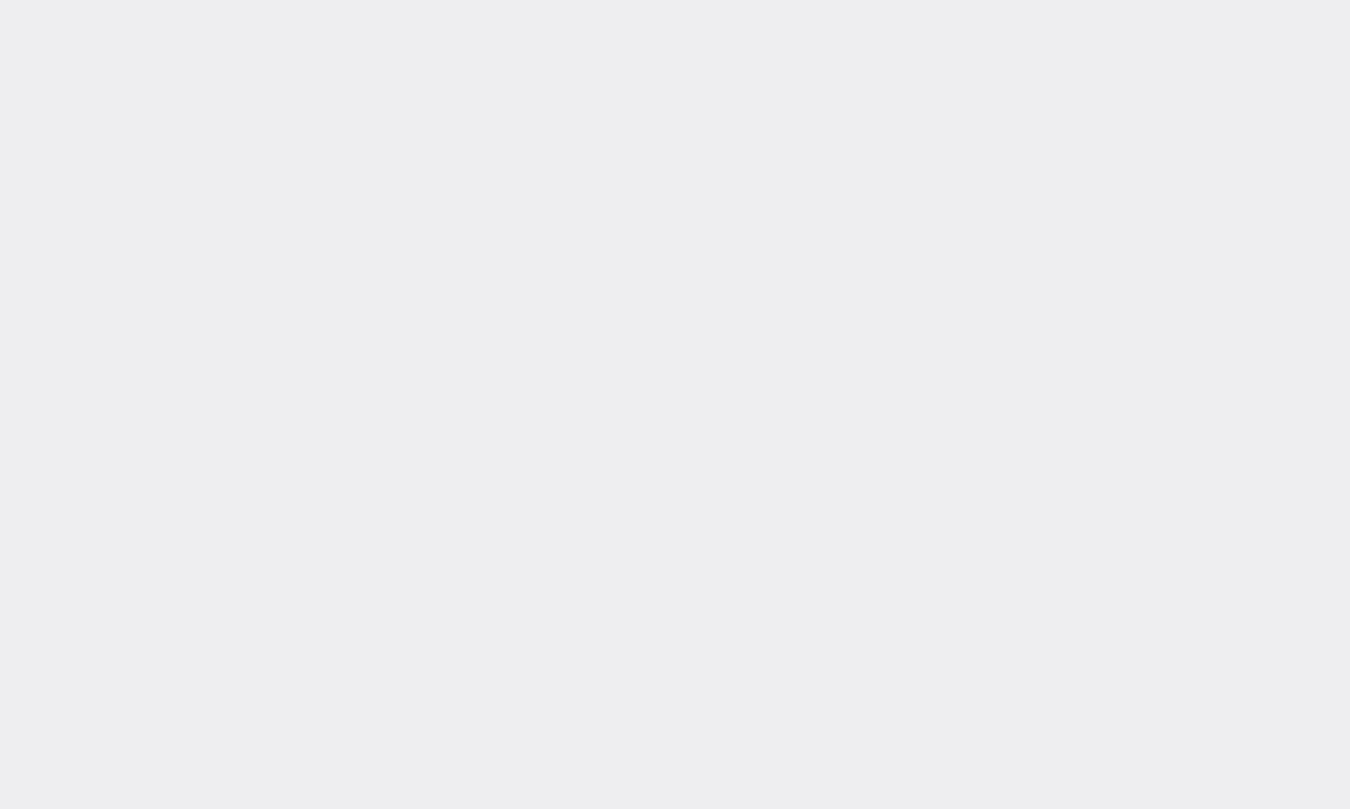
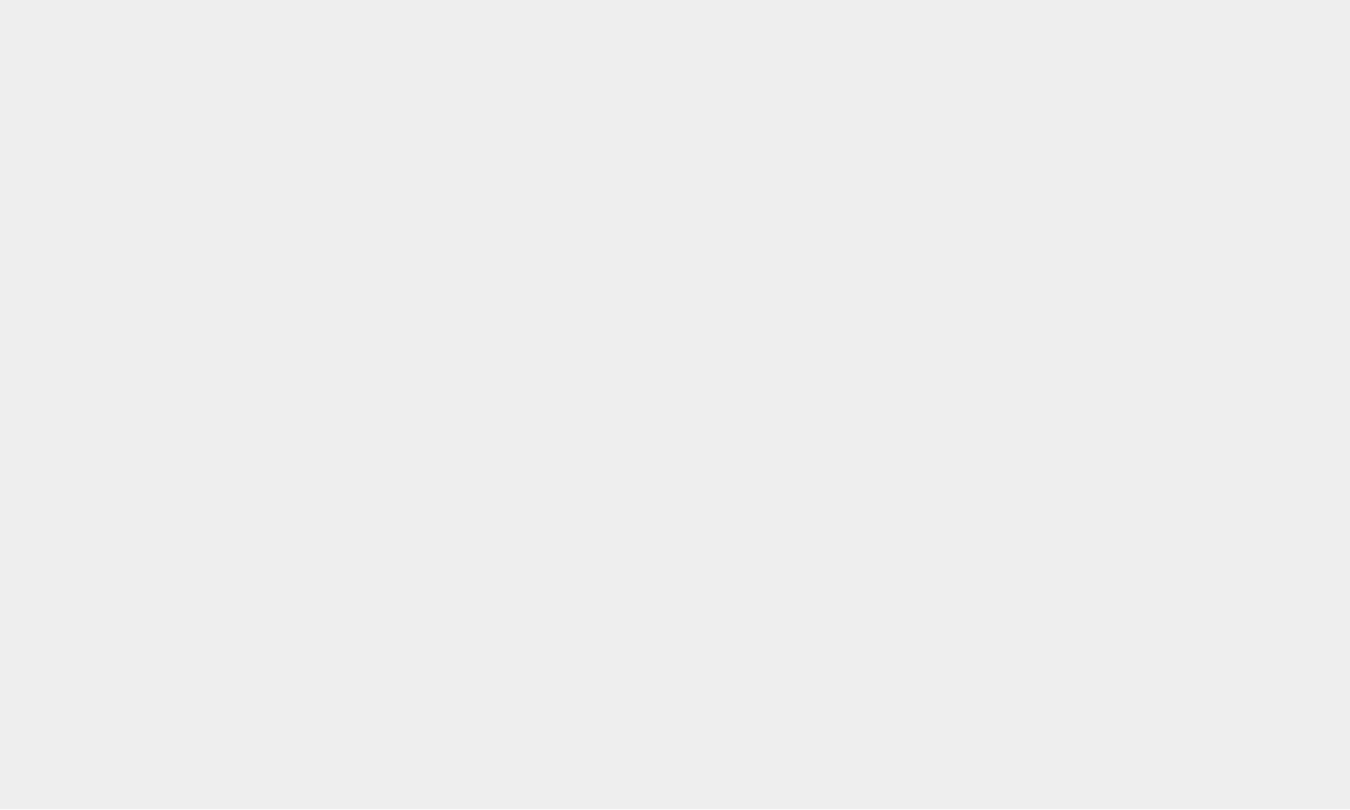
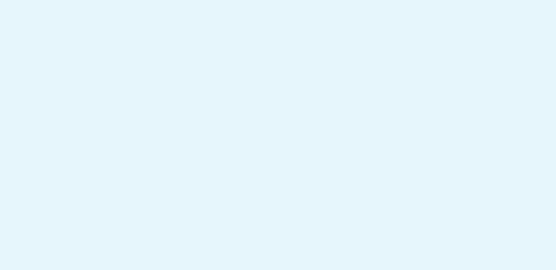
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Energy efficiency and climate action: Product use (continued)

Looking ahead

We will continue to work on the energy efficiency of our systems and other product families. In 2026, we plan to introduce new energy-reducing features for our EUV systems: the release of a new Productivity Enhancement Package, and the roll out of the hydrogen reuse solution to the market.

For DUV, we actively engage with our customers, on our product roadmaps for both ASML's and our customers' GHG neutrality ambitions.



Energy efficiency and climate action: Climate resilience analysis

By the beginning of 2024, for the first time, global warming had exceeded 1.5°C across an entire year, according to the EU's Copernicus Climate Change Service. It is expected that if society continues to emit GHGs at current rates, global warming will speed up – and that temperature rises of more than 1.5°C, relative to the pre-industrial period, could have major economic, environmental and social consequences. Since 2020, we have assessed climate-related risks and opportunities for our strategy and business model. With the introduction of the Corporate Sustainability Reporting Directive (CSRD) and the accompanying European Sustainability Reporting Standards (ESRS), we report on our resilience analysis of our strategy and business model in relation to climate change, for which we use our climate scenario analysis. We will also publish a separate report aligned with the Task Force on Climate-related Financial Disclosures (TCFD) guidelines. We used a scenario analysis (considering a 1.5°C scenario up until 2030 and a 4°C scenario up until 2050) to identify and assess climate-related risks and opportunities that could have a substantial financial impact on our organization.

Then, we analyzed whether our strategy and business model were resilient to the effects of these scenarios based on the mitigation measures in place. Our conclusions provide further insight into our capacity to address our material climate-related risks and how we can take advantage of our material opportunities.

For our governance around climate-related risks and opportunities, we refer to the General disclosures section in our Annual Report – which also describes our processes surrounding potential climate-related risks and opportunities and their potential impact on our strategy and business model. There we disclose how we identify, assess and manage climate-related risks and opportunities, and the metrics and targets we use to assess and manage relevant climate-related risks and opportunities. The identified climate-related risks and opportunities are integrated into our enterprise risk management (ERM) process.

Assessing climate-related impacts, risks and opportunities

In 2025, we have updated our 1.5°C scenario analysis by conducting an additional review

Energy efficiency and climate action: Climate resilience analysis (continued)

To assess the risks and opportunities for ASML related to our value chain (upstream suppliers and downstream customers), we used publicly available data from these suppliers and customers (such as annual reports, CDP disclosures and TCFD reports) to determine the risk exposure.

All assessments have been validated and reviewed through internal multi-stakeholder engagement.

We use the following time horizons in our physical and transition risk and opportunity assessments:

- Short term: One year.
- Medium term: From one up to five years (for example strategy planning horizons).

•Long term: More than five years (for example lifetime of assets). This exercise allows for identification of the most material risks and opportunities. We consider the high and medium risks and opportunities material for ASML. Here follows an overview of the risk and opportunity levels used.

Results of our climate-related risk analysis and anticipated financial effects of identified material risks and opportunities

The results of our scenario analysis are presented in the overview on the following pages. Per scenario and per category we disclose the risk exposure and opportunity levels, where in the value chain the risk exposure or opportunity level is highest, a description of the risk or opportunity, the mitigating measures ASML or its value chain partners have taken, and the anticipated financial effects to ASML.

Based on the assessment conducted we concluded that the risk exposure level is medium for all our manufacturing sites in relation to different types of climate change hazards. We expect that climate change effects will become more severe in the future, especially in a 4.0°C scenario. Mitigating actions are integrated in our facility improvement plans and are continuously maintained and updated based on the periodical reassessment of climate change. If needed, plans are made to address the future exposure.

Our manufacturing sites in Linkou (changing temperatures and heat stress), Wilton (flood), Berlin and Veldhoven (changing precipitation patterns) face the highest exposure to climate change effect. For these sites the

Energy efficiency and climate action: Climate resilience analysis (continued)



Scenario analysis: Physical risks					
4°C scenario					
medium and long term					
Value chain location	Risk category	Risk exposure	Risk description	Mitigating measures	Anticipated financial effects
 Customers	Acute and chronic climate change effects		The increased frequency and severity of climate change effects are expected to impact our key customers, particularly in the long term (2050). Extreme weather events are predicted to be more severe and the manufacturing facilities of our key customers are especially exposed to water stress, droughts, storms and typhoons – events that can potentially disrupt their operations. These customers are particularly sensitive to water stress and drought due to the heavy reliance on water for the semiconductor manufacturing processes.	Our customers are implementing mitigating measures themselves, such as retrofitting of facilities to increase water efficiency, conducting risk assessments and engagement with their supply chain to mitigate climate risks. Alongside this, we are working on technical solutions to reduce the water needed for cooling EUV machines to contribute to a lower dependency on water.	Lost revenue In a 4°C scenario our key customers could experience the increased effect from water stress and drought, which could lead to increased opex and capital expenditures and revenue loss at customer level. Consequently, the demand on our products could decrease as customers lose financial power. Our dependency on a concentrated number of customers could have a material adverse effect on our revenue and financial condition.
					Increased capital expenditures Our customers could demand machines that are more energy and water efficient which could require a redesign of (some of) our products. R&D investments will be required for this.
 Own operations	Acute and chronic climate change effects		The frequency and severity of climate change effects will increase toward 2050. Tropical cyclones, heat stress and floods caused by increased precipitation are predicted to be more severe in specific regions, potentially damaging and disrupting our operations there. Additionally, droughts could result in the disruption of water supply due to water-dependent processes.	We have several key measures in place to mitigate the potential effects of physical risks, including but not limited to robust building designs, fire suppression systems in critical areas, stormwater control mechanisms, water reserve controls, maintenance management, power backup for safety/emergency systems and business continuity strategies.	Lost revenue Extreme weather events can disrupt production processes or transportation resulting in late deliveries. This can have a material adverse effect on our revenue and financial condition.
					Operational costs Temperature increases can increase operational costs, due to the need for additional air conditioning to ensure consistent climate conditions for our processes and the productivity of the workforce. Also, it is likely that insurance costs will increase due to increased frequency and severity of extreme weather events in a 4°C scenario.
					Increased capital expenditures In some cases, more investments will be needed to make our factories more resistant to the effects of climate change, including droughts, tropical cyclones, precipitation stress, floods and fire weather stress.

Energy efficiency and climate action: Climate resilience analysis (continued)



Scenario analysis: Transition risks					
1.5°C scenario					
medium term					

Value chain location	Risk category	Risk exposure	Risk description	Mitigating measures	Anticipated financial effects
 Across value chain	Policy and legal		The climate-related regulation landscape is expected to change in many regions. This could lead to stricter regulation on sectors such as energy, industry and transportation, but also on the technology sector. ESG reporting will also have to become more extensive and carbon-pricing regulations may be introduced. Climate regulation will have a strong effect on the medium term (2030) because the world will have to act soon to limit global warming. These regulations may impact ASML directly in relation to its own manufacturing processes, or indirectly via the cost of input materials through suppliers or customer requirements for carbon efficiency.	We monitor climate-related regulations and policies to understand the potential effect on our business and stakeholders on a global level. We deploy our carbon footprint strategy, with which we achieved Greenhouse Gas (GHG) neutrality for our scope 1 and 2, business travel and employee commuting emissions by 2025, and aim to be GHG neutral for our supply chain emissions by 2030 and for product use emissions by 2040. The objective of our supply chain collaboration programs and our product energy-efficiency roadmaps is to reduce emissions from the products we purchase, reduce the carbon footprint of our products, and enable low-carbon technology and products across our entire value chain.	Increased cost of input materials The price of our input materials is likely to increase in a 1.5°C scenario due to climate-related regulations and carbon taxes. Increased operating costs Increased operating costs due to carbon taxation in a 1.5°C scenario Increased capital expenditures In a 1.5°C scenario, there will be increased capital expenditures as it is needed to make production processes more energy efficient or to switch to a different energy source. This is most relevant for our facilities in Taiwan and the Netherlands where the costs of moving to renewable energy are already very high. Increased or prioritized R&D investments will be needed to support our customers in meeting their own carbon-reduction requirements.

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Energy efficiency and climate action: Climate resilience analysis (continued)

Low
 Medium
 High

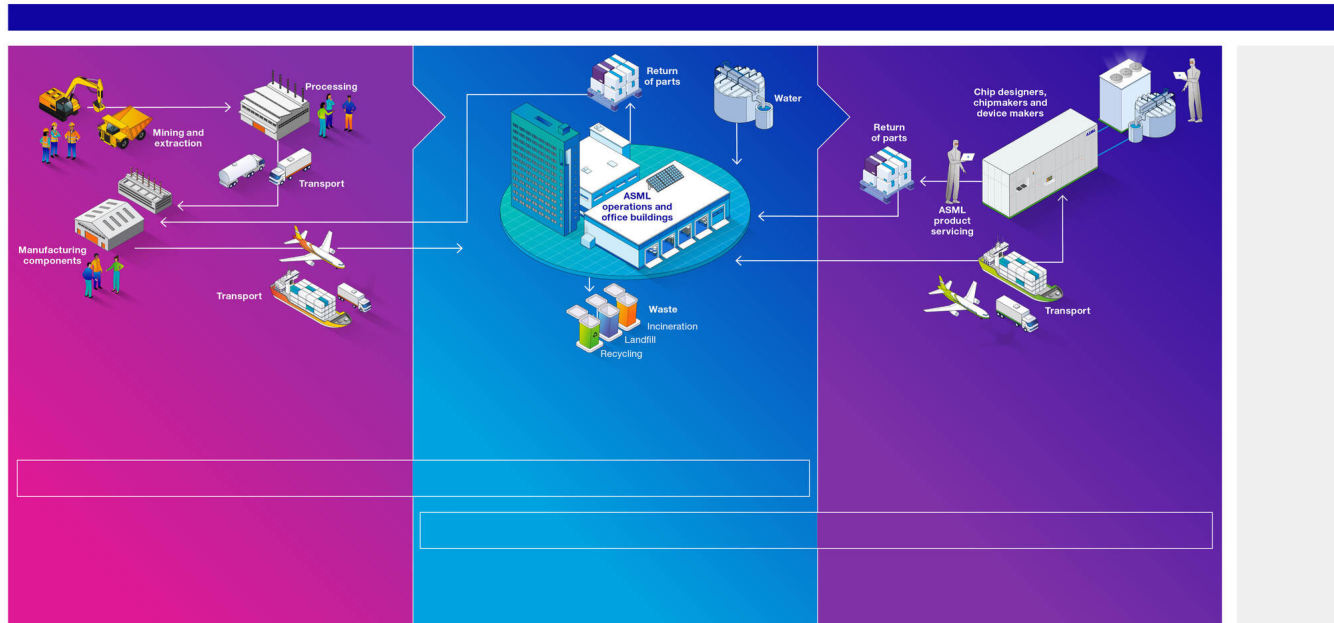
Scenario analysis: Transition risks
1.5°C scenario
medium term

Value chain location	Risk category	Risk exposure	Risk description	Mitigating measures	Anticipated financial effects
 Own operations	Reputation		There will be greater scrutiny on the semiconductor sector as it consumes large volumes of energy and water. Failure to decarbonize and mitigate negative impacts on the environment could result in brand and reputational risk for ASML – which could negatively affect employee attraction and retention, and could result in a reduction in available capital sources.	We have developed our ESG sustainability strategy to mitigate our negative impacts and increase our positive impacts on ESG-related topics. Part of this strategy is our Climate Transition Plan, which we expect will help us to reduce our carbon emissions. By continuously engaging with our relevant stakeholders, we seek to ensure our strategy covers all our material impacts, risks and opportunities. The Climate Transition Plan, its related strategic KPIs and its actions and progress are monitored by the Board of Management (BoM).	Lost revenue Reputational damage can lead to a decrease in demand from custom products. Similarly, failure to manage climate impact can negatively impact employee attraction and retention and indirectly lead to revenue loss. Increased capital and operational expenditures Increased capital and operational expenditures as investments are needed to execute our ESG sustainability strategy.

Scenario analysis: Climate change opportunities
1.5°C & 4°C opportunities
medium to long term

Value chain location	Opportunity level	Opportunity description	Anticipated financial effects
 Own operations and Customers		The increased demand for low-carbon technologies will create opportunities for the entire semiconductor industry. When looking at the scenario of a low-carbon economy, semiconductors play a multifaceted role in mitigating carbon emissions. They are needed for the generation and use of low-carbon energy sources, and are necessary for wind turbines, solar panels and electric vehicles (EVs), among other technologies. Moreover, semiconductors are necessary in all smart technologies that help improve energy efficiency, such as smart grids, while power semiconductors can be key in reducing energy use. As demand for semiconductors may surge, the need for ASML lithography systems is also likely to increase.	Increased revenue As demand for semiconductors increases, it is likely the need for lithography systems will, too. We will likely benefit from this need if we continue to follow our vision of producing microchips that are constantly becoming more efficient. The increase in demand for semiconductors will be highly likely to lead to increased revenues.





How we are managing circular economy

Our approach

We aim to transition from a linear to a more circular business model, to minimize the environmental and social impact of our operations worldwide.

We believe this is vital for our future success and competitiveness as it ensures:

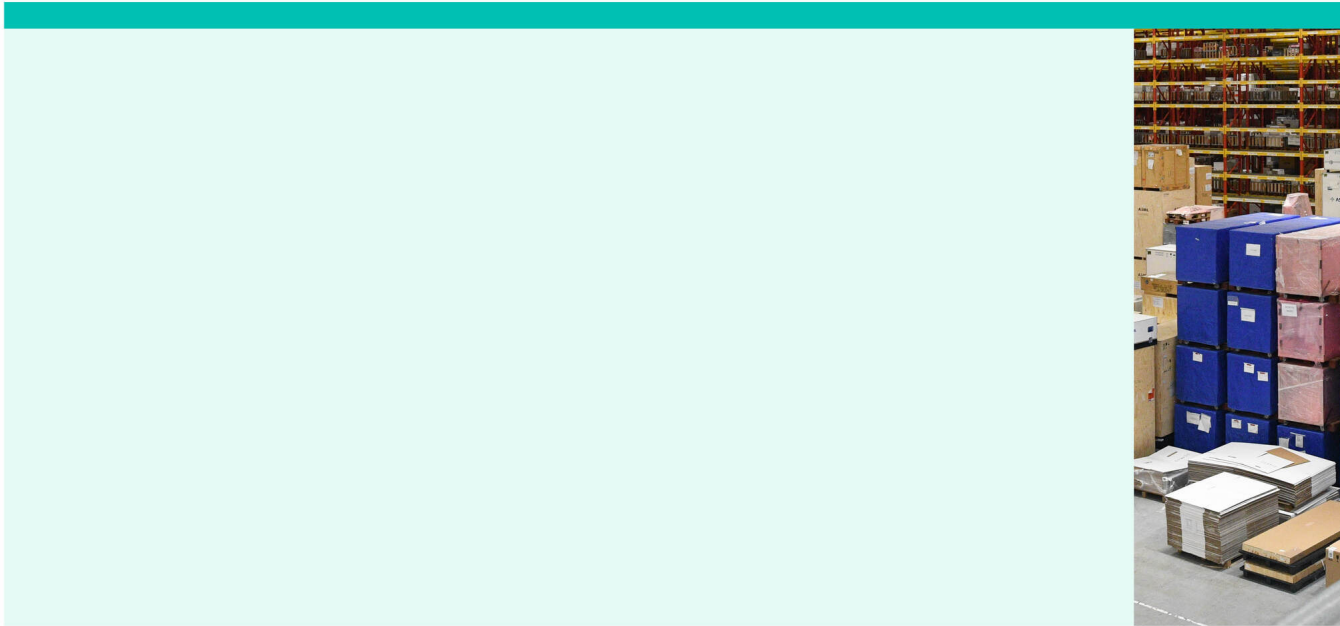
- Business value and cost reduction are maximized by optimizing the amount of purchased goods, while avoiding surplus and reusing resources as much as possible.
- The availability of parts and access to materials to support our growth, while decoupling it from material consumption – sourcing sustainably and closing the loops – is key for operational resilience.
- Improved designs are achieved by learning from failure cases and returns of used products, leading to improved products, solutions and processes.
- Environmental impact and social risks are reduced by less use of virgin materials, reduced emissions through repairing and disposing locally, and eliminating waste ending in energy recovery, incineration and landfill.
- Compliance risks are mitigated by adhering to regulations together with our partners in the value chain.

We aim to limit our negative impacts on the planet in close collaboration with our customers and suppliers.

We do this with a clear ambition to have zero waste from our operations to landfill and incineration by 2030.

We have identified five material sub-topics worldwide representing our scope of work:

- Systems
- Parts and tools
- Transport materials
- Non-product-related (NPR) waste (hazardous and non-hazardous)
- Real estate (building renovation and construction)



Circular economy: Systems

Our objective



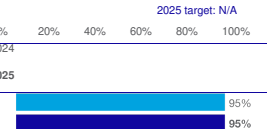
We aim to maintain systems in use for as long as economically and environmentally possible, focusing on service, upgrades and refurbishment.

Our scope

In scope are systems, which refer to our complete portfolio of holistic lithography solutions that support our customers at every stage of the chipmaking process, from early design and development to high-volume production: EUV and DUV lithography systems, metrology and inspection systems, computational lithography and software solutions for system and process control.

Targets and performance

Percentage of systems sold over the past 30 years still active in the field by 2025



We actively monitor our systems sold over the past 30 years that are still active in the field, including our EUV, DUV and PAS 5500 systems. Both ASML and our customers want to extend the lifetime of our systems as long as possible, due to their high value. In 2025, we sold 27 refurbished lithography systems. To date, we have refurbished and resold over 600 such systems. At the end of 2025, 95% of all (refurbished) systems sold in the past 30 years were still active in the field. We are currently in the process of updating our circular economy strateov. We anticipate

Circular economy: Parts and tools

Our objective



We aim to extend the lifetime value of our parts by maximizing reuse through repair, and by driving learning loops to improve design.

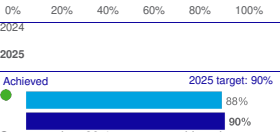
Our scope

In scope for our parts and tools – from this point on referred to collectively as ‘parts’ –

are subsystems, modules, assemblies, parts, tools and components used in our systems.

Targets and performance

In the context of reusing parts, we have defined one target:
Achieve a 90% reuse rate of parts returned from the field and factory by 2025



Our target is a 90% reuse rate, driven by return and repair success. We established this target to focus on the reuse of our parts and gain better insights into our reuse processes. We collaborate closely with our partners and suppliers to improve our reuse rate. On a monthly basis, we report on our overall performance to the company-wide reuse steering committee. Having reached our target, with a reuse rate of 90%, we plan to continue progressing on our re-use journey, with expectations that the current target will remain in place until 2030.

Our actions and resources

Increasing our reuse capabilities

Circular economy: Parts and tools (continued)

Resources allocated to the Reuse & Repair organization also contribute to other strategic goals and are not solely attributable to our circular objectives.

When conducting the EU Taxonomy assessment, we assessed our contribution to the transition to a circular economy by checking the alignment of our economic activities with the technical screening criteria provided for activities 1.2 Manufacture of electrical and electronic equipment and 5.1 Repair, refurbishment and remanufacturing. Our conclusion was that our activities cannot be considered aligned with the EU Taxonomy for these specific activities.

For activity 1.2, the following reasons explain the lack of alignment:

- We track information on substances of concern and very high concern. However, these are not yet publicly available in the SCIP (Substances of Concern in articles as such or in complex objects (Products)) database and/or IEC62474.
- Currently, we do not meet the design for recyclability criteria, which rely on EN 45555:2019 or any product-specific EN standard relying on EN 45555:2019.
- In total, 95% of our systems are still active in the field and we have longstanding relationships with our customers. Each buyback, sell-back or take-back is an individual negotiation and we cannot therefore evidence standard information to customers regarding EoL options for our products.

Activity 5.1 is not aligned because we lack a waste management plan ensuring our products' materials – particularly critical raw materials and components that have not been reused in the same product – are reused elsewhere, or, where reuse is not possible (due to damage, degradation or hazardous substances), are recycled, or, only where reuse and recycling are not viable, are disposed of in accordance with applicable EU and national legislation. This will require a waste plan covering each of the tens of thousands of parts in our systems.

[Read more in Sustainability statements – Environmental – EU Taxonomy](#)





Circular economy: Non-product-related waste (hazardous and non-hazardous)

Our objective



We aim to minimize waste and increase our recycling rate with dedicated actions to try to realize our ambition to have zero waste from our operations to landfill and incineration by 2030.



2025

Our scope

Our scope covers both product-related (PR) and non-product-related (NPR) waste streams across all locations. Non-product-related (NPR) waste (hazardous and non-hazardous) refers to all waste other than production items that are not part of a system, such as asset management, facility management and IT. Product-related (PR) waste consists of systems and parts and tools, including transport materials. While our waste scope distinguishes between PR and NPR, our strategic targets are set on total waste excluding construction and demolition waste – integrating both categories into our reduction efforts.

Targets and performance

Our waste prevention strategy contributes to the following targets:

Achieve 322 kg of waste from operations (excluding construction and demolition waste) / per €m revenue by 2025

Circular economy: Non-product-related waste (hazardous and non-hazardous) (continued)

Our actions and resources

To reduce NPR and PR waste, our actions focus on multi-year projects that first started in 2023.

Enhancing waste data quality

In 2025, we completed a project to improve the completeness, representativeness and accuracy of waste data worldwide. This resulted in:

1. Standardized and common waste definitions accepted on a global level.
2. A waste competence network, enabling ASML to develop standards and guidelines to mature our waste management.
3. Integrated waste tooling, enabling us to

gain detailed, structured and automated insights on our waste streams.

4. Updated some waste hauler contracts with ESG requirements in the Netherlands, Taiwan and Wilton (US) and added ESG requirements in Integrated Facility Management (IFM) contracts.

Developing new projects worldwide

In 2025, we also matured our circularity portfolio through improvement projects at our seven largest industrial sites, including:

- Veldhoven (the Netherlands): A comprehensive waste master plan was developed to improve the site's recycling performance. Three major initiatives were launched focusing on catering, warehouse, and cleanroom optimizations. Additionally, a dedicated program is underway to reduce and reuse piranha acid. To further accelerate progress, a Soft Services Coalition was established in collaboration with our suppliers,



Circular economy: Real estate

Our objective



We aim to embed circular principles in real estate by applying green building standards and certification methods, with the goal of making our new and existing buildings as sustainable as possible.

In our owned real estate portfolio management, we aim to have our newly built and renovated buildings (those exceeding €20 million investment) BREEAM-certified for buildings in the EU, LEED-certified for buildings in the US and Asia, and LEED/G-SEED-certified for buildings in South Korea. These certifications emphasize sustainability through the circular use of materials and waste reduction during a building's design, construction, and operation.

Our scope

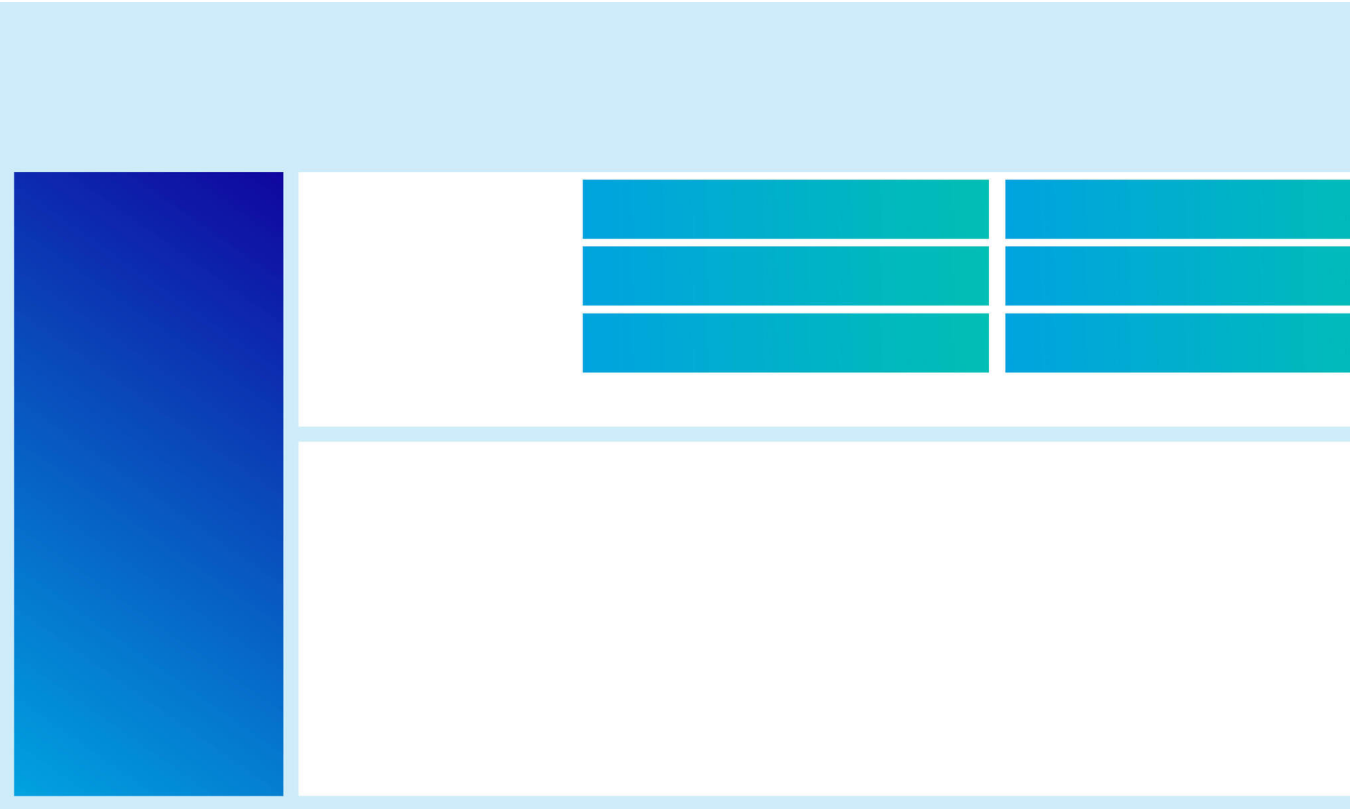
Our scope includes real estate activities such as building renovation and construction across all ASML-owned and leased properties. Real estate refers to all ASML-owned and leased buildings. Waste generated on construction sites either directly operated by us or managed on our behalf classifies as construction and demolition waste.

[Read more in Financial statements – Other appendices – Appendix – Property, plant and equipment](#)

Targets and performance

As we continue to expand our facilities, we aim to maximize the recycling of waste from our construction activities. In 2025, we generated 13,461 tonnes of construction and demolition waste (2024: 14,101) – 83% of which was recycled (2024: 82%).

In 2025, we had two large construction and demolition projects in Veldhoven and Berlin. We also obtained new and improved information compared to 2024. In addition to construction and demolition waste reported by our waste haulers, we now also include



EU Taxonomy at ASML

Basis for preparation
We prepared our EU Taxonomy disclosure in accordance with Regulation EU 2020/852 as supplemented with Commission Delegated Regulations EU 2021/2139, EU 2021/2178 and EU 2023/2486, as well as Commission Notices answering frequently asked questions about EU Taxonomy reporting.
Furthermore we have incorporated the simplifications adopted in the form of Delegated Regulation EU 2026/73 published January 8, 2026, amending the Taxonomy Disclosures, Climate and Environmental Delegated Regulations. Our methodology has not changed as a result of this.
For the EU Taxonomy assessment, we applied a materiality threshold to focus on the activities with the highest environmental impact in line with the adopted simplification. Activities can be considered non-material if they account for less than 10% of our total revenue, capex or opex. EU Taxonomy activities can have a substantial contribution to multiple environmental objectives. To avoid any double counting, we apply a top-down allocation of activities included in the denominator and assign the corresponding share to the numerator of turnover, capex and opex. Where an activity could relate to multiple environmental objectives, we determine the most appropriate objective based on the nature of the activity and the intention with which it is performed. Our assessment was based on our interpretations of how the regulation applies to our business activities and the impact thereof on eligibility and alignment. Future guidance could result in more accurate definitions and altered decision-making in meeting reporting obligations that may come into force, which could impact future EU Taxonomy reporting. Each step is discussed in the following section.
Reporting scope
EU Taxonomy has been prepared on a consolidated basis, the scope of which is the same as for the Consolidated financial statements in line with the EU-IFRS. No subsidiaries are exempt.

Turnover

Taxonomy eligibility and alignment assessment

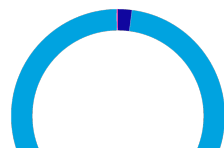
We assessed the eligibility and alignment of our economic activities in 2025 against the relevant environmental objectives.
Turnover
The cornerstone of our circular approach is our modular design strategy, which allows us to upgrade a system without replacing the entire product. Extending a product's lifetime is also possible by refurbishing systems after their use, and repurposing them for other customers and semiconductor environments. Our total turnover under the EU Taxonomy Regulation comprises the total net sales in the Consolidated

statement of profit or loss in the Consolidated financial statements. We consider our net system sales (new systems) and certain activities related to net service and field option sales, such as installation and relocation, as eligible for CE 1.2 Manufacture of electrical and electronic equipment.

Net service and field option sales considered eligible under CE 5.1 Repair, refurbishment and remanufacturing, include warranties and service contracts to extend a product's lifetime and restore or improve performance or functionality.

Financial year 2025													
Economic activities (1)	Code (2)	Taxonomy eligible KPI (Proportion of Taxonomy eligible turnover) (3)	Taxonomy aligned KPI (monetary value of turnover) (4)	Taxonomy aligned KPI (Proportion of Taxonomy aligned turnover) (5)	Environmental objective of Taxonomy aligned activities						Enabling activity (12)	Transitional activity (13)	Prog Tax (14)
					Climate change mitigation (6)	Climate change adaptation (7)	Water (8)	Circular Economy (9)	Pollution (10)	Bio- diversity (11)			
		%	€ in millions	%				%	%	%	(E where applicable)	(I where applicable)	%
Manufacture of electrical and electronic equipment	CE 1.2	82%	0.0	0%				0%					0%
Repair, refurbishment and remanufacturing	CE 5.1	14%	0.0	0%				0%					0%
Sale of spare parts	CE 5.2	0.2%	0.0	0%				0%					0%
Sale of second-hand goods	CE 5.4	2%	0.0	0%				0%					0%
Sum of alignment per objective								0%					
Spare parts are offered to customers when needed,		98%	0.0%	0%				0%					0%

Spare parts are offered to customers when needed, which qualifies under CE 5.2 Sale of spare parts, while



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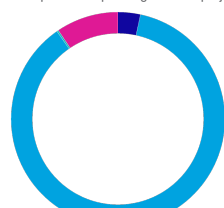
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Capital expenditure

The proportion of total capex relating to Taxonomy-eligible activities is determined by assessing the economic activities for each significant asset group. Asset groups below the threshold compared to the overall capex, as defined by the EU Taxonomy Regulation, have been excluded and are reported as 'not assessed activities considered non-material'. Our total capex under the EU Taxonomy Regulation comprises the following items in the Consolidated financial statements:

- Additions in property, plant and equipment (Note 13)
- Additions in intangible assets, net (Note 12)
- Additions to right-of-use assets and lease liabilities (Note 14)

We renovated multiple buildings over the last year. The corresponding capex is considered eligible under activity CCM 7.2 and CCA 7.2 Renovation of existing buildings, as the focus of the renovation was to improve energy efficiency rather than circularity (CE 3.2). We also carried out several construction projects. The capex corresponding to these projects is considered



eligible under economic activity CCM 7.7 and CCA 7.7 Acquisition and ownership of buildings. In cases where the construction included the installation of electric heat pumps, the related capex is considered separate from CCM 7.7 and CCA 7.7 and eligible under CCM 4.16 Installation and operation of electric heat pumps. Additionally, we undertook a flood prevention project to protect our cleanrooms from flooding. The corresponding capex is considered eligible under CCA 14.2 Flood risk prevention and protection infrastructure. The capex related to Taxonomy-eligible activities includes eligible capitalized R&D costs. R&D is an integral part of our operations, and it relates to the design, manufacturing and technology of our products – which is eligible under CE 1.2 Manufacture of electrical and electronic

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Capital expenditure (continued)

Additions to property, plant and equipment:
The buildings in scope for renovation (CCM 7.2 and CCA 7.2) that met the substantial contribution criteria by reducing the primary energy demand by more than 30% did not meet the DNSH criteria relating to water-usage – and, as such, we report 0% alignment on CCM 7.2 and CCA 7.2.

Investment decisions related to newly constructed or renovated buildings were not based on the detailed EU Taxonomy technical screening criteria. However, other sustainability considerations were applied: where relevant, projects were assessed using the criteria and governance processes defined in our Green Bond Framework.

A subset of buildings included in scope for CCM 7.7 and CCA 7.7 Acquisition and ownership of buildings meet the technical screening criteria, resulting in 0.2% of aligned activities. Our eligible investments in solar panels (CCM 4.1) also meet the technical screening criteria, resulting in an additional 0.05% of aligned activities.

Our investments in the energy grid in Veldhoven (CCM 4.9 and CCA 4.9), the installation of electric heat pumps (CCM 4.16) and our flood prevention project (CCA 14.2) did not meet the technical screening criteria. Although we are continuously working to improve responsible waste handling and recycling practices, we were not able to demonstrate full alignment with the DNSH requirements related to waste management for these activities.

Since the technical screening criteria for our activities under circular economy (CE 1.2) are not met as described in the section 'Turnover', we also report 0% alignment related to additions to machinery and equipment.

Additions to right-of-use assets and lease liabilities:
Additions to right-of-use assets were considered below the threshold compared to the overall capex, as defined by the EU Taxonomy Regulation. They have been excluded and are reported as 'not assessed activities considered non-material'.

Additions to intangible assets:
Since the technical screening criteria for our activities

under circular economy (CE 1.2) are not met as described in the section 'Turnover', we also report 0% alignment related to capitalized R&D costs.

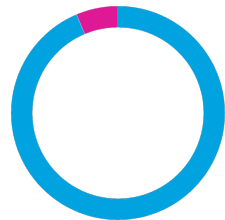
Financial year 2025													
Economic activities (1)	Code (2)	Taxonomy eligible KPI (Proportion of Taxonomy eligible capex) (3)	Taxonomy aligned KPI (monetary value of capex) (4)	Taxonomy aligned KPI (Proportion of Taxonomy aligned capex) (5)	Environmental objective of Taxonomy aligned activities								
					Climate change mitigation (6)	Climate change adaptation (7)	Water (8)	Circular Economy (9)	Pollution (10)	Bio- diversity (11)	Enabling activity (12)	Transitional activity (13)	Prog Tax Tax (14)
		%	€ in millions	%	%	%	%	%	%	%	(E where applicable)	(I where applicable)	%
Manufacture of electrical and electronic equipment	CE 1.2	55.3%	0.0	0%				0%					0%
Electricity generation using solar photovoltaic technology	CCM 4.1	0.05%	1.3	0.05%	0.05%								100

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Operational expenditure

EU Taxonomy defines the denominator of the opex KPI as any direct non-capitalized costs that relate to R&D,



building renovation, short-term lease, maintenance and repair, and any other direct expenditures relating to the day-to-day servicing of assets of property, plant and equipment by the undertaking party, or third party to whom activities are outsourced, that are necessary to ensure the continued and effective functioning of such assets.

Under this definition, the R&D costs in the Consolidated financial statements are considered eligible under CE 1.2. The remaining opex is considered below the threshold compared to the overall opex, as defined by the EU Taxonomy Regulation. It has been excluded and is reported as 'not assessed activities considered non-material'.

Operational expenditure

<	Not eligible	0%
<	Eligible – Not aligned	94%
<	Eligible – Aligned	0%
<	Not assessed activities considered non-material	6%

We assessed the economic activities of the R&D costs that are not capitalized but accounted for in our Consolidated statement of profit or loss associated with CE 1.2 Manufacture of electrical and electronic equipment. Since the technical screening criteria for our activities under circular economy (CE 1.2) are not met as described in the section 'turnover', we also report 0% alignment related to assets and processes associated with the economic activities under circular economy.

Financial year 2025													
Economic activities	Code	Taxonomy eligible	Taxonomy aligned	Taxonomy aligned	Environmental objective of Taxonomy aligned activities								
					Climate change mitigation (6)	Climate change adaptation (7)	Water (8)	Circular Economy (9)	Pollution (10)	Bio- diversity (11)	Enabling activity (12)	Transitional activity (13)	Prog Tax Tax (14)

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Other disclosures: Water management in our own operations

Our objective



We aim to use water in our own operations responsibly, recycle efficiently and reduce our environmental impact.

Why it matters

The combination of climate change and increased water demand means droughts are becoming more extreme and unpredictable, with water becoming a scarce resource in some locations.

In comparison to the semiconductor industry as a whole, the water consumption in our own operations is relatively small. When printing patterns on wafers through lithography, our systems at our customers' sites also use relatively small amounts of water compared to other steps in the total semiconductor manufacturing process, such as chemical mechanical polishing and water cleaning.

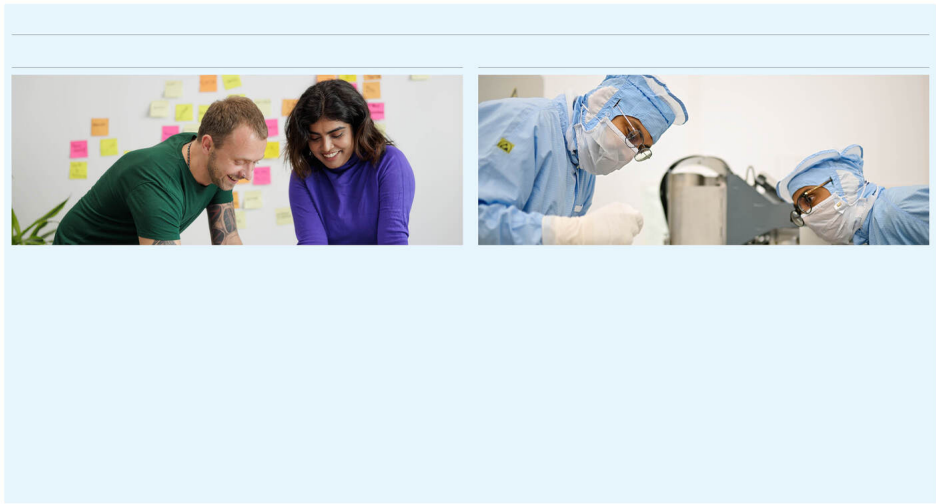
Our water-related risk is therefore low compared to that of our customers. However, as a responsible business and with our sites in San Diego (US), Veldhoven (the Netherlands) and Berlin (Germany) located in areas of high water stress, we promote efficient water management and recycling across our sites and processes. In this section we report on our water management in our own operations, although this was not identified as a material topic in our DMA.

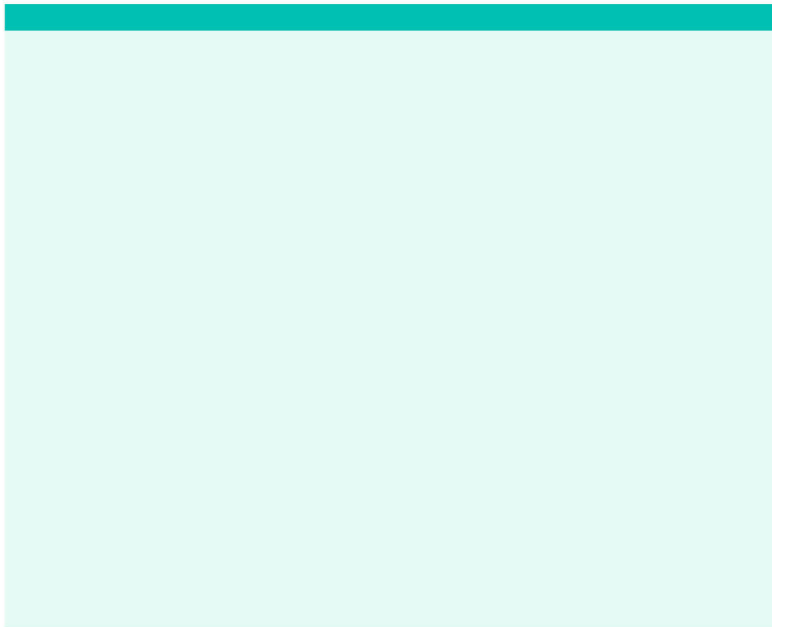
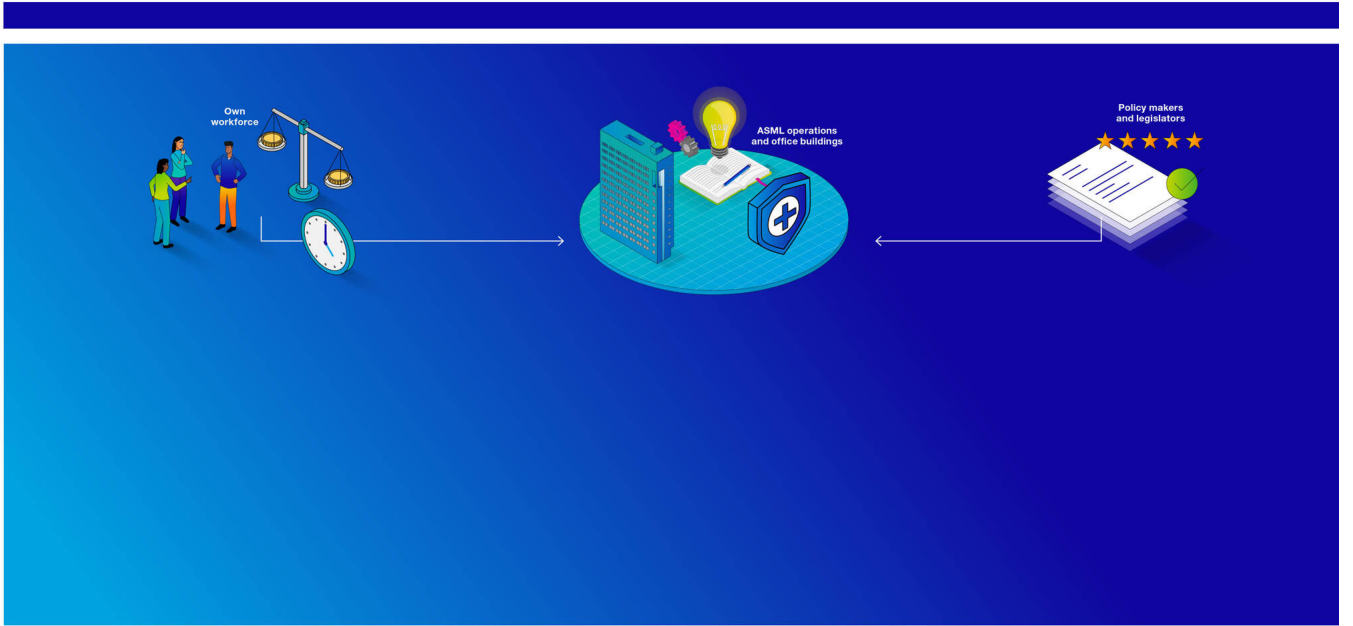
Target and performance

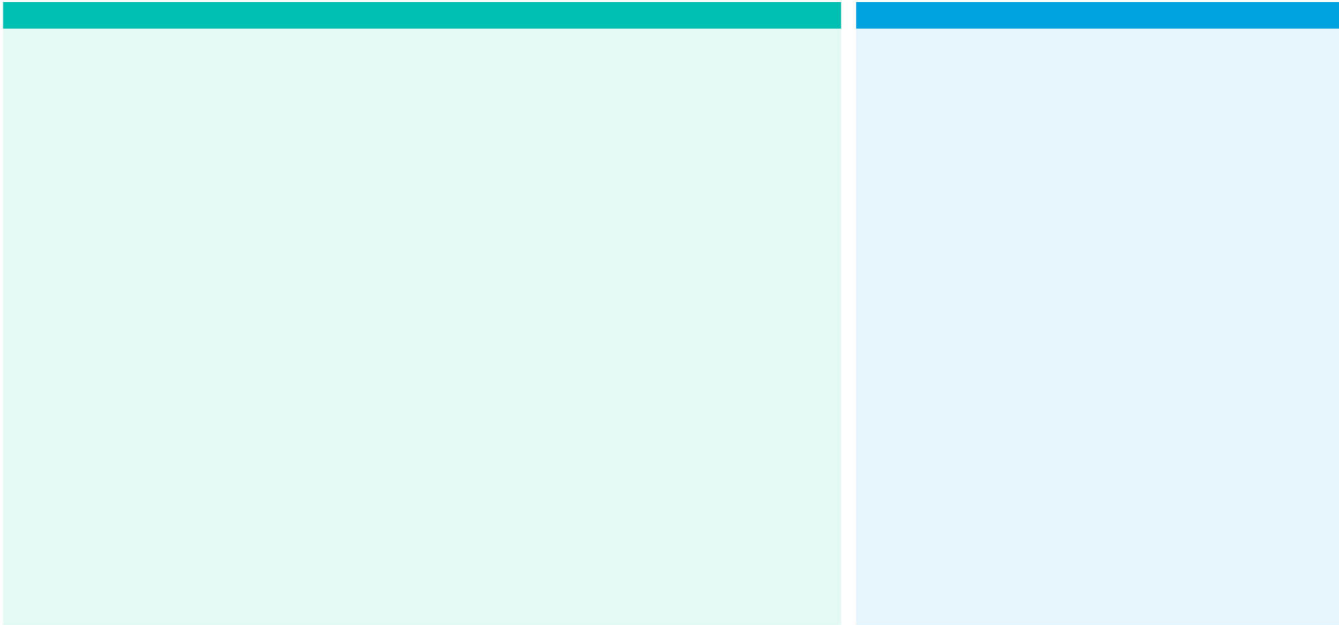
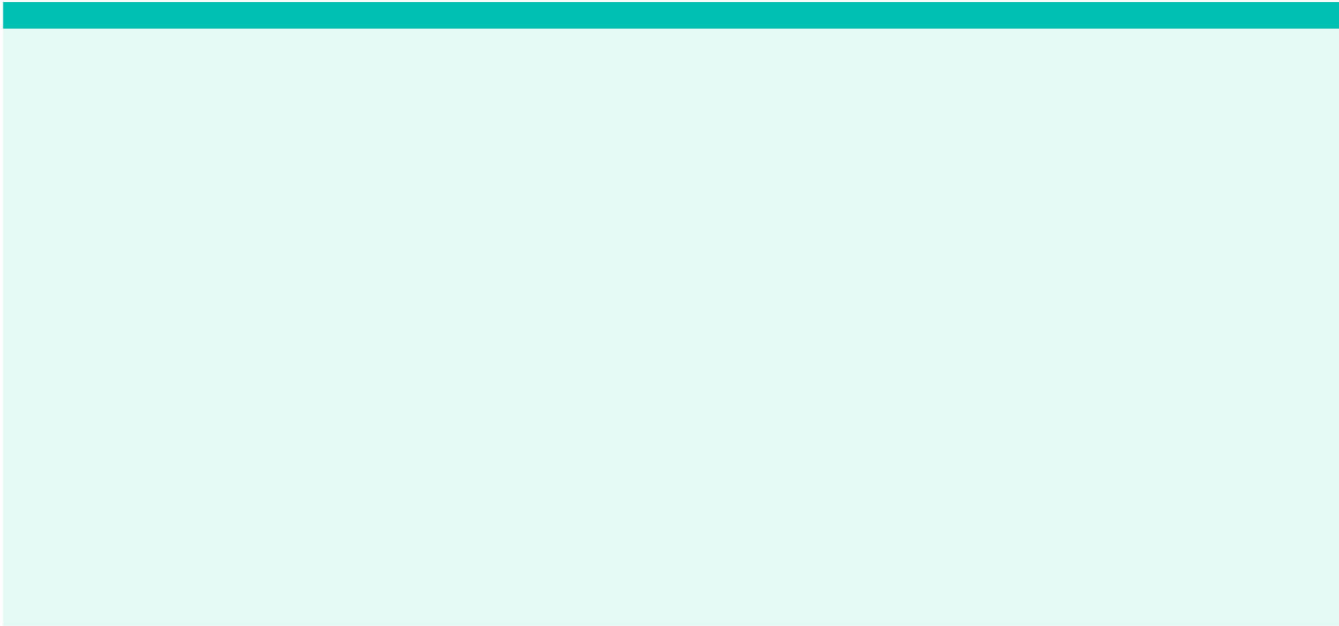
In 2025, our total water consumption was 507,740 m³. We monitor and evaluate our water management and water consumption trend quarterly, but have no target for water management in our own operations.

Our actions and resources

In our factories, we use water in three key ways. Firstly, to remove heat loads and maintain the systems at a constant temperature – internal cooling circuits are







How we are managing attractive workplace for all (continued)
Process for engaging

We encourage our employees and their representatives to openly communicate and share ideas and concerns with management about working conditions and management practices, without fear of discrimination, retaliation, intimidation or harassment.
[Read more in Strategic report – Our business – Engaged stakeholders – Employees](#)
We use insights from engagement with our employees to inform our people strategy at all stages, including impact assessment, policy development, target-setting and actions. Our CEO has operational responsibility for ensuring this engagement

occurs and that the insights are applied. We also use our annual employee survey to assess the effectiveness of our overall engagement with employees. In addition to the direct channels available, we engage in regular dialogue with workers' representatives, including duly elected and trade union representatives.

Duly elected workers' representatives

Works councils have been established in the Netherlands and in Berlin, Germany. In Japan, South Korea and Taiwan, employee representatives have been duly elected in accordance with Labor Management Council or Labor Act requirements, and in China we have retained pre-existing works councils at our HMI facility.

These councils consist of elected employee representatives from across the organization. The number of council members and the specific election procedures are determined by the location and size of the organization. Works councils balance the interests of employees with those of the business, and are often required to consent or advise on specific decisions such as reorganizations, mergers and changes in employment conditions (although this may vary in different locations). To better understand the needs and concerns of the organization, the Supervisory Board (SB) regularly meets with our largest Works Council in the Netherlands – providing a clear communications channel for our people. In countries where we do not have formal employee representation, we promote open dialogue through our various employee channels and networks.

Veldhoven, Netherlands

The Works Council meets regularly with the

Attractive workplace for all: Talent attraction, employee engagement and retention

Our objective



We aim to create an exceptional workplace that attracts, engages and retains talent by fostering an environment where people can thrive, grow and contribute to the company's long-term success.

Our scope

Our Attractive workplace for all approach applies to all employees within the ASML group of companies. In some cases, its scope extends to non-employees.

Targets and performance

Improve talent attraction by achieving specific employer brand score rankings in the Netherlands (top 5), United States (top 75), China (top 100) and Taiwan (top 5) by 2025

NL 1

2024: 1

2025 target: Top 5

In the Netherlands, progress on these rankings has been measured since first reported in 2013 – at which time we ranked 23rd. In 2025, we ranked number one for tech students (engineering/IT/natural science) and third (2024: third) for professionals in tech, based on Universum rankings.

US 119

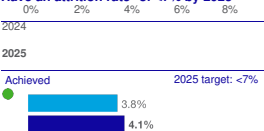
2024: 140

2025 target: Top 75

In the US, despite not achieving our goal of top 75 in 2025, we substantially moved up in ranking from 140th in 2024 to 119th in 2025. The US is a large and fragmented market in which it is difficult to reach everyone. Targeted campaigns and extensive media

Attractive workplace for all: Talent attraction, employee engagement and retention (continued)

Have an attrition rate¹ of <7% by 2025



Progress on this target has been measured since first reported at 3.8% in 2020. Our overall attrition rate in 2025 was 4.1% – well within our target range and below the industry average in every country in which we operate. However, maintaining our attrition also depends on external factors in the job market. Having reached our 2025 target, we continue progressing on efforts to retain our best talent, the current target will remain in place for 2026.

Our actions and resources

Creating a strong employer value proposition

We aim to create a meaningful employer brand experience from the inside out, by:

- Offering a unique experience for current and prospective employees through focused programs around learning and development, well-being, and I&D.
- Inviting employees – as part of our Digital Ambassador program – to share why they choose to join and stay with ASML, and supporting them in sharing their stories within their personal networks. Today, over 2,300 (2024: 2,000) employees worldwide are sharing curated content through their local

social media channels, generating millions of impressions and meaningful interactions – and strengthening our presence in earned media, helping us connect with talent and drive awareness and high-quality referrals. In 2025, we continued to expand and optimize the program to further increase its impact.

Raising awareness of career opportunities

We use extensive employer branding and talent engagement activities to strengthen ASML's position as an attractive employer. We believe our branding attributes that resonate with these audiences include well-being, innovation, and learning and development – which help us deliver the

Attractive workplace for all: Learning and development

Our objective



We aim to support and empower our employees on their development journey to reach their career ambitions. We strive to provide access to best-in-class learning that promotes skills and knowledge growth through targeted programs, innovative training and emerging technologies such as AI.

Our scope

Our Attractive workplace for all approach



Attractive workplace for all: Learning and development (continued)

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Initiating and participating in gigs

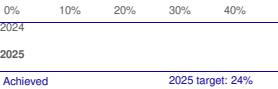
All employees can initiate (become a gig host) or participate in a gig, as long as it aligns with business needs and follows established guidelines. With manager approval, individuals are dedicated to the

Attractive workplace for all: Inclusion and Diversity

Our objective



We aim to foster inclusion, diversity and sense of belonging in a safe environment for all ASML workers, where everyone is valued, respected and can fully contribute.



Our scope

Our Attractive workplace for all approach applies to all employees within the ASML group of companies. In some cases, its scope extends to non-employees.

Targets and performance

Achieve 24% inflow of women (all job grades) by 2025

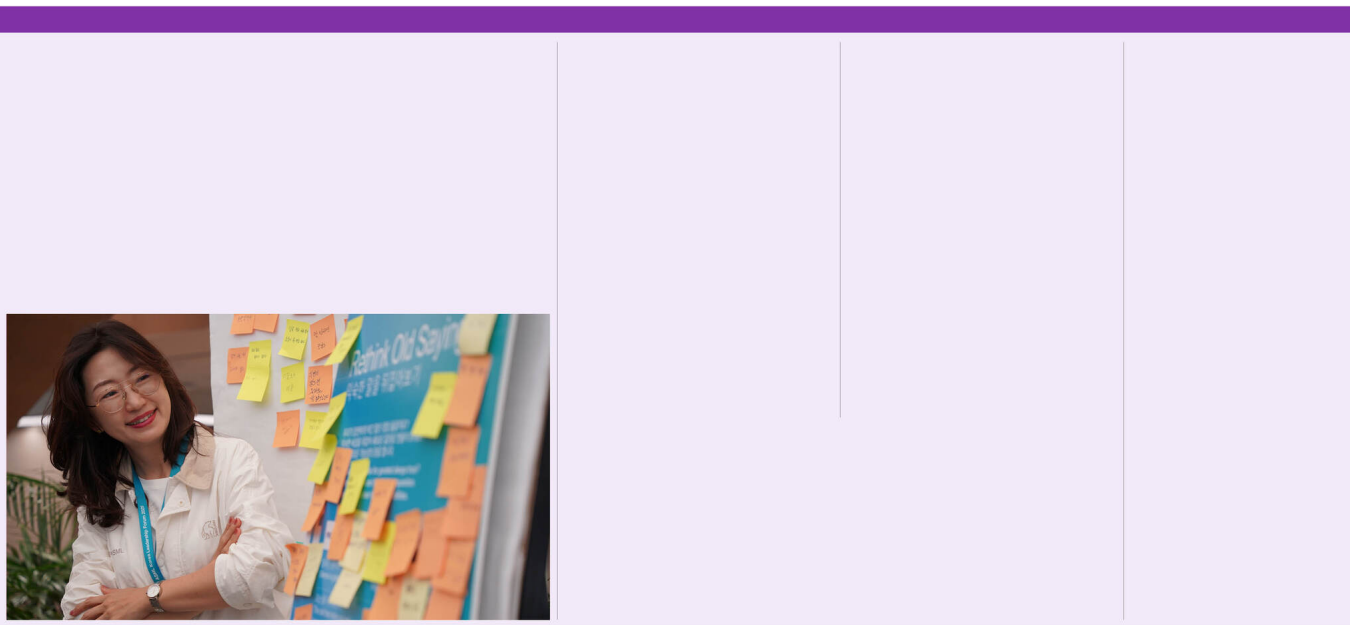


Our baseline figure, reported in 2022, is 24%. In 2025 there was a 29% inflow of women, reaching our 2025 target. Having reached our 2025 target, we continue progressing on our long-term I&D journey to promote equal opportunities. To support this, we have set a more ambitious target, to achieve 26% inflow of women (all job grades) in 2026¹.

ASML presents in this Annual Report its diversity and inclusion policies and targets for, and progress on achieving, gender diversity as required by Dutch law and its Diversity and Inclusion Policy adopted by the Board pursuant to non-disclosure of Dutch law TNO 118.

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Attractive workplace for all: Inclusion and Diversity (continued)



The Inclusive Leadership Program (ILP) marks a significant shift in our I&D journey, transitioning from awareness to leadership

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Attractive workplace for all: Inclusion and Diversity (continued)

Our actions and resources

Building inclusive leaders and teams

In 2025, the second year of our Inclusion and Diversity program, we focused on achieving scale for leader and team inclusion through the following activities:

- Embedding an inclusive mindset and behaviors:** We extended the opportunity for our employees and leaders to voluntarily participate in our 'Ignite Inclusion' and 'Inclusive Leadership' training programs. 2,345 of our leaders completed 'Inclusive leadership' and 24,923 of our employees completed 'Ignite inclusion' so far by the end of 2025.
- Strengthening executive sponsorship in the EU and Asia:** Our reverse-mentoring program which was started in the EU, connects employees of varying backgrounds and perspectives with senior executives and leaders, creating opportunities for the exchange of unique insights, lived

experiences and viewpoints. In 2025, we began developing the program for employees in Asia. By the end of 2025, 40 mentees and mentors were matched and over 75 mentor sessions were held, with a successful mentee satisfaction score of 3.74 of 4.

•**Team-led I&D roadmaps:** Introduced in 2025 to translate global ambitions into locally relevant action plans. Shaped by team-specific contexts and guided by a shared framework, the roadmaps enabled tailored interventions – such as targeted inclusion courses and dashboard-based progress tracking – while reinforcing ASML's global commitment to building an inclusive workplace.

•**Women in leadership (excluding US):** We continued to support leadership development for female talent, as applicable. We executed three leadership programs with action-based learning at various leadership levels for 87 female leaders – more than 36% higher than the previous year.

Employee networks
Employee networks are open to all employees and play a key role in the I&D ecosystem, serving as a platform for employees sharing similar experiences to connect and support each other. To achieve this, employee

Attractive workplace for all: Occupational health and safety

Our objective



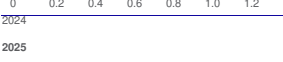
We aim to provide injury-free and healthy working conditions for everyone on our premises by eliminating hazards, reducing safety risks and preventing occupational ill health.

Our scope

Our Attractive workplace for all approach applies to the ASML group of companies. Our EHS sub-topic covers everyone whose workplace is controlled by ASML, including all our employees and other on-site workers not employed by us.

Targets and performance

Achieve a recordable incident rate of 0.96 or below by 2025¹



In 2025, our recordable incident rate was 1.10. Despite not meeting our target of 0.96¹, which represents world-class performance, we did see a decline in our incident rate of 0.04 compared to the 2024 figure of 1.14¹. We continue to take actions to improve safety in our technology and systems, and in our culture. In 2025, we did not encounter any work-related fatalities on-site. Having not reached our 2025 target, we intend to continue progressing our OHS efforts, with the current target remaining



Attractive workplace for all: Well-being

Our objective



We aim to integrate well-being into daily work practices, supporting employees in maintaining a healthy, balanced, and productive life.

Our scope

Our Attractive workplace for all approach applies to all employees within the ASML group of companies. In some cases, its scope extends to non-employees.

Targets and performance

By 2025, be within 2 percentage points of (or higher than) the benchmark well-being score achieved by the top 25% of companies



2025

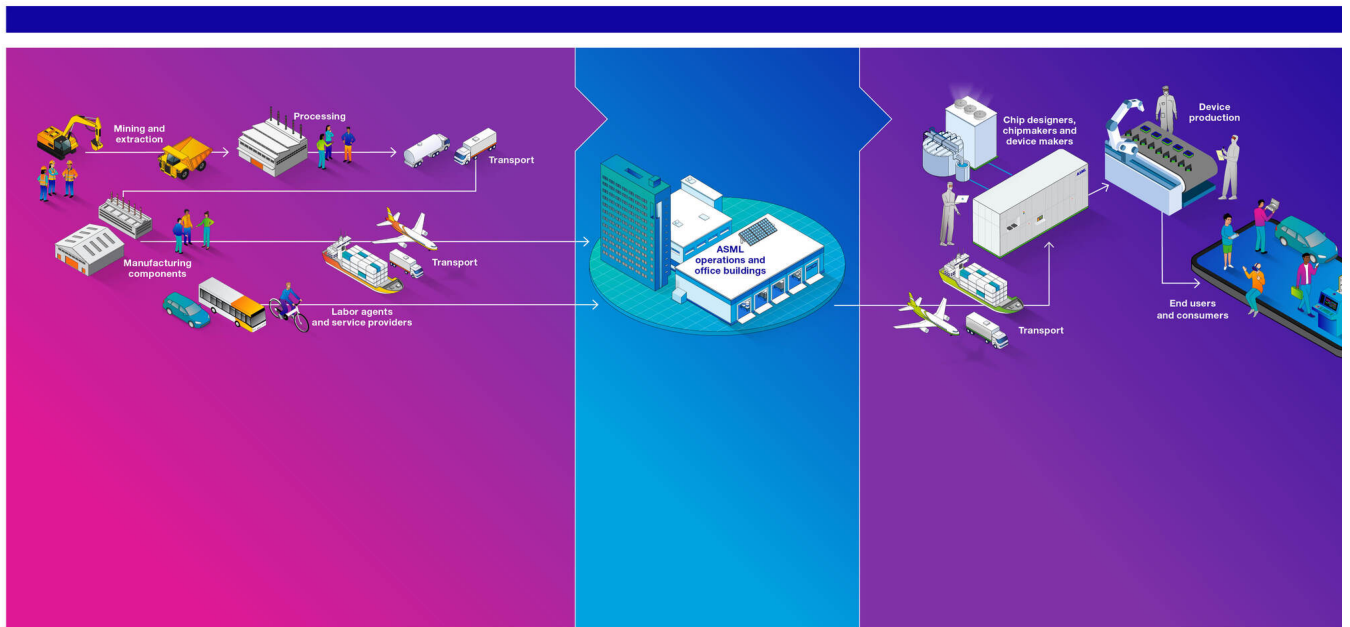
● Achieved 2025 target: Within 2 pp of (or higher than) the top 25% of companies

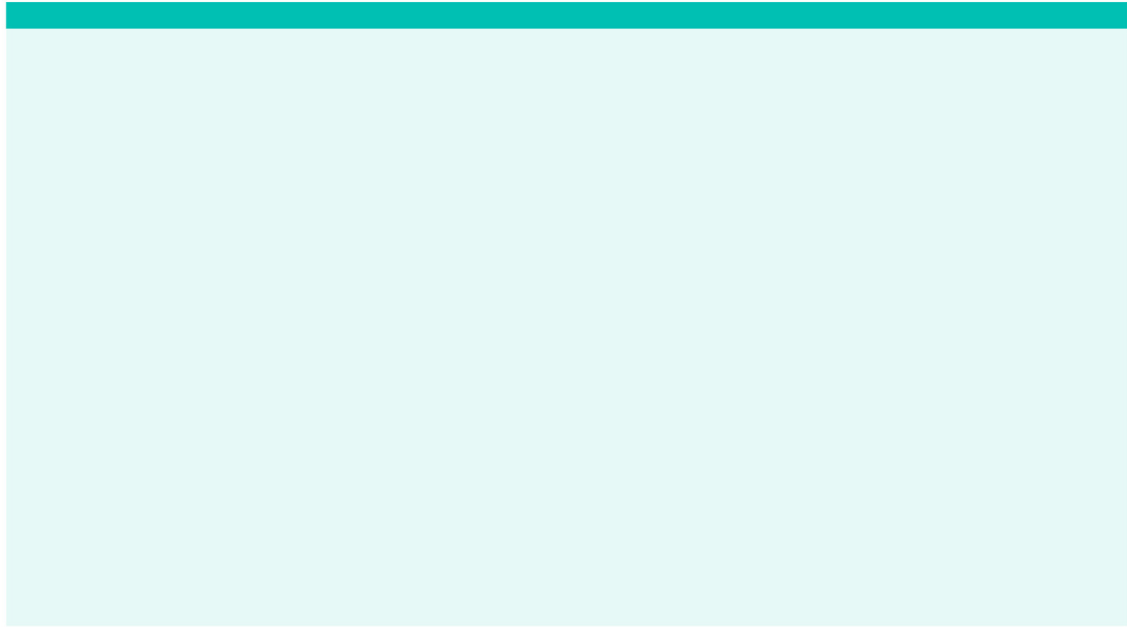
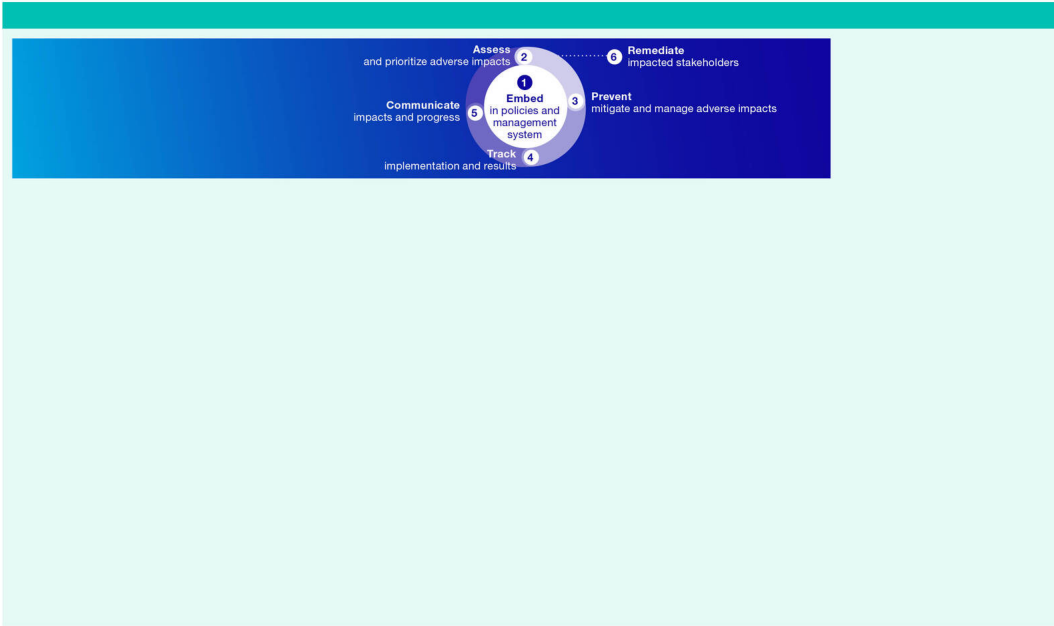
n/a

In 2025, we achieved our target with our three-year rolling average well-being score of 79.9% – we measured 0.7 pp above the top 25% external global benchmark of 79.2%, also representative of a three-year rolling average. This was a new target set for 2025. Despite setting a target which fluctuates yearly relative to external performance, we determine our baseline on our 2024 performance at 81.2%.

Attractive workplace for all: Well-being (continued)







Responsible product use	
Just as we are committed to protecting the environment and respecting human rights, we expect and encourage the same from our customers. Despite our efforts to conduct due diligence, we do not always know – and cannot control – which products our customers and their own customers create with the use of our products and services, and cannot prevent all potential misuse. However, we reserve the right to decline, restrict or cease business in the event of any violation of our responsible value chain policy or our Human Rights Policy. We conduct voluntary due diligence on our customers by: •Considering environmental and human rights risks and impacts prior to entering new business relationships. •Seeking contractual assurances regarding environmental and human rights risks and impacts when relevant. Read more in Strategic report – Our business – Our marketplace	We recognize our wide-ranging impact in society, contributing to global digitalization and transforming the ways in which people live and work. We believe that microchip-enabled digital technologies are among the most critical tools for societal advancement. Driving this positive impact for society is an integral part of our corporate vision and business strategy, with related policies, actions and targets embedded across our operations and tracked for effectiveness. At the same time, we understand that technological development presents human rights and environmental challenges within global value chains. One of the emerging environmental challenges facing the world today is the rapidly rising energy consumption of data centers as a result of the growth of AI. Addressing this issue will require more efficient AI models and improved semiconductors. If we do not act together as an industry, emissions from semiconductor production are forecasted to increase by a factor of four in 2030. This is a key challenge that ASML and the entire industry must face. We continue to monitor our approach to responsible product use. Read more in Strategic report – Our business – Our products and services

Responsible value chain: Responsible product design

Our objective



We aim to adopt responsible design practices to prevent and mitigate potential impacts from material choices, manufacturing,

and use of our products on human rights and the environment across our value chain.

Our scope

The scope of this sub-topic covers ASML's product design. We recognize that product design has an impact on sourcing, manufacturing, delivery, and the safe use and maintenance of our systems by customers and partners.

Targets and performance

Currently, we have not set formal targets for responsible product design. However, we monitor KPIs to assess how well we integrate responsibility into our design processes. This includes tracking compliance with relevant laws and regulations, most notably the EU RoHS (Restriction of Hazardous Substances) and REACH (Registration, Evaluation, Authorisation and Restriction of Chemicals) directives. This tracking helps us evaluate our performance and identify areas for continuous improvement.

Our actions and resources

How we manage product safety and regulatory requirements

To help ensure our products and systems comply with applicable regulations and are safe, we focus on safety at every stage of the product lifecycle: research, design, development, production, transport, installation, maintenance, upgrades and decommissioning.

Our Global Product Safety and Regulatory teams are part of Quality and Excellence, and are accountable for our overall product safety approach. To support safe design, we have defined and implemented key risk areas and associated product safety competencies in



Responsible value chain: Responsible supply chain (continued)

Targets and performance

We have two targets relating to the RBA SAQ:
Achieve 90% completion of the RBA SAQ by all suppliers in scope by 2025



2025



We asked a total of 180 in-scope suppliers to complete the RBA SAQ in 2025 (2024: 147). In general, the results show a low to medium risk level in our supply base. By the end of 2025, 90% of the suppliers (2024: 91%) in scope had completed the RBA SAQ. The base year for this target is 2020 (88% completion).

Having achieved our target of 90% – we plan to continue progressing on our responsible supply chain journey, with the current target remaining in place until 2026.

Achieve 100% evaluation of – and agree follow-up action with – our suppliers identified by the RBA SAQ as having overall high risk, by 2025



2025



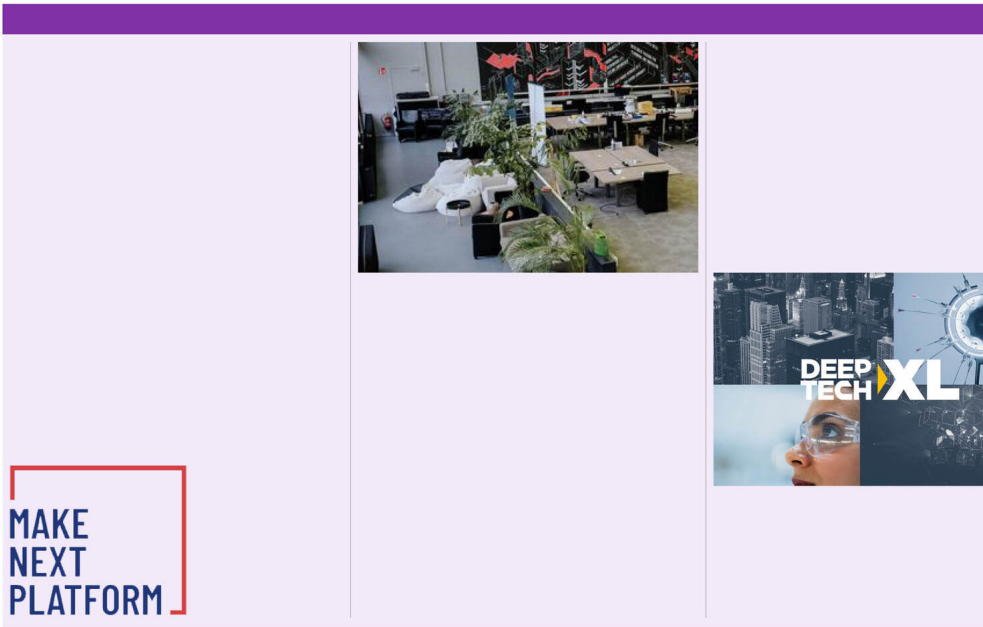
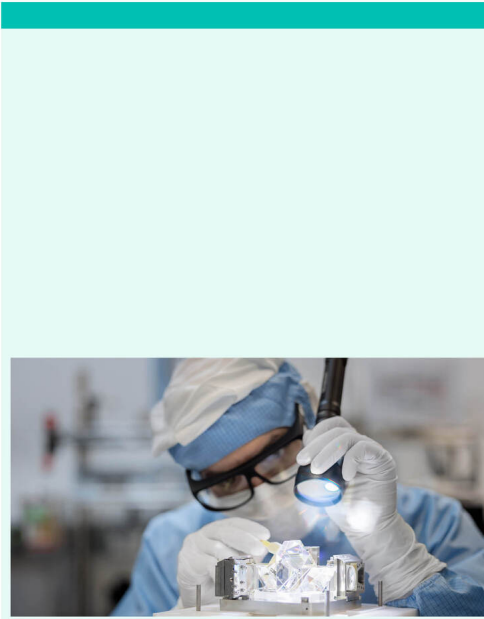
The RBA SAQ process did indicate high risks related to (forced) labor, health and safety, environment or ethics standards for several suppliers.

All nine suppliers (2024: nine) with an overall high-risk score were evaluated. High-risk elements were investigated and, where applicable, follow-up actions were agreed with our suppliers. Most were related to 'forced-labor' (for example, use of migrant workers) and 'health and safety' (for example, incidents resulting in injuries). We targeted additional follow-up actions at suppliers with one or more high-risk elements, regardless of

Responsible value chain: Responsible supply chain (continued)

Key elements of the RBA SAQ	
Element	RBA commitment
Labor	To uphold the human rights of all workers (direct and indirect) and to treat them with dignity and respect as understood by the international community, including the International Labour Organization (ILO)'s eight fundamental conventions.
Health and safety	To minimize the incidence of work-related injury and illness, and to ensure a safe and healthy working environment. Communication and education are essential in identifying and solving health and safety issues in the workplace.
Environment	Environmental responsibility is integral to producing world-class products and services. Adverse effects on the environment, natural resources and communities are to be minimized, while safeguarding the health and safety of the public.
Ethics	To meet social responsibilities and achieve success in the industry, the highest standards of ethics should be upheld – including but not limited to business integrity, anti-bribery and corruption, antitrust and competition, and protecting privacy.
Members and participants are committed to establishing a management system to ensure:	





Innovation ecosystem: ESG innovation (continued)
Targets and performance

Amount invested to realize ESG innovation (€/employee) by 2025

€0	€150	€300	€450	€600	€750	€900
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2024

2025

2025 target: N/A

€299

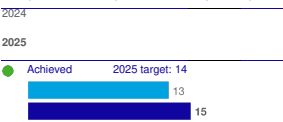
€665

Of our total CPP investment, we invested €28.8 million (2024: €12.5 million) in

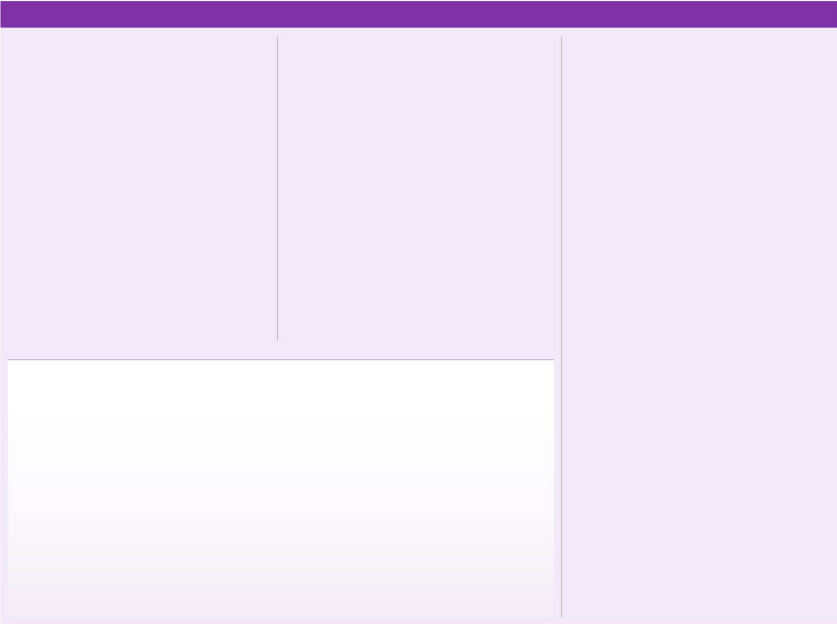
programs on ESG-focused research, startups, scaleups and collaborations in 2025, representing €665 per employee. While no stand-alone target is set for ESG Innovation, these investments are reflected in the performance against our overarching CPP target of €2,000 per employee by 2025. Although we did not reach our overall target by 2025, we remain committed to investing in ESG Innovation. To support this effort, the current overarching target of €2,000 per employee will remain the same, but we now aim to reach it by 2030.

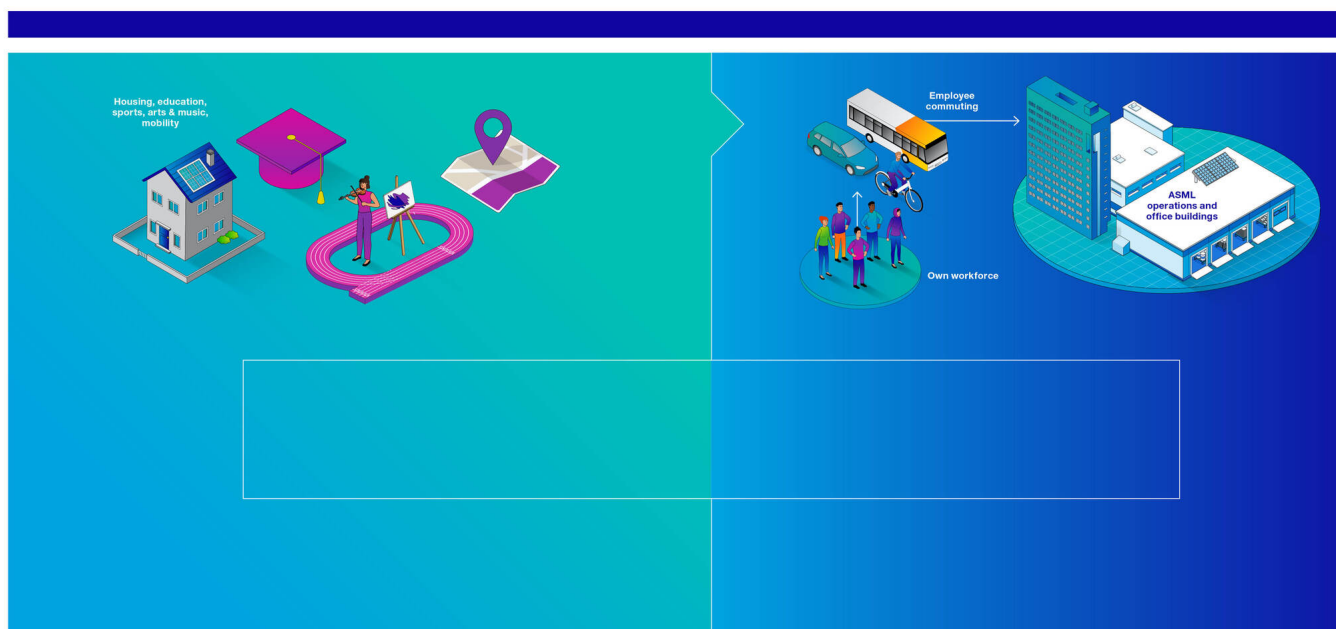
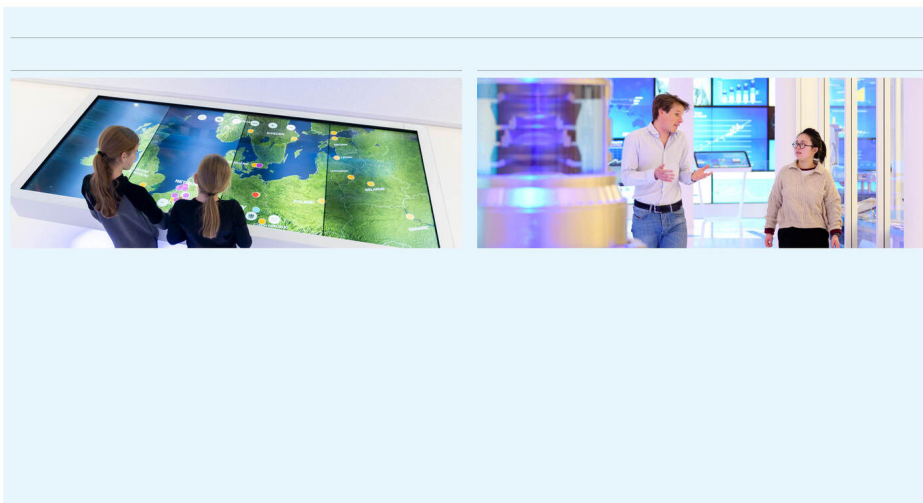
[Read more in Sustainability statements – Social – Valued Partner in our communities – How we are managing valued partner in our communities](#)

Number of ESG-focused scaleup companies supported by 2025 (cumulative in numbers)



Based on the strategic ambitions of the platforms for startups and scaleups we invest in, we set a target to support 14 ESG focused scaleups, as nominated by the MNP, either through cash contributions or support from ASML professional in hours. In 2025, we provided 5,908 (2024: 5,360) hours of in-kind support, totaling €1.5 million (2024: €1.3 million). In addition to our prior commitments of over €22 million in 2025 we





How we are managing valued partner in our communities

Our approach

We partner with our communities to significantly invest where we can make the most meaningful impact, and aim to boost the science, technology, engineering and mathematics (STEM) talent pipeline for future generations of tech creators. By collaborating with partners in our innovation ecosystem we fuel progress.

Our Community Partnership Program (CPP), started in 2023, governs our global contributions to both society and local communities through investments based on

structural community stakeholder feedback:

Attractive communities

We work to improve and create positive experiences in our communities, while responsibly managing the negative impacts of our growth.

Inclusive communities

We aim to understand and help address the challenges faced by disadvantaged members of our communities. We also seek to create equal opportunities for students to unlock their full potential.

STEM education

We help grow the STEM/technical talent pool that society needs to solve some of its key challenges.

ESG innovation

We use our knowledge and expertise to support research, startups and scaleups, and collaborate with platforms and partners on projects with great societal benefits. This helps create a diverse innovation ecosystem that is able to solve ESG challenges facing society.

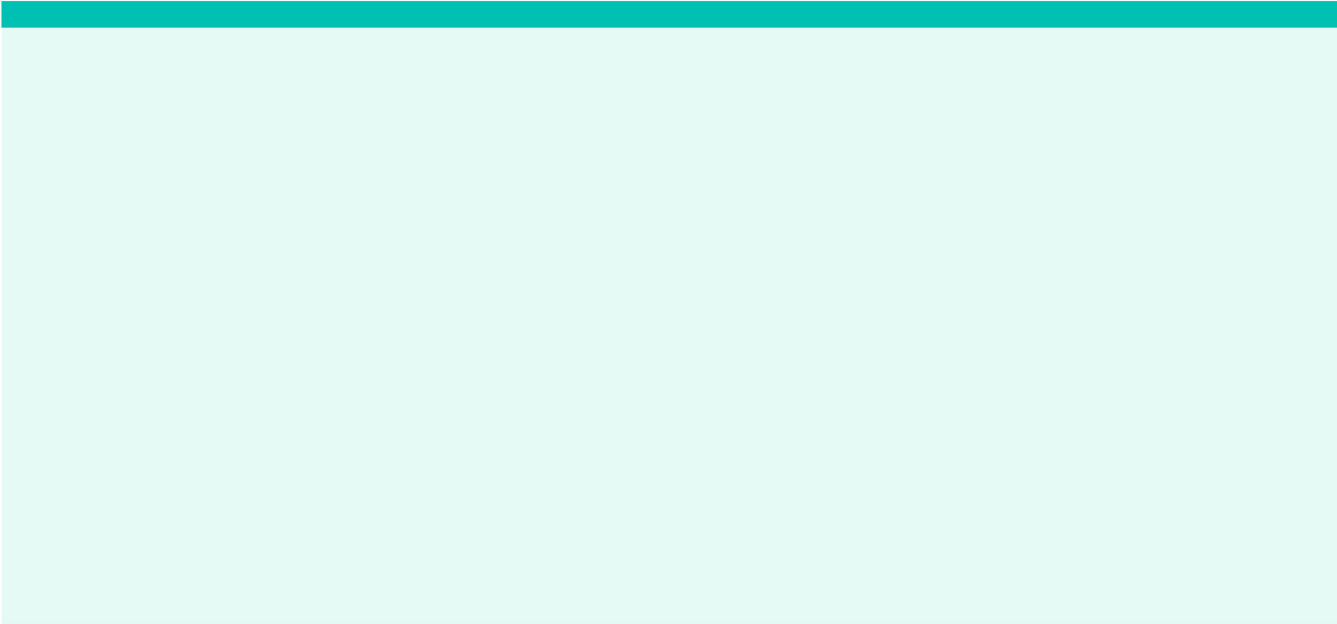
[Read more in Sustainability statements – Social – innovation ecosystem](#)

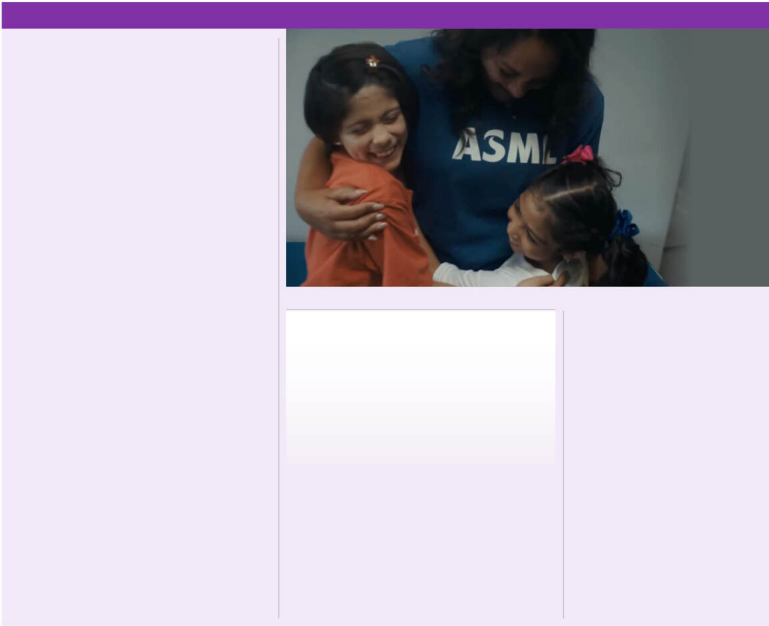
Employee Giving program

We also support our employees in their efforts to give back to their community in their areas of interest. Through our Employee Giving program, we match employee donations up to €10,000 per employee per year, and support their volunteering initiatives.

Our Valued Partnership approach applies worldwide, to all our employees and partners across the value chain and is closely linked to our Code of Conduct, our Human Rights Policy.

[Read more in our Code of Conduct and Human Rights Policy at **asml.com**](#)





Valued partner in our communities: Attractive communities

Our objective



We aim to enhance the overall quality of life in the communities in which we operate. We strive to help create vibrant, resilient communities where people want to live, work, and thrive.

Our scope

Our scope is local affected communities, surrounding our main locations. In contributing to attractive communities, we focus on:

- Affordable housing
- Sustainable mobility
- Cultural integration
- Attractive sports, arts and music
- Green communities

Targets and performance

Amount invested into creating attractive communities (€ /employee)

€0	€50	€100	€150	€200	€250	€300
2024						
2025						

2025 target: N/A



Of our total CPP investment, we invested €10.5 million (2024: €10.7 million) in programs focused on creating attractive communities in 2025, representing €242 per employee. While no stand-alone target is set for attractive community initiatives, these investments are reflected in the performance against our overarching CPP target of €2,000 per employee by 2025. Although we did not reach our overall target by 2025, we remain committed to our attractive community ambitions. To support this effort, the current overarching target of €2,000 per employee will remain the same, but we now aim to reach it by 2030.

Our actions and resources

Valued partner in our communities: Attractive communities (continued)

Buddy system for internationals

Working with local partner Cordaad Welzijn, we are helping create more connections between locals and internationals. In 2025, this initiative linked close to 200 international families, including nearly 60 ASML employees, with local 'buddies' who help them integrate and answer their day-to-day questions.

Bringing people together through sports, arts and music

We support a wide range of initiatives that bring people together in their love for sports, arts and music. These include, but are not limited to:

- Hosting **ASML Summer Games (ASML Zomerspelen)**: In 2025, over 1,700 (2024:

1,200) children and teenagers participated in the ASML Summer Games, organized with BrabantSport and local partners. The initiative offered free sports clinics, sports gear to local children, focusing on families with limited resources and children with care needs – and our partners helped connect families to ongoing support.

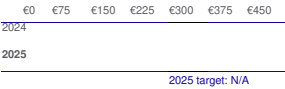
- Sponsoring **ASML Marathon Eindhoven**, we cover the entry costs for all employees and 455 (2024: 500) local residents with limited resources. In 2025, over 36,800 runners took part (2024: 38,000), including over 3,800 (2024: 3,300) ASML employees.
- Collaborating with **PSV Eindhoven football club** in providing match access via the ASML Community Lounge to thousands of underserved local residents.
- Partnering with the **Van Gogh Museum**, Nuenen, to make entry free for all children under 18.
- Collaborating with **GLOW Light Art Festival** in showcasing light art across the city. In 2025, GLOW drew around one million (2024: 750,000) visitors.
- Partnering with **Theater de Schalm**, Veldhoven, to enable free youth performances for children up to age 12 and supporting year-round cultural programming to strengthen community ties.
- Partnering with **Effenaar music venue**, Eindhoven. The annual Hit The City festival brings popular international artists to Eindhoven, featuring over 86 acts and attracting around 41,500 (2024: 31,500) people.
- Partnering with **Muziekgebouw Eindhoven** in support of cultural

Valued partner in our communities: Inclusive communities

Our objective



We aim to foster communities that offer equal opportunities for all. We strive to help remove barriers and create environments where everyone can participate fully.



Our scope

Our scope is local affected communities, surrounding our main locations. In contributing to inclusive communities, we focus on:

- Employment
- Equal opportunities for education
- Sports, arts and music
- Basic needs

Targets and performance

Amount invested into creating inclusive communities (€/employee)



Of our total CPP investment, in 2025 we invested €16.4 million (2024: €7.9 million) in programs focused on creating inclusive communities, representing €379 per employee. While no stand-alone target is set for inclusive community initiatives, these investments are reflected in the performance against our overarching CPP target of €2,000 per employee by 2025. Although we did not reach our overall target by 2025, we remain committed to our inclusive community ambitions. To support this effort, the current overarching target of €2,000 per employee will remain the same, but we now aim to reach it by 2030.

Our actions and resources

Improving access to employment

Valued partner in our communities: Inclusive communities (continued)

Making sports, arts and music more accessible

We aim to make sports, arts and music more accessible to everyone by reducing financial, practical and accessibility barriers. One such activity is ASML School Football Tournament (NL). In collaboration with the FC Eindhoven Foundation, we host a free school football tournament for all primary and secondary schools in Brainport Eindhoven region. In 2025, the program expanded to reach a total of 504 teams (2024: 335) with more than 4,032 participants (2024: 3,000) competing from across the region.

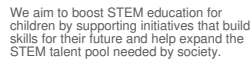
Contributing to access to basic needs

Having access to basic needs including food, shelter, clothes and vital healthcare is essential to enabling everyone to participate in society. We have several ongoing activities that support this, including:

- Supporting several food banks in the US, including Second Harvest of Silicon Valley, San Diego Food Bank and the Food Bank of Lower Fairfield County.
- Supporting the Senior Nutrition Program with a grant enabling them to deliver 611,000 meals to homebound, low-income seniors in San Diego County.



Our objective



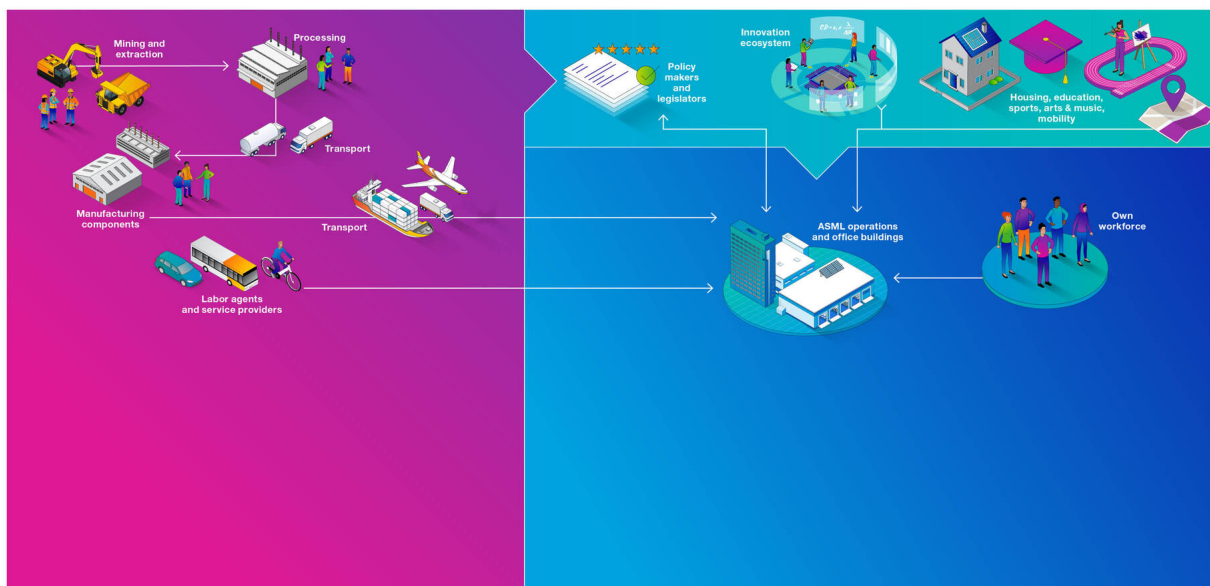
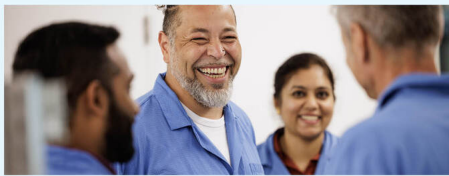
Our scope is our local communities, surrounding our main locations, namely in The Netherlands, the US and Taiwan.

Amount invested for STEM education (€/employee)



Of our total CCP investment, we invested €9.4 million (2024: €7.4 million) in STEM education in 2025, representing €218 per employee. While no stand-alone target is set for STEM education, these investments are related to the performance against our overarching CCP target of €200 per employee by 2025. Although we did not reach our overall target by 2025, we remain committed to investing in STEM education. To support this effort, the current overarching target of €200 per employee will remain the same, with our aim to reach it by 2026. In 2025, we reached over 176,000 children within a 35 km radius of Veldhoven (the Netherlands), Wilton (US) and Taiwan, falling short of our ambition of 200,000. Our aim is to stimulate STEM education and drive a new generation of talent that will drive future innovation – not only within ASML but in the local and regional communities we work in.

Our actions and resources



How we are managing ESG integrated governance

Our approach

Our ESG sustainability commitments are integral to our business strategy. Championing good integrated corporate governance helps build trust, respect and mutual benefit with our stakeholders – and we aim to do this by making ESG sustainability part of our daily decision-making.

We strive to uphold the highest standards of integrity and continuously improve our governance by listening to feedback from all stakeholders. At the same time, we always seek to amplify the core values, purpose, vision and mission that make ASML the

company it is today. This helps create a corporate culture that facilitates mutual respect, where people feel valued – with space for creative ideas and unique points of view. Our values of ‘challenge’, ‘collaborate’ and ‘care’ help our employees develop their talent in a safe, inclusive environment. Feeling respected and able to thrive, they are free to make smart decisions. By embedding ESG sustainability in our business, we aim to create lasting value for all stakeholders.

Our integrated governance includes five sub-topics that we focus on to fully integrate ESG sustainability:

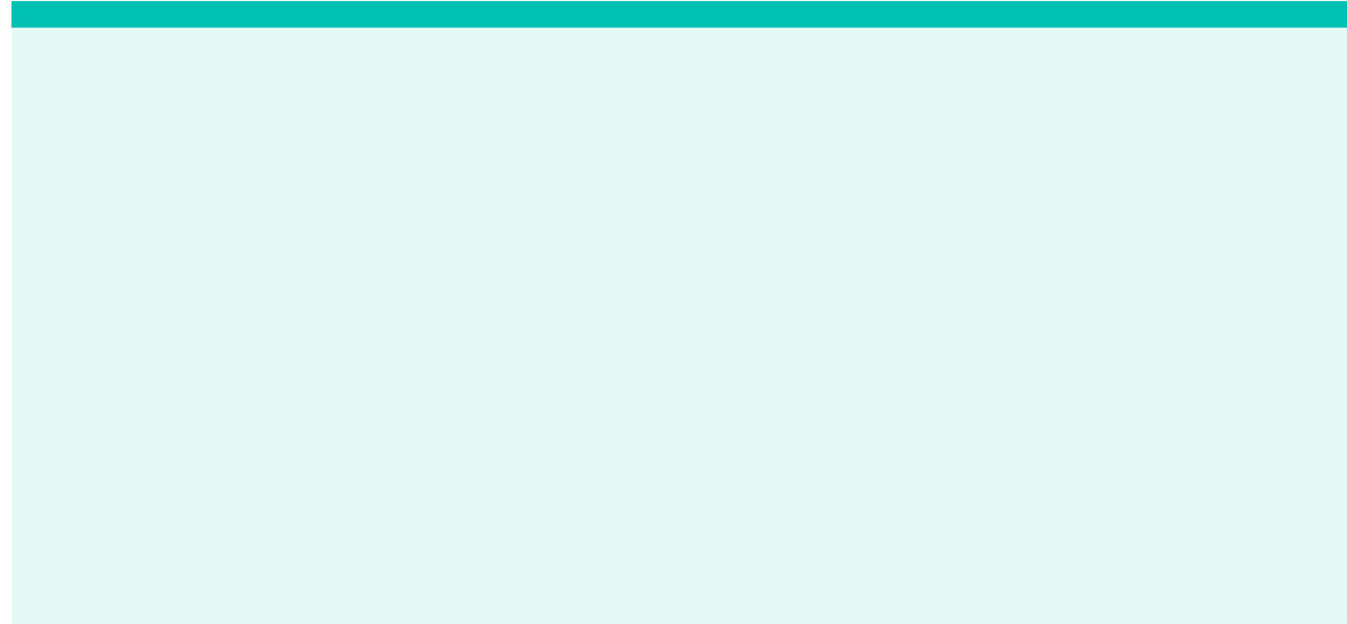
- Purpose, vision, mission and values
- Strategy and business priorities
- Organization, processes and governance
- ESG risk management
- Responsible business conduct and compliance

[Read more in Strategic report – Our business – Our business strategy – Deliver on ESG sustainability](#) and in Sustainability Statements – General disclosures – ESG sustainability governance

Responsible business conduct and compliance

We are committed to conducting business with fairness and integrity, respecting the law in all the countries we operate in. We promote and uphold ethical behavior, fostering a culture where speaking up is appreciated and encouraged.

We also seek to continuously improve and professionalize our ethics and related compliance organization to the highest standards. We expect employees – as well as customers, suppliers, contractors and other business partners – to adhere to our Code of Conduct and its supporting policies.



ESG integrated governance: Responsible business conduct and compliance

Our objective



We aim to uphold ethical business practices by embedding fairness, integrity, and compliance in our operations. We maintain zero tolerance for bribery and corruption.

Our scope

Responsible business conduct and compliance, as outlined in our Code of Conduct, applies globally - across all employees and business relationships throughout our operations and value chain, in every country where we operate.

Targets and performance

Currently, we have not set formal targets for responsible business conduct and compliance.

Business ethics and our Code of Conduct

We keep our Code of Conduct updated with the latest RBA standards. Training materials are available for all employees and we track participation closely. We are constantly enhancing our programs and strengthening our measures, as we aim to demonstrate our commitment to ethical business practices and the highest standards of fairness, integrity and compliance. By the end of 2025, 94% of employees (2024: 97%) had completed the Code of Conduct training course.

Furthermore, we track and assess our employee's perspective on business ethics through a, fully revised, annual ethics survey. In 2025, over 9600 colleagues shared their thoughts on ethics and speaking up within ASML. 98% of them report to understand the main principles of our Code of Conduct and how to follow them.

Fair management of relationships with suppliers

We build supplier relationships on clear expectations for ethical conduct, as outlined in our Code of Conduct. Our Supplier Payment Terms Policy sets a standard payment term of 60 days, with shorter

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ESG integrated governance: Business ethics and compliance (continued)

In 2025, 98% of these employees completed the training. We also provide training to selected business partners who may pose or face higher risks of fraud, bribery and corruption – reiterating our compliance framework, offering guidance and tools to recognize and resist fraud, bribery and corruption, and encouraging speaking up.

Our actions and resources

Promoting ethical behavior and improving training programs

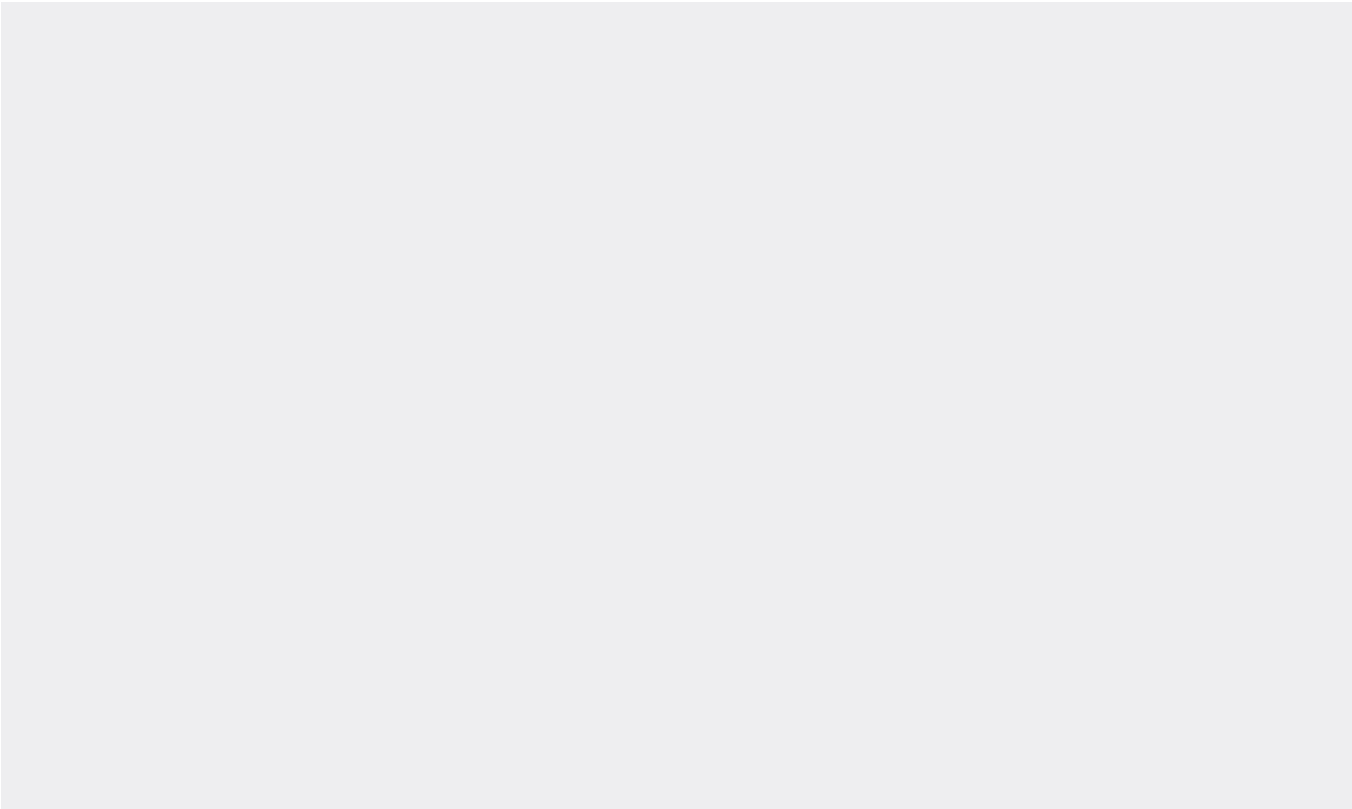
In 2025, we strengthened ownership of ethical leadership by shaping our processes, elevating team capabilities, and refreshing our Speak Up and human rights frameworks. We have extended our ethics training curriculum and now provide additional training for our network of ethics liaisons, as well as refreshers for all employees. We revamped online training for people managers to incorporate updated regulation, societal developments, and peer benchmarking – enhancing awareness and strengthening responsible leadership across the organization.

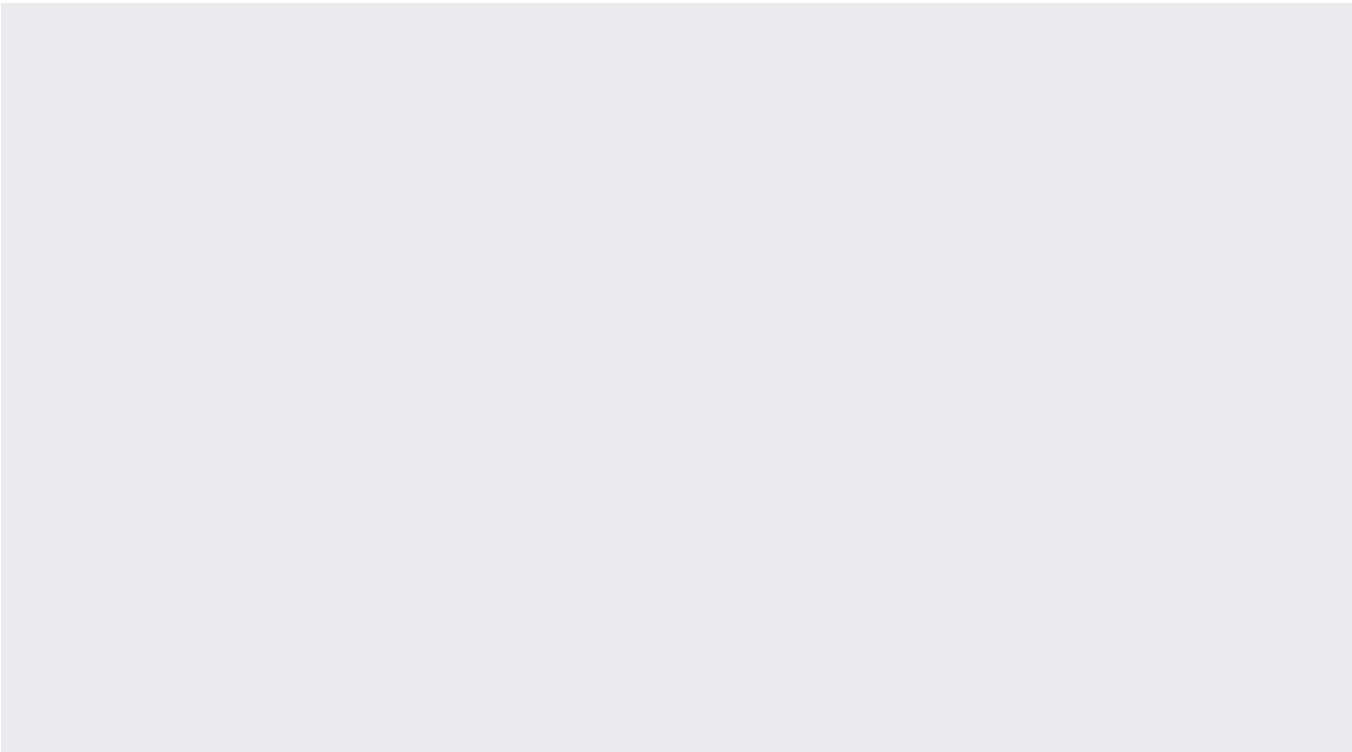
Maturing our global Ethics and Business Integrity team

In 2025, we further professionalized our global Ethics and Business Integrity team. Ethics liaisons at ASML are employees who, alongside their regular roles, act as trusted representatives – the first local point of contact for ethics-related questions and concerns everywhere we operate. Our network of ethics liaisons consists of approximately 70 employees. We introduced tailored sessions to help them understand the importance of enacting, upholding and embodying our updated Code of Conduct. We use an external company to conduct annual mandatory training for liaisons, to enable them to adhere to best practices. Our Legal & Compliance and Risk & Business Assurance teams continuously monitor regulatory developments and business activities. In 2025, we further enhanced our ESG legislation tracking to proactively identify and respond to upcoming changes in laws and regulations, ensuring timely alignment with business ethics and compliance standards.

Speak Up and Non-retaliation Policy

Our policy encourages open communication and aims to promptly address violations of





Report of independent registered public accounting firm (continued)

The principal considerations for our determination that performing procedures relating to revenue recognition – identification of distinct performance obligations in volume purchase agreements is a critical audit matter are a high degree of auditor subjectivity and effort in performing procedures and evaluating the sufficiency and appropriateness of audit evidence related to the identification of distinct performance obligations in material VPAs. Addressing the matter involved performing procedures and evaluating audit evidence in connection with forming our overall opinion on the consolidated financial statements. These procedures included testing the effectiveness of controls relating to the Company’s revenue recognition process related to the identification of distinct performance obligations included in VPAs. These procedures also included, among others, (i) evaluating the identification of distinct performance obligations of material VPAs by obtaining and reading the agreement as well as relevant amendments and underlying accounting analysis and considering the specific terms, conditions, and promises introduced; and (ii) the identification of circumstances which may trigger the identification of additional performance obligations.

/s/ PricewaterhouseCoopers Accountants N.V.
Eindhoven, The Netherlands
February 25, 2026
We have served as the Company’s auditor since 2024.

Report of independent registered public accounting firm

To the Shareholders and Supervisory Board
ASML Holding N.V.

Opinion on the Consolidated Financial Statements

We have audited the accompanying consolidated balance sheet of ASML Holding N.V. and subsidiaries (the Company) as of December 31, 2024, the related consolidated statements of operations, comprehensive income, shareholders' equity, and cash flows for each of the years in the two year period ended December 31, 2024, and the related notes (collectively, the consolidated financial statements). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024, and the results of its operations and its cash flows for each of the years in the two-year period ended December 31, 2024, in conformity with U.S. generally accepted accounting principles.

Basis for Opinion

These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We are a public accounting firm registered with the Public Company Accounting Oversight Board (United States) (PCAOB) and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the consolidated financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements. We believe that our audits provide a reasonable basis for our opinion.

/s/ KPMG Accountants N.V.
Amstelveen, The Netherlands
March 5, 2025

We served as the Company's auditor from 2015 to 2025.

Consolidated statements of operations

Year ended December 31 (€ in millions, except per share data)	Notes	2023	2024	2025
Net system sales		21,938.6	21,768.7	
Net service and field option sales		5,619.9	6,494.2	
Total net sales	2, 3	27,558.5	28,262.9	
Cost of system sales		(10,151.0)	(10,406.9)	
Cost of service and field option sales		(3,271.4)	(3,364.0)	
Total cost of sales¹		(13,422.4)	(13,770.9)	
Gross profit		14,136.1	14,492.0	

Financial statements	Notes	Appendices	Definitions
Consolidated statements of comprehensive income			
Year ended December 31 (€ in millions)			
Notes	2023	2024	2025
Net income		7,839.0	7,571.6
Other comprehensive income:			
Proportionate share of OCI from equity method investments		0.2	(12.1)
Foreign currency translation, net of taxes:			
Gain (loss) on foreign currency translation		(68.3)	91.9
Financial instruments, net of taxes:			
Gain (loss) on derivative financial instruments		(15.8)	38.2
Transfers to net income from derivative financial instruments	25	0.6	(8.9)
Other comprehensive income, net of taxes		(83.3)	109.1
Total comprehensive income, net of taxes		7,755.7	7,680.7
Attributable to equity holders		7,755.7	7,680.7

Financial statements	Notes	Appendices	Definitions
Consolidated balance sheets			
As of December 31 (€ in millions, except share and per share data)			
Notes	2024	2025	
Assets			
Cash and cash equivalents	4	12,735.9	12,916.0
Short-term investments	4	5.4	405.9
Accounts receivable, net¹	5	4,477.5	3,023.0
Finance receivables, net	6	82.6	613.5
Current tax assets	21	283.6	88.9
Contract assets	2	320.6	440.6
Inventories, net	7	10,891.5	11,429.3
Loans receivable²	26	—	266.1
Other assets⁴	8	1,940.3	1,432.8
Total current assets		30,737.4	30,616.1
Finance receivables, net	6	317.2	13.3
Deferred tax assets	21	1,940.7	1,719.4
Loans receivable³	26	1,456.6	1,653.9
Other assets⁵	8	790.8	1,057.1
Equity investments	9	—	1,320.7
Equity method investments	10	903.0	822.6
Goodwill	11	4,588.6	4,588.6
Other intangible assets, net	12	621.3	540.1
Property, plant and equipment, net	13	6,846.8	7,893.8
Right-of-use assets	14	387.2	341.0
Total non-current assets		17,852.2	19,950.5
Total assets		48,589.6	50,566.6

Financial statements	Notes	Appendices	Definitions
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Consolidated statements of shareholders' equity

(€, in millions)	Notes	Issued and outstanding shares Number	Amount	Share premium	Treasury shares at cost	Retained earnings	OCI	Total
Balance at January 1, 2023								
Components of comprehensive income:								
Net income		394.6	36.3	3,940.8	(4,641.3)	9,046.7		428.3
Proportionate share of OCI from equity method investments		—	—	—	—	—		0.2
Gain (loss) on foreign currency translation		—	—	—	—	—		(68.3)
Gain (loss) on financial instruments		—	—	—	—	—		(15.2)
Total comprehensive income		—	—	—	—	7,839.0		(83.3)
Purchase of treasury shares	22	(1.6)	—	—	(1,000.0)	—		—
Cancellation of treasury shares	22	—	(0.3)	—	2,105.1	(2,104.8)		—
Share-based payments	20	—	—	134.8	—	—		—
Issuance of shares	20	0.5	—	(77.5)	230.0	(53.1)		—
Dividend paid	22	—	—	—	—	(2,348.3)		—
Balance at December 31, 2023								
		393.5	36.0	3,998.1	(3,306.2)	12,379.5		345.0
Components of comprehensive income:								
Net income		—	—	—	—	7,571.6		—
Proportionate share of OCI from equity method investments		—	—	—	—	—		(12.1)
Gain (loss) on foreign currency translation		—	—	—	—	—		91.9
Gain (loss) on financial instruments		—	—	—	—	—		29.3
Total comprehensive income		—	—	—	—	7,571.6		109.1
Purchase of treasury shares	22	(0.6)	(0.1)	—	(499.9)	—		—
Cancellation of treasury shares	22	—	(0.5)	—	3,050.4	(3,049.9)		—
Share-based payments	20	—	—	172.6	—	—		—
Issuance of shares	20	0.4	—	(121.7)	279.7	(34.0)		—
Dividend paid	22	—	—	—	—	(2,452.9)		—
Balance at December 31, 2024								
		393.3	35.4	4,049.0	(476.0)	14,414.3		454.1

Consolidated statements of shareholders' equity (continued)

(€, in millions)	Notes	Issued and outstanding shares Number	Amount	Share premium	Treasury shares at cost	Retained earnings	OCI	Total
Balance at December 31, 2024								
		393.3	35.4	4,049.0	(476.0)	14,414.3	454.1	
Components of comprehensive income:								
Net income		—	—	—	—	9,609.4	—	
Proportionate share of OCI from equity method investments		—	—	—	—	—	14.1	
Gain (loss) on foreign currency translation		—	—	—	—	—	(257.8)	
Gain (loss) on financial instruments		—	—	—	—	—	(74.6)	
Total comprehensive income		—	—	—	—	9,609.4	(318.3)	
Purchase of treasury shares	22	(8.3)	—	—	(5,950.0)	—	—	
Cancellation of treasury shares	22	—	(0.5)	—	3,778.3	(3,777.8)	—	
Share-based payments	20	—	—	202.3	—	—	—	
Issuance of shares	20	0.4	—	(144.2)	394.8	(108.3)	—	
Dividend paid	22	—	—	—	—	(2,550.3)	—	
Balance at December 31, 2025								
		385.4	34.9	4,107.1	(2,252.9)	17,587.3	135.8	

¹As of December 31, 2025, accumulated OCI consists of €35.0 million gain relating to our proportionate share of other comprehensive income from equity method investments (2024: €20.9 million gain; 2023: €33.0 million gain), €153.7 million relating to foreign currency translation (2024: €411.5 million gain; 2023: €319.6 million gain) and €52.9 million relating to unrealized loss on financial instruments (2024: €21.7 million gain; 2023: €7.6 million loss).

Consolidated statements of cash flows

Year ended December 31 (€, in millions)	Notes	2023	2024	2025
Cash flows from operating activities				
Net income		7,839.0	7,571.6	9,609.4
Adjustments to reconcile net income to net cash flows from operating activities:				
Depreciation and amortization	12, 13	739.8	918.6	1,025.9
Impairment and loss on disposal	12, 13	37.5	35.8	49.7
Share-based compensation expense	18, 20	134.8	172.6	202.3
Inventory reserves	7	485.3	554.7	469.4
Deferred tax expense (benefit)	21	(133.6)	(144.8)	180.7
Equity method investments	10, 26	4.2	4.4	94.6
Changes in assets and liabilities:				
Accounts receivable, net	5	959.9	(139.9)	1,415.5
Finance receivables, net	6	(88.6)	1,038.7	(227.2)
Inventories	7	(1,646.9)	(1,860.9)	(832.5)
Other assets	8	(344.3)	(1,299.0)	(561.9)
Accrued and other liabilities	15	222.0	625.5	(237.3)
Accounts payable		(261.7)	1,127.6	13.4
Current tax assets and liabilities	21	(939.4)	689.5	334.1
Contract assets and liabilities	2	(1,564.6)	1,871.8	1,122.4
Net cash provided by operating activities		5,444.4	11,188.9	12,858.8

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Notes to the Consolidated financial statements

1. General information / summary of general accounting policies

ASML is a leading supplier to the semiconductor industry. We provide chipmakers with hardware, software and services to mass produce the patterns of integrated circuits (microchips). Together with our partners we drive the advancement of more affordable, more powerful and more energy-efficient microchips. We enable groundbreaking technology to solve some of humanity's toughest challenges in healthcare, energy use and conservation, mobility and agriculture. Headquartered in Europe's top tech hub, the Brainport Eindhoven region in the Netherlands, we are a global team of more than 44,000 employees (FTEs). Our principal operations are in EMEA, North America and Asia. Our shares are listed for trading in the form of registered shares on Euronext Amsterdam and Nasdaq. The principal trading market of our ordinary shares is Euronext Amsterdam.

Basis of preparation

The accompanying Consolidated financial statements are stated in millions of euros unless indicated otherwise. The accompanying Consolidated financial statements have been prepared in conformity with US GAAP.

Use of estimates

The preparation of our Consolidated financial statements in conformity with US GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and the disclosure of contingent assets and liabilities on the balance sheet dates, and the reported amounts of net sales and costs for the reported periods. The inputs into our estimates and assumptions consider economic implications including supply chain constraints, inflation and uncertainty in the macroeconomic environment. ASML will continue to monitor the impacts of economic implications and incorporate them into accounting estimates. We evaluate our estimates on a regular basis and we base our estimates on historical experience and on various other assumptions that we believe to be reasonable under the circumstances. Actual results may differ from these estimates if the assumptions prove incorrect. To the extent there are material differences between actual results and these estimates, our future results could be materially and adversely affected.

We believe that the accounting policies described below require us to make judgments and estimates in the preparation of our Consolidated financial statements. We believe that these estimates and the related assumptions are appropriate, however we do not believe any of them constitute critical accounting estimates that involve a significant level of uncertainty that is reasonably likely to have a material impact on the Consolidated financial statements.

Principles of consolidation

The Consolidated financial statements include the Financial statements of ASML Holding N.V. and all of its subsidiaries. Subsidiaries are all entities over which ASML controls the financial and operating activities, generally accompanying a shareholding of more than 50.0% of the outstanding voting rights. Subsidiaries are fully consolidated from the date on which control is obtained by ASML. All intercompany transactions, balances and unrealized results on transactions with subsidiaries are eliminated. We also assess if we are the primary beneficiary of, and thus should consolidate, any variable interest entity (VIE).

Foreign currency translation

The financial information for subsidiaries with a functional currency outside the Eurozone is measured using a mix of local currencies or the euro as the functional currency. The Financial statements of those foreign subsidiaries with a functional currency different than the euro are translated into euros in the preparation of ASML's Consolidated financial statements. Assets and liabilities are translated into euros at the exchange rate on the respective balance sheet dates, and income and costs are translated into euros based on the average exchange rate for the corresponding period. The resulting translation adjustments are recorded directly in shareholders' equity.

New US GAAP accounting pronouncements adopted

We have applied the following accounting pronouncements for the first time for the annual reporting period commencing 1 January 2025:

• ASU 2023-09 – Income Taxes (Topic 740): Improvements to Income Tax Disclosures

Applicable disclosures are included in Note 21 Income taxes.

New US GAAP accounting pronouncements issued but not adopted

The new and amended accounting pronouncements that are issued, but not yet effective, up to the date of issuance of the Consolidated financial statements, and for which a material effect is expected, are disclosed below. We intend to adopt these new and amended accounting pronouncements, if applicable, when they become effective.

ASU 2024-03 – Disaggregation of Income Statement Expenses

The standard requires disaggregated disclosure of income statement expenses. It requires disaggregation of certain expense categories into specified categories in disclosures within the notes to the financial statements. ASU 2024-03 is

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Notes to the Consolidated financial statements (continued)

2. Revenue from contracts with customers

Accounting policy

We measure revenue based on the consideration specified in the contracts with our customers, adjusted for any significant financing components, and excluding any taxes collected on behalf of third parties. We recognize revenue when we satisfy a performance obligation by transferring control over a good or service to our customer. We bill our customers for, and recognize as revenue, charges for shipping and handling costs.

Depending on the contract, we generally obtain a right to payment for our systems through a reservation of a production slot and/or upon delivery of our systems, with the remaining portion upon final acceptance of our systems. Right to payment for our service and field options occurs upon delivery or completion of the service unless described otherwise. The payment is typically due 15–45 days after the aforementioned events. Our contracts typically include cancellation penalties that provide economic protection from the risk of customer cancellation. The costs related to our sales are recognized as cost of sales.

We generate revenue from the sale of integrated patterning solutions for the semiconductor industry, which mainly consist of systems, system-related options and upgrades, other holistic lithography solutions and customer services. The main portion of our net sales is derived from volume purchase agreements with our customers that have multiple performance obligations, which mainly include the sales of our systems, system-related options, installation, training, and extended and enhanced warranties. In our volume purchase agreements we offer customers discounts in the normal course of sales negotiations. As part of these volume purchase agreements, we may also offer free goods or services and credits that can be used toward future purchases. Occasionally, systems, with the related extended and enhanced warranties, installation and training services, are ordered individually. Our sales agreements do not include a right of return for any reason other than not meeting the agreed-upon specifications.

We account for individual goods and services as separate and distinct performance obligations, including the free or discounted goods or services, if a product or service is separately identifiable from other items and if a customer can benefit from it on its own or with other resources that are readily available to the customer. Options to buy goods or services in addition to the purchase commitment are assessed to determine if they provide a material right to the customer that they have not yet received if they had not entered into this contract. Each option to buy additional goods or services provided at a discount from the standalone selling price is considered a material right, for which the likelihood that the option will be exercised is evaluated based on the customer roadmap and their requirements. The consideration paid for our performance obligations is typically fixed. However, most of our volume purchase agreements with customers contain some component of variable consideration, typically dependent on the final volume of systems ordered by the customer or the system performance. Variable consideration is assessed at contract inception for each performance obligation based on communication with the customer to understand their requirements and roadmap. This is subsequently updated each quarter, using either the expected value method or the most likely amount method, whichever is determined to best predict the consideration to be collected from the customer. Variable consideration is only included in the transaction price if it is considered probable that a significant revenue reversal will not occur.

In certain scenarios when entering into a volume purchase agreement, free goods or services are provided directly or through a voucher that can be used on future contracts. Consideration from the contract will be allocated to these performance obligations and revenue recognized when control transfers based on the nature of the goods or services provided.

As a practical expedient, we do not record a significant financing component when we expect, at contract inception, that the period between the transfer of the products or services to the customer and customer payment for the products or services will be one year or less. In addition, most of our contracts require our customers to pay a down payment on systems to be shipped. We do not record a significant financing component for down payments, as the timing difference between when the consideration is paid and when the system is transferred to the customer arises from reasons other than financing.

The total consideration of the contract is allocated between all distinct performance obligations in the contract

based on their standalone selling prices. The standalone selling prices are determined based on other standalone sales that are directly observable, when possible. However, for the majority of our performance obligations these are not available. If no directly observable evidence is available, the standalone selling price is determined using the adjusted market assessment approach, which requires judgment and is based on multiple factors including, but not limited to, historical pricing practices and discounting trends for products and services.

For options to buy goods or services that are considered a material right, the discount offered from the standalone selling price will be allocated from the consideration of the other goods and services in the contract if it is determined that the discount exceeds the value of the other goods and services in the contract.

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We generate revenue from lessor agreements, which we classify as a sales-type lease when the lease meets any of the following criteria at lease commencement:

- The lease transfers ownership of the underlying asset to the lessee by the end of the lease term;
- The lease grants the lessee an option to purchase the underlying asset, that the lessee is reasonably certain to exercise;
- The lease term is for the major part of the remaining economic life of the underlying asset. However, if the commencement date falls at or near the end of the economic life of the underlying asset, this criterion shall not be used for the purposes of classifying the lease.
- The present value of the sum of the lease payments and any residual value guaranteed by the lessee that is not already reflected in the lease payments equals or exceeds substantially all of the fair value of the underlying asset; or
- The underlying asset is of such a specialized nature that it is expected to have no alternative use to the lessor at the end of the lease term.

For sales-type leases where substantially all the risks and rewards incidental to ownership of an asset are transferred to the lessee, revenue is recognized at commencement of the lease. If material, the difference between the gross finance receivable and the present value of the minimum lease payments is initially recognized as unearned interest and presented as a deduction to the gross finance receivable. Interest income is recognized in the Consolidated statements of operations over the term of the lease contract using the effective interest method.

Leases that are not a sales-type lease are operating lease arrangements. If we have offered the customer an operating lease arrangement, the system is included in Property, plant and equipment upon commencement of the lease. If material, revenue from operating lease arrangements is recognized in the Consolidated statements of operations on a straight-line basis over the term of the lease contract.

Goods or services	Nature, timing of satisfying the performance obligations and significant payment terms
New systems	New systems sales include I-line, KrF, ArF dry, ArF immersion, NXE and EXE-related systems, along with the related factory options ordered with the base system, as well as metrology and inspection systems. Prior to shipment, the majority of our systems undergo a factory acceptance test (FAT) in our cleanroom facilities, effectively replicating the operating conditions that will be present on the customer's site, in order to verify whether the integrated system meets its standard specifications and any additional technical and performance criteria agreed with the customer. A system undergoing FAT is shipped only after all contractual specifications are met or discrepancies from agreed-upon specifications are waived and customer sign-off is received for delivery. Each system's performance is re-tested through a site acceptance test (SAT) after installation at the customer site. We have never failed to successfully complete installation of a system at a customer's premises. Acceptance at FAT is considered to be proven for established technologies with a history of successful customer acceptances at SAT (equal or better than FAT). Transfer of control and recognition of revenue of a system undergoing a FAT, and for which customer acceptance at FAT is proven, will occur upon delivery of the system. Transfer of control and recognition of revenue of a system not undergoing a FAT, or for which customer acceptance at FAT is not proven, will occur after successful installation. New system sales do not meet the requirements for over time revenue recognition because our customers do not simultaneously receive and consume the benefits provided by our performance, or control the asset throughout any stage of our production process, or the systems are considered to have alternative use.
Used systems	We have no repurchase commitments in our general sales terms and conditions.

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Goods or services	Nature, timing of satisfying the performance obligations and significant payment terms
Field upgrades and options (system enhancements)	Field upgrades and options mainly relate to goods and services that are delivered for systems already installed in the customer factories. Certain upgrades require significant installation efforts, enhancing an asset the customer controls, and therefore resulting in transfer of control over the period of installation. The method of measuring progress is based on what best depicts the satisfaction of our obligation in transferring control. This is generally based on either the cost incurred method, which is estimated using labor hours, or the value transferred method, which is estimated using system performance measurements. For the options and other upgrades for which the customer receives and consumes the benefit at the moment of delivery, the transfer of As long as we are not able to make a reliable estimate of the total efforts needed to complete the upgrade, we only recognize revenue to cover costs incurred. Margin will be realized at the earlier of us being able to make a reliable estimate or completion of the upgrade.
New product introduction	If the installation of new products is determined not to be a separate performance obligation or if there is not a sufficient established history of acceptance on FAT, a new product is considered to be a "new product introduction". Transfer of control and revenue recognition for new product introductions occurs after successful installation and customer acceptance at SAT. Once there is an established history of successful installation and customer acceptance, revenue will be recognized consistent with other systems and goods after transfer of control.
Installation	Installation is provided within the selling price of a system. Installation is considered to be distinct if it does not significantly modify the system being purchased and the customer or a third party could be capable of performing the installation themselves, if desired. Transfer of control takes place over the period of installation from delivery through SAT, measured on a straight-line basis, as our performance is satisfied evenly over this period of time. Installation is not considered to be distinct when recognition of revenue related to a system occurs upon customer acceptance of the system at SAT after installation is complete.
Warranties	We provide standard warranty coverage on our systems for 12 months, providing labor and non-consumable parts necessary to repair our systems during these warranty periods. These standard warranties cannot be purchased and do not provide a service in addition to the general assurance the system will perform as promised. As a result, no revenue is allocated to these standard warranties. Both the extended and enhanced warranties on our systems are accounted for as a separate performance obligation, with transfer of control taking place over the warranty period, measured on a straight-line basis, as this is a stand-ready obligation.

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Disaggregation of revenue

Our revenue from contracts with customers, on a disaggregated basis, aligns with our reportable segment disclosures with the addition of disaggregation net system sales per technology and per end-use. Net system sales per technology were as follows:

Year ended December 31	2023		2024		2025	
	in units	in € millions	in units	in € millions	in units	in € millions
EXE	—	—	2	465.0	4	1,156.9
NXE	53	9,124.0	42	7,856.4	44	10,445.8
ArF immersion	125	9,017.4	129	9,667.0	131	10,311.4
ArF dry	32	780.2	28	774.4	16	427.0
KrF	184	2,202.5	152	1,991.2	78	1,001.3
I-line	55	278.4	65	369.2	54	307.3
Metrology & Inspection	151	536.1	165	645.5	208	824.6
Total	600	21,938.6	583	21,768.7	535	24,474.3
Net system sales per end-use were as follows:						
Year ended December 31	2023		2024		2025	
	in units	in € millions	in units	in € millions	in units	in € millions
Logic	439	15,984.7	399	13,195.1	364	16,054.1
Memory	161	5,953.9	184	8,573.6	171	8,420.2
Total	600	21,938.6	583	21,768.7	535	24,474.3

Contract assets and liabilities

The contract assets relate to our right to a consideration in exchange for goods or services delivered, when that right is conditional on something other than the passage of time. The contract assets are transferred to the receivables when the receivables become unconditional. The contract liabilities primarily relate to remaining performance obligations for which consideration has been received for goods and services not yet recognized in revenue, as well as deferred revenue from goods and services delivered, based on the allocation of the consideration to the related performance obligations in the contract.

The majority of our customer contracts result in both asset and liability positions. At the end of each reporting period, these positions are netted on a contract basis and presented as either an asset or a liability in the Consolidated balance sheets. Consequently, a contract balance can change between periods from a net contract asset balance to a net contract liability balance in the balance sheet, and vice versa.

Significant changes in the contract assets and the contract liabilities balances during the periods are as follows.

Year ended December 31 (€ in millions)	2024		2025	
	Contract assets	Contract liabilities	Contract assets	Contract liabilities
Balance at beginning of the year	240.1	16,266.5	320.6	18,196.2
Transferred from contract assets to accounts receivables	(213.2)	—	(294.4)	—
Revenue recognized during the year ending in contract assets	275.9	—	649.7	—

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The increase in the net contract liabilities to €18.9 billion as of December 31, 2025, compared to €17.9 billion as of December 31, 2024, is mainly driven by an increase in down payments for goods and sold by which will be delivered in the future. Cumulative catch-up adjustments recognized in our current year's revenue are due to updated estimates for system volume, discounts and credits included in our volume purchase agreements. The increase in 'other', compared to 2024, is mainly due to an increase of down payments refunded to customers during 2025. Refund liabilities outstanding at the end of 2025 are presented as accrued and other liabilities in the Consolidated balance sheets.

Remaining performance obligations

Our customers generally commit to purchase systems, service or field options through separate sales orders and service contracts. Typically the terms and conditions of these sales orders come from volume purchase agreements with our customers which cover up to five years. The revenues for each committed performance obligation are estimated based on the terms and conditions agreed through the volume purchase agreements.

When revenues will be recognized is mainly dependent on when systems are delivered or installed, as well as when service projects and field upgrades are performed and completed. All of which is estimated based on contract terms and communication with our customers, including the customer facility readiness to take delivery of our goods or services, as well as applicable export control restrictions. The volume purchase agreements may be subject to modifications or changes in estimates, impacting the amount and timing of revenue recognition for the anticipated revenues.

As of December 31, 2025, the remaining performance obligations amount to €46.5 billion (December 31, 2024: €43.3 billion). The remaining performance obligations mainly include orders related to NXT immersion, NXE and EXE lithography systems. We estimate that 65% (December 31, 2024: 59%) of these anticipated revenues will be recognized during the next 12 months.

3. Segment disclosure

ASML has one reportable segment, since we are a holistic lithography solution provider, for the development, production, marketing, sales, upgrading and servicing of advanced semiconductor equipment systems, consisting of lithography, metrology and inspection systems. The Chief Operating Decision Maker regularly sets and monitors goals and boundaries on a consolidated basis to make decisions about resource allocation and assess performance. ASML's Chief Operating Decision Maker is the combination of the functions of the CEO and CFO. Management reporting includes net system sales figures of new and used systems, sales per technology and sales per end-use. For sales per technology and end-use, see Note 2 Revenue from contracts with customers. The Chief Operating Decision Maker predominantly uses consolidated US GAAP net income and sales to evaluate income generated from segment assets in deciding whether to reinvest profits into the segment or invest in other activities, such as share buybacks or payments of dividends. Consolidated net income and sales are used to monitor budget versus actual results. The monitoring of budgeted versus actual results is used in assessing performance of the segment.

All significant segment expenses are presented in the Consolidated statements of operations and are regularly reviewed by the Chief Operating Decision Maker.

Net system sales for new and used systems were as follows:

Year ended December 31 (€ in millions)	2023	2024	2025
New systems		21,622.4	21,139.7
Used systems		316.2	629.0
Net system sales		21,938.6	21,768.7

For geographical reporting, total net sales are attributed to the geographic location in which the customers' facilities are located. Long-lived assets, consisting of Property, plant and equipment and Right-of-use assets are attributed to the geographic location in which these assets are located. Total net sales and long-lived assets by geographic region were as follows:

Year ended December 31 (€ in millions)	2023		2024		2025	
	Total net sales	Long-lived assets	Total net sales	Long-lived assets	Total net sales	Long-lived assets
Japan	613.6	10.4	1,156.0	16.0	1,420.9	20.9
South Korea	6,949.2	148.1	6,408.8	241.6	8,159.6	348.7

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The increase in total net sales of €4.4 billion, or 15.6%, to €32.7 billion in 2025, from €28.3 billion in 2024 was primarily driven by greater NXE and NXT immersion adoption supported by leading-edge foundry investments for AI demand, EXE systems being delivered to and installed at more customers, and higher net service and field option sales. This was partially offset by the decrease in the sales volumes of other DUV lithography systems.

Net service and field option sales increased mainly due to the growing installed base of systems, higher levels of lithography tool use for certain customers, and more NXE field upgrades.

The Logic sector benefited from positive momentum in AI-related demand across leading-edge foundry and capacity additions for next nodes. The Memory sector showed a continuation of high demand, fueled by investment in high-bandwidth memory and DDR5 to support AI-related applications. Taiwan and South Korea recorded the largest absolute geographic sales growth, driven by capacity expansions to support increasing AI-related demand.

The increase in long-lived assets in the Netherlands during 2025 is primarily related to factory and research facility expansions in Veldhoven. The increase in the US is primarily related to the expansion of the Wilton factory site, the increase in South Korea to new office space in Hwaseong and the increase in Taiwan to a new multifunctional campus in Taipei.

4. Cash and cash equivalents and short-term investments

Accounting policy

Cash and cash equivalents consist primarily of highly liquid investments, such as bank deposits, deposits with governments and government-related bodies, money market funds and bank accounts readily convertible to known amounts of cash with insignificant interest rate risk and original maturities to the entity holding the investments for three months or less at the date of acquisition.

Investments with original maturities at the date of acquisition greater than three months and less than one year are presented as short-term investments. Fair value changes in these investments, which are not temporary, are recognized in the Consolidated statements of operations. Short-term investments have immaterial interest rate risk. Cash and cash equivalents and short-term investments consist of the following:

Year ended December 31 (€ in millions)	2024	2025
Deposits with financial institutions, governments and government-related bodies	4,850.4	5,558.5
Investments in money market funds	6,379.2	6,222.2
Bank accounts	1,506.3	1,135.3
Cash and cash equivalents	12,735.9	12,916.0
Deposits with financial institutions, governments and government-related bodies	5.4	405.9
Short-term investments	5.4	405.9

Cash and cash equivalents mainly increased due to net cash provided by operating activities, driven by net income and down payments. This increase is partly offset by purchases of property, plant and equipment, purchases of treasury shares, loans issued and dividend paid.

Deposits with financial institutions, governments and government-related bodies and investments in money market funds have an investment-grade credit rating as rated by credit rating institutions such as Standard & Poor's, Moody's or Fitch. Our cash and cash equivalents are predominantly denominated in euros and to some extent in US dollars, Taiwanese dollars, South Korean won and Chinese yuan.

The carrying amount of these assets approximates their fair value.

As of December 31, 2025, no restrictions on usage of cash and cash equivalents exist (2024: no restrictions).

5. Accounts receivable, net

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Accounts receivable consist of the following:

Year ended December 31 (€ in millions)	2024	2025
Accounts receivable, gross	4,477.5	3,023.0
Allowance for credit losses	—	—
Accounts receivable, net	4,477.5	3,023.0

The decrease in accounts receivable as of December 31, 2025, compared to December 31, 2024, is mainly due to increased factoring of receivables and the timing of cash receipts from our customers.

In 2025, €6,212.5 million of receivables were sold through factoring arrangements (2024: €2,042.7 million). The amounts consist of €2,704.8 million (2024: €1,639.9 million) of regular trade receivables and €3,507.7 million (2024: €402.8 million) of absolute, unconditional, irrevocable accounts receivable for down payments on systems to be shipped in 2026 and thereafter. These receivables have been derecognized, since the assets were isolated from the seller, control was transferred to the buyer and there were no restrictions on the buyer related to the factored items. The fair value of the receivables sold was substantially the same as their carrying value. The cash receipt is treated as an operating cash flow within the Consolidated statements of cash flows.

6. Finance receivables, net

Accounting policy

Finance receivables consist of receivables in relation to sales-type leases. We perform ongoing credit evaluations of our customers' financial condition. We periodically review whether an allowance for credit losses is needed by considering factors such as historical payment experience, credit quality, the aging of the finance receivables balances, expected lifetime losses and current economic conditions that may affect a customer's ability to pay. The following table lists the components of the finance receivables as of December 31, 2025 and 2024:

Year ended December 31 (€ in millions)	2024	2025
Finance receivables, gross	399.8	626.8
Unearned interest	—	—
Finance receivables, net	399.8	626.8
Current portion of finance receivables, gross	82.6	613.5
Current portion of unearned interest	—	—
Non-current portion of finance receivables, net	317.2	13.3

The increase in finance receivables as of December 31, 2025, compared to December 31, 2024, is the result of additional systems shipped with a free-use or evaluation period, partially offset by systems being purchased at the end of their free-use or evaluation period. These sales-type leases mainly support the capacity ramp-up of high-end systems which are part of the early-insertion life cycle of the technology or system type. It is expected that these systems will be purchased at the end of the free-use or evaluation period.

Gross profit recognized at the commencement date of the lease for our sales-type leases amounted to €186.4 million during 2025 (2024: €114.3 million; 2023: €460.9 million).

At December 31, 2025, payments of the finance receivables in the next three years and thereafter are:

(€ in millions)	Amount
2026	613.5
2027	13.3
2028 and thereafter	—
Finance receivables, gross	626.8

In 2025, 2024 and 2023 we did not record any expected credit losses from finance receivables. As of December 31, 2025, the finance receivables were neither past due nor impaired. A finance receivable is considered past due when a scheduled payment has not been received by its contractual due date.

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Inventories consist of the following:

Year ended December 31 (€ in millions)	2024	2025
Raw materials	4,911.2	5,298.5
Work-in-process	4,872.3	4,768.5
Finished products	2,019.5	2,135.1
Inventories, gross	11,803.0	12,202.1
Inventory reserves	(911.5)	(772.8)
Inventories, net	10,891.5	11,429.3

The increase in gross inventory in 2025, compared to 2024, is mainly due to increasing raw materials to support our growing install base as well as increased number of systems bought back from our customers.

A summary of movements in the inventory reserves is as follows:

Year ended December 31 (€ in millions)	2024	2025
Balance at beginning of year	(693.2)	(911.5)
Additions for the year	(554.7)	(469.4)
Effect of changes in exchange rates	(1.7)	6.1
Utilization of the reserve	338.1	602.0
Balance at end of year	(911.5)	(772.8)

The additions for 2025, 2024 and 2023 are recorded in cost of sales. The additions for the year mainly relate to inventory items which became obsolete due to technological developments and design changes.

8. Other assets

Other current and non-current assets consist of the following:

Year ended December 31 (€ in millions)	2024	2025
Advance payments to Carl Zeiss SMT GmbH¹	815.8	323.5
Prepaid expenses	555.5	538.0
Derivative financial instruments²	96.5	33.6
VAT receivable	279.1	187.2
Other assets	193.4	350.5
Other current assets	1,940.3	1,432.8
Advance payments to Carl Zeiss SMT GmbH¹	599.9	868.4
Prepaid expenses	49.5	46.1
Compensation plan assets	113.1	129.9
Other assets	28.3	12.7
Other non-current assets	790.8	1,057.1

1. For further details on advance payments to Carl Zeiss SMT GmbH, see Note 26 Related parties and variable interest entities.
2. For further details on derivative financial instruments, see Note 25 Financial risk management.
Prepaid expenses mainly include prepaid income taxes of intercompany profit on inventory that has not yet been realized by ASML of €375.6 million (2024: €380.1 million).

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9. Equity investments

Accounting policy

Our equity investments do not have a readily determinable fair value and do not qualify for the Net Asset Value practical expedient, therefore we elect to measure these investments at cost, less any impairment, plus or minus changes resulting from observable price changes in orderly transactions for identical or similar investments of the same issuer, if any.

We perform a qualitative assessment considering impairment indicators to evaluate whether investments are impaired at each reporting date. If a qualitative assessment indicates that the investment is impaired, we estimate the investment's fair value in accordance with the principles of ASC 820. If the fair value is less than the investment's carrying value, we recognize an impairment loss.

To identify observable price changes, we consider relevant transactions that occurred on or before the balance sheet date.

On September 9, 2025, ASML and Mistral AI announced an investment and partnership agreement for which ASML invested €1.3 billion in Mistral AI's Series C funding round as lead investor. This resulted in ASML holding an 11.1% share on a fully diluted basis in Mistral AI as per December 31, 2025.

The following table shows changes in equity investments:

Year ended December 31 (€ in millions)	2024	2025
Balance at beginning of year	—	—
Additions	—	1,302.2
Disposals	—	—
Other changes	—	18.5
Balance at end of year	—	1,320.7

10. Equity method investments

Accounting policy

Equity investments which we are able to exercise significant influence over but do not control, are accounted for using the equity method and presented on our Consolidated balance sheets within Equity method investments. The difference between the cost of our investment and our proportionate share in the carrying value of the investee's underlying net assets as of the acquisition date is the basis difference. The basis difference is allocated to the identifiable assets and liabilities based on their fair value as of the acquisition date (i.e. the date on which we obtain significant influence), with the excess costs of the investment over our proportional fair value of the identifiable assets and liabilities being equity method goodwill.

We amortize the basis difference related to the other intangible assets over the estimated remaining useful lives of these assets that gave rise to this difference. The remaining weighted-average life of the finite-lived intangible assets acquired is 11.1 years and is amortized using a straight-line method. In-process R&D is initially capitalized at fair value as an intangible asset with an indefinite life. When the R&D project is complete, it is reclassified as an amortizable purchased intangible asset and is amortized over its estimated useful life. If the project is abandoned, we will record the full basis difference charge for the value of the related intangible asset in our Consolidated statements of operations in the period of abandonment. Equity method goodwill is not amortized or tested for impairment; instead the equity method investment is tested for impairment whenever events or changes in circumstances indicate that the carrying value of the investment may not be recoverable.

Under the equity method, after initial recognition at cost, our Equity method investments are adjusted for our proportionate share in the profit or loss and other comprehensive income of the investee, recognized on a one-quarter time lag to allow for the timely preparation of financial information and presented within Profit from equity method investments. Our proportionate share in the profit or loss of the investee is adjusted for any differences in accounting principles and policies, basis difference adjustments and intra-entity profits. Receipt of dividends reduces our Equity method investments, which is presented as an operating cash flow based on the nature of the distributions.

Equity method investments consists of a 24.9% equity interest acquired on June 29, 2017, in Carl Zeiss SMT Holding GmbH & Co. KG, a limited partnership that owns Carl Zeiss SMT GmbH, our single supplier of optical columns. For the year ended December 31, 2025, we recorded a profit from Equity method investments of €216.7 million (2024: €210.8 million) in our Consolidated statements of operations. This profit includes the following components:

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Carl Zeiss SMT Holding GmbH & Co. KG is a privately held company; therefore, quoted market prices for its stock are not available.

11. Goodwill

Accounting policy

Goodwill represents the excess of the costs of an acquisition over the fair value of the amounts assigned to assets acquired and liabilities incurred or assumed of the acquired subsidiary at the date of acquisition. Goodwill on acquisition of subsidiaries is allocated to reporting units for the purpose of impairment testing. The allocation is made to those reporting units that are expected to benefit from the business combination in which the goodwill arose. Goodwill is stated at cost less accumulated impairment losses.

Goodwill is tested for impairment annually or whenever events or changes in circumstances indicate that the carrying amount of the goodwill may not be recoverable. To determine whether it is necessary to perform the quantitative goodwill impairment test, we perform a step-zero qualitative assessment annually. If we determine that it is more likely than not that the fair value of a reporting unit will exceed its carrying amount, we do not perform a quantitative goodwill impairment test.

Goodwill mainly resulted from the acquisitions of Cymer and HMI. The balance as of December 31, 2025, is €4,588.6 million (2024: €4,588.6 million).

We have identified two reporting units: Reporting Unit ASML and reporting unit Cymer Light Sources. As of December 31, 2025, the goodwill allocated to reporting unit ASML amounts to €4,126.3 million (2024: €4,126.3 million) and reporting unit Cymer Light Sources amounts to €462.3 million (2024: €462.3 million).

Based on our assessment during the annual goodwill impairment test, we believe it is more likely than not that the fair values of the reporting units exceed their carrying amounts, and therefore goodwill was not impaired as of December 31, 2025. The accumulated impairment as of December 31, 2025, is nil (2024: nil).

12. Intangible assets, net

Accounting policy

Intangible assets include brands, intellectual property, developed technology, customer relationships and other intangible assets not yet available for use. These finite-lived intangible assets are stated at cost, less accumulated amortization and accumulated impairment losses. Amortization is calculated using the straight-line method based on the estimated useful lives of the assets.

Finite-lived intangible assets are assessed for impairment annually, or whenever there is an indication that the balance sheet carrying amount may not be recoverable using cash flow projections for the useful life.

The following table shows the respective useful lives for intangible assets:

Category	Estimated useful life
Brands	20 years
Intellectual property	3–10 years
Developed technology	6–15 years
Customer relationships	8–18 years
Other	2–10 years

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As of December 31, 2025, intangible assets consist mainly of brands, intellectual property, developed technology, customer relationships obtained from the acquisitions of Cymer (2013) and HMI (2016) as well as capitalized costs relating to internal use software:

€ in millions	Brands	Intellectual property	Developed technology	Customer relationships	Other	Total
Cost						
Balance at January 1, 2024	38.9	147.1	1,220.2	228.6		260.1
Additions	—	—	—	—		14.3
Disposals	—	—	—	—		(0.6)
Effect of changes in exchange rates	—	—	—	—		(0.1)
Balance at December 31, 2024	38.9	147.1	1,220.2	228.6		273.7
Additions	—	—	—	—		58.5
Disposals	—	—	—	—		(11.6)
Effect of changes in exchange rates	—	—	—	—		0.9
Balance at December 31, 2025	38.9	147.1	1,220.2	228.6		321.5
Accumulated amortization and impairment						
Balance at January 1, 2024	16.8	104.1	754.2	134.0		144.1
Amortization	1.9	8.3	74.5	12.6		28.7
Impairment charges	—	—	—	—		8.0
Disposals	—	—	—	—		(0.5)
Effect of changes in exchange rates	—	—	—	—		0.5
Balance at December 31, 2024	18.7	112.4	828.7	146.6		180.8
Amortization	1.9	8.1	74.5	12.6		26.4
Impairment charges	—	6.5	—	—		—
Disposals	—	—	—	—		(0.1)
Effect of changes in exchange rates	—	—	—	—		(0.9)
Balance at December 31, 2025	20.6	127.0	903.2	159.2		206.2

Notes to the Consolidated financial statements (continued)

The Consolidated statements of operations include the following amortization charges:

Year ended December 31 (€ in millions)	2023	2024	2025
Cost of sales	102.7	103.8	94.2
R&D costs	19.5	20.8	24.8
SG&A	5.4	1.4	4.5
Total amortization	127.6	126.0	123.5

As of December 31, 2025, the intangible assets not yet available for use, as included in Other, amount to €54.3 million (2024: €11.8 million) and are allocated to reporting unit ASML.

As of December 31, 2025, the estimated amortization expenses for intangible assets for the next five years and thereafter are as follows:

€ in millions	Amount
2026	116.6
2027	113.6
2028	90.8
2029	59.4
2030	54.4
Thereafter	51.0
Total	485.8

13. Property, plant and equipment, net

Accounting policy

Property, plant and equipment is stated at cost, less accumulated depreciation and accumulated impairment losses. Costs of assets manufactured by ASML include direct manufacturing costs, production overhead and interest costs incurred for qualifying assets during the construction period. Property, plant and equipment are depreciated on a straight-line basis in the Consolidated statements of operations over their estimated useful lives, except for land, which is not depreciated. Government grants related to assets are recognized when the grant conditions have been substantially met. Government grants are presented as a deduction of the carrying amount of the asset they relate to and recognized in the Consolidated statements of operations on a systematic basis over the useful life of the asset. Evaluation systems leased to our customers under an operating lease are capitalized as Property, plant and equipment at cost and depreciated over the respective lease term. Leased assets that are returned to ASML upon expiration of the lease term are either taken back into Property, plant and equipment, as they will be used internally by D&E or transferred back to Inventories to be reworked and sold.

The carrying values of prototypes, tooling and equipment that are intended to be sold, but first internally utilized for R&D purposes, are reclassified from Inventories to Property, plant and equipment and depreciated while being internally used. When no longer required for R&D activities, the assets' carrying value is reclassified back to Inventories and reworked to make them ready for sale to our customers. These transfers are reported as Net non-cash movements to/from inventories in our Property, plant and equipment movement schedule.

Property, plant and equipment is assessed for impairment whenever there is an indication that the carrying amount may not be recoverable using cash flow projections for the useful life.

The following table shows the respective useful lives for Property, plant and equipment:

Category	Estimated useful life
Buildings	5–45 years
Machinery and equipment	1–7 years
Leasehold improvements	1–10 years
Furniture, fixtures and other	3–5 years

Notes to the Consolidated financial statements (continued)

Property, plant and equipment consists of the following:

€ in millions	Land and buildings	Machinery and equipment	Leasehold improvements	Furniture, fixtures and other	Total
Cost					
Balance at January 1, 2024	4,323.4	3,690.0	478.5	587.9	
Additions	1,120.1	756.5	116.9	65.8	
Disposals	(3.2)	(45.6)	(0.3)	(7.6)	
Net non-cash movements to/from Inventories	—	(40.0)	—	—	
Effect of changes in exchange rates	8.1	(1.7)	(0.6)	12.5	
Balance at December 31, 2024	5,448.4	4,359.2	594.5	658.6	
Additions	1,029.4	474.2	43.3	49.3	
Disposals	(3.9)	(59.3)	(5.0)	(6.2)	

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As of December 31, 2025, the carrying amount includes assets under construction of €1,771.0 million (2024: €1,729.7 million) primarily consisting of buildings, as well as machinery and equipment.
As of December 31, 2025, the carrying amount of land amounts to €377.1 million (2024: €304.3 million).
The additions in 2025 in land and buildings, as well as furniture, fixtures and other mainly relate to factory expansions in Wilton and Veldhoven, research facility expansions in Veldhoven, office space in Hwaseong and multifunctional campus in Taipei, all in order to support our continued growth.
The additions in 2025 in machinery and equipment mainly relate to the upgrade and expansion of production tooling to support the growth of our business, as well as investments in prototypes of new technologies.
The additions in 2025 in leasehold improvements mainly relate to installation of cleanrooms and warehouses for leased properties in both the Netherlands, US and China.
The Consolidated statements of operations include the following depreciation charges:

Year ended December 31 (€ in millions)	2023	2024	2025
Cost of sales	330.4	398.4	532.1
R&D costs	236.2	340.5	353.2
SG&A	39.0	48.4	30.7
Total depreciation	605.6	787.3	916.0

14. Right-of-use assets and lease liabilities

Accounting policy

We determine whether an arrangement contains a lease at inception. Leases are included in Right-of-use assets, Accrued & other current liabilities and Accrued & other non-current liabilities in our Consolidated balance sheets. Right-of-use assets represent our right to use an underlying asset for the lease term and lease liabilities represent our obligation to make lease payments arising from the lease. Right-of-use assets and lease liabilities are recognized at commencement date based on the present value of lease payments over the lease term. As our leases do not provide an implicit rate, we use our incremental borrowing rate based on the information available at commencement date in determining the present value of lease payments. The Right-of-use assets include any lease payments made at or before the commencement date and are reduced by lease incentives. Our Right-of-use asset and lease liability valuation may include options to extend or terminate the lease when it is reasonably certain that we will exercise that option. Lease expenses are recognized on a straight-line basis over the lease term. We have lease agreements with lease and non-lease components. The lease components are accounted for separately from non-lease components. The allocation of the consideration between lease and non-lease components is based on the relative standalone prices of lease components included in the lease contracts. Right-of-use assets consist of the following leases:

Year ended December 31 (€ in millions)	2024	2025
Properties	333.7	296.6
Cars	7.6	9.4
Warehouses	42.6	29.6
Other	3.3	5.4
Right-of-use assets	387.2	341.0

ASML owns the majority of real estate for manufacturing, supply chain management, R&D and general administration at our headquarters in Veldhoven, the Netherlands. Our other locations worldwide, mostly related to customer support, are mainly leased. The total right-of-use assets related to properties includes a finance lease arrangement for land of €32.0 million per December 31, 2025 and €32.0 million per December 31, 2024.

The right-of-use assets decreased in 2025 compared to 2024 mainly due to amortization, partially offset by additions in properties and in warehouses.

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Lease liabilities are split between current and non-current and are presented as part of Accrued and other liabilities. The non-current portion mainly consists of properties and warehouses. From the total lease liability €16.5 million (December 31, 2024: €16.9 million) relates to a finance lease while the rest relates to operating leases. For the year ended December 31, 2025, Lease liabilities decreased by €54.6 million, mainly due to lease payments during 2025.

Year ended December 31 (€ in millions)	2024	2025
Current	68.6	60.8
Non-current	237.4	190.6
Lease liabilities	306.0	251.4

The Consolidated statements of operations include the following lease expenses:

Year ended December 31 (€ in millions)	2023	2024	2025
Properties	40.4	50.2	46.6
Cars	5.9	6.1	5.7
Equipment	—	—	—
Warehouses	5.9	15.0	14.3
Other	0.8	2.2	3.8
Lease expenses	53.0	73.5	70.4

The total cash flows relating to the leases are as follows:

Year ended December 31 (€ in millions)	2023	2024	2025
Total cash flows	148.2	96.3	88.7

The weighted average remaining lease term and weighted average discount rate related to the leases are as follows:

Year ended December 31	2023	2024	2025
Weighted average remaining lease term (months)	365	296	296
Weighted average discount rate (%)	2.5%	3.0%	2.9%

15. Accrued and other liabilities

Accrued and other liabilities consist of the following:

Year ended December 31 (€ in millions)	2024	2025
Costs to be paid¹	536.1	498.6
Personnel-related items	1,599.6	1,734.0
Derivative financial instruments²	113.6	93.0
Lease liabilities³	306.0	251.4
Provisions	100.8	129.4
Standard warranty reserve	158.9	188.5
Refund liability	309.4	76.2
Other	21.7	28.4
Accrued and other liabilities	3,146.1	2,999.5
Less: non-current portion of accrued and other liabilities	459.5	432.2
Current portion of accrued and other liabilities	2,686.6	2,567.3

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The standard warranty reserve is based on historical product performance and total expected costs to fulfill our warranty obligation. Annually, we assess and update the standard warranty reserve based on the latest actual historical warranty costs and expected future warranty costs. Total movements in standard warranty reserve for the years 2025 and 2024 are as follows:

Year ended December 31 (€ in millions)	2024	2025
Balance at beginning of year	142.3	158.9
Additions for the year	210.0	237.9
Utilization of the reserve	(193.5)	(207.9)
Effect of exchange rates	0.1	(0.4)
Balance at end of year	158.9	188.5

16. Long-term debt, short-term borrowings, interest and other, net

Accounting policy

Long-term debt represents debt issued privately without registration with a government authority and is payable to others under the terms of a signed agreement. Long-term debt is initially recognized at fair value and subsequently measured at amortized cost. Debt is qualified as long-term debt as long as the group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

Short-term borrowings comprise commercial paper issued under the Euro Commercial Paper (ECP) program. We classify borrowings as short-term when the group does not have an unconditional right to defer settlement of the liability for at least 12 months after the reporting period. Short-term borrowings are initially recognized at the amount of proceeds received and subsequently measured at amortized cost using the effective interest method. Interest on ECP notes is typically prepaid and deducted from the proceeds at issuance, resulting in a discounted carrying amount. The amortization of this discount is recognized as interest expense in the Consolidated statements of operations over the term of the note. Net proceeds from the issuance of borrowings and the repayment of commercial paper are presented on a gross basis within the cash flows from financing activities in the Consolidated statements of cash flows.

Interest accruals and payments relating to long-term debt are accounted for as part of Accrued and other liabilities. Interest and other costs are accrued and recognized with the passage of time over the agreed term, regardless of when the actual payment of interest or other costs occurs.

Long-term debt consists of the following (amounts for bonds represent carrying amount, not the principle amount):

Year ended December 31 (€ in millions)	2024	2025
€1,000 million 1.375% senior notes issued July 2016 and principal due July 7th 2026 interest annually payable on July 7th	967.7	991.3
€750 million 1.625% senior notes issued November 2016 and principal due May 28th 2027 interest annually payable on May 28th	720.1	731.5
€750 million 0.250% senior notes issued February 2020 and principal due February 25th 2030 interest annually payable on February 25th	744.8	745.8
€750 million 0.625% senior notes issued May 2020 and principal due May 7th 2029 interest annually payable on May 7th	748.3	748.7
€500 million 2.250% senior notes issued May 2022 and principal due May 17th 2032 interest annually payable on May 17th	478.2	465.5
€1,000 million 3.500% senior notes issued June 2023 and principal due December 6th 2025 interest annually payable on December 6th	1,010.3	—
Debt acquired from Berliner Glas (ASML Berlin GmbH)	18.2	16.4
Long-term debt	4,687.6	3,699.2
Less: current portion of long-term debt	1,010.3	990.2

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Year ended December 31 (€ in millions)	2024	2025
Amortized cost amount	4,736.9	3,740.3
Fair value interest rate swaps¹	(67.5)	(57.5)
Carrying amount	4,669.4	3,682.8

1. The fair value of the interest rate swaps excludes accrued interest. We use interest rate swaps to minimize the net interest exposure for the group by aligning the interest terms of the available cash and the interest-bearing debt. The fair value changes of these interest rate swaps are recorded on the Consolidated balance sheets under Current and non-current accrued and other liabilities, as well as Current and non-current other assets, and the carrying amount of the Eurobonds is adjusted for these fair value changes. The following table summarizes the estimated fair value of our Eurobonds:

Year ended December 31 (€ in millions)	2024	2025
Principal amount	4,750.0	3,750.0
Carrying amount	4,669.4	3,682.8
Fair value¹	4,561.8	3,590.8

1. Source: Bloomberg Finance L.P.
The fair value of our Eurobonds is estimated based on quoted market prices as of December 31, 2025. The fair value deviates from the principal amount, due to changes in market interest rates and credit spreads since the issue of our Eurobonds, which carry a fixed coupon interest rate.

Debt acquired from Berliner Glas (ASML Berlin GmbH)
The loan of Berliner Glas (ASML Berlin GmbH) is a mortgage loan of €16.4 million with an annual interest rate of 0.5%, repayable in 2034. Debt decreased compared to 2024, due to repayments made in 2025.

Lines of credit
We maintain an available committed credit facility of €1.5 billion as of December 31, 2025 (2024: €1.5 billion), with a group of banks. No amounts were outstanding under the committed credit facility at the end of 2025 and 2024. This facility has a maturity date of May 2030 with one uncommitted one year extension option extending the maturity to 2031. Outstanding amounts under this credit facility will bear an interest of Euribor plus a margin. The margin depends on our credit rating. In addition, there is a fee based on the utilization percentage of the facility. ASML also has non-committed lines of credit available. These facilities provide ASML with the ability to request short-term unsecured loans from time to time for an aggregate amount not exceeding €3.0 billion. No amounts have been drawn under these lines of credit. Outstanding amounts under the non-committed facility will bear interest based on market conditions at the moment of drawdown. Furthermore, ASML has non-committed guarantee facilities under which guarantees in the ordinary course of business, such as customs or rental guarantees, can be provided to third parties. These facilities also cover standby letters of credit, corporate credit cards and foreign exchange limits and are available in Euro, US dollar, Japanese yen and Taiwanese dollar. As of December 31, 2025 amounts of €40.5 million (2024: €44.1 million), JPY 10,200.0 million (2024: JPY 4,825.0 million) and TWD 268.7 million (2024: TWD 553.7 million) were utilized under these facilities.

Short-term borrowings
The €1.5 billion ECP program allows ASML to issue commercial paper up to 364 days in tenor, in a number of currencies. As of December 31, 2025 we had €693.0 million (2024: nil) outstanding under our €1.5 billion ECP program and the carrying amount was €691.7 million (2024: nil) with a weighted-average interest rate of 2.03%.

Interest and other, net
Interest and other, net consists mainly of interest income and interest expenses. In 2025, the interest income component is €223.0 million (2024: €182.4 million; 2023: €193.9 million). Income mainly relates to interest income on cash and cash equivalents. In 2025, the interest expense component is €118.3 million (2024: €162.6 million; 2023: €152.7 million). The expenses mainly relate to interest expense on our short-term borrowings, Eurobonds and interest rate swaps.

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17. Commitments and contingencies

Commitments

We have various contractual obligations, some of which are required to be recorded as liabilities in our Consolidated balance sheets, including long-term debt, short-term borrowings and lease commitments. Other contractual obligations, including unconditional purchase obligations, are generally not required to be recognized as liabilities but are required to be disclosed.

Our contractual obligations as of December 31, 2025, can be summarized as follows:

Payments due by period (€ in billions)	Total	1 year	2 years	3 years	4 years	5 years	>5 years
Long-term debt and short-term borrowings obligations, including interest¹	4.6	1.7	0.8	—	0.8	0.8	0.5
Lease obligations²	0.3	0.1	0.1	—	—	—	0.1
Purchase obligations	12.7	9.6	1.7	1.0	0.1	0.1	0.2
Total contractual obligations	17.6	11.4	2.6	1.0	0.9	0.9	0.8

1. Long-term debt obligations mainly relate to principal amounts and interest payments of our Eurobonds. For the amounts excluding interest expenses and for further details, see Note 16 Long-term debt, short-term borrowings, interest and other, net.

2. For further details, see Note 14 Right-of-use assets and lease liabilities.

We have purchase obligations toward suppliers in the ordinary course of business which mainly relate to goods and services for our operations and obligations relating to further expansion and upgrade of our facilities. The general terms and conditions of the agreements relating to the major part of our purchase obligations as of December 31, 2025, contain clauses that enable us to delay or cancel delivery of ordered goods and services up to the dates specified in the purchase agreements, in line with the timing of future sales. The terms and conditions that we

normally agree with our suppliers give us additional flexibility to adapt our purchase obligations to our requirements in light of the cyclicality and technological developments inherent in the industry in which we operate.

Contingencies

ASML is subject to proceedings, litigation and other actual or potential claims, including those related to alleged or potential violation of laws and regulations. ASML's customers may be subject to claims of infringement from third parties alleging that the ASML equipment used by those customers in the manufacture of semiconductor products, and/or the methods relating to use of the ASML equipment, infringes one or more patents issued to those third parties. If these claims were successful, ASML could be required to indemnify such customers for some or all of the losses incurred or damages assessed against them as a result of that infringement.

In connection with any proceedings and claims, our management evaluates, based on the relevant facts and legal principles, the likelihood of an unfavorable (or favorable) outcome, and whether the amount of the loss (or gain) can be reasonably estimated. Judgment is required in these evaluations, including judgments regarding the validity of asserted claims and the likely outcome of legal and administrative proceedings. The outcome of these proceedings, however, is subject to a number of factors beyond our control, most notably the uncertainty associated with predicting decisions by courts and administrative agencies. In addition, estimates of the potential costs (or gains) associated with legal and administrative proceedings frequently cannot be subjected to any sensitivity analysis, as damage estimates or settlement offers by claimants may bear little or no relation to the eventual outcome. Finally, in any particular proceeding, we may agree to settle or to terminate a claim or proceeding in which we believe that we would ultimately prevail where we believe that doing so, when taken together with other relevant commercial considerations, is more effective than engaging in an expensive and protracted litigation, the outcome of which is uncertain.

As of December 31, 2025, management has determined that ASML does not have any material contingencies which are considered probable or reasonably possible for each year presented in our Consolidated balance sheets.

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18. Personnel expenses and employee information

Personnel expenses for all payroll employees were as follows:

Year ended December 31 (€ in millions)	2023	2024	2025
Wages and salaries	4,447.0	5,001.2	5,460.2
Social security expenses	410.5	468.4	516.6
Pension and retirement expenses	348.9	395.2	433.7
Share-based payments	134.8	172.6	202.3
Personnel expenses	5,341.2	6,037.4	6,612.8

The continued increase in personnel expenses is primarily attributable to higher average wages and salaries per FTE, reflecting our ongoing investment in talent to support the growth and expansion of our business.

Short-term incentive bonus plans

We offer annual performance-based STI bonus plans to our employees. Bonus payouts vary depending on job grade, plan type, and both company and individual performance. For employees excluding the Board of Management, the payout average is 17% of annual base gross salary. The 2025 STI bonus is accrued for as part of Accrued and other liabilities in the Consolidated balance sheets and will be paid in the first quarter of 2026.

The STI bonus expenses for the (former) Board of Management and other employees were as follows:

Year ended December 31 (€ in millions)	2023	2024	2025
Board of Management	5.0	5.3	7.3
Former Board of Management	—	1.0	—
Other employees	712.6	816.8	951.0
Total STI bonus expenses	718.6	823.1	958.3

† On April 24, 2024, Pieter J. J. M. Wemink and Martin A. van den Brink stepped down from their roles as Presidents of ASML and are, therefore, presented as former Board of Management in 2024.

The average number of payroll employees in FTEs was:

Average number of payroll employees in FTEs	2023	2024	2025
Netherlands	19,876	21,811	22,801
Worldwide (including Netherlands)	38,805	41,697	43,267

The total number of payroll and temporary employees as of December 31 in FTE per sector was:

Year ended December 31 (in FTE)	2023	2024	2025
Customer Support and Sales	10,790	10,344	10,235
Manufacturing and Supply Chain Management	9,954	11,341	11,124
Strategic Supply Management	2,033	1,965	1,929
General and Administrative	4,035	4,385	4,473
Research and Development	15,604	15,992	16,448
Total	42,416	44,027	44,209
Less: Temporary employees	2,107	1,241	689
Payroll employees	40,309	42,786	43,520

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19. Employee benefits

Accounting policy

Contributions to defined contribution retirement benefit plans are recognized as an expense when employees have rendered service entitling them to the contributions. Payments made to state-managed retirement benefit schemes are dealt with as payments to defined contribution plans where our obligations under the plans are equivalent to those arising in a defined contribution retirement benefit plan.

We maintain one multi-employer union-defined benefit pension plan and various other defined contribution pension plans covering a substantial number of our employees. ASML accounts for its multi-employer defined benefit plan as if it were a defined contribution plan for the following reasons:

• ASML is affiliated to an industry-wide pension fund and uses the pension scheme in common with other participating companies.

• Under the regulations of the pension plan, the only obligation these participating companies have toward the pension fund is to pay the annual premium liability. Participating companies are under no obligation whatsoever to pay off any deficits the pension plan may incur. Nor have they any claim to any potential surpluses.

Our pension and retirement expenses for all employees for the years ended December 31, 2025, 2024 and 2023, were:

Year ended December 31 (€ in millions)	2023	2024	2025
Pension plan based on multi-employer union plan	244.4	276.3	296.6
Pension plans based on defined contribution and other plans	104.5	118.9	137.1
Pension and retirement expenses	348.9	395.2	433.7

The accrued pension premiums were €75.8 million as of December 31, 2025, and €75.9 million as of December 31, 2024.

Multi-employer union plan

In accordance with the collective bargaining agreements effective for the industry in which we operate, which have no expiration date, there are 23,711 eligible payroll employees in the Netherlands (54.5% of our total payroll FTEs) that participate in a multi-employer union plan. Our net periodic pension cost for this multi-employer union plan for any period is the amount of the required employer contribution for that period.

This multi-employer union plan is managed by PME (Stichting Pensioenfondsvan de Metalektro) and this plan covers approximately 1,618 companies and approximately 184,847 contributing members. Every participating company contributes a premium that is based on the same contribution rate. This contribution rate can fluctuate yearly based on the coverage ratio of the multi-employer union plan. For 2025, the contribution rate was 28.0% (2024: 28.0%; 2023: 28.0%). For 2025, our contribution to this multi-employer union plan (including the premiums paid by employees) was 19.5% (2024: 18.2%; 2023: 18.3%) of the total contribution to this plan. For 2026, we expect to contribute around €437.0 million to this plan (including the premiums paid by employees). The pension rights of each employee are based upon the employee's average salary during employment.

The PME multi-employer union plan monitors its risks on a global basis and is subject to regulation by Dutch governmental authorities. By Dutch law (the Dutch Pension Act), a multi-employer union plan must be monitored against specific criteria, including the coverage ratio of the plan's assets to its obligations. The coverage ratio is calculated by dividing the fund's capital by the total sum of pension liabilities and is based on actual market interest rates. The legally required minimal coverage ratio is 104.3% (2024: 104.3%). Compared to the previous year, the coverage ratio of PME increased to 125.3% as per December 31, 2025 (December 31, 2024: 113.1%), which is higher than the intended minimum coverage ratio of 118.1%. ASML has no obligation to pay any deficits the pension fund may incur, nor does it have any claim to any potential surpluses.

Other defined contribution and pension plans

We also participate in several other defined contribution pension plans (inside and outside the Netherlands), with our expenses for these plans equaling the employer contributions made in the relevant period.

Deferred compensation plans

For more senior US employees we have a non-qualified deferred compensation plan that allows them to defer a portion of their salary, bonus and commissions. The plan allows us to credit additional amounts to the participants' account balances. The participants divide their funds among the investments available in the plan. Participants elect to receive their funds in future periods after the earlier of their employment termination or their withdrawal election, at least three years after deferral. Expenses were close to nil relating to this plan in 2025, 2024 and 2023. As of December 31, 2025, our liability under deferred compensation plans was €127.7 million (2024: €111.8 million). The related compensation plan assets are €199.9 million (2024: €112.1 million).

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20. Share-based compensation

ASML has the following share-based compensation plans in place for its employees:

- Long-term incentive (LTI) bonus plans
- Option plans

- Employee Share Purchase Plan

Long-term incentive bonus plans

Our long-term incentive (LTI) bonus plans are governed by the Employee Umbrella Share Plan, effective since January 1, 2014, and is applicable to all employees. The primary objective of this plan is to attract, reward, and retain qualified and experienced professionals in a competitive international labor market. Equity incentives granted under this plan typically have a vesting period of 2.5-to-3 years and are subject to service and/or performance criteria.

Employees may be granted either service-based or performance-based share plans. Under service-based plans, shares are granted at the start and vest after a defined service period. Performance-based plans follow a similar structure but are conditionally granted and subject to company-specific performance criteria, which may include both market-based and non-market-based elements. These shares vest upon completion of the service period and achievement of the performance targets at the vesting date.

The General Meeting approved the adoption of the most recent Remuneration Policy for the Board of Management, including the number of shares to be issued. The updated policy outlines the target and maximum levels of the long-term incentive plans, associated performance measures, and payout zone percentages. Remuneration policies for employees are approved by the Board of Management. Additionally, the General Meeting authorized the Board of Management to issue and grant ordinary shares, set limits on restricting or excluding shareholders' pre-emption rights, and repurchase ordinary shares on behalf of the company within defined parameters.

The table below outlines the performance criteria and their respective weightings for the LTI performance plans granted in 2025.

LTI performance plan criteria	Market/Non-market element	Weight
Relative TSR	Market	25%
Strategic value drivers	Non-market	35%
Technology Leadership Index	Non-market	20%
ESG measures	Non-market	20%
Total		100%

Following the US executive order 14173, the non-financial ESG performance metrics were modified as follows:

- For the employees based in the US, the gender diversity performance measures are omitted, and an increased weighting is applied on the Employee engagement and Inclusion score (13.33%), and
- For the employees outside the US, the gender diversity performance measures are calculated excluding US employees.

All employees who are eligible for the LTI plan 2023-2025 and 2024-2026 will be impacted by this modification. There are no incremental fair value and no incremental compensation costs arising from the modifications.

Accounting policy

The fair value of the market-based element is measured at the grant date incorporating the expected vesting and expected value at vesting, using a tailored Monte Carlo simulation model. The fair value of the service plans and the non-market-based elements of the performance plans is the share price at grant date less the present value of expected dividends during the vesting period, as participants are not entitled to dividends payable during the vesting period. The likelihood of the conditions being met for service and non-market performance plans is assessed as part of the company's best estimate of the number of equity instruments that will ultimately vest.

Participants are entitled to a conditional grant of company shares upon awarding. Performance plans are subject to cliff vesting and are accounted for on a straight-line basis. Service-only plans are subject to graded vesting. Each installment of the plan is therefore accounted as a separate grant with a separate fair value. This means that each installment will be separately measured and attributed to expense over the related vesting period. Expenses for the market-based element are recognized during vesting at a fixed vesting level (as the vesting expectation is incorporated in the fair value) provided that all other performance conditions are met. Expenses for the non-market-based elements and service plans are recognized during vesting at expected vesting levels, which are updated during the vesting period as necessary, with a final update/adjustment at vesting date. All share-based remuneration

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The most important assumptions for the calculation of the fair value of shares for the LTI performance plans, which include market-based performance criteria, are set out in this table:

	2023	2024	2025
Year ended December 31			
Share price in € at grant date	620.1	707.1	580.9
Expected volatility ASML	46.2%	40.0%	41.7%
Average volatility of the peer group	50.0%	43.3%	46.6%
Vesting period	2.9 years	2.9 years	2.7 years
Dividend yield	0.9%	0.7%	0.9%
Risk free interest rate (Eurozone)	2.4%	2.4%	1.8%
Risk free interest rate (US)	3.9%	4.2%	3.9%

An overview of the incurred and expected expenses for the LTI plans are set out in the following table:

Year ended December 31 (€ in millions)	2023	2024	2025
Incurring expenses	134.8	172.6	202.3
Expected expenses of conditionally granted plans in future periods	187.2	246.1	215.0
Weighted average period for recognizing these expected expenses	1.6 years	1.5 years	1.4 years
Recognized income tax benefit (excluding excess income tax benefits)	16.3	28.2	32.0

Details with respect to shares granted and vested during the year are set out in the following table:

Year ended December 31	EUR-denominated			USD-denominated		
	2023	2024	2025	2023	2024	2025
Total fair value of shares vested during the year (in millions)	175.5	161.4	139.4	127.0	155.2	166.6
Weighted average fair value of shares granted	587.42	801.78	636.49	624.10	848.18	660.67

A summary of the status of conditionally outstanding shares as of December 31, 2025, and changes during the year ended December 31, 2025, is presented below:

	EUR-denominated		USD-denominated	
	Number of shares	Weighted average fair value at grant date	Number of shares	Weighted average fair value at grant date
Conditional shares outstanding at January 1, 2025	280,353	680.02	410,680	734.50
Granted	261,198	636.49	279,674	660.67
Vested	(203,871)	650.87	(229,822)	711.06
Forfeited	(6,314)	632.69	(13,191)	714.28
Conditional shares outstanding at December 31, 2025	331,366	664.54	447,341	700.98

Option plans

Since 2017, we no longer grant any options, but there are still outstanding options which may be exercised by employees.

Accounting policy

The grant-date fair value of stock options was estimated using a Black-Scholes option valuation model. This Black-Scholes model required the use of assumptions, including expected share price volatility, the estimated life of each award and the estimated dividend yield. The risk-free interest rate used in the model is determined, based on an ...

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Details with respect to stock options exercised and outstanding are set out in the following table:

Year ended December 31	EUR-denominated			USD-denominated		
	2023	2024	2025	2023	2024	2025
Weighted average share price at stock option exercise	613.03	834.48	722.84	678.41	911.23	840.14
Aggregate intrinsic value of exercised stock options (in millions)	8.1	10.2	8.8	4.8	8.2	6.8
Weighted average remaining contractual term of exercisable options (in years)	1.48	0.83	0.32	1.43	0.84	0.30
Aggregate intrinsic value of exercisable stock options (in millions)	19.7	11.4	4.6	15.9	8.2	4.5
Aggregate intrinsic value of outstanding stock options (in millions)	19.7	11.4	4.6	15.9	8.2	4.5

The number and weighted average exercise prices of stock options as of December 31, 2025, and changes during the year then ended are presented below:

	EUR-denominated		USD-denominated	
	Number of options	Weighted average exercise price per ordinary share (in €)	Number of options	Weighted average exercise price per ordinary share (in \$)
Outstanding, January 1, 2025	19,336	87.48	13,734	95.58
Granted	—	—	—	—
Exercised	(13,779)	87.04	(9,090)	94.62
Forfeited	—	—	—	—
Expired	(78)	93.03	(1)	88.10
Outstanding, December 31, 2025	5,479	88.52	4,643	97.47
Exercisable, December 31, 2025	5,479	88.52	4,643	97.47

Details with respect to stock options exercised in the relevant year and outstanding stock options as of December 31, 2025, are set out in the following table:

EUR-denominated			USD-denominated		
Range of exercise prices (in €)	Number of outstanding options	Weighted average remaining contractual term of outstanding (years)	Range of exercise prices (in \$)	Number of outstanding options	Weighted average remaining contractual term of outstanding (years)
80–90	3,569	0.19	80–90	—	0.00
90–100	1,910	0.56	90–100	2,976	0.15
100–110	—	0.00	100–110	1,667	0.56
Total	5,479	0.32	Total	4,643	0.30

Employee Share Purchase Plan

Additionally, we offer an Employee Share Purchase Plan to our payroll employees, except the Board of Management,

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21. Income taxes

Accounting policy

The asset and liability method is used in accounting for income taxes. Under this method, deferred tax assets and liabilities are recognized for the tax effect of operating loss and tax credit carry forwards as well as for tax consequences attributable to differences between the balance sheets carrying amounts of existing assets and liabilities and their respective tax bases. If it is more likely than not that some portion or all of a deferred tax asset will not be realized, a valuation allowance is recorded for the difference.

Income tax expense includes current and deferred taxes on profit, related interest and penalties and non-recoverable withholding taxes insolar these qualify as income tax, as well as actual or potential withholding taxes on current and expected dividend income from group companies.

Consistent with the rules of intra-period allocation, current and deferred tax expense in principle are allocated to statement of operations or OCI in conjunction with the allocation of the underlying transaction.

Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which temporary differences, operating loss carry forwards and tax credit carry forwards are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in the Consolidated statements of operations in the period that includes the enactment date.

Deferred income taxes originally recognized through OCI are recycled through earnings in future periods upon release of the connected item from OCI to the statement of operations.

We assess unrecognized tax benefits based on a two-step process. The first step is to evaluate the tax position for recognition by determining if the weight of available evidence indicates that it is more likely than not that the position will be realized upon settlement with a taxing authority or in a dispute with taxing authorities if the taxpayer takes the dispute to the court of last resort. The second step is to measure the tax benefit as the largest amount that is more than 50% likely to be realized upon settlement. While we believe we have appropriate support for the positions taken on our tax returns, we regularly assess the potential outcomes of examinations by tax authorities in determining the adequacy of our income tax expense, and adjust the income tax expense, income taxes payable and deferred taxes in the period in which the facts that give rise to a revision become known.

Effective 2025, we adopted the guidance of ASU 2023-09 'Income Taxes (Topic 740): Improvements to Income Tax Disclosures', prospectively, with no impact on the financial statements only on the notes associated.

Income taxes are affecting our Consolidated statements of operations, Consolidated statements of comprehensive income and Consolidated balance sheets. The disclosure of the income taxes is therefore split into:

- Income tax expense
- Liability for unrecognized tax benefits
- Deferred taxes

Income tax expense

The components of income tax expense are as follows:

Year ended December 31 (€ in millions)	2023	2024	2025
Netherlands	8,453.5	7,927.0	10,297.5
Foreign	630.0	1,115.4	1,108.6
Income before income taxes	9,083.5	9,042.4	11,406.1
Income tax (expense) / benefit current	(1,211.7)	(1,424.1)	(1,638.0)
Income tax (expense) / benefit deferred	(58.4)	67.5	(12.8)
Income tax (expense) / benefit Netherlands	(1,270.1)	(1,356.6)	(1,650.8)
Income tax (expense) / benefit current	(441.3)	(322.7)	(359.1)
Income tax (expense) / benefit deferred	275.6	(1.3)	(3.5)
Income tax (expense) / benefit Foreign	(165.7)	(324.0)	(362.6)

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Current and deferred tax (expense) / benefit can be further broken down into:

Year ended December 31 (€ in millions)	2023	2024	2025
Current year tax (expense) / benefit	(1,766.1)	(1,535.6)	(2,008.0)
Prior year tax (expense) / benefit	113.1	(211.2)	10.9
Total current tax (expense) / benefit	(1,653.0)	(1,746.8)	(1,997.1)
Year ended December 31 (€ in millions)	2023	2024	2025
Changes to recognition of operating losses and tax credits	3.0	(24.9)	(52.4)
Prior year tax (expense) / benefit	(85.2)	93.1	51.7
Tax rate changes	13.5	—	16.4
Origination and reversal of temporary differences, operating losses and tax credits	285.9	(2.0)	(32.0)
Total deferred tax (expense) / benefit	217.2	66.2	(16.3)
Above current year tax expense includes estimated global minimum tax expense of 0.0 million (2024: 2.5 million) that can be broken out as follows:			
Year ended December 31 (€ in millions) ¹	2024	2025	
Top-up tax expense based on local QDMTT ¹		(0.3)	—
Top-up tax expense based on IIR ²		(2.2)	—
Global minimum tax (expense) / benefit		(2.5)	—

¹ QDMTT = Qualifying Domestic Minimum Top-up Tax.

² IIR = Income Inclusion Rule.

³ Global Minimum Tax rules first became effective as of 2024. As such, no 2023 comparatives are presented above. The Dutch statutory income tax rate was 25.9% in 2025 (2024: 25.8%; 2023: 25.8%). Tax amounts in other jurisdictions are calculated at the rates prevailing in the relevant jurisdictions.

The effective tax rate (ETR) decreased to 17.7% in 2025, compared to 18.6% in 2024. This reduction is primarily due to a correction for a historic tax position recognized in 2024 that pertained to multiple years, for which the underlying tax position has a lower impact in 2025.

ASML is domiciled in the Netherlands; therefore, the Dutch statutory income tax rate of 25.8% is used in the reconciliation to the Company's effective tax rate for the year ended December 31, 2025. The reconciliation table below is prepared in accordance with the disclosure requirements of ASU 2023-09¹, whereby reconciling items that individually or at aggregated country level are equal or greater than 5% of expected total tax expense in case of using the Dutch domestic rate, are presented separately.

Year ended December 31 (€, in millions)	2025	% ¹
Income before income taxes	11,406.1	100.0
Income tax expense based on ASML's domestic rate	(2,942.8)	25.8
Foreign tax effects		
Other foreign jurisdictions		
Other	(117.7)	1.0
Netherlands		
Non-taxable or nondeductible items		
Adjustments in respect of tax incentives	1,055.8	(9.3)

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The following table is a reconciliation of the Dutch statutory rate of 25.8% to the Company's effective rate for the years ended December 31, 2023 and 2024 in accordance with the guidance prior to the adoption of ASU 2023-09.

Year ended December 31 (€, in millions)	2023	% ¹	2024	% ¹
Income before income taxes	9,083.5	100.0%	9,042.4	100.0%
Income tax provision based on ASML's domestic rate	(2,343.5)	25.8%	(2,332.9)	25.8%
Effects of tax rates in foreign jurisdictions	14.7	(0.2)%	26.6	(0.3)%
Adjustments in respect of tax exempt income	1.4	— %	0.9	— %
Adjustments in respect of tax incentives	941.9	(10.4)%	824.6	(9.1)%
Adjustments in respect of prior years' current taxes	113.1	(1.2)%	(211.2)	2.3 %
Adjustments in respect of prior years' deferred taxes	(85.2)	0.9 %	93.1	(1.0)%
Movements in the liability for unrecognized tax benefits	(55.0)	0.6%	(66.8)	0.7%
Global Minimum Tax	—	— %	(2.5)	— %
Change in valuation allowance	3.0	— %	(24.9)	0.3 %
Equity method investments	(42.6)	0.5%	(41.6)	0.5%
Effect of change in tax rates	13.5	(0.1)%	—	— %
Other credits and non-taxable items	2.9	— %	54.1	(0.6)%
Provision for income taxes	(1,435.8)	15.8%	(1,680.6)	18.6%

¹As a percentage of income before income taxes.

The individual elements in these tables are explained in more detail below. While the explanations are based on the captures of the 2025 table, they also reference the corresponding items from the 2024 and 2023 table for context.

Income tax expense based on ASML's domestic rate

The income tax expense based on ASML's domestic rate is based on the Dutch statutory income tax rate. It reflects the income tax expense that would apply if our entire taxable income were subject to the Dutch statutory tax rate, with no tax incentives applied. No state or local taxes are applicable in the Netherlands.

Foreign tax effects

This category includes the cumulative effect of the reconciling items applicable in the foreign (i.e. non-Dutch) jurisdictions where we operate. It includes the benefit of the R&D credits claimed at the level of our US group companies, the income tax expense relating to our investment in Carl Zeiss SMT Holding GmbH & Co. KG as well as other items that individually do not meet the separate disclosure threshold of 5%, such as non-deductible items, tax exempt income items, prior year adjustments, effects of differences in tax rates, valuation adjustments, Global Minimum Taxes and tax effects on intercompany elimination allocated to Foreign jurisdictions.

Adjustment in respect of tax incentives

This category includes the impact of the reduced tax rate as a result of application of the Dutch Innovation Box, which is the only reconciling item exceeding the 5% threshold of ASU 2023-09. The innovation box is a facility under Dutch corporate tax law pursuant to which qualified income associated with R&D is subject to an effective tax rate of 9.0%. The innovation box benefit is determined according to Dutch laws and published tax policy, whereby for all years mentioned the application has been confirmed in agreements between ASML and the Dutch tax authorities. As of 2024 this agreement has been renewed, now being applicable for the years 2024 through 2028 assuming facts and circumstances do not change.

Decline in absolute amount of the 2024 benefit of tax incentives as compared to 2023 is driven by a lower innovation box allocation percentage applicable as of 2024 as compared to 2023.

Other nontaxable or nondeductible items

This category reflects the impact of permanent nontaxable or nondeductible items at the level of our group companies in the Netherlands that do not meet the separate disclosure threshold of 5%. It includes, amongst others, the effect of nondeductible withholding taxes, nondeductible shared-based compensation expenses and non-deductible employee related expenses.

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Changes in the liability for unrecognized tax benefits

This category includes movements in our liability for unrecognized tax benefits for the worldwide consolidated group. No netting with underlying tax positions has been applied.

In 2025, similar to prior years, the effective tax rate was impacted by movements in the liability for unrecognized tax benefits. The movement for 2025 is mainly driven by continued dialogues with Dutch and foreign tax authorities in the area of transfer pricing and the use of foreign tax credits. Additionally, some prior-year positions have been released as a result of the lapse of statute.

US Tax Reforms

The year-end tax positions also reflect the regulations of US Tax Reforms, thereby taking into account the guidance issued by the US government. Hereby the most recent guidance for the final FDII regulations has been applied. With regard to the global intangible low taxed income (GILTI) and base erosion and anti-abuse tax (BEAT) regulations, the decision has been taken to treat these as a period permanent item.

In 2022, the US enacted the CHIPS and Science Act, which, among other provisions, introduced a 25% investment tax credit for semiconductor manufacturing equipment. These credits are accounted for as reductions to capitalized Property, plant and equipment costs, rather than as income taxes.

Additionally, in 2022 the US enacted the Inflation Reduction Act (IRA), which, among other things, implemented a 15% minimum tax on book income of certain large corporations, a 1% excise tax on share buybacks, several clean energy provisions and additional funding for the IRS. Relevant tax aspects of the IRA have been assessed and included in our tax positions reported for 2025.

The same applies for the provisions of the One Big Beautiful Bill Act (OBBBA) that was enacted in 2025. Based on our current analysis, the OBBBA has no material impact on our Consolidated financial statements for 2025 and we do not believe it will have material impact for upcoming financial years.

Global Minimum Tax

ASML falls within the scope of the Organisation for Economic Co-operation and Development (OECD) global minimum tax rules. Global minimum tax legislation was enacted in the Netherlands, the jurisdiction in which ASML is incorporated, and came into effect from January 1, 2024.

In conformity with the FASB staff comments of February 1, 2023, we have treated the global minimum tax as an alternative minimum tax and did not recognize deferred tax impacts or remeasure existing deferred taxes under local regular income tax systems.

ASML recognized an estimated current tax expense related to Global minimum tax, amounting to € 0.0 million (2024: 2.5 million).

Income taxes paid ¹	2025
Jurisdiction / Year (€, in millions)	
Domestic	
Netherlands	(1,152.7)
Foreign	
United States	(171.1)
South Korea	(89.3)
China	(98.0)
Rest of World	(110.3)
Total	(1,621.4)

¹The ASU 2023-09 guidance became effective as of 2025. As such no 2024 and 2023 comparatives are presented above.

Income taxes paid include withholding taxes paid on certain payments between group companies that qualify as income taxes within the scope of ASC 740. These withholding taxes have been presented as income taxes paid in the countries of remittance to the local tax authorities.

Liability for unrecognized tax benefits and deferred taxes

The liability for unrecognized tax benefits and related accrued interest and penalties and total deferred tax position recorded on the Consolidated balance sheets is as follows:

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Consistent with the requirements of ASC 740, as of December 31, 2025, the liability for unrecognized tax benefits (excluding interest and penalties) amounts to €160.8 million (2024: €214.0 million), which is classified as Deferred and other income tax liabilities. If recognized, these unrecognized tax benefits would positively affect our effective tax rate by approximately €160.7 million (2024: €168.4 million benefit).

Interest and penalties related to the liability for unrecognized tax benefits amount to €13.7 million (2024: €39.1 million) and are included in the total liability position, as specified below. The impact on the Consolidated statements of operations of accrued interest and penalties in 2025 amount to a benefit of €22.0 million (2024: €17.7 million benefit). The following table is a reconciliation of the beginning and ending balance of the liability for unrecognized tax benefits:

Year ended December 31 (€, in millions)	2024	2025
Balance as at January 1	(193.6)	(214.0)
Gross increases – tax positions in prior period	(39.7)	(25.9)
Gross decreases – tax positions in prior period	11.0	62.2
Gross increases – tax positions in current period	(64.9)	(58.5)
Settlements	69.9	60.3
Lapse of statute of limitations	6.1	1.7
Effect of changes in exchange rates	(2.8)	13.4
Total liability for unrecognized tax benefits	(214.0)	(160.8)
Balance of accrued interest and penalties	(39.1)	(13.7)
Total liabilities for unrecognized tax benefits including interest and penalties	(253.1)	(174.5)

We conclude our liability for unrecognized tax benefits to be appropriate. Settlements reported in 2025 mainly relate to an agreement reached with the Dutch tax authorities in relation to the use of foreign withholding tax credits. The settlements reported in 2024 mainly relate to an agreement reached with South Korean tax authorities in the area of transfer pricing.

Increase in prior period and current period tax positions mainly relate to dialogues with the Dutch tax authorities in relation to Transfer Pricing and the use of foreign withholding tax credits.

We file income tax returns in all jurisdictions where we operate, with the Netherlands, US, Taiwan, South Korea and China being the major jurisdictions. The years for which tax returns are still open for examination for respective jurisdictions are as follows:

Jurisdictions	Years
Netherlands	2022 – 2025
US	2018 – 2025
Taiwan	2020 – 2025
South Korea	2022 – 2025
China	2015 – 2025

We are routinely subject to examinations and audits from tax and other authorities in the various jurisdictions in which we operate. We believe that adequate amounts of taxes and related interest and penalties have been provided for, and any adjustments as a result of examinations are not expected to have a material adverse effect.

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Deferred taxes

The composition of total deferred tax assets and liabilities reconciled to the classification in the Consolidated balance sheets is:

Deferred taxes (€, in millions)

	January 1, 2025	Credits and other	Consolidated Statements of Operations	Effect of changes in exchange rates	December
Deferred tax assets:					
Capitalized R&D costs	481.7	—	(106.5)	(63.9)	
Goodwill	79.8	—	5.3	—	
R&D and other tax credit carry forwards	266.6	(9.7)	85.4	(30.2)	
Inventories	95.5	—	(23.4)	(2.1)	
Contract liabilities	1,046.0	—	16.8	(90.4)	
Accrued and other liabilities	135.4	—	(9.0)	(13.2)	
Operating loss carry forwards	1.1	—	49.0	1.0	
Property, plant and equipment	11.4	—	2.7	(0.2)	
Lease liabilities	25.4	—	(3.4)	(3.1)	
Other intangible assets	107.0	—	(15.3)	(7.0)	
Share-based payments	30.0	—	6.3	(3.5)	
Other temporary differences	24.4	—	32.7	20.2	
Total deferred tax assets, gross	2,304.3	(9.7)	40.6	(192.4)	
Valuation allowance ¹	(242.6)	—	(52.4)	27.3	
Total deferred tax assets, net	2,061.7	(9.7)	(11.8)	(165.1)	
Deferred tax liabilities:					
Other intangible assets	(46.0)	—	11.1	11.9	
Goodwill	(45.7)	—	(8.0)	—	
Inventories	—	—	—	—	
Right-of-use assets	(25.4)	—	3.4	3.1	
Property, plant and equipment	(36.1)	—	8.0	3.1	
Accrued and other liabilities	(0.3)	—	(27.4)	0.6	
Contract liabilities	—	—	—	—	
Long-term debt	(1.3)	—	1.2	—	
Other temporary differences	(12.3)	—	7.2	(11.3)	
Total deferred tax liabilities	(167.1)	—	(4.5)	7.4	
Net deferred tax assets (liabilities)	1,894.6	(9.7)	(16.3)	(157.7)	
Classified as:					
Deferred tax assets – non-current	1,940.7	—	—	—	
Deferred tax liabilities – non-current	(46.1)	—	—	—	
Net deferred tax assets (liabilities)	1,894.6	(9.7)	(16.3)	(157.7)	

1. The valuation allowance disclosed above relates to R&D and other tax credit carry forwards and operating loss carry forwards that may not be realized.

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Deferred taxes (€, in millions)	January 1, 2024	Credits and other	Consolidated Statements of Operations	Income tax recognized in Other Comprehensive Income	Effect of changes in exchange rates	December
Deferred tax assets:						
Capitalized R&D costs	514.1	—	(66.5)	—	34.1	
Goodwill	65.0	—	14.8	—	—	
R&D and other tax credit carry forwards	217.8	(9.7)	45.4	—	13.1	
Inventories	61.4	—	31.6	—	2.5	
Contract liabilities	959.8	—	39.9	—	46.3	
Accrued and other liabilities	139.5	—	(6.6)	—	2.5	
Operating loss carry forwards	3.9	—	(2.8)	—	—	
Property, plant and equipment	29.2	—	(16.2)	—	(1.6)	
Lease liabilities	28.7	—	(5.0)	—	1.7	
Other intangible assets	119.3	—	(12.3)	—	—	
Share-based payments	16.8	—	6.9	—	6.3	
Other temporary differences	22.5	—	4.9	3.7	(6.7)	
Total deferred tax assets, gross	2,178.0	(9.7)	34.1	3.7	98.2	
Valuation allowance ¹	(206.7)	—	(24.9)	—	(11.0)	
Total deferred tax assets, net	1,971.3	(9.7)	9.2	3.7	87.2	
Deferred tax liabilities:						
Other intangible assets	(52.0)	—	9.4	—	(3.4)	
Goodwill	(38.5)	—	(7.2)	—	—	
Inventories	(3.8)	—	3.7	—	0.1	
Right-of-use assets	(28.7)	—	5.0	—	(1.7)	
Property, plant and equipment	(13.6)	—	(22.7)	—	0.2	
Accrued and other liabilities	(0.5)	—	0.2	—	—	
Contract liabilities	(80.0)	—	80.0	—	—	
Long-term debt	(1.6)	—	0.3	—	—	

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Operating loss carry forwards and tax credit carry forwards

The deferred tax assets from operating loss carry forwards, R&D credits and other tax credit carry forwards recognized as per December 31, 2025, are largely offset by means of a valuation allowance. R&D and other tax credit carry forwards for the amount of €232.7 million have no expiration date. The remaining R&D and other tax credit carry forwards of €79.4 million have an expiration date between 2028 and 2045. For an amount of €212.6 million the operating losses carry forward have an expiration date between 2035 and 2045. The remaining operating loss carry forwards of €207.3 million have no expiration date.

Unrecognized deferred tax liability related to investments in foreign subsidiaries

ASML periodically reviews the capital structure of each group entity and may distribute retained earnings, repay capital or inject fresh capital, should the projected cash flows, freely available funds of the respective entity and capital adequacy requirements in the respective country allow/require for this. At December 31, 2025, the undistributed retained earnings of our non-Dutch subsidiaries are generally considered indefinitely reinvested, except for some ad hoc dividend distributions that may take place in 2026 for some of our Asian group entities with expected limited tax impact. As such, no deferred tax liability has been recognized in respect of undistributed retained earnings of our non-Dutch subsidiaries. As the tax implications of such distributions are dependent on local tax and accounting regulations applying at the moment of distribution, these can also not practically be determined. As per December 31, 2025, the aggregate amount of unrecognized temporary differences approximately amounts to €1,267.6 million (2024: €1,010.2 million).

22. Shareholders' equity

Share capital

ASML's authorized share capital amounts to €126.0 million and is divided into:

Type of shares	Number of shares	Nominal value	Votes per share
Cumulative preference shares	700,000,000	€0.09 per share	1
Ordinary shares	700,000,000	€0.09 per share	1
The issued and fully paid-up ordinary shares with a nominal value of €0.09 each were as follows:			
Year ended December 31	2023	2024	2025
Issued ordinary shares with nominal value of €0.09	393,421,721	393,283,720	385,417,665
Issued ordinary treasury shares with nominal value of €0.09	6,162,857	546,972	2,730,009
Total issued ordinary shares with nominal value of €0.09	399,584,578	393,830,692	388,147,674

As of December 31, 2025, 87,904,216 ordinary shares were held by 316 registered holders with a registered address in the US. Since certain of our ordinary shares were held by brokers and nominees, the number of record holders in the US may not be representative of the number of beneficial holders, or of where the beneficial holders are resident. Each ordinary share consists of 900 fractional shares. Fractional shares entitle the holder thereof to a fractional dividend, but do not give entitlement to voting rights. Only those persons who hold shares directly in the share register in the Netherlands, held by us at our address at 5504 DR Veldhoven, De Run 6501, the Netherlands, or in the New York share register, held by JP Morgan Chase Bank, N.A., P.O. Box 64506, St. Paul, MN 55164-0506, United States, can hold fractional shares. Shareholders who hold ordinary shares through the deposit system under the Dutch Securities Bank Giro Transfer Act maintained by the Dutch central securities depository Euroclear Nederland or through the Depository Trust Company cannot hold fractional shares. No cumulative preference shares have been issued. Each share carries one vote. There are no special voting rights on the issued shares in our share capital. There are currently no limitations, either under Dutch law or in our Articles of Association, on the transfer of ordinary shares in the share capital of ASML. Pursuant to our Articles of Association, the Supervisory Board's approval shall be required for every transfer of cumulative preference shares.

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Issue and repurchase of (rights to) shares

Our Board of Management has the power to issue ordinary shares and cumulative preference shares insofar as it has been authorized to do so by the General Meeting. The Board of Management requires approval of the Supervisory Board for such an issue. The authorization by the General Meeting can only be granted for a certain period not exceeding five years and may be extended for no longer than five years on each occasion. If the General Meeting has not authorized the Board of Management to issue shares, the General Meeting will be authorized to issue shares on the Board of Management's proposal, provided that the Supervisory Board has approved such a proposal.

Holders of our ordinary shares have a preemptive right, in proportion to the aggregate nominal amount they hold. This preemptive right may be restricted or excluded. Holders of ordinary shares do not have preemptive rights with respect to any ordinary shares issued for consideration other than cash or ordinary shares issued to employees. If authorized for this purpose by the General Meeting, the Board of Management has the power, subject to approval of the Supervisory Board, to restrict or exclude the preemptive rights of holders of ordinary shares.

At our 2025 AGM, the Board of Management was authorized from April 23, 2025, through October 23, 2026, subject to the approval of the Supervisory Board, to issue shares and/or rights thereto, representing up to a maximum of 5% of our issued share capital at April 23, 2025, plus an additional 5% of our issued share capital at April 23, 2025, that may be issued in connection with mergers, acquisitions and/or (strategic) alliances. Our shareholders also authorized the Board of Management through October 23, 2026, subject to approval of the Supervisory Board, to restrict or exclude preemptive rights with respect to holders of ordinary shares up to a maximum of 5% of our issued share capital in connection with the general authorization to issue shares and/or rights to shares, plus an additional 5% in connection with the authorization to issue shares and/or rights to shares in connection with mergers, acquisitions and/or (strategic) alliances.

We may repurchase our issued ordinary shares at any time, subject to compliance with the requirements of Dutch law and our Articles of Association. Any such repurchases are subject to the approval of the Supervisory Board and authorization by the General Meeting, which authorization may not be for more than 18 months.

At the 2025 Annual General Meeting (AGM), the Board of Management was authorized, subject to Supervisory Board approval, to repurchase through October 23, 2026, up to a maximum of 10% of our issued share capital at April 23, 2025, at a price between the nominal value of the ordinary shares purchased and 110% of the market price of these securities on Euronext Amsterdam or Nasdaq.

ASML Preference Shares Foundation

The ASML Preference Shares Foundation (Stichting Preferente Aandelen ASML) has been granted an option right to acquire cumulative preference shares in the share capital of ASML. The Foundation may exercise this Preference Share Option when, in the opinion of the Foundation's Board of Directors, the interests of ASML, its business or its stakeholders are at stake, including in the event that:

- a public bid for ASML's shares has been announced or made, or there is a justified expectation that such a bid will be made without any agreement having been reached with ASML in relation thereto; or
- an attempted exercise of voting rights by one or more shareholders, which in the opinion of the Foundation's Board of Directors is materially in conflict with the interests of ASML, of its business or of its stakeholders.

The Foundation's objectives are to look after the interests of ASML and the enterprises maintained by and/or affiliated in a group with ASML, in such a way that ASML's interests and those of enterprises and all parties concerned are safeguarded in the best possible way. The Foundation is responsible for ensuring that influences in

conflict with these interests, which might affect the independence or the identity of ASML and those companies, are deterred to the best of the Foundation's ability. The Foundation aims to realize its objects by acquiring and holding cumulative preference shares in our capital and by exercising the rights attached to these shares, particularly the voting rights.

The Preference Share Option entitles the Foundation to acquire cumulative preference shares, whereby the aggregate nominal value of such cumulative preference shares may not exceed the aggregate nominal value of the ordinary shares issued at the time of exercise of the Preference Share Option. The subscription price for the cumulative preference shares shall be equal to nominal value. Only 25 percent of the subscription price will be payable upon issuance, with the remainder only being payable when called-up by ASML.

Cancellation and repayment of issued cumulative preference shares by ASML requires authorization by the General Meeting, on a proposal to this effect made by the Board of Management and approved by the Supervisory Board. If the Preference Share Option is exercised and as a result cumulative preference shares are issued, we will initiate the repurchase or cancellation of all cumulative preference shares held by the Foundation at the Foundation's request. In that case, we are obliged to effect the repurchase and respective cancellation as soon as possible. A cancellation will result in a repayment of the amount paid and exemption from the obligation to pay up on the cumulative preference

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If the Foundation does not request that we repurchase or cancel all cumulative preference shares held by the Foundation within 20 months of issuance of these shares, we will be required to convene a General Meeting for the purpose of deciding on a repurchase or cancellation of these shares.

The Foundation operates independently of ASML. Its Board of Directors comprises four independent members. Per December 31, 2025, its members were: Mr. Wim Pelsma, Mr. Sjoerd Vollebregt, Mr. Jos Streppel and Mr. Steven Perrick (who was replaced by Mr. Arnold Croiset van Uchelen effective January 1, 2026). ASML has not established any other anti-takeover devices.

Dividend policy

ASML aims to provide a sustainable dividend per share that will grow over time, paid quarterly. On an annual basis, the Board of Management, upon prior approval from the Supervisory Board, submits a proposal to the AGM with respect to the amount of dividend to be declared with respect to the prior year, taking into account any interim dividend distributions. The dividend proposal in any given year will be subject to availability of distributable profits, retained earnings and cash, and may be affected by, among other things, our view of potential future liquidity requirements including for investments in production capacity, working capital requirements, the funding of our R&D programs and acquisition opportunities that may arise from time to time, and future changes in applicable tax and corporate laws.

ASML intends to declare a total dividend for the year of 2025 of €7.50 per ordinary share, which is a 17.2% increase compared to the 2024 total dividend of €6.40 per ordinary share. Recognizing the interim dividends of €1.60 per ordinary share paid in August 2025, November 2025 and February 2026, this leads to a final dividend proposal to the General Meeting of €2.70 per ordinary share.

Dividends on ordinary shares are payable out of net income or retained earnings, as shown in our Financial statements as adopted by our AGM, after payment first of (accumulated) dividends out of net income on any issued cumulative preference shares.

Purchase of equity securities

In addition to dividend payments, we intend to return cash to our shareholders on a regular basis through share buybacks or capital repayment, subject to our actual and anticipated level of liquidity requirements and other relevant factors.

On January 28, 2026 we announced a new share buyback program to be executed by December 31, 2028. ASML intends to repurchase shares of an amount up to €12 billion, of which we expect a total of up to 2.0 million shares will be used to cover employee share plans. ASML intends to cancel the remainder of the shares repurchased. The share buyback program may be suspended, modified or discontinued at any time. The previous program finished in December 2025, pursuant to which we repurchased a total of €7.6 billion out of the up to €12.0 billion program. In 2025, we repurchased 8,323,320 shares (2024: 574,925 shares) for a total consideration of €5,950.0 million (2024: €500.0 million). In 2025, we cancelled 5,683,018 shares (2024: 5,754,117 shares).

The following table provides a summary of shares repurchased by ASML in 2025:

Period	Total number of shares purchased	Average price paid per Share (€)	Total number of shares purchased under programs	Maximum value of shares that may yet be purchased (€ millions)
January 1 – 31, 2025	181,400	714.60	181,400	10,170.4
February 1 – 28, 2025	1,819,703	712.36	2,001,103	8,874.1
March 1 – 31, 2025	2,067,246	658.42	4,068,349	7,513.0
April 1 – 30, 2025	1,390,673	583.36	5,459,022	6,701.7
May 1 – 31, 2025	398,170	648.62	5,857,192	6,443.4
June 1 – 30, 2025	385,453	669.72	6,242,645	6,185.3
July 1 – 31, 2025	200,024	676.40	6,442,669	6,050.0
August 1 – 31, 2025	—	—	6,442,669	6,050.0
September 1 – 30, 2025	—	—	6,442,669	6,050.0
October 1 – 31, 2025	483,439	897.81	6,926,108	5,616.0

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23. Net income per ordinary share

Basic net income per ordinary share is calculated by dividing net income by the weighted average number of ordinary shares outstanding for that period.

The dilutive effect is calculated using the treasury stock method by dividing net income by the weighted average number of ordinary shares outstanding for that period plus shares applicable to options and conditional shares (dilutive potential ordinary shares). The calculation of diluted net income per ordinary share does not assume exercise of options when exercise would be anti-dilutive. Excluded from the diluted weighted average number of shares outstanding calculation are cumulative preference shares contingently issuable to the preference share foundation, since they represent a different class of stock from the ordinary shares.

The basic and diluted net income per ordinary share has been calculated as follows:

Year ended December 31 (€ in millions, except per share data)	2023	2024	2025
Net income	7,839.0	7,571.6	9,609.4
Weighted average number of shares outstanding	393.8	393.3	388.5
Basic net income per ordinary share	19.91	19.25	24.73
Weighted average number of shares outstanding	393.8	393.3	388.5
Plus shares applicable to options and conditional shares	0.3	0.3	0.4
Diluted weighted average number of shares	394.1	393.6	388.9
Diluted net income per ordinary share	19.89	19.24	24.71

24. Vulnerability due to certain concentrations

We rely on outside vendors for components and subassemblies used in our systems, including the design thereof, each of which is obtained from a single supplier or a limited number of suppliers. Our reliance on a limited group of suppliers involves several risks, including a potential inability to obtain an adequate supply of required components, reduced control over pricing, and the risk of untimely delivery of these components and subassemblies.

25. Financial risk management

We are exposed to certain financial risks, such as foreign currency risk, interest rate risk, credit risk, liquidity risk and capital risk. Our overall risk management program focuses on the unpredictability of financial markets and seeks to minimize potentially adverse effects on our financial performance. Our risk management program focuses appropriately on the current environment of uncertainty in the financial markets.

A key element within our risk management program is our long-held prudent financing policy, which is based on three foundational elements:

- Liquidity: Maintain sufficient liquidity to ensure continued business growth and to provide a buffer for cash flow volatility
- Capital structure: Maintain a capital structure that targets a solid investment-grade credit rating
- Cash return: Provide a sustainable dividend per share that will grow over time, paid quarterly, while returning excess cash to shareholders through share buybacks or capital repayment

We use derivative financial instruments to hedge certain risk exposures. None of these transactions are entered into for trading or speculative purposes. We use market information to determine the fair value of our derivative financial instruments.

Foreign currency risk management

Our Consolidated financial statements are expressed in euros. Accordingly, our results of operations are exposed to fluctuations in exchange rates between the euro and other currencies. Changes in currency exchange rates can result in losses in our Consolidated financial statements. We are exposed to fluctuations in the exchange rates of the US dollar, Japanese yen, the Taiwanese dollar, the South Korean won and the Chinese yuan, in relation to the euro. We incur costs of sales predominantly in euros with portions also denominated in US and Taiwanese dollars. A small portion of our operating results are driven by movements in currencies other than the euro, US dollar, Japanese yen, South Korean won, Taiwanese dollar or Chinese yuan.

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Foreign currency sensitivity

The following table details our sensitivity to a 10.0% strengthening of foreign currencies against the euro. The sensitivity analysis includes foreign currency denominated monetary items outstanding and adjusts their translation at the period end for a 10.0% strengthening in foreign currency rates. A positive amount indicates an increase in net income or equity.

Year ended December 31 (€ in millions)	2024		2025	
	Impact on net income	Impact on equity	Impact on net income	Impact on equity
US dollar	10.3	81.3	1.1	88.2
Japanese yen	(30.4)	(0.4)	(23.2)	7.4
Taiwanese dollar	(7.9)	—	(2.3)	—
South Korean won	(11.4)	—	21.8	—
Chinese yuan	1.7	—	(1.2)	—
Other currencies	(0.8)	—	2.2	—
Total	(38.5)	80.9	(1.6)	95.6

It is our policy to limit the effects of currency exchange rate fluctuations on our Consolidated statements of operations. The impact on net income reflects our exposure to currencies other than the euro at year end 2025. The negative effect on net income as presented in the table above for 2025 is mainly attributable to timing differences between the arising and hedging of exposures. The effects of the fair value movements of cash flow hedges entered into for US dollar and Japanese yen transactions are recognized in equity. The effect on 2025 compared to 2024 for both US dollar and Japanese yen is mainly the result of the change in outstanding cash flow hedges. A 10.0% weakening of the foreign currencies against the euro, would have an approximately equal but opposite effect on net income and equity.

Foreign currency risk policy

It is our policy to hedge material transaction exposures, such as forecasted sales and purchase transactions.

We hedge these exposures through the use of forward foreign exchange contracts.

Foreign exchange contracts

The following table details the notional principal amounts of the outstanding forward foreign exchange contracts.

Year ended December 31 (in billions)	2024	2025
US dollar (USD)	1.0	1.6
Japanese yen (JPY)	1.1	39.7
Taiwanese dollar (TWD)	27.6	18.0
South Korean won (KRW)	66.4	144.9
Chinese yuan (CNY)	1.1	1.1

The hedged highly probable forecasted transactions denominated in foreign currency are expected to occur at various dates during the coming 12 months. Gains and losses recognized in other comprehensive income (OCI) on forward foreign exchange contracts included in a hedge relationship will be recognized in the Consolidated statements of operations in the period during which the hedged forecasted transactions affect the Consolidated statements of operations.

In 2025, we recognized a transfer to net income of €13.8 million loss (2024: €8.9 million gain; 2023: €0.6 million loss) in the Consolidated statements of operations resulting from effective cash flow hedges for forecasted sales and purchase transactions that occurred in the year. Furthermore, we recognized a net amount of €65.1 million gain in the Consolidated statements of operations resulting from derivative financial instruments measured at fair value through profit or loss (2024: €31.4 million gain; 2023: €52.4 million gain), which is mainly offset by the revaluation of the hedged monetary items.

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Interest rate risk management

We have interest-bearing assets and liabilities that expose us to fluctuations in market interest rates, managed through interest rate swaps.

Interest rate sensitivity

The sensitivity analysis below has been determined based on the exposure to interest rates for both derivative financial and non-derivative financial instruments at the balance sheet date, with the stipulated change taking place at the beginning of the financial year and held constant throughout the reporting period. The table below shows the effect of a 100 basis point increase in interest rates on our net income and equity. A positive amount indicates an increase in net income and equity.

Year ended December 31 (€ in millions)	2024		2025	
	Impact on net income	Impact on equity	Impact on net income	Impact on equity
Effect of a 100 basis point increase in interest rates	94.9	—	106.7	—

The positive effect on net income mainly relates to our total amount of cash and cash equivalents and short-term investments being higher than our total floating debt position, which is excluding the Eurobonds issued in 2020. A 100 basis point decrease in interest rates would have an approximately equal but opposite effect on net income and equity.

Hedging policy interest rates

We use interest rate swaps to minimize the net interest exposure for the group by aligning the interest terms of the available cash and the interest-bearing debt. There may be residual interest rate risk to the extent the asset and liability positions do not fully offset.

Interest rate swaps

The notional principal amount of the outstanding interest rate swap contracts as of December 31, 2025, was €2.3 billion (2024: €3.3 billion). During 2025, these outstanding hedges were highly effective in hedging the fair value exposure to interest rate movements. We did not enter into interest rate swaps in connection with the Eurobonds issued in 2020.

Credit risk management

Financial instruments that potentially subject us to a significant concentration of credit risk consist principally of cash and cash equivalents, short-term investments, derivative financial instruments used for hedging activities, Accounts receivable, Finance receivables and Loans receivables.

Cash and cash equivalents, short-term investments and derivative financial instruments contain an element of risk of the counterparties being unable to meet their obligations. Our risk management program focuses appropriately on the current environment of uncertainty in the financial markets. We invest our cash and cash equivalents and short-term investments in short-term deposits with financial institutions that have investment-grade credit ratings and in government and government-related bodies that have investment-grade credit ratings and in money market and other investment funds that invest in high-rated debt securities. To mitigate the risk that our counterparties in hedging transactions are unable to meet their obligations, we enter into transactions with a limited number of major financial institutions that have investment-grade credit ratings and closely monitor their creditworthiness. All credit ratings are rated by credit rating institutions like Standard & Poor's, Moody's or Fitch. Concentration risk is mitigated by limiting the exposure to each of the individual counterparties.

Our customers consist of integrated circuit manufacturers located throughout the world. We perform ongoing credit evaluations of our customers' financial condition. We mitigate credit risk through additional measures, including the use of down payments, letters of credit and contractual ownership retention provisions. Retention of ownership enables us to recover the systems in the event a customer defaults on payment. See discussion of Loans receivable in Note 26 Related parties and variable interest entities.

Liquidity risk management

Our principal sources of liquidity consist of cash and cash equivalents, short-term investments and available credit facilities, with the objective of maintaining sufficient liquidity to ensure continued business growth and to provide a buffer for cash flow volatility. In addition, we may from time to time raise additional funding in debt and equity markets. We seek to ensure that our principal sources of liquidity will be sufficient to satisfy our liquidity requirements at all times.

Our liquidity needs are affected by many factors, some of which are based on the normal ongoing operations of the business, and some of which relate to uncertainties of the global economy and the semiconductor industry. Although our cash requirements fluctuate based on the timing and extent of these factors, we believe that cash generated from operations, together with our other sources of liquidity, are sufficient to satisfy our immediate and long-term liquidity needs.

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Capital risk management

Our objectives when managing our capital structure are to safeguard our ability to satisfy our capital providers by maintaining a capital structure that ensures liquidity and supports a solid investment-grade credit rating. The capital structure includes both debt and the components of equity, in accordance with both US GAAP and EU-IFRS. The capital structure is mainly altered by, among other things, our financial results, adjusting the amount of dividends paid to shareholders, the amount of share buybacks or capital repayment and any changes in the level of debt. Our capital structure is formally reviewed with the Supervisory Board each year in connection with our updated long-term financial plan and relevant scenarios. The outcome of this year's review confirmed that we should maintain our existing financing policy in relation to our capital structure.

Our current credit rating from Moody's is A1 (Stable). This rating was upgraded in November 2025 from A2.

Our current credit rating from Fitch is A+ (Stable). This rating was upgraded in May 2024 from A.

Supplier finance program

We have a supplier finance program in place. We pay the full invoice amount on the original maturity date (for the vast majority 60 days after end of mth) to a third party. Suppliers can choose to request early payment from the third party. The program can be terminated by the third party or by us with a notice period of 30 business days.

The amount of the obligations outstanding that we have confirmed as valid to the third party as of December 31, 2025, was €326.5 million (2024: €344.8 million) and is included in Accounts payable.

Year ended December 31 (€ in millions)	2024	2025
Confirmed obligations outstanding at the beginning of the year	408.5	344.8
Invoices confirmed during the year	2,851.3	2,481.1
Confirmed invoices paid during the year	2,915.0	2,499.4
Confirmed obligations outstanding at the end of the year	344.8	326.5

Financial instruments

Accounting policy – derivative financial instruments and hedging activities

We measure all derivative financial instruments based on fair values derived from level 2 input criteria. We adopt hedge accounting for hedges that are highly effective in offsetting the identified hedged risks taking into account required effectiveness criteria.

Derivatives are initially recognized at fair value on the date a derivative contract is entered into and subsequently remeasured. The method of recognizing the resulting gain or loss depends on whether the derivative is designated as a hedging instrument, and if so, the nature of the item being hedged. We designate derivatives as one of the following:

•A hedge of an exposure relating to changes in the fair value of a recognized asset or liability, that is attributable to a particular risk (fair value hedge)

•A hedge of an exposure relating to the variability in the cash flows of a recognized asset or liability, or of a forecasted transaction, that is attributable to a particular risk (cash flow hedge)

•A hedge of the foreign currency exposure relating to a net investment in a foreign operation (net investment hedge)

We assess at the inception of the transaction the relationship between hedging instruments and hedged items, as well as our risk management objectives and strategy for undertaking various hedging transactions. We also assess, both at hedge inception and on an ongoing basis, whether derivatives that are used in hedging transactions are highly effective in offsetting changes in fair values or cash flows of hedged items. The cash flows resulting from the derivative financial instruments are classified in the Consolidated statements of cash flows according to the nature of the hedged item.

Fair value hedge

Changes in the fair value of a derivative financial instrument that is designated and qualified as a fair value hedge, together with the changes in the fair value of the asset or liability that it hedges, are recorded in the Consolidated

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Cash flow hedge

Changes in the fair value of a derivative that is designated and qualified as a cash flow hedge are recorded in OCI, net of taxes, until the underlying hedged transaction is recognized in the Consolidated statements of operations.

In the event that the underlying hedged transaction will not occur within the specified time period, the gain or loss on the related cash flow hedge is released from OCI and included in the Consolidated statements of operations, unless extenuating circumstances exist that are related to the nature of the forecasted transaction and are outside our control or influence and which cause the forecasted transaction to be probable of occurring on a date that is beyond the specified time period.

Foreign currency hedging instruments that are being used to hedge cash flows related to forecasted sales or purchase transactions in non-functional currencies are designated as cash flow hedges. The gain or loss relating to the ineffective portion of the foreign currency hedging instruments is recognized in the Consolidated statements of operations in net sales or cost of sales.

Fair values of the derivatives

The following table summarizes the notional amounts and estimated fair values of our derivative financial instruments:

Year ended December 31 (€ in millions)	2024	2025
	Notional amount	Fair value
Forward foreign exchange contracts	240.6	44.5
Interest rate swaps	3,250.0	(61.6)

The following table summarizes our derivative financial instruments per category:

Year ended December 31 (€ in millions)	2024	2025
	Assets	Liabilities
Interest rate swaps – fair value hedges	9.3	70.9
Forward foreign exchange contracts – cash flow hedges	31.5	0.1
Forward foreign exchange contracts – no hedge accounting	55.7	42.6
Total	96.5	113.6
Less non-current portion:		
Interest rate swaps – fair value hedges	—	29.3
Total non-current portion	—	29.3
Total current portion	96.5	84.3

The fair value part of a hedging derivative financial instrument that has a remaining term of 12 months or less after balance sheet date is classified as current asset or liability. When the fair value part of a hedging derivative has a term of more than 12 months after balance sheet date, it is classified as non-current asset or liability. Derivative financial instruments are included in Other assets and Accrued and other liabilities in the Consolidated balance sheets, split between current and non-current.

Fair value measurements

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement hierarchy prioritizes the inputs to valuation techniques used to measure fair value as follows:

•Level 1: Valuations based on inputs such as quoted prices for identical assets or liabilities in active markets that the entity has the ability to access.

•Level 2: Valuations based on inputs other than level 1 inputs such as quoted prices for similar assets or liabilities, quoted prices in markets that are not active, or other inputs that are observable or can be corroborated by observable data for substantially the full term of the assets or liabilities.

•Level 3: Valuations based on inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities.

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Financial assets and financial liabilities measured at fair value on a recurring basis

Investments in money market funds (included in our cash and cash equivalents) have fair value measurements which are all based on quoted prices for identical assets or liabilities.

Our short-term investments consist of deposits with original maturities to the entity holding the investments longer than three months and one year or less at the date of acquisition with financial institutions that have investment-grade credit ratings. The fair value of the deposits is determined with reference to quoted market prices in an active market for similar assets or discounted cash flow analysis.

The principal market in which we execute our derivative contracts is the institutional market in an over-the-counter environment with a high level of price transparency. The market participants usually are large commercial banks. The valuation inputs for our derivative contracts are based on quoted prices and quoting pricing intervals from public data sources; they do not involve management judgment.

The valuation technique used to determine the fair value of forward foreign exchange contracts (used for hedging purposes) approximates the net present value technique which is the estimated amount that a bank would receive or pay to terminate the forward foreign exchange contracts at the reporting date, taking into account current interest rates and current exchange rates.

The valuation technique used to determine the fair value of interest rate swaps (used for hedging purposes) is the net present value technique, which is the estimated amount that a bank would receive or pay to terminate the swap agreements at the reporting date, taking into account current interest rates.

Three out of five of our outstanding Eurobonds, with a combined principal amount of €2.25 billion, serve as hedged items in fair value hedge relationships in which we hedge the variability of changes in the fair value of our Eurobonds due to changes in market interest rates with interest rate swaps. For two out of five of our outstanding Eurobonds, with a combined principal amount of €1.5 billion, no hedging is applied. The fair value changes of the interest rate swaps are recorded on the Consolidated balance sheets under derivative financial instruments and the carrying amounts of the Eurobonds are adjusted for the effective portion of these fair value changes only. For the actual aggregate carrying amount and the fair value of our Eurobonds, see Note 16 Long-term debt, short-term borrowings, interest and other, net.

The following tables present our financial assets and financial liabilities that are measured at fair value on a recurring basis and the assets and liabilities for which the fair value is only disclosed:

Year ended December 31, 2025 (€ in millions)	Level 1	Level 2	Level 3	Total
Assets measured at fair value				
Derivative financial instruments ¹	—	33.6	—	33.6
Money market funds ²	6,222.2	—	—	6,222.2
Short-term investments ³	—	405.9	—	405.9
Total	6,222.2	439.5	—	6,661.7
Liabilities measured at fair value				
Derivative financial instruments ¹	—	93.0	—	93.0
Assets and liabilities for which fair values are disclosed				
Loans receivable	—	—	1,848.9	1,848.9
Long-term debt ⁴	3,590.8	—	—	3,590.8

Year ended December 31, 2024 (€; in millions)	Level 1	Level 2	Level 3	Total
Assets measured at fair value				
Derivative financial instruments ¹	—	96.5	—	96.5
Money market funds ²	6,379.2	—	—	6,379.2
Short-term investments ³	—	5.4	—	5.4

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Financial assets and financial liabilities that are not measured at fair value
The carrying amount of cash and cash equivalents, accounts payable, and other current financial assets and liabilities approximate their fair value because of the short-term nature of these instruments. The fair value of the loan to Carl Zeiss SMT GmbH is determined using a discounted cash flow model, which considers the present value of expected cash receipts, discounted using a risk-adjusted discount rate. For the actual aggregate carrying amount of the loan to Carl Zeiss SMT GmbH, see Note 26 Related parties and variable interest entities.

Money market and investment funds measurement

Money market and investment funds qualify as available for sale securities. Due to the short-term nature and investment-grade credit ratings, the fair value is close to the carrying value. These money market funds can be called on a daily basis. Investments and redemptions in money market funds are managed on a daily basis based triggered through actual cash balances. ASML does not have trading securities as of December 31, 2025.

Deposits measurement

The deposits as part of the cash and cash equivalents and short-term investments qualify as securities held to maturity. The amortized cost value is close to the fair value and carrying value due to short-term nature and since related to investment with investment-grade credit ratings. Maturities are one year or less. No held to maturity securities were sold before expiration date.

Assets and liabilities measured at fair value on a non-recurring basis

In 2024 and 2025, we had no significant fair value measurements on a non-recurring basis from regular business activities. For impairment charges regarding goodwill and other intangible assets, reference is made to Note 11. Goodwill and 12. Intangible assets, net respectively.

26. Related parties and variable interest entities

Carl Zeiss SMT GmbH is our single supplier, and we are their single customer, of optical columns for lithography systems. Carl Zeiss SMT GmbH is capable of developing and producing these items only in limited numbers and only through the use of manufacturing and testing facilities in Oberkochen and Wetzlar, Germany. Our relationship with Carl Zeiss SMT GmbH is structured as a strategic alliance that is run under the principle of two companies, one business¹ and is focused on continuous innovation and improvement of operational excellence in the lithography business.

We have a 24.9% interest in Carl Zeiss SMT Holding GmbH & Co. KG (ultimate parent is Carl Zeiss AG), which owns 100% of the shares in Carl Zeiss SMT GmbH. As we are able to exercise significant influence over the entity, Carl Zeiss SMT Holding GmbH & Co. KG and its subsidiaries are considered related parties. Additionally, we have determined that Carl Zeiss SMT Holding GmbH & Co. KG is a VIE mainly because the entity was established without substantive voting rights, since there is disparity between our voting rights and our economics, and substantially all of Carl Zeiss SMT Holding GmbH & Co. KG's activities involve us or are conducted on our behalf. However, we are not the primary beneficiary of the VIE, because we lack the power to direct the activities that most significantly impact Carl Zeiss SMT Holding GmbH & Co. KG's economic performance. We have had several framework agreements in place with Carl Zeiss SMT GmbH since 1997.

2021 framework agreement

We entered into a framework agreement in September 2021 with Carl Zeiss SMT GmbH, with effect as of the beginning of 2021. This agreement, which we refer to as the 2021 framework agreement, replaced our key existing framework agreement and continued our strategic alliance to meet end customer demand. The key components to the framework agreement are:

- A behavior and interaction model that fosters mutual respect and understanding
 - A governance model that enables both companies to become more effective and aligned in their decision-making and the execution of the strategy in the business via mutual approval on (i) certain investment decisions affecting the lithography business, and (ii) the requirements of all products supplied by Carl Zeiss SMT GmbH
 - A variable pricing model for purchases of products and services determined by the annual financial performance of both ASML and Carl Zeiss SMT GmbH in the lithography business
 - Cash support via additional prepayments on product deliveries to ensure Carl Zeiss SMT GmbH a minimum adjusted free cash flow floor in an annual period, if certain criteria are met
 - A commitment from ASML to finance the capital expenditures of Carl Zeiss SMT GmbH if Carl Zeiss SMT GmbH's investments required to execute on the lithography business roadmap exceed certain thresholds, measured annually
- The financing takes place through loan agreements, with the key terms being:
- Ten-year loan terms with linear annual repayment after a three-year grace period
 - Interest rate subject to a floor of 0.01% and a cap of 1%

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2021 loan agreement

In September 2021, we entered into a loan agreement with Carl Zeiss SMT GmbH for up to €1 billion. As of December 31, 2025, we have financed a total amount of €839.1 million (December 31, 2024: €912.4 million) through this loan agreement. As of September 30, 2024, the undrawn amount of €87.6 million was cancelled. The amortized cost of this loan is equal to its face value and the effective interest rate equals the contractual rate.

2024 loan agreement

In September 2024, we entered into a second loan agreement with Carl Zeiss SMT GmbH for up to €1 billion. As of December 31, 2025, the drawn down amount was €627.1 million with an amortized cost of €527.1 million, an unamortized discount of €68.0 million and an effective interest rate of 3.1%. The discount to the 2024 loan is presented within Other assets as Advanced payments to Carl Zeiss SMT GmbH.

2025 restatement of the 2021 framework agreement

In May 2025 the 2021 framework agreement was restated. The main change introduced by the restatement relates to ASML's commitment to finance Carl Zeiss SMT GmbH's capital expenditures under certain conditions. The terms and conditions applicable to these loans as from 2025 are:

- Loans are interest-free with an expected repayment term of either 7 or 15 years
 - Variable quarterly repayments based on Carl Zeiss SMT GmbH's actual revenue during a given year, subject to a certain corridor
 - First repayment after a three-year grace period
 - The loans are secured by a parental guarantee from Carl Zeiss AG
 - In addition, ASML has committed to support Carl Zeiss SMT GmbH in meeting their supply chain obligations by providing short-term loans as from 2025 subject to the following terms and conditions:
 - Loans are interest free and have a term of 1 year
 - Full repayment upon maturity
- The loans are measured at amortized cost and presented within the Consolidated balance sheets as Loans receivable.

2025 loan agreements

In July 2025 we provided a loan to Carl Zeiss SMT GmbH for an amount of €444 million. As of December 31, 2025 the amortized cost is €333.2 million, with an unamortized discount of €110.8 million and an effective interest rate of 3.3%. In June 2025 we provided a short-term loan to Carl Zeiss SMT GmbH for an amount of €169 million. This loan was fully repaid in November 2025.

In November 2025 we provided another short-term loan to Carl Zeiss SMT GmbH for an amount of €212.5 million. As of December 31, 2025 the amortized cost is €208.1 million, with an unamortized discount of €4.8 million and an effective interest rate of 2.8%.

The discounts to the 2025 loans are presented within Other assets as Advanced payments to Carl Zeiss SMT GmbH. The below table shows the outstanding balances with Carl Zeiss SMT Holding GmbH & Co. KG and its subsidiaries in our Consolidated balance sheets, as well as our maximum exposure to losses:

Year ended December 31 (€; in millions)	2024	2025	Maximum exposure to loss
Advance payments included in Other assets	1,415.7	1,191.9	1,191.9
Loans receivable	1,440.8	1,907.5	1,907.5
Investment agreement for 24.9% equity	903.0	822.6	822.6
Accounts receivable	70.8	1.1	1.1
Accounts payable	955.8	1,085.8	—
Cost to be paid included in Accrued and other liabilities	199.9	123.0	—

The Advance payments included in Other assets includes €330.9 million related to amounts paid prior to the 2021 framework agreement. Our maximum exposure to loss related to our involvement in Carl Zeiss SMT Holding GmbH & Co. KG as a VIE includes the carrying value of each of the assets, as well as the risk of any future operating losses of Carl Zeiss SMT Holding GmbH & Co. KG, which can not be quantified.

The total purchases from Carl Zeiss SMT Holding GmbH & Co. KG and its subsidiaries are as follows:

Year ended December 31 (€; in millions)	2023	2024	2025
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27. Subsequent events

Subsequent events were evaluated up to February 25, 2026, which is the date the Consolidated financial statements included in this Annual Report were approved.

On January 28, 2026, ASML announced the intent to strengthen its focus on engineering and innovation in critical areas of the company through the streamlining of the Technology and the IT organizations. The proposed changes could ultimately result in a net reduction of around 1,700 positions, mostly in the Netherlands, with some in the United States. The anticipated expenses related to this are not expected to be material.

On January 28, 2026, ASML announced to declare a total dividend for the year 2025 of €7.50 per ordinary share, which is a 17.2% increase compared to the 2024 total dividend of €6.40 per ordinary share. Recognizing the interim dividends of €1.60 per ordinary share paid in August 2025, November 2025 and February 2026, this leads to a final dividend proposal to the General Meeting of €2.70 per ordinary share.

On January 28, 2026, ASML announced a new share buyback program to be executed by December 31, 2028. See Note 22 Shareholders' equity.

Veldhoven, the Netherlands
February 25, 2026
/s/ Christophe D. Fouquet
Christophe D. Fouquet
President, CEO and Chair of the Board of Management
/s/ Roger J.M. Dassen
Roger J.M. Dassen
Executive Vice President, CFO and member of the Board of Management



Appendix – Principal accountant fees and services

PricewaterhouseCoopers Accountants N.V. (PwC) has served as our independent registered public accounting firm for the year ended December 31, 2025. As predecessor auditor, KPMG Accountants N.V. (KPMG) was involved as independent registered public accounting firm for the year ended December 31, 2024. The following table sets out the aggregate fees for professional audit services and other services rendered by both KPMG, PwC and their member firms and affiliates in 2025 and 2024:

Year ended December 31	2024			2025		
	KPMG Accountants N.V.	KPMG Network	Total	PwC Accountants N.V.	PwC Network	Total
Audit fees	3,857	1,188	5,045	4,728	1,381	6,109
Audit-related fees	812	13	825	875	—	875
Tax fees	—	—	—	—	—	—
All other fees	85	2	87	119	—	119
Principal accountant fees	4,754	1,203	5,957	5,722	1,381	7,103

Audit fees and audit-related fees

Our independent registered public accounting firm is PricewaterhouseCoopers Accountants N.V., Amsterdam, The Netherlands, Auditor Firm ID: 1395. Audit fees relate to the audit of the Financial statements as set out in this Annual Report, certain quarterly procedures, services related to offering memoranda, as well as our statutory and regulatory filings of our subsidiaries. These fees relate to the audit of the respective Financial statements, regardless of whether the work was performed during the financial year. Other audit-related fees are predominantly related to assurance services on the Sustainability statements. All other fees relate to certain agreed-upon procedures that are requested by the Supervisory Board or external parties.

All audit fees, audit-related fees and permitted services that the independent auditor provides are subject to pre-approval by the Audit Committee. The Audit Committee pre-approved all audit and non-audit services, the external audit plan and the audit fees for the years 2025 and 2024.

The Audit Committee monitors compliance with the Dutch and EU regulations and SEC rules on non-audit services

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Appendix – Property, plant and equipment

We lease a number of our facilities under operating leases. We also own a number of buildings, mainly consisting of production facilities in Veldhoven (the Netherlands), in Berlin (Germany), in Wilton, Connecticut, San Diego and California (US), in Linkou and Tainan (Taiwan) and in Pyeongtaek (South Korea). The book value of land and buildings owned amounts to €4,801.6 million as of December 31, 2025, compared to €4,028.6 million as of December 31, 2024. [Read more in Financial statements – Consolidated financial statements – Notes to the Consolidated financial statements – 13. Property, plant and equipment, net.](#)

Our capital expenditures (purchases of property, plant and equipment – see the Consolidated statements of cash flows as recorded in the Consolidated financial statements) for 2025, 2024 and 2023, amounted to €1,573.6 million, €2,067.2 million and €2,155.6 million, respectively.

We expect that our capital expenditures (purchases of property, plant and equipment) in 2026 will be approximately €1.9 billion. These expenditures are expected to mainly consist of further expansion and upgrades of facilities as well as tooling and machinery. We expect to finance these capital expenditures through cash generated by operations and existing cash and cash equivalents.

Facilities in EMEA

Our headquarters, mainly manufacturing and R&D facilities, are located in Veldhoven, the Netherlands. This campus in combination with other locations in the Netherlands includes 285 thousand square meters of office space and 72 thousand square meters of clean room used for manufacturing and R&D. In Veldhoven and in the greater Eindhoven area, there are also 73 thousand square meters of warehouse/storage space and 11 thousand square meters of labs. Our main facilities in Veldhoven (and other buildings in the greater Eindhoven area) in the Netherlands are partly owned and partly leased office and industrial buildings. Our Berlin campus consists of 10 buildings which are mainly owned properties with a total floor area of 53 thousand square meters. We also lease several sales and service/field offices across Europe consisting of 5 thousand square meters.

Facilities in the US

Our US head office is located in a 3 thousand square meters office building in Chandler, Arizona. We maintain R&D and manufacturing operations in a 89 thousand square meters campus which consists of five buildings in Wilton, Connecticut. Our campus in San Jose, California consists of two buildings totaling 20 thousand square meters mainly for office and R&D activities. Furthermore, our campus in San Diego, California comprises 50 thousand square meters for office, R&D, manufacturing and warehouse purposes. We also lease several sales and service/field/training offices across the US consisting of 24 thousand square meters with expansions in Boise, Albany, Richardson and Phoenix.

Facilities in Asia

Our key locations in Asia are Taiwan, South Korea and China, where we have local service, sales, training centers and manufacturing activities. Our facility in Linkou, Taiwan is comprised of a manufacturing area that is approximately 10 thousand square meters and office space that is approximately 8 thousand square meters. Our facility in Tainan, Taiwan consists of 26 thousand square meters utilized for manufacturing and office space. We moved our campus in Hwaseong, South Korea to two new owned buildings of 29 thousand square meters for office, training and local repairs. Our Cymer facility in Pyeongtaek, South Korea is a manufacturing site of light sources. The extension finalized in 2025 to a 13 thousand square meters site. In Beijing, China, we also have facilities including HMI with a combined floor area of 4 thousand square meters for manufacturing and office space. We also lease several sales and service/field offices across Taiwan, South Korea, China, Japan, Singapore and Malaysia consisting of 49 thousand square meters.

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Appendix – Dutch and US taxation

The statements below represent a summary of current Dutch tax laws, regulations and judicial interpretations thereof. The description is limited to the material tax implications for a holder of ordinary shares who is not, and/or is not deemed to be, a resident of the Netherlands for Dutch tax purposes ('Non-Resident Holder'). This summary does not address special rules that may apply to special classes of holders of ordinary shares and should not be read as extending by implication to matters not specifically referred to herein. Moreover, this summary does not discuss the Dutch tax treatment of individual Non-Resident Holders who receive income or derive capital gains from the ordinary shares and the income received or capital gains derived are attributable to the past, present or future employment activities of such holder. As to individual tax consequences, each investor in our ordinary shares should consult his or her tax counsel.

General

The acquisition of ordinary shares by a non-resident of the Netherlands should in itself not be treated as a taxable event for Dutch tax purposes. The material tax consequences in connection with owning and disposing of our ordinary shares are discussed below.

Substantial interest

A person that, (inter alia) directly or indirectly, and either independently or jointly with his or her partner (as defined in the Dutch Personal Income Tax Act 2001), owns 5.0% or more of our subscribed share capital, owns profit participating rights that correspond to at least 5.0% of the annual profits of a Dutch company or to at least 5.0% of the liquidation proceeds of such company or holds options to purchase 5.0% or more of our subscribed share capital, is deemed to have a substantial interest in our shares, or our options, as applicable. In addition, a shareholder has a substantial shareholding if he or she directly or indirectly owns at least 5% of the voting rights in the General Meeting of shareholders. Specific rules apply in case certain family members of the Non-Resident Holder hold a substantial interest. A deemed substantial interest also exists if (part of) a substantial interest has been disposed of, or is deemed to be disposed of, in a transaction where no taxable gain has been recognized. Specific attribution rules exist in determining the presence of a substantial interest.

Please note, substantial shareholders who emigrate, and non-residents who inherit a substantial shareholding, are provisionally subject to an exit tax on capital gains on a deemed alienation of the shareholding. The exit tax is imposed on the difference between the fair market value at the time of emigration and the acquisition price of the substantial shareholding. The tax is levied by imposing a preservative tax assessment. If certain conditions are met, interest-free deferral of the payment of the taxable amount applies. No immediate tax has to be paid, but the tax will be due on the moment of the actual disposal of the shares at any point following the emigration.

Income tax consequences for individual Non-Resident Holders on owning and disposing of the ordinary shares

Capital gains on shares are only taxable in the Netherlands if the shareholding constitutes a substantial shareholding.

An individual who is a Non-Resident Holder will therefore not be subject to Dutch income tax on received income in respect of our ordinary shares or capital gains derived from the sale, exchange or other disposition of our ordinary shares, provided that such holder:

- Does not hold and has not held a (deemed) substantial interest in our share capital or, in the event the Non-Resident Holder holds or has held a (deemed) substantial interest in our share capital, such interest is, or was, a business asset in the hands of the holder;
- Does not carry on and has not carried on a business in the Netherlands through a (deemed) permanent establishment or a permanent representative to which the ordinary shares are attributable;
- Does not share and has not shared directly (through the beneficial ownership of ordinary shares or similar securities) in the profits of an enterprise managed and controlled in the Netherlands which (is deemed to) own(s), or (is deemed to have) has owned, our ordinary shares; and
- Does not carry out and has not carried out any activities which generate taxable profit in the Netherlands or taxable income in the Netherlands to which the holding of our ordinary shares was connected.

Corporate income tax consequences for corporate Non-Resident Holders

Income derived from ordinary shares or capital gains derived from the sale, exchange or disposition of ordinary shares by a corporate Non-Resident Holder is taxable if:

- The holder carries on a business in the Netherlands through a permanent establishment or a permanent representative in the Netherlands (Dutch enterprise) and the ordinary shares are attributable to this permanent establishment or permanent representative, unless the participation exemption (discussed below) applies; or
- The holder has a substantial interest in our share capital, which is held with the primary aim or one of the primary aims to avoid the levy of income tax at the level of another person and which is not put into place with valid

Appendix – Dutch and US taxation (continued)

•Stock dividends up to their nominal value (unless distributed out of qualifying paid-in capital).
•Any (partial) repayment of paid-in capital not qualifying as capital for Dutch dividend withholding tax purposes.
•Liquidation proceeds in excess of qualifying average paid-in capital for Dutch dividend withholding tax purposes.
Under certain circumstances, a reduction of Dutch dividend withholding tax can be obtained:
•If the shareholder is considered a tax resident in the Netherlands, an exemption at source is available if (i) the participation exemption applies (or participation settlement is applicable) or (ii) the distributing entity and recipient are included in a Dutch fiscal unity for CIT purposes, both under the condition that the ordinary shares are attributable to a business carried out in the Netherlands and the shareholder can demonstrate to be the beneficial owner of the distributed dividend. However, if the withheld dividend tax in the calendar year amounts to €1,000 or less, the burden of proof remains with the Dutch tax authorities.
•An exemption at source is available for dividend distributions to certain qualifying EU/EEA tax resident Corporate Holders that own an interest that would qualify for the Dutch participation exemption (i.e. interest of >5%), unless such holder holds our ordinary shares with the primary aim (or one of the primary aims) of avoiding the levy of Dutch dividend withholding tax at the level of another person and our ordinary shares are not held for valid commercial reasons that reflect economic reality. This is under the condition that the shareholder can demonstrate to be the beneficial owner of the distributed dividend. However, if the withheld dividend tax in the calendar year amounts to €1,000 or less, the burden of proof remains with the Dutch tax authorities.
•An exemption at source is available for dividend distributions to certain qualifying Corporate Holders that are tax resident in a non-EU/EEA jurisdiction with which the Netherlands has concluded a tax treaty that includes a qualifying dividend article and that own an interest that would qualify for the Dutch participation exemption (i.e. interest of >5%), unless such holder holds our ordinary shares with the primary aim (or one of the primary aims) of avoiding the levy of Dutch dividend withholding tax at the level of another person and our ordinary shares are not held for valid commercial reasons that reflect economic reality. This is under the condition that the shareholder can demonstrate to be the beneficial owner of the distributed dividend. However, if the withheld dividend tax in the calendar year amounts to €1,000 or less, the burden of proof remains with the Dutch tax authorities.
•Certain tax exempt organizations (e.g. pension funds and excluding collective investment vehicles) resident in EU/EEA member states or in qualifying non-EU/EEA states may be eligible for a refund of Dutch dividend withholding tax upon their request. This is under the condition that the shareholder can demonstrate to be the beneficial owner of the distributed dividend. However, if the withheld dividend tax in the calendar year amounts to €1,000 or less, the burden of proof remains with the Dutch tax authorities.
•Upon request and under certain conditions, certain qualifying Non-Resident Individual and Corporate Holders of ordinary shares resident in EU/EEA member states or in a qualifying non-EU/EEA state may be eligible for a refund of Dutch dividend withholding tax insofar as the withholding tax levied is higher than the personal and CIT which would have been due if they were resident in the Netherlands. This is under the assumption that these shareholders can demonstrate to be the beneficial owner of the distributed dividend. However, if the withheld dividend tax in the calendar year amounts to €1,000 or less, the burden of proof remains with the Dutch tax authorities.
If the Dutch dividend withholding tax exemption is not applicable, a Non-Resident Holder of ordinary shares can still be eligible for a partial or complete exemption or refund of all or a portion of the above withholding tax under a tax treaty that is in effect between the Netherlands and the Non-Resident Holder's country of residence. The Netherlands has concluded such treaties with the US, Canada, Switzerland, Japan, most EU member states and many other countries.
In case an anti-abuse rule (among which a limitation of benefits rule) is included in the relevant tax treaty or opted in by both the Netherlands and the Non-Resident Holder's country of residence via the OECD multilateral instrument, benefits under a tax treaty will only be granted if it can be demonstrated that the Non-Resident Holder complies with the anti-abuse rule requirements. In general, the decisive criterion is the principle purpose test (although the anti-abuse rule could vary per tax treaty), based on which it should be determined whether obtaining a treaty benefit is not one of the principal purposes of the arrangement or transaction.
Under the treaty between the US and the Netherlands for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with Respect to Taxes on Income ("US Tax Treaty"), dividends paid by us to a Non-Resident Holder that is a resident of the US as defined in the US Tax Treaty (other than an exempt organization or exempt pension trust, as discussed below) are generally liable to 15.0% Dutch withholding tax or, in the case of certain US corporate shareholders owning directly at least 10.0% of our voting power, a reduction to 5.0% Dutch withholding tax, provided that the holder is the beneficial owner of the dividends received and does not have an enterprise or an interest in an enterprise that is, in whole or in part, carried on through a permanent establishment or permanent representative in

Appendix – Dutch and US taxation (continued)

Dividend stripping rules
Under Dutch tax legislation regarding anti-dividend stripping, no exemption from, or refund of, Dutch dividend withholding tax is granted if the recipient of dividends paid by us can not demonstrate to be the beneficial owner of such dividends. However, if the withheld dividend tax in the calendar year amounts to €1,000 or less, the burden of proof remains with the Dutch tax authorities.
Conditional dividend withholding tax
A 25.8% conditional dividend withholding tax is (under certain circumstances) applicable on dividend distributions made to holders tax resident in low-tax or non-cooperative jurisdictions, to recipients who qualify as hybrid entities, or in abusive situations, provided that the holder is an entity that has an interest representing more than 50% of our statutory voting rights. If both Dutch dividend withholding tax and Dutch conditional dividend withholding tax are due, a credit of the amount of dividend withholding tax applies to the conditional dividend withholding tax.
Gift or inheritance taxes
Dutch gift or inheritance taxes will not be levied on the transfer of ordinary shares by way of gift or upon the death of a Non-Resident individual, unless the transfer is construed as an inheritance or as a gift made by or on behalf of a person who, at the time of the gift or death, is deemed to be resident in the Netherlands.
Gift tax and inheritance tax are levied on the beneficiary. For the purposes of Dutch gift and inheritance tax, an individual of Dutch nationality is deemed to be a resident of the Netherlands if he/she has been a resident thereof at any time during the 10 years preceding the time of the gift or death. For the purposes of Dutch gift tax, a person not possessing Dutch nationality is deemed to be a resident of the Netherlands if he/she has resided therein at any time in the 12 months preceding the gift.
Value-added tax
No Dutch VAT is imposed on dividends in respect of our ordinary shares or on the transfer of our shares.
Residence
A Non-Resident Holder will not become resident, or be deemed to be resident, in the Netherlands solely as a result of holding our ordinary shares or of the execution, performance, delivery and/or enforcement of rights in respect of our ordinary shares.
A Non-Resident Holder could qualify as a foreign taxpayer for Dutch CIT purposes in relation to dividend income and capital gains realized from holding our ordinary shares if the following conditions are cumulatively met:
•The Non-Resident Holder owns an interest that qualifies as a substantial interest (i.e. at least 5%);
•The Non-Resident Holder is used with the primary intention (or one of the primary intentions) of evading Dutch personal income tax at the level of its (ultimate) shareholders (abusive case); and
•The structure is considered artificial – that is, not based on sound business reasons that reflect the economic reality.
Non-resident corporate shareholders/members subject to the non-resident taxation will be subject to Dutch CIT at the statutory CIT rate of 25.8% on dividend income and (deemed) capital gains.

US taxation
The following is a discussion of the material US federal income tax consequences relating to the acquisition, ownership and disposition of ordinary shares by a United States Holder (as defined below) acting in the capacity of a beneficial owner who is not a tax resident of the Netherlands. This discussion deals only with ordinary shares held as capital assets and does not deal with the tax consequences applicable to all categories of investors, some of which (such as tax-exempt entities, financial institutions, regulated investment companies, dealers in securities/traders in securities that elect a mark-to-market method of accounting for securities holdings, insurance companies, investors owning directly, indirectly or constructively 10.0% or more of our outstanding shares, investors who hold ordinary shares as part of hedging or conversion transactions and investors whose functional currency is not the US dollar) may be subject to special rules. In addition, the discussion does not address any alternative minimum tax or any state, local, Foreign Investment in Real Property Tax Act-related US federal income tax consequences, or non-US tax consequences.
This discussion is based on the US–Netherlands income tax treaty, the Internal Revenue Code of 1986, as amended to the date hereof, final, temporary and proposed Treasury Department regulations promulgated, and administrative and judicial interpretations thereof, changes to any of which subsequent to the date hereof, possibly with retroactive effect, may affect the tax consequences described herein. In addition, there can be no assurance that the IRS will not challenge one or more of the tax consequences described herein, and we have not obtained, nor do we intend to obtain, a ruling from the IRS or an opinion of counsel with respect to the US federal income tax consequences of acquiring or holding shares. Prospective purchasers of ordinary shares are advised to consult their tax advisers with respect to their particular circumstances and with respect to the effects of US federal, state, local or non-US tax laws

Appendix – Dutch and US taxation (continued)

should consult their tax advisers about the US federal income tax consequences of holding and disposing of the ordinary shares.
Passive foreign investment company considerations
We believe we were not a passive foreign investment company for US federal income tax purposes in 2025 and that we will not be a passive foreign investment company in 2026. However, as passive foreign investment company status is a factual matter that must be determined annually at the close of each taxable year, there can be no certainty as to our actual passive foreign investment company status in any particular year until the close of the taxable year in question. We have not conducted a detailed study at this time to confirm our non-passive foreign investment company status. If we were treated as a passive foreign investment company in any year during which a United States Holder owned common shares, certain adverse tax consequences could apply. Investors should consult their tax advisers with respect to any passive foreign investment company considerations.
Taxation of dividends
United States Holders should generally include, in gross income, as foreign-source dividend income the gross amount of any non-liquidating distribution (before reduction for Dutch withholding taxes) we make out of our current or accumulated earnings and profits (as determined for US federal income tax purposes) when the distribution is actually or constructively received by the United States Holder. Distributions will not be eligible for the dividends-received

deduction generally allowed to US corporations in respect of dividends received from other US corporations. The amount of the dividend distribution included in income of a United States Holder should be the US dollar value of the foreign currency (e.g. euros) paid, determined by the spot rate of exchange on the date of the distribution, regardless of whether the payment is in fact converted into US dollars. Although the company does not actively compute its earnings and profits under US tax principles, distributions are expected to constitute taxable dividends to corporate earnings and profits.

Subject to limitations provided in the US Internal Revenue Code, a United States Holder may generally deduct from its US federal taxable income, or credit against its US federal income tax liability, the amount of qualified Dutch withholding taxes. The rules governing the foreign tax credit are complex and we suggest that each United States Holder consult his or her own tax adviser to determine whether, and to what extent, a foreign tax credit will be available.

Dividends received by a United States Holder will generally be taxed at ordinary income tax rates. However, US individuals and trusts may be eligible to apply a 20.0% US federal income tax rate for certain dividends, so long as certain exclusions do not apply and the stock has been held for at least 60 days during the 121-day period beginning 60 days before the ex-dividend date. Dividends received from 'qualified foreign corporations' generally qualify for the reduced rate. A non-US corporation (other than a passive foreign investment company or surrogate foreign corporation) generally will be considered to be a qualified foreign corporation if: (i) the shares of the non-US corporation are readily tradable on an established securities market in the US or (ii) the non-US corporation is eligible for the benefits of a comprehensive income tax treaty with the US that has been identified as a qualifying treaty and contains an exchange of information program. In addition, subject to income limitations, dividends received by US individuals and US residents, estates and trusts will be subject to a Net Investment Income Tax (NIIT) assessed at the rate of 3.8%. Individual United States Holders should consult their tax advisers regarding the impact of this provision on their particular situations.

Dividends paid by us generally will constitute 'portfolio income' for the purposes of the limitations on the use of passive activity losses (and, therefore, generally may not be offset by passive activity losses) and as 'investment income' for the purposes of the limitation on the deduction of investment interest expense.

Taxation on sale or other disposition of ordinary shares

Upon a sale or other disposition of ordinary shares, a United States Holder will generally recognize capital gain or loss for US federal income tax purposes in an amount equal to the difference between the amount realized, if paid in US dollars, or the US dollar value of the amount realized (determined at the spot rate on the settlement date of the sale) if proceeds are paid in currency other than the US dollar, as the case may be, and the United States Holder's US tax basis (determined in US dollars) in such ordinary shares. Generally, the capital gain or loss will be long-term capital gain or loss if the holding period of the United States Holder in the ordinary shares exceeds one year at the time of the sale or other disposition. The deductibility of capital losses is subject to limitations for US federal income tax purposes. Gain or loss from the sale or other disposition of ordinary shares generally will be treated as US source income or loss for US foreign tax credit purposes, unless a United States Holder applies a relevant resourcing rule. Generally, any gain or loss resulting from currency fluctuations during the period between the date of the sale of the ordinary shares and the date the sale proceeds are converted into US dollars will be treated as ordinary income or loss from sources within the US. Each United States Holder should consult his or her tax adviser with regard to the

Appendix – Dutch and US taxation (continued)

Information reporting and backup withholding

Information returns may be filed with the IRS in connection with payments on the ordinary shares or proceeds from a sale, redemption or other disposition of the ordinary shares. A 'backup withholding' tax of 24% may be applied to, and withheld from, these payments if the beneficial owner fails to provide a correct taxpayer identification number to the paying agent and to comply with certain certification procedures or otherwise establish an exemption from backup withholding. Any amounts withheld under the backup withholding rules might be refunded (or credited against the beneficial owner's US federal income tax liability, if any) depending on the facts and provided that the required information is furnished to the IRS.

The discussion set out above is included for general information only and may not be applicable depending upon a holder's particular situation. Holders should consult their tax advisers with respect to the tax consequences to them of the purchase, ownership and disposition of shares including the tax consequences under state, local and other tax laws and the possible effects of changes in US federal and other tax laws.

Appendix – Financing policy

Financing policy

We continue to hold on to our long-held prudent financing policy, which is based on three foundational elements:

- Liquidity: Maintain sufficient liquidity to ensure continued business growth and to provide a buffer for cash flow volatility
- Capital structure: Maintain a capital structure that targets a solid investment-grade credit rating
- Cash return: Provide a sustainable dividend per share that will grow over time, paid quarterly, while returning excess cash to shareholders through share buybacks or capital repayment

Liquidity

Our principal sources of liquidity consist of cash and cash equivalents, short-term investments and available credit facilities. In addition, we may from time to time raise additional funding in debt and equity markets. We seek to ensure that our principal sources of liquidity will be sufficient to satisfy our liquidity requirements at all times.

Our liquidity needs are affected by many factors, some of which are based on the normal ongoing operations of the business, and some of which relate to uncertainties of the global economy and the semiconductor industry. Although our cash requirements fluctuate based on the timing and extent of these factors, we believe that cash generated from operations, together with our other sources of liquidity, are sufficient to satisfy our requirements, including our expected capital expenditures, R&D expenses and debt servicing.

We invest our cash and cash equivalents and short-term investments in short-term deposits with financial institutions, governments and government-related bodies that have investment-grade credit ratings and in money market and other investment funds that invest in high-rated short- and medium-term debt securities. Our investments are mainly denominated in euros and to some extent in US dollars, Taiwanese dollars, Korean won and Chinese yuan.

Year ended December 31 (€ in millions)		2024	2025
Deposits with financial institutions, governments and government-related bodies		4,850.4	5,558.5
Investments in money market funds		6,379.2	6,222.2
Bank accounts		1,506.3	1,135.3
Cash and cash equivalents		12,735.9	12,916.0
Deposits with financial institutions, governments and government-related bodies		5.4	405.9
Short-term investments		5.4	405.9

We maintain an available committed credit facility of €1.5 billion (2024: €1.5 billion) with a group of banks, under which no amounts were outstanding at the end of 2025 and 2024. This facility has a maturity date of May 2030 with one uncommitted one year extension option extending the maturity to 2031.

Capital structure

Our objectives when managing our capital structure are to safeguard our ability to satisfy our capital providers by

maintaining a capital structure that ensures liquidity and supports a solid investment-grade credit rating. The capital structure includes both debt and the components of equity, in accordance with both US GAAP and EU-IFRS. The capital structure is mainly altered by, among other things, our financial results, adjusting the amount of dividends paid to shareholders, the amount of share buybacks or capital repayment and any changes in the level of debt. Our capital structure is formally reviewed with the Supervisory Board each year in connection with our updated long-term financial plan and relevant scenarios. The outcome of this year's review confirmed that we should maintain our existing financing policy in relation to our capital structure.

Our current credit rating from Moody's is A1 (Stable). This rating was upgraded in November 2025 from A2. Our current credit rating from Fitch is A+ (Stable). This rating was upgraded in May 2024 from A.

The €1.5 billion ECP program allows ASML to issue commercial paper up to 364 days in tenor, in a number of currencies. As of December 31, 2025, we had €693.0 million (2024: nil) outstanding under our €1.5 billion ECP program and the carrying amount was €691.7 million (2024: nil) with a weighted-average interest rate of 2.03%. We have Eurobonds outstanding with an aggregate principal amount of €3.8 billion, having the following maturities:

Outstanding Eurobond maturity amounts

Appendix – Financing policy (continued)

Cash return policy

ASML aims to provide a sustainable dividend per share that will grow over time, paid quarterly. On an annual basis, the Board of Management, upon prior approval from the Supervisory Board, submits a proposal to the AGM with respect to the amount of dividend to be declared with respect to the prior year, taking into account any interim dividend distributions. The dividend proposal in any given year will be subject to availability of distributable profits, retained earnings and cash, and may be affected by, among other things, our view of potential future liquidity requirements including for investments in production capacity, working capital requirements, the funding of our R&D programs and acquisition opportunities that may arise from time to time, and future changes in applicable tax and corporate laws.

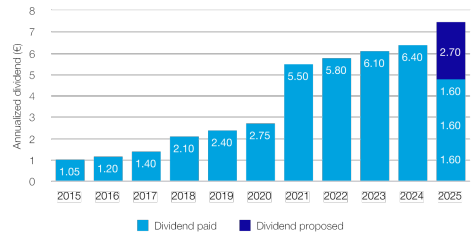
ASML intends to declare a total dividend for the year of 2025 of €7.50 per ordinary share, which is a 17.2% increase compared to the 2024 total dividend of €6.40 per ordinary share. Recognizing the interim dividends of €1.60 per ordinary share paid in August 2025, November 2025 and February 2026, this leads to a final dividend proposal to the General Meeting of €2.70 per ordinary share.

In addition to dividend payments, we intend to return cash to our shareholders on a regular basis through share buybacks or capital repayment, subject to our actual and anticipated level of liquidity requirements and other relevant factors.

On January 28, 2026 we announced a new share buyback program to be executed by December 31, 2028. ASML intends to repurchase shares of an amount up to €12 billion, of which we expect a total of up to 2.0 million shares will be used to cover employee share plans. ASML intends to cancel the remainder of the shares repurchased. The share buyback program may be suspended, modified or discontinued at any time. The previous program finished in December 2025, pursuant to which we repurchased a total of €7.6 billion out of the up to €12.0 billion program. In 2025, we repurchased 8,323,320 shares (2024: 574,925 shares) for a total consideration of €5,950.0 million under the 2022 -2025 share buyback program (2024: €500.0 million). In 2025, we cancelled 5,683,018 shares (2024: 5,754,117 shares).

Dividend per share history

(Dividends attributable to book year)



Cumulative cash returns

(Cash return is cumulative share buyback and dividend paid)



Appendix – Exchange controls

Cash distributions, if any, payable in euros on our shares listed at Euronext Amsterdam may be officially transferred by a bank from the Netherlands and converted into any other currency without being subject to any Dutch legal restrictions. However, for statistical purposes, such payments and transactions must be reported by ASML to the Dutch Central Bank. Furthermore, no payments, including dividend payments, may be made to jurisdictions subject to certain sanctions, adopted by the government of the Netherlands, implementing resolutions of the Security Council of the United Nations. Cash distributions, if any, on our shares trading on Nasdaq are declared in euros but paid in US dollars, converted at the rate of exchange at the close of business on the date fixed for that purpose by the Board of Management in accordance with the Articles of Association.

Appendix – Documents on display

We are subject to certain reporting requirements of the Exchange Act. As a 'foreign private issuer', we are exempt from the rules under the Exchange Act prescribing certain disclosure and procedural requirements for proxy solicitations, and our officers, directors and principal shareholders are exempt from the reporting and 'short-swing' profit recovery provisions contained in section 16 of the Exchange Act, with respect to their purchases and sales of shares.

From March 18, 2026, pursuant to the Holding Foreign Insiders Accountable Act, directors and executive officers of foreign private issuers will be subject to the reporting requirements of section 16(a) of the Exchange Act, subject to any exceptions that the SEC may grant pursuant to the exemptive authority of the SEC under that act where the SEC determines that the laws of a foreign jurisdiction apply "substantially" similar requirements.

In addition, we are not required to file reports and Financial statements with the Securities and Exchange Commission (SEC) as frequently or as promptly as companies whose securities are registered under the Exchange Act that are not foreign private issuers. We are required to file with the SEC, within four months after the end of each fiscal year, an Annual Report on Form 20-F containing Financial statements audited by an independent accounting firm and interactive data comprising Financial statements in extensible business reporting language. We publish unaudited interim financial information in accordance with US GAAP after the end of each quarter. We furnish this quarterly financial information to the SEC under cover of a Form 6-K.

The documents we file with the SEC are publicly available on the SEC's website, which contains reports and other information regarding registrants that are required to file electronically with the SEC. The address of this website is sec.gov.

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Appendix – Controls and procedures

Disclosure controls and procedures

As of December 31, 2025, ASML's senior management conducted an evaluation, under the supervision and with the participation of ASML's CEO and CFO, of the effectiveness of the design and operation of ASML's disclosure controls and procedures (as defined in Rule 13a–15(e) under the Exchange Act). Based on such evaluation, ASML's CEO and CFO have concluded that, as of December 31, 2025, ASML's disclosure controls and procedures are effective in recording, processing, summarizing and reporting, within the time periods specified in the rules and forms of the Securities and Exchange Commission, information required to be disclosed by ASML in the reports that it files or submits under the Exchange Act and are effective in ensuring that information required to be disclosed by ASML in the reports that it files or submits under the Exchange Act is accumulated and communicated to ASML's management, including ASML's CEO and CFO, as appropriate to allow timely decisions regarding required disclosure.

Management's report on internal control over financial reporting

ASML's management is responsible for establishing and maintaining adequate internal control over financial reporting, as defined in Rule 13a–15(f) under the Exchange Act. Under the supervision and with the participation of ASML's CEO and CFO, ASML's management conducted an evaluation of the effectiveness of ASML's internal control over financial reporting as of December 31, 2025, based upon the framework in 'Internal Control – Integrated Framework' (2013) issued by the COSO. Based on that evaluation, management has concluded that ASML's internal control over financial reporting was effective, as of December 31, 2025, at providing reasonable assurance regarding the reliability of financial reporting and the preparation of the Financial statements for external purposes in conformity with US GAAP.

PricewaterhouseCoopers Accountants N.V., an independent registered public accounting firm, has audited the Financial statements as included in this Annual Report and has also audited and issued a report, included herein, on the effectiveness of ASML's internal control over financial reporting.

Changes in internal control over financial reporting

During the year ended December 31, 2025, there have been no changes in our internal control over financial reporting that have materially affected, or are reasonably likely to materially affect, our internal control over financial reporting.

Inherent limitations of disclosure controls and procedures in internal control over financial reporting

It should be noted that any system of controls, however well designed and operated, can provide only reasonable, and not absolute, assurance that the objectives of the system will be met. In addition, the design of any control system is based in part upon certain assumptions about the likelihood of future events.

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Appendix – Financial calendar and investor relations

Financial calendar

April 15, 2026
Announcement of first-quarter results for 2026
April 22, 2026
Annual General Meeting
July 15, 2026
Announcement of second-quarter results for 2026
October 14, 2026
Announcement of third-quarter results for 2026
Fiscal Year
ASML's fiscal year ends on December 31, 2026

Investor Relations

ASML Investor Relations supplies information regarding the company and its business opportunities to investors and financial analysts. Our annual reports, quarterly releases and other information are also available on our website.

Appendix – ASML worldwide contact information

Corporate headquarters

De Run 6501
5504 DR Veldhoven
The Netherlands
Phone: +31 40 268 3000

Mailing address

P.O. Box 324
5500 AH Veldhoven
The Netherlands

Investor Relations

Phone: +31 40 268 3938
Email: investor.relations@asml.com
For additional contact information, visit [asml.com](https://www.asml.com)

Appendix – Reference table 20-F

Item	Form 20-F caption	Location in this document	Page
Part I			
1	Identity of Directors, Senior Management and Advisers	Not applicable	
2	Offer Statistics and Expected Timetable	Not applicable	
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Financial statements Notes Appendices Definitions			

Appendix – Reference table 20-F (continued)

Item	Form 20-F caption	Location in this document	Page
8	Financial Information		
	A. Consolidated Statements and Other Financial Information	Consolidated financial statements	273
	B. Significant Changes	Long-term growth opportunities	59
		Notes to the Consolidated financial statements	283
9	The Offer and Listing		
	A. Offer and Listing Details	Exhibit 2.1	
	B. Plan of Distribution	Not applicable	
	C. Markets	Exhibit 2.1	
	D. Selling Shareholders	Not applicable	
	E. Dilution	Not applicable	
	F. Expenses of the Issue	Not applicable	
10	Additional Information		
	A. Share Capital	Not applicable	
	B. Memorandum and Articles of Association	Corporate governance	77
	C. Material Contracts	Note 26 Related parties and variable interest entities	323
	D. Exchange Controls	Appendix – Exchange controls	336
	E. Taxation	Appendix – Dutch and US taxation	329
	F. Dividends and Paying Agents	Not applicable	
	G. Statement by Experts	Not applicable	
	H. Documents on Display	Appendix – Documents on display	337
	I. Subsidiary Information	Not applicable	
	J. Annual Report to Security Holders	Not applicable	
11	Quantitative and Qualitative Disclosures About Market Risk	Note 16 Long-term debt, short-term borrowings, interest and other, net	299
		Note 25 Financial risk management	317
12	Description of Securities Other Than Equity Securities	Not applicable	
Part II			
13	Defaults, Dividend Arrearages and Delinquencies	None	
14	Material Modifications to the Rights of Security Holders and Use of Proceeds	None	
Item	Form 20-F caption	Location in this document	Page
15	Controls and Procedures	Appendix – Controls and procedures	338
16A	Audit Committee Financial Expert	Supervisory Board report – Supervisory Board	109

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Definitions

Name	Description
0–9	
3TG	Tin, tantalum, tungsten and gold
A	
Affected communities	People or groups of people living or working in areas in which ASML has operations and in areas affected by ASML's value chain.
ESRs	
AFM	The Dutch Authority for the Financial Markets (Autoriteit Financiële Markten)
AGM	Annual General Meeting
AI	Artificial intelligence
Applied Materials Inc.	Semiconductor equipment company
ARCNL	Advanced Research Center for Nanolithography
ArF	Argon fluoride
ArFi	Argon fluoride immersion
ASC	Accounting Standards Codification
ASC 606	Accounting Standards Codification revenue recognition
ASC 740	Accounting Standards Codification provision for income taxes
ASC 820	Accounting Standards Codification for fair value measurement
ASML	ASML Holding N.V. and/or any of its subsidiaries and associates
ASML Preference Shares Foundation	Stichting Preferente Aandelen ASML
ATP throughput	Throughput of the measured system (in wph) according to the acceptance test protocol.
B	
Backlog	Backlog contains accumulated sales values for all system sales orders and inflation-related adjustments, for which written authorizations have been accepted, and not yet recorded in total net sales.
BEPS	Base erosion and profit shifting
Big data	Extremely large data sets that may be analyzed computationally to reveal patterns, trends and associations.
BoM	ASML's Board of Management
Brainport Eindhoven	A technology region in the south of the Netherlands where companies, educational institutions, social and governmental organizations closely collaborate.
BREEAM	Building Research Establishment Environmental Assessment Method
C	

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Definitions (continued)

Name	Description
COVID-19	Coronavirus disease 2019
CPP	ASML's Community Partnership Program
CPU	Central processing unit
CRA	Cyber Resilience Act
CRMC	Capital Research and Management Company
CSDDD	Corporate Sustainability Due Diligence Directive
CSPO	Chief Strategic Sourcing & Procurement Officer
CSRD	Corporate Sustainability Reporting Directive
CTO	Chief Technology Officer
Cymer	Cymer Inc., Cymer LLC and its subsidiaries
D	
DDR5	The 5th generation of double data rate synchronous dynamic random access memory.
D&E	Development and engineering
DEFRA	A comprehensive set of GHG emission factors from the UK Government Department for Environment, Food & Rural Affairs, Department for Energy Security and Net Zero and Department for Business, Energy & Industrial Strategy
Deloitte	Deloitte Accountants B.V.
DRAM	Dynamic random-access memory
DUV	A lithography technology that uses deep ultraviolet (DUV) light.
E	
E-beam	Electron beam
EBIT	Earnings before interest and taxes
EBIT Margin %	Income from operations as percentage of total net sales (Non-GAAP measure)
ECP	Euro Commercial Paper
EGM	Extraordinary General Meeting
EHS	Environment, health & safety
EHS Competence Center	A group within ASML that defines EHS standards, gathers best practices and helps managers implement them.

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Definitions (continued)

Name	Description
Fab	Semiconductor fabrication plant
FAQ	Frequently asked questions
Fast shipment	A fast shipment process skips some of the testing in our factory and provides our customers with earlier access to wafer output capacity. When customer acceptance at FAT is not proven, this leads to a deferral of revenue recognition until SAT.
FAT	Factory acceptance test
Feature	The elements that make up the pattern for a given layer of a microchip.
Fitch	A leading provider of credit ratings, commentary and research for global capital markets.
Flash	A type of non-volatile memory used for storing and transferring information.
Foundry	A contract manufacturer of logic chips.
Fraunhofer	Applied research organization in Germany
Free cash flow	Defined as net cash provided by operating activities minus purchase of property, plant and equipment and purchase of intangible assets. (Non-GAAP measure).
FTE	Full-time equivalent
G	
G-SEED	Green Standard for Energy and Environmental Design (South Korea)
GAAP	Generally accepted accounting principles
GDP	Gross domestic product
Gemba Walk	The Gemba Walk is an opportunity for staff to stand back from their day-to-day tasks to walk the floor of their workplace to identify wasteful activities.
GHG	Greenhouse gas
GHG neutrality	We define GHG neutrality for scope 1, 2 and categories 6 and 7 (our own activities) as having our remaining emissions, after ASML's efforts to reach our GHG emission reduction targets, compensated for by the same amount of tonnes (metric tons) of carbon credits that are verified against recognized quality standards.
GPU	Graphics processing unit
H	
High-bandwidth Memory	Type of computer memory designed to provide both high-bandwidth and low-power consumption.
HMI	The brand name for ASML's range of electron beam (e-beam) wafer inspection and metrology systems.
Holistic lithography	Our approach to optimizing the entire microchip printing process and enabling affordable scaling in chip technology by integrating lithography systems with computational modeling and wafer metrology and inspection solutions to analyze and control the manufacturing process in real time

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Definitions (continued)

Name	Description
IPR	Intellectual property rights
IRA	Inflation Reduction Act of 2022
I-REC	International renewable energy certificate
IRS	Internal Revenue Service of the United States
ISO	International Organization for Standardization
ITM	Integrated Talent Management
J	
JG13+	Job grade 13 and higher
JP Morgan Chase	US-based holder of our New York share register
K	
KLA-Tencor	KLA-Tencor Corporation
KPI	Key performance indicator
KPMG	KPMG Accountants N.V.

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Definitions (continued)

Name	Description
NIIT	Net investment income tax
Nikon	Nikon Corporation
NL	The Netherlands
nm	Nanometer (one billionth of a meter)
Node	A stepping stone in the chipmaking industry's roadmap for smaller features and more advanced microchips, describes and differentiates generations of semiconductor manufacturing technologies and the chips made with them. Nodes with 'smaller sizes' refer to more advanced technologies.
Non-employees	Includes both individual contractors supplying labor to ASML ('self-employed people') and workers provided by ASML primarily engaged in 'employment activities' (NACE Code N78).
Non-GAAP	A measure of a company's historical or future financial performance, financial position or cash flows that are not calculated or presented in accordance with the GAAP.
NPR	Non-product-related
NV	Naamloze vennootschap, referred to as N.V.
NXE	ASML's first TWINSCAN platform for EUV lithography with a numerical aperture of 0.33 that provides 13 nm resolution to support advanced Logic and Memory chip production; also referred to as EUV 0.33 NA.
NXT	An enhanced version of the original TWINSCAN system platform offering significantly improved overlay and productivity.
O	
OCI	Other comprehensive income
OECD	Organisation for Economic Co-operation and Development
OPC	Optical proximity correction
Other worker	Individuals providing services connected to ASML operations or core activities not meeting the definition of 'employee' or 'non-employee'.
Overlay	The layer-to-layer alignment of chip structures
Own workforce	Aggregate of 'Employees' and 'Non-employees'
ESRS	
P	
PAS	Philips Automatic Stepper – ASML's first lithography platform that uses a single stage.
Pattern fidelity	A holistic measure of how well the desired pattern is reproduced on the wafer.
Patterning	The process of creating a pattern in a surface to build microchips.
PEP	Productivity Enhancement Package
Performance and career development reviews	
As part of the ASML Develop & Perform program, performance and career development reviews refer to the annual evaluations, taking into account the employees' performance and peer review that result in a final overall rating provided by the employees' direct superior.	

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Definitions (continued)

Name	Description
Reticle	A plate containing the pattern of features to be transferred to the wafer for each exposure.
RMAP	Responsible Minerals Assurance Process
RMI	Responsible Minerals Initiative
ROAIC	Return on average invested capital (Non-GAAP measure)
RoHS	Restriction of hazardous substances
rTSR	Relative Total Shareholder Return
S	
Standard & Poor's	A stock index of the United States that, due to its broad composition, gives a reliable picture of developments in the American stock market.
SAQ	Self-assessment questionnaire
Sarbanes-Oxley Act	The Sarbanes-Oxley Act of 2002
SAT	Site acceptance test
SB	ASML's Supervisory Board
SBTI	Science-Based Targets initiative
SCC	Semiconductor Climate Consortium
Scope 1 CO ₂ e emissions	Direct carbon dioxide emissions from resources an organization owns or controls.
Scope 2 CO ₂ e emissions	Indirect carbon dioxide emissions due to the energy an organization consumes.
Scope 3 CO ₂ e emissions	All other indirect carbon dioxide emissions that occur in an organization's value chain.
Scope 3 CO ₂ e emissions intensity	All other indirect carbon dioxide emissions that occur in an organization's value chain expressed as a percentage of revenue or gross profit.
SEC	The United States Securities and Exchange Commission
SEMI	Semiconductor Equipment and Materials International
SEMI S2	SEMI S2 – Safety Guideline, Environmental, Health and Safety Guideline for Semiconductor Manufacturing Equipment, a set of performance-based EHS considerations for semiconductor manufacturing equipment.
SEMI S23	SEMI S23 – Guide for Conservation of Energy, Utilities and Materials Used by Semiconductor Manufacturing Equipment, guidelines for collecting, analyzing and reporting energy-consuming semiconductor manufacturing equipment utility data.
SG&A	Selling, general and administrative expenses
Shrink	The process of developing smaller transistors for more advanced chips.

Definitions (continued)

Name	Description
Top management	Top management within ASML has been defined as senior leadership (job grade 13) and higher excluding the Supervisory Board.
TPRM	Third-party risk management
Training hours	Hours of internal and external learning completed by employees and registered on ASML learning platforms.
Transistor	A semiconductor device that is the fundamental building block of microchips.
TSMC	Taiwan Semiconductor Manufacturing Company Ltd.
TSR	Total shareholder return
TU/e	Technische Universiteit Eindhoven
TWINSCAN	ASML's unique lithography system platform, with two complete wafer stages to allow one wafer to be mapped while another is being exposed, thereby enabling higher accuracy and throughput.
U	
UNGP	United Nations Guiding Principles on Business and Human Rights
US	United States
US GAAP	Generally accepted accounting principles in the United States of America
US Tax Treaty	The treaty between the US and the Netherlands for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with Respect to Taxes on Income.
V	
Vanderlande	A material handling and logistics automation company based in the Netherlands.
VAT	Value-added tax
VCP	Virtual computing platform
VER(s)	Voluntary emission reduction (certificates)
VIE	Variable interest entity
VNO-NCW	The Confederation of Netherlands Industry and Employers
VPA	Volume purchase agreement
W	
WACC	Weighted average cost of capital
Wafer inspection	The process of locating and analyzing individual chip defects on a wafer.
Wafer metrology	The process of measuring the quality of patterns on a wafer.
Waste intensity	The total waste in millions of kilograms (excluding construction and demolition waste) divided by revenue (in millions of euros).
Name	Description
Wavelength	The distance between two peaks of a wave such as light. The shorter the wavelength of light used in a lithography system, the smaller the features the system can resolve.

Signatures

ASML Holding N.V. hereby certifies that it meets all of the requirements for filing on Form 20-F and that it has duly caused and authorized the undersigned to sign this Annual Report on Form 20-F on its behalf.

ASML Holding N.V. (Registrant)
/s/ Christophe D. Fouquet
Name: Christophe D. Fouquet
Title: President, CEO and Chair of the Board of Management
Dated: February 25, 2026

/s/ Roger J.M. Dassen
Name: Roger J.M. Dassen
Title: Executive Vice President, CFO and member of the Board of Management
Dated: February 25, 2026

Exhibit index

Exhibit No.	Description
1.1	Articles of Association of ASML Holding N.V. (English translation) (dated May 12, 2022) (Incorporated by reference to the Registrant's Annual Report on Form 20-F for the year ended December 31, 2023)
2.1	Description of Securities registered under Section 12 of the Exchange Act ²
4.1	Form of Indemnity Agreement between ASML Holding N.V. and members of its Board of Management (Incorporated by reference to the Registrant's Annual Report on Form 20-F for the year ended December 31, 2003)
4.2	Form of Indemnity Agreement between ASML Holding N.V. and members of its Supervisory Board (Incorporated by reference to the Registrant's Annual Report on Form 20-F for the year ended December 31, 2003)
4.3	Nikon-ASML Patent Cross-License Agreement, dated December 10, 2004, between ASML Holding N.V. and Nikon Corporation (Incorporated by reference to the Registrant's Annual Report on Form 20-F for the year ended December 31, 2014)
4.4	ASML/Carl Zeiss Sublicense Agreement, 2004, dated December 10, 2004, between Carl Zeiss SMT AG and ASML Holding N.V. (Incorporated by reference to the Registrant's Annual Report on Form 20-F for the year ended December 31, 2014)
4.5	ASML Board of Management Umbrella Share Plan (Incorporated by reference to the Registrant's Registration Statement on Form S-8 filed with the SEC on April 13, 2015 (file No. 333-203390))
4.6	Partnership and Joint Venture Agreement, among Carl Zeiss AG, ASML Holding N.V. and Carl Zeiss SMT Holding Management GmbH, dated June 29, 2017 (Incorporated by reference to the Registrant's Annual Report on Form 20-F for the fiscal year ended December 31, 2017)
4.7	Settlement and Cross License Agreement, dated February 18, 2019, among Nikon Corporation, ASML Holding N.V. and Carl Zeiss SMT GmbH and, with regard to sections 3(b) 2.2.1, 3.8, 6.3.3, 6.6, 10.6, 10.8, 10.14 and 10.15, Carl Zeiss AG (Incorporated by reference to the Registrant's Annual Report on Form 20-F for the year ended December 31, 2019)
4.8	Restated ASML – SMT Business Agreement, dated May 8, 2025, between ASML Netherlands B.V. and Carl Zeiss SMT GmbH
8.1	List of Main Subsidiaries ²
12.1	Certification of CEO and CFO Pursuant to Rule 13a–14(a) of the Securities Exchange Act of 1934 ²
13.1	Certification of CEO and CFO Pursuant to Rule 13a–14(b) of the Securities Exchange Act of 1934 ²

Exhibit 2.1

Description of Securities Registered under Section 12 of the Exchange Act

Title of Each Class	Trading Symbol	Name of Each Exchange on Which Registered
Ordinary Shares	ASML	The Nasdaq Stock Market LLC

(Nominal value €0.09 per share)

Capitalized terms used but not defined herein have the meanings given to them in ASML's annual report on Form 20-F for the year ended December 31, 2025 (the "2025 Form 20-F").

The following description of our ordinary shares includes a summary of certain provisions of our Articles of Association. The summary does not purport to be complete and is qualified in its entirety by reference to our Articles of Association, which have been filed with the SEC, and the applicable provisions of Dutch law.

General

Our ordinary shares are listed for trading in the form of registered ASML Nasdaq shares and in the form of registered ASML Euronext Amsterdam shares. The principal trading market of our ordinary shares is Euronext Amsterdam (trading symbol: ASML). Our ordinary shares also traded on Nasdaq (trading symbol: ASML).

ASML's authorized share capital amounts to €126.0 million and is divided into:

Type of shares	Amount of shares	Nominal value	Votes per share
Cumulative preference shares	700,000,000	€0.09 per share	1
Ordinary shares	700,000,000	€0.09 per share	1

The issued and fully paid-up ordinary shares with a nominal value of €0.09 each were as follows:

As of December 31	2023	2024	2025
Issued ordinary shares with nominal value of €0.09	393,421,721	393,283,720	385,417,665
Issued ordinary treasury shares with nominal value of €0.09	6,162,857	546,972	2,730,009
Total issued ordinary shares with nominal value of €0.09	399,584,578	393,830,692	388,147,674

As of December 31, 2025, 87,904,216 ordinary shares were held by 316 registered holders with a registered address in the US. Since certain of our ordinary shares were held by brokers and nominees, the number of record holders in the US may not be representative of the number of beneficial holders, or of where the beneficial holders are resident.

Each ordinary share consists of 900 fractional shares. Fractional shares entitle the holder thereof to a fractional dividend, but do not give entitlement to voting rights. Only those persons who hold shares directly in the share register in the Netherlands, held by us at our address at 5504 DR Veldhoven, De Run 6501, the Netherlands, or in the New York share register, held by JP Morgan Chase Bank, N.A., P.O. Box 64506, St. Paul, MN 55164-0506, United States, can hold fractional shares. Shareholders who hold ordinary shares through the deposit system under the Dutch Securities Bank Giro Transfer Act maintained by the Dutch central securities depository Euroclear Nederland or through the Depository Trust Company cannot hold fractional shares.

No cumulative preference shares have been issued. Each share carries one vote.

Our shares listed on Nasdaq are registered with JPMorgan Chase Bank N.A., our New York Transfer Agent, pursuant to the terms of the Transfer Agent Agreement between ASML and JPMorgan Chase Bank N.A. Our shares listed on Euronext Amsterdam are held in dematerialized form through the facilities of Euroclear Nederland, the Dutch centralized securities custody and administration system. Our shares are traded on Nasdaq, are held on the register of JP Morgan Chase Bank N.A. as well as in the clearing system of the Depository Trust Corporation (DTC). The New York Transfer Agent charges shareholders a fee of up to USD 5.00 per 100 shares for the exchange of our shares listed at Nasdaq for our shares listed at Euronext Amsterdam and vice versa.

Dividends payable on our shares listed at Nasdaq are declared in euro and converted to US dollars at the rate of exchange at the close of business on the date determined by the Board of Management. The resulting amounts are distributed through the New York Transfer Agent and no charge is payable by holders of our shares listed at Nasdaq in connection with this conversion or distribution.

Pursuant to the terms of the Transfer Agent Agreement, we have agreed to reimburse the New York Transfer Agent for certain out of pocket expenses, including in connection with any mailing of notices, reports or other communications made generally available by ASML to holders of ordinary shares. The New York Transfer Agent has waived its fees associated with routine services to ASML associated with our shares listed at Nasdaq. In addition, the New York Transfer Agent in consideration of its acting as Transfer Agent has agreed to make a contribution toward covering certain expenses incurred by ASML in connection with the issuance and transfer of our shares listed on Nasdaq. In the year ended December 31, 2025, the Transfer Agent contributed USD 1.1 million toward coverage of expenses incurred by ASML (which mainly comprised audit, advisory, legal and listing fees incurred due to the existence of our share listing on Nasdaq).

Special voting rights, limitation voting rights and transfers of shares

There are no special voting rights on the issued shares in our share capital.

There are currently no limitations, either under Dutch law or in our Articles of Association, on the transfer of ordinary shares in the share capital of ASML. Pursuant to our Articles of Association, the Supervisory Board's approval shall be required for every transfer of cumulative preference shares.

Issue and repurchase of (rights to) shares

Our Board of Management has the power to issue ordinary shares and cumulative preference shares insofar as it has been authorized to do so by the General Meeting. The Board of Management requires approval of the Supervisory Board for such an issue. The authorization by the General Meeting can only be granted for a certain period not exceeding five years and may be extended for no longer than five years on each occasion. If the General Meeting has not authorized the Board of Management to issue shares, the General Meeting will be authorized to issue shares on the Board of Management's proposal, provided that the Supervisory Board has approved such a proposal.

Holders of our ordinary shares have a preemptive right, in proportion to the aggregate nominal amount they hold. This preemptive right may be restricted or excluded. Holders of ordinary shares do not have preemptive rights with respect to any ordinary shares issued for consideration other than cash or ordinary shares issued to employees. If authorized for this purpose by the General Meeting, the Board of Management has the power, subject to approval of the Supervisory Board, to restrict or exclude the preemptive rights of holders of ordinary shares.

2025 authorization to issue and repurchase shares

At our 2025 AGM, the Board of Management was authorized from April 23, 2025, through October 23, 2026, subject to the approval of the Supervisory Board, to issue shares and/or rights thereto, representing up to a maximum of 5% of our issued share capital at April 23, 2025, plus an additional 5% of our issued share capital at April 23, 2025, that may be issued in connection with mergers, acquisitions and/or (strategic) alliances. Our shareholders also authorized the Board of Management through October 23, 2026, subject to approval of the Supervisory Board, to restrict or exclude preemptive rights with respect to holders of ordinary shares up to a maximum of 5% of our issued share capital in connection with the general authorization to issue shares and/or rights to shares, plus an additional 5% in connection with the authorization to issue shares and/or rights to shares in connection with mergers, acquisitions and/or (strategic) alliances.

We may repurchase our issued ordinary shares at any time, subject to compliance with the requirements of Dutch law and our Articles of Association. Any such repurchases are subject to the approval of the Supervisory Board and authorization by the General Meeting, which authorization may not be for more than 18 months.

At the 2025 AGM, the Board of Management was authorized, subject to Supervisory Board approval, to repurchase through October 23, 2026, up to a maximum of 10% of our issued share capital at April 23, 2025, at a price between the nominal value of the ordinary shares purchased and 110% of the market price of these securities on Euronext Amsterdam or Nasdaq.

[Read more details on our share buyback program in Consolidated financial statements – Notes to the Consolidated financial statements - Note 22 Shareholders' equity](#)

ASML Preference Shares Foundation

The ASML Preference Shares Foundation (Stichting Preferente Aandelen ASML) has been granted an option right to acquire cumulative preference shares in the share capital of ASML. The Foundation may exercise this Preference Share Option when, in the opinion of the Foundation's Board of Directors, the interests of ASML, its business or its stakeholders are at stake, including in the event that:

- a public bid for ASML's shares has been announced or made, or there is a justified expectation that such a bid will be made without any agreement having been reached with ASML in relation thereto; or
- an attempted exercise of voting rights by one or more shareholders, which in the opinion of the Foundation's Board of Directors is materially in conflict with the interests of ASML, of its business or of its stakeholders.

Objectives of the Foundation

The Foundation's objectives are to look after the interests of ASML and the enterprises maintained by and/or affiliated in a group with ASML, in such a way that ASML's interests and those of enterprises and all parties concerned are safeguarded in the best possible way. The Foundation is responsible for ensuring that influences in conflict with these interests, which might affect the independence or the identity of ASML and those companies, are deterred to the best of the Foundation's ability. The Foundation aims to realize its objects by acquiring and holding cumulative preference shares in our capital and by exercising the rights attached to these shares, particularly the voting rights.

The Preference Share Option

The Preference Share Option entitles the Foundation to acquire cumulative preference shares, whereby the aggregate nominal value of such cumulative preference shares may not exceed the aggregate nominal value of the ordinary shares issued at the time of exercise of the Preference Share Option. The subscription price for the cumulative preference shares shall be equal to nominal value. Only 25 percent of the subscription price will be payable upon issuance, with the remainder only being payable when called-up by ASML. .

Cancellation of cumulative preference shares

Cancellation and repayment of issued cumulative preference shares by ASML requires authorization by the General Meeting, on a proposal to this effect made by the Board of Management and approved by the Supervisory Board. If the Preference Share Option is exercised and as a result cumulative preference shares are issued, we will initiate the repurchase or cancellation of all cumulative preference shares held by the Foundation at the Foundation's request. In that case, we are obliged to effect the repurchase and respective cancellation as soon as possible. A cancellation will result in a repayment of the amount paid and exemption from the obligation to pay up on the cumulative preference shares. A repurchase of the cumulative preference shares can only take place when such shares are fully paid up.

If the Foundation does not request that we repurchase or cancel all cumulative preference shares held by the Foundation within 20 months of issuance of these shares, we will be required to convene a General Meeting for the purpose of deciding on a repurchase or cancellation of these shares.

Board of Directors

The Foundation operates independently of ASML. Its Board of Directors comprises four independent members. Per December 31, 2025, its members were: Mr. Wim Pelsma, Mr. Sjoerd Vollebregt, Mr. Jos Streppel and Mr. Steven Perrick (who was replaced by Mr. Arnold Croiset van Uchelen effective January 1, 2026).

ASML has not established any other anti-takeover devices.

US listing requirements

As our New York Shares are listed on the Nasdaq Stock Market LLC, Nasdaq corporate governance standards in principle apply to us. However, Nasdaq rules provide that foreign private issuers may follow home-country practice in lieu of the Nasdaq corporate governance standards subject to certain exceptions. Our corporate governance practices are primarily based on Dutch requirements. The table on the right side of this page sets forth the practices we follow in lieu of Nasdaq rules, pursuant to the exception described above.

Quorum	ASML does not follow Nasdaq's quorum requirements applicable to meetings of ordinary shareholders. In accordance with Dutch law and generally accepted Dutch business practice, ASML's Articles of Association provide that there are no quorum requirements generally applicable to general meetings of shareholders.
Solicitation of proxies	ASML does not follow Nasdaq's requirements regarding the solicitation of proxies and the provision of proxy statements for general meetings of shareholders. ASML does furnish proxy statements and solicit proxies for the General Meeting. Dutch corporate law sets a mandatory (participation and voting) record date for Dutch listed companies at the 28th day prior to the date of the General Meeting. Shareholders registered at such a record date are entitled to attend and exercise their rights as shareholders at the General Meeting, regardless of a sale of shares after the record date.
Distribution of Annual Report	ASML does not follow Nasdaq's requirement regarding distribution to shareholders of copies of an annual report containing audited Financial statements prior to our AGM. The distribution of our annual reports to shareholders is not required under Dutch corporate law or Dutch securities laws, or by Euronext Amsterdam. Furthermore, it is generally accepted business practice for Dutch companies not to distribute annual reports. In part, this is because the Dutch system of bearer shares has made it impractical to keep a current list of holders of the bearer shares in order to distribute the annual reports. Instead, we make our Annual Report available at our corporate head office in the Netherlands (and at the offices of our Dutch listing agent, as stated in the convening notice for the meeting) no later than 42 days prior to convocation of the AGM. In addition, we post a copy of our annual reports on our website prior to the AGM.
Equity compensation arrangements	ASML does not follow Nasdaq's requirement to obtain shareholder approval of stock option or purchase plans or other equity compensation arrangements available to officers, directors or employees. It is not required under Dutch law or generally accepted practice for Dutch companies to obtain shareholder approval of equity compensation arrangements available to officers, directors or employees. The General Meeting adopts the Remuneration Policy for the Board of Management, approves equity compensation arrangements for the Board of Management and approves the remuneration for the Supervisory Board. Equity compensation arrangements for employees are adopted by the Board of Management within limits approved by the General Meeting. The Remuneration Committee evaluates the achievements of individual members of the Board of Management with respect to the short- and long-term quantitative performance, and the full Supervisory Board evaluates the quantitative performance criteria.

Exhibit 4.8

PORTIONS OF THIS EXHIBIT HAVE BEEN OMITTED BECAUSE SUCH PORTIONS ARE BOTH NOT MATERIAL AND THE TYPE OF INFORMATION THAT ARE BOTH CUSTOMARILY AND ACTUALLY TREATED AS PRIVATE AND CONFIDENTIAL. THE OMISSIONS HAVE BEEN INDICATED BY ASTERISKS (“***”).

Restated ASML - SMT Business Agreement

Between

ASML Netherlands B.V.

and

Carl Zeiss SMT GmbH

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Preamble

ASML Netherlands B.V., a corporation organized under the laws of the Netherlands ("**ASML**") and Carl Zeiss SMT GmbH, a corporation organized under the laws of Germany ("**SMT**") (jointly the "**Parties**") have developed a highly successful and exclusive strategic cooperation in the field of lithography, based on a contractual framework comprising multiple agreements. ASML and SMT intend to continue to cooperate in a more integrated manner, with the mutual intent to support and add value for their end customers, grow the Lithography Business for both Parties, and share the overall responsibility of this business towards the end customers (the "*Two Companies – One Business*" concept). Certain decisions affecting the Lithography Business shall be taken by mutual agreement, as further described in this Agreement. With respect to the Lithography Business, each Party acknowledges that a strong focus on the Lithography Business as compared to other business activities is important and that each Party can only be successful with the other Party.

The Parties agree that the main, longstanding principles underpinning the "*Two Companies – One Business*" concept are (i) fair sharing of risk and reward (ii) transparency and (iii) simplicity, which need to be redefined. The Parties now intend to achieve a higher level of trust and stronger alignment and introduce an additional principle: (iv) jointly driving growth and profitability of the Lithography Business through enhancing end customer value. By better aligning interests, the Parties will become more effective in their decision making and execution, which is important to better serve the end customers who are facing increasingly complex roadmaps and industry consolidation, and which will benefit the business of each Party.

Therefore, the Parties have agreed to a new, integral agreement that supersedes any and all existing agreements between the Parties, to the extent that provisions in such existing agreements would contradict provisions in this new integral agreement (the "**Agreement**"). The Agreement includes the following three – strongly interrelated and mutually supportive – core elements:

- (i) A ***Behavior & Culture Model*** that fosters mutual respect and understanding between the Parties;
- (ii) A ***Governance Model*** that enables the Parties to become more effective, and integrated in their decision making and the execution of the strategy in the Lithography Business, and that reflects the integrity and autonomy of the two Parties within their respective Roles & Responsibilities ; and
- (iii) A ***Commercial Model*** that inherently achieves increased trust through better aligning interests and establishing a price setting mechanism.

The Agreement went into effect as of 14 September 2021 (the "**Original Effective Date**"), and was amended pursuant to the following:

- (i) "Amendment No. 1 and Closing Letter" with effective date 14 September 2021;
 - (ii) "Amendment No. 2" with effective date 1 August 2022;
 - (iii) "Amendment No. 3" with effective date 18 April 2023;
 - (iv) "Amendment No. 4" with effective date 1 April 2025; and
-

(v) "Amendment No. 5" with effective date 8 May 2025.

This Restated ASML - SMT Business Agreement ("**Restated ASBA**") reflects the Agreement, as collectively amended on and before 8 May 2025 (the "**Restated ASBA Effective Date**").

I. Behavior & Culture

I.1 Principles

I.1.1 The Parties agree that mutual trust is key to the success behind the *“Two Companies – One Business”* concept. The Parties therefore commit to fostering a culture of innovation, collaboration, trust and respect as one of the key principles for their cooperation.

I.1.2 The Parties shall:

- (i) make best efforts to understand and respect the other Party’s position and culture;
- (ii) treat the other Party with respect and integrity; and
- (iii) leverage their respective corporate cultures to best serve the Lithography Business as well as the semiconductor industry in general.

I.2 Behavioral Rules

The boards of management of both Parties, shall in good faith, mutually define rules on the behavior regarding any engagement between the Parties (the **“Behavioral Rules”**), which shall be cascaded down in the respective Party’s organizations and which shall be adhered to by the Parties at all times.

I.3 Relationship Management

I.3.1 Each Party shall appoint a manager who is responsible for promoting and supervising the Behavioral Rules within its company and acts as a liaison on this topic for the other Party (the **“Relationship Manager”**). In case of a breach of the Behavioral Rules, any employee can file a complaint with the Relationship Manager of its company.

I.3.2 The Relationship Manager shall first review the complaint. If it decides the complaint is warranted it shall discuss the complaint with the Relationship Manager of the other Party. The Relationship Managers shall make best efforts to jointly find a solution to address the complaint and to prevent breaches in the future.

I.3.3 In case the Relationship Managers are not able to find a joint solution, the Relationship Managers shall escalate the complaint to a dedicated board member of their respective companies. These dedicated board members shall in good faith discuss and resolve the issue.

I.3.4 The Lithography Steering Committee shall, on a bi-annual basis, review progress and the quality of the interaction, and any proposed recommendations as submitted by the Relationship Managers.

I.4 Cultural Program

The Relationship Managers shall mutually agree on a proposal for a joint program of activities to support the Behavioral Rules.

II. Governance

II.1 Overall Principle

- II.1.1 The Parties agree that, while needing closer alignment in order to achieve maximum value for the Lithography Business, they are separate, independent companies.
- II.1.2 Certain decisions affecting the Lithography Business shall be taken by mutual agreement, as further described in this Agreement. Otherwise the Parties have autonomy to decide and execute within their respective Roles & Responsibilities.

II.2 Roles & Responsibilities

- II.2.1 The Parties agree that, for optical lithography systems as well as for components and sub-systems thereof, ASML has the role and responsibilities of a system integrator and SMT has the role and responsibilities of a sub-system supplier, as further described in this Section (the “**Roles and Responsibilities**” or “**R&Rs**”).
 - II.2.2 ASML as system integrator:
 - (i) identifies areas to increase value for the mutual business and creates customer agreements ensuring compensation for the value generated;
 - (ii) holds overall responsibility for the system, the system architecture, serviceability and the related technical optimization trade-offs;
 - (iii) holds responsibility for any sub-systems except Core Components of SMT covering areas such as sub-system architecture, technical optimization/trade-offs (including interface and control of such sub-systems), and sub-system functionality; and
 - (iv) markets, delivers systems and service to end customers according to agreed specifications.
 - II.2.3 SMT as the sub-system supplier:
 - (i) supports initiatives to increase value for the mutual business and, where possible, brings in ideas to increase value;
 - (ii) holds responsibility for Core Components of SMT covering areas such as sub-system architecture, serviceability, technical optimization/trade-offs, and sub-systems functionality; and
 - (iii) delivers sub-systems and related service according to agreed specifications.
 - II.2.4 To address their shared responsibility to ensure performance and value agreed with the end customer at delivery and over the product lifetime, ASML and SMT shall jointly:
 - (i) take decisions in the Lithography Steering Committee as further described in this Agreement; and
-

- (ii) agree on the SMT sub-system specification and its interface to the lithography system (including the access via an agreed standard interface to any integrated manipulation means in the sub-system) between Core Components of SMT and other parts of the lithography system, which are not Core Components of SMT, in order to ensure an optimal integration of the SMT sub-system.

II.2.5 If the jointly agreed sub-system specification cannot be met or maintained, then further work by both Parties within their specific R&Rs is needed to understand the root cause of the problem, resolve the problem and deliver the solution to end customer to fulfill their shared responsibility.

II.2.6 Within its respective R&Rs and respecting the other Party's R&Rs, each Party is responsible for, without limitation:

- (i) the implementation and execution of any decisions of the Lithography Steering Committee;
- (ii) the selection of its suppliers;
- (iii) the implementation and execution of investment decisions; and
- (iv) the implementation and execution of cost-reduction programs.

II.3 Decision Making Model

ASML Lithography Business Strategy

II.3.1 Based on its understanding of the market needs, ASML will define the ASML strategy and roadmap for the Lithography Business (the "**ASML Lithography Business Strategy**").

Lithography Steering Committee

II.3.2 The Parties shall establish a joint steering committee with three representatives from each Party, including at least two members of the respective boards of management from each Party (the "**Lithography Steering Committee**").

II.3.3 The Lithography Steering Committee shall:

- (i) annually discuss the ASML Lithography Business Strategy including the expectations around the investments and returns for both Parties resulting from it (the "**ASML Lithography Business Plan**" as further specified in **APPENDIX I**); and
- (ii) on a quarterly basis decide on the topics defined in this Section. The Lithography Steering Committee may delegate by mutual agreement any such decisions to any other representative committees as established by the Parties.

II.3.4 The Lithography Steering Committee shall mutually agree on any investment related to the Lithography Business, that is in the good faith opinion of either Party (based on the information available to such Party at that time) expected to represent ******* ("**Strategic Investment**").

II.3.5 The Lithography Steering Committee shall mutually agree on any divestment of assets where[***] (“**Strategic Divestment**”).

II.3.6 The Lithography Steering Committee shall, with respect to the Core Components of SMT and Common Components and any other products supplied by SMT to ASML as part of the Lithography Business, mutually agree on:

- (i) Product and product roadmap requirements (such as performance, lifetime performance, serviceability, service concept, timing), taking into consideration the related estimated value, costs and investments;
- (ii) Long term operational capacity requirements, taking into consideration the related estimated costs and investments;
- (iii) Product lead time and flexibility requirements, taking into consideration the related estimated costs and investments; and
- (iv) Product related sustainability requirements, taking into consideration the related estimated costs and investments.

(the “**Requirements**”)

II.3.7 In case of any significant deviation:

- (i) relating to the ASML Lithography Business Strategy or the ASML Lithography Business Plan, the Lithography Steering Committee shall discuss the deviations and the resulting impact on the ASML Lithography Business Plan; or
- (ii) relating to a Strategic Investment or the execution of a Requirement or the underlying assumptions such as the related estimated value, costs and investment, the Parties shall jointly try to find a solution in accordance with the relevant decision making process as defined in Section II.3, paragraph 4 and 6, while continuing the execution for a period of three months. In case the Parties do not find a solution within said period, the Lithography Steering Committee shall mutually agree on the relevant Strategic Investment or Requirement, in accordance with Section II.3, paragraph 4 and 6 as applicable.

II.4 Disagreements in Lithography Steering Committee

Requirements

II.4.1 In the event a disagreement on any Requirement is primarily related to the unwillingness or inability of one Party to provide the necessary funding for said Requirement, the other Party shall, upon request, offer to support with such funding in accordance with Section IV.3. The former Party may reject such offer at its discretion and maintain its disagreement with respect to the Requirement.

II.4.2 If the Parties fail to reach mutual agreement within the Lithography Steering Committee on any Requirement, the Parties shall each identify one representative from within the Lithography Steering Committee with the mandate to within three (3) months resolve the disagreement in good faith. The representatives can either agree on the original Requirement, on a revised Requirement, or the Requirement shall be dropped.

Non-Agreed Strategic Investments

- II.4.3 If the Lithography Steering Committee fails to reach mutual agreement on a Strategic Investment (a **Non-Agreed Strategic Investment**"), either Party may request a debate in which the Parties shall substantiate their positions.
- II.4.4 In the event a disagreement on any Non-Agreed Strategic Investment is primarily related to the unwillingness or inability of one Party to provide the necessary funding for said Non-Agreed Strategic Investment, the other Party shall, upon request, offer to support with such funding in accordance with Section IV.3. The former Party may reject such offer at its discretion and maintain its disagreement with respect to the Non-Agreed Strategic Investment.
- II.4.5 In the unlikely event that the Parties fail to resolve their disagreement of a Non-Agreed Strategic Investment,
[***]
-

III. Interaction

III.1 Meeting Structure

III.1.1 The Parties can by mutual agreement establish meetings for supporting and aligning on the execution of the Lithography Business and for any decision-making delegated by the Lithography Steering Committee. These meetings shall be reviewed and updated on a regular basis by the Parties by mutual agreement.

III.1.2 As of signing of this Agreement the Parties shall establish the following committees ("**Relevant Meetings**").

III.1.3 All Relevant Meetings shall operate within the mandate and boundaries as set out below and as may be further defined by the Lithography Steering Committee, respecting each Party's respective R&Rs. Any deadlocks in the Relevant Meetings on decisions mandated by the Lithography Steering Committee shall be escalated to the Lithography Steering Committee for resolution.

- A. The Product Policy Meeting:** In this meeting, ASML shall elaborate on the market requirements, and the resulting product strategy and roadmap for optical lithography systems. SMT and ASML shall discuss the ASML product strategy and roadmap, and the product and roadmap implications for SMT related to the Core Components and other relevant products as basis for the relevant Lithography Steering Committee decisions. This meeting takes place on a quarterly basis.
 - B. The Business Line Review Meeting** for each of EUV 0.33NA, EUV 0.55NA and DUV: In these meetings, market/customer review, installed base review, product business plan and product execution review (incl. issue resolution) shall be addressed. These meetings shall take place on a two (2) monthly basis.
 - C. The Interface Meeting ("IFM"):** In this meeting, the technical progress and execution of work on optical lithography systems and their components and sub-systems shall be reviewed, including roadmap/technology execution and related decisions. This meeting takes place five (5) times a year, and is followed by a management meeting which serves as primary escalation meeting for the IFM.
 - D. The Joint Operational Review Meeting ("JORM"):** In this meeting, the operational progress of the output and infrastructure requirements shall be reviewed, and operational challenges (quality, logistics, capacity, demand, supply, customer support) shall be aligned on. This meeting takes place on a quarterly basis.
 - E. The Financial Planning Meeting ("FPM"):** In this meeting (i) the financial planning process as described in **APPENDIX V ("Financial Planning Process")** shall be coordinated, including requirements related to the exchange of financial information, (ii) the financial materials used for decision making in the Lithography Steering Committee shall be coordinated, and (iii) pricing shall be determined in accordance with the mechanism as described in Section IV.2 (Pricing Model). This meeting takes place on a quarterly basis. Based on the most recent forecast for the current fiscal year resulting from the Financial Planning Process, the expected CAPEX Financial Support and the expected Cash Support shall be forecasted and communicated by SMT to ASML on a quarterly basis, which will be discussed in the FPM.
-

III.2 Specification Alignment

- III.2.1 Based on the decision on Requirements provided by the Lithography Steering Committee, ASML and SMT shall mutually align on detailed Specifications or any change to the Specifications. Any Specifications which cannot be aligned on shall be escalated to the Lithography Steering Committee.
- III.2.2 Every product supplied by SMT to ASML shall be defined by (a) the Element Performance Specification (EPS), (b) the "*Abnahme*" specification and if required and agreed (c) the Optical Column Warranty Sheet (OCWS) ("**Specification**").
- III.2.3 ASML and SMT shall apply the guidelines for the established way of working between both Parties to agree on the Specifications, reflected in the [***] for DUV and EUV 0.33NA ("**Specification Guideline**") which may be amended by mutual agreement by the Parties.
- III.2.4 ASML and SMT agree to review and adjust the Specification Guideline to include EUV 0.55NA and any other applicable products which may be amended by mutual agreement.
- III.2.5 Any change to the Specifications shall be handled according to the then current version of the established [***] process for DUV and EUV 0.33NA and EUV 0.55NA which may be amended by mutual agreement.

III.3 Information Flow

- III.3.1 The Parties commit themselves to a free flow of information (including technical and financial information) to the extent that is required:
- (i) for the joint decision-making by (or delegated by) the Lithography Steering Committee as further described in this Agreement; or
 - (ii) for the execution of the Lithography Business by each Party within its R&Rs; or;
 - (iii) once per year ultimately by October 31 of each year, with respect to the products listed in **APPENDIX II** (as may be updated by the Parties from time to time with mutual agreement) to ensure compliance with the Applicable Accounting Standards:
 - [***]
 - Including a split of EUV Optical Columns into POB and Illuminator
 - Excluding service parts
 - (iv) for product business plans which are the basis for decisions in the Lithography Steering Committee, and once per year in the first week of May (or a different moment as may be agreed by the Parties) for the update of existing product business plans that should cover all products specified in Appendix II (as may be updated by the Parties from time to time with mutual agreement), [***].
- (the "**Relevant Information**").
-

III.3.2 The Relevant Information shall be shared between the Parties timely and openly, subject to the provisions with respect to confidentiality in Section VII.5, and the provisions on sensitivity of financial information in Sections IV.4.10 and IV.7.8. Furthermore, the Relevant Information shall not encompass any third party competitively sensitive information.

III.3.3 Each Party shall provide Relevant Information to the other Party upon its request.

III.3.4 In case of any disagreement with respect to either Party's request for information as described above, the Parties shall first escalate their disagreement to the committee/meeting most relevant to the subject matter, such as the committees/meetings defined in Section III.1. If the Parties fail to resolve the disagreement in the respective committee, the disagreement shall be escalated to the Lithography Steering Committee.

IV. Commercial

IV.1 Scope of Lithography Business

IV.1.1 Definitions:

- (i) **"Field of Interest"** means all aspects of, for, or relating to (a) the production of semiconductors, including lithography, metrology, inspection, and/or packaging; (b) wafers and reticles and the production, design, processing, and handling of wafers and reticles; and (c) systems for operating or coordinating the operation of any of the foregoing.
- (ii) **"Item"** of a Party or its Affiliates means anything in or for the Field of Interest, including hardware, software, services, licenses, and/or subscriptions, including all components of any of the foregoing whether provided separately, incorporated into a subassembly or complete assembly, or otherwise, for which such Party or its Affiliates has received revenue ("**Sold**") and/or engages or has engaged in, or such Party or its Affiliates has an intent to engage in, any marketing, sales, or other commercialization activity.
- (iii) **"Excluded Item"** means any Item which is not an Included Item.
- (iv) **"YS Item"** means any Item that is an optical overlay wafer metrology system based on diffraction based overlay measurements marketed and Sold by ASML.
- (v) **[***]**
- (vi) **"Included Item"** means any Item of a Party or its Affiliates which is presently, or was in the past, any of the following:
 - a. An optical lithography system, a YS Item, or an excimer laser;
 - b. A component, consumable¹, or sub-system (1) of or for an optical lithography system, (2) of or for a YS Item, (3) of or for an excimer laser, (4) of or for any other Included Item², or (5) for operating an optical lithography system, a YS Item, an excimer laser, or such other Included Item (including, without limitation, any light source, any beam delivery system(s), any electronic system(s), and any software);
 - c. To the extent not either (1) an Included Item under paragraph 1(vi)(b) of this Section or (2) an Item specifically designed for incorporation into, or for operation or use with, a bona fide Excluded Item, software either (3) for operating any other Included Item, or (4) specifically designed for simulating, optimizing, diagnosing, or adjusting any aspect of the performance, behavior, or characteristics of such an Item and/or the use or application of such an Item;
 - d. A service part for, or a service for or for operating (including without limitation maintenance, repair, upgrade, consulting, process design and/or process optimization) any other Included Item;

[*]**

¹ A consumable is a substance that is used up or consumed during the production of semiconductors, such as gas(es) or liquid(s), and where, for purposes of clarification, an Item is not a consumable solely because it is acted on or processed during the production of semiconductors, such as a wafer, or solely because it wears or degrades during the production of semiconductors, such as a reticle.

² By way of example, a component of an optical lithography system thereby becomes an Included Item, and any subcomponent of that component is therefore a "component ... of ... any other Included Item," and thereby such subcomponent also becomes an Included Item, et cetera. That recursive treatment applies to all of paragraphs 1(vi)(a)-(i) of this Section.

(vii) [***]

(viii) The “**Lithography Business**” is defined as the set of all Included Items of each Party.

(ix) [***]

IV.1.2 Master Product Lists

- (i) Included as **APPENDIX IIIA** and **IIIB** are screenshots of emails from each Party to the other Party showing exchange of SMT’s and ASML’s respective “**Master Product Lists**” as of the Restated ASBA Effective Date, which shall be maintained in an Excel spreadsheet in an agreed-upon format common to both Parties,
[***].

IV.1.3 Notice Obligations:[***]

IV.1.4 Cure Of Inadvertent Inclusion As Included Item: [***]

IV.1.5 Initiation of Scope Dispute: [***]

IV.2 Pricing Model

IV.2.1 ASML and SMT agree to apply, with retroactive effect as of the ASML FY 2025 and the SMT FY 2024/2025, a pricing model for any product and service delivered by SMT to ASML as part of the Lithography Business (“**SMT Product**”) based on [***].

IV.2.2 Therefore, ASML and SMT shall, based on the ASML Lithography Business Plan, determine and thereafter regularly review the prices for the SMT Products as described in the following paragraphs (the “**Pricing Model**”).

[***]

IV.3 Investment & Cash Support

Prepayments on materials and Other Supply Chain-Related Payments

IV.3.1 The Parties agree that ASML shall make prepayments to SMT for products to be supplied by SMT to ASML as part of the Lithography Business as follows:

- (i) For EUV 0.55NA products which are ordered before 1 January 2021, and for any other products existing prior to the moment of signing this Agreement, regardless when ordered: amounts and schedule according to the existing prepayment mechanism as defined between the Parties before the moment of signing of this Agreement;
 - (ii) For EUV 0.55NA products which are ordered after January 1, 2021, and for any other products not yet existing prior to the Original Effective Date of this Agreement: amount equal to the material cost that SMT needs to pay to its suppliers, according to a schedule following the principle set out in paragraph 2 of this Section.
-

IV.3.2 [***] The amount and timing of the material prepayments by ASML to SMT, less any payments from SMT to its suppliers, shall not have a significant positive but in any case not a negative FCF impact for SMT. In order to enable this, SMT shall provide ASML with the material cost expenditure profile for the respective product, broken down into a proposal for up to a maximum of 4 prepayments. [***]

IV.3.3 The Parties further agree that ASML shall make certain additional payments to SMT related to other SMT financial obligations incurred to manage its supply chain for the benefit of the Lithography Business, as follows: [***]

Financial Support for CAPEX investments

IV.3.4 Effective as of 1 October 2024, upon the request of SMT, ASML agrees to financially support SMT with its investments in property, plant, and equipment (“**PP&E**”), as that term is used in International Financial Reporting Standards (“**IFRS**”) International Accounting Standard (“**IAS**”) 16, as adopted by the European Union, made for the benefit of the Included Items of SMT (the “**Investments**”), by providing CAPEX Financial Support to SMT, as set forth below. Notwithstanding any CAPEX Financial Support made to SMT, all such PP&E shall be wholly owned by SMT or, as applicable, an Affiliate of SMT. Prior to 1 October 2024, the Parties entered into two loan agreements: (1) a Loan Agreement dated 22 September 2021, as amended pursuant to an Amendment Agreement dated 26 September 2022, and (2) a Loan Agreement dated 24 September 2024, as amended pursuant to a First Amendment and Restatement Agreement on the Restated ASBA Effective Date (collectively, “**Loan Agreements**”), and for purposes of clarification, nothing in this Section IV.3 shall affect the Parties’ respective rights and obligations under any such Loan Agreements.

IV.3.5 At the end of June of each SMT FY, the Lithography Steering Committee shall endeavor to agree on annual revenue forecasts for SMT [***].

IV.3.6 Definitions:

(i) [***]

(ii) [***]

(iii) [***]

(iv) [***]

(v) “**Over-Threshold Investment**” for a SMT FY shall mean the amount, as determined using the best information available, whether estimated, forecasted, or actual, by which (A) the total Investments for such SMT FY, plus the total Investments for the immediately prior SMT FY, less either (1) for SMT FY 2024/2025, the total amount that ASML loaned to SMT pursuant to any Loan Agreement in SMT FY 2023/2024 ([***]) or (2) for SMT FYs after SMT FY 2024/2025, the Total CAPEX Financial Support to SMT during the immediately prior SMT FY, exceeds (B) [***].

(vi) [***]

- (vii) “**FCF**” shall mean free cash flow, defined as operating cash flow less investing cash flow for PP&E and intangible assets.

IV.3.7 CAPEX Financial Support Election and Allocation:

- (i) In the event the Over-Threshold Investment for a SMT FY is non-zero, SMT may elect to receive CAPEX Financial Support from ASML up to the amount of the Over-Threshold Investment (where the amount so elected by SMT is the “**CAPEX Financial Support**” for that SMT FY). SMT shall communicate its election to receive such CAPEX Financial Support in connection with the Financial Planning Meeting.
- (ii) SMT shall invoice ASML for such CAPEX Financial Support in four installments, [***]

IV.3.8 Reduction of SMT’s Accounts Receivable from ASML: [***]

IV.3.9 In each of December, March, June, and September of a Current SMT FY, SMT shall reduce SMT’s accounts receivable from ASML that arose in that Current SMT FY in an amount equal to one-quarter of the forecasted Total Credit calculated under paragraph 8 of this Section for that Current SMT FY, and shall so notify ASML. Changes in the forecasted Total Credit calculated under paragraph 8 of this Section for that Current SMT FY shall lead to a reduction or increase of the amounts of any remaining quarterly reduction(s) in accounts receivable from ASML in that Current SMT FY. Within five (5) months after the Current SMT FY concludes, the actual Total Credit shall be finally determined based on the actual figures of that Current SMT FY. If the total of the reductions in accounts receivable from ASML by SMT under this paragraph 9 for that Current SMT FY was too high, this overage shall be repaid by ASML to SMT within fifteen (15) days of such determination. If the total of the reductions in accounts receivable from ASML by SMT under this paragraph 9 for that Current SMT FY was too low, or if SMT is for any reason not able to reduce its accounts receivable from ASML by the total amount of the Total Credit or Further Credit that arose in that Current SMT FY as set forth in this paragraph 9, such shortfall shall be paid by SMT to ASML within fifteen (15) days of such determination.

IV.3.10 Reversal Of Impairment Loss; Derecognition of Certain Liabilities [***]

IV.3.11 Termination Of Agreement

- (i) Unless otherwise stated therein, the provisions of paragraphs 7(iii), 8, 9, and 10 of this Section shall survive termination of this Agreement.

Cash Support

IV.3.12 At the request of SMT, ASML shall, before the end of any financial year of SMT, provide cash support to SMT for such amount as may be necessary for SMT to maintain an Adjusted FCF from the Lithography Business over that year of at least [***]

IV.4 M&A [***]

IV.5 Divestments

IV.5.1 Any gains or losses under the Applicable Accounting Standards related to divestments of assets in scope of the Lithography Business [***].

IV.5.2 Any gains or losses relating to divestments of assets of (parts of) Acquisitions that have not been implemented in the Lithography Business [***].

IV.6 Cost Allocation and Deviation Limits [*]**

IV.7 Transparency & Validation

Transparency

The Parties warrant that the following documentation provided by each Party as attached to this Agreement as **APPENDIX IX** is accurate and represents the initial situation as of the original signing of this Agreement:[***]

IV.7.1 The following reports shall be provided yearly by each Party to the other Party [***]

ASML's Disclosures And Commitments Relating To ASML Customer Agreements

IV.7.2 Definitions: [***]

IV.7.3 Disclosures: [***]

Agreed Upon Procedures

IV.7.4 The Parties agree that they have annual agreed upon procedures conducted by their own external auditors ("**Agreed Upon Procedures**") [***], with the following scope, and to be concluded by 31 March [***]:

IV.7.5 The report of the Agreed Upon Procedures shall be provided by the audited Party to the other Party immediately after preparation of the audit report by the external auditor, however by end of February of each year the latest. [***].

IV.7.6 With respect to the Agreed Upon Procedures, each Party proposes the process to be carried out by its auditor and agrees them with the other Party prior to engaging its auditor. Parties will agree on a reasonable materiality threshold for the Agreed Upon Procedures. Each Party shall have the right to request changes to the process proposed by the other Party and to suggest reasonable additional procedures. The approval of such additional procedures shall not be unreasonably withheld by the other Party.

Escalation

IV.7.7 In case of significant concerns with respect to the items covered in the Agreed Upon Procedures as described in paragraph 4 of this Section, resulting from the Agreed Upon Procedures or otherwise, each Party shall be entitled to request, not more than once a year, an auditor, to be selected at its discretion, to perform additional agreed upon procedures thereon ("**Special Audit**"). The latter

Party shall bear the cost of the Special Audit, unless a material non-compliance is identified[***]. In such case the audited Party shall bear the cost of the Special Audit.

Compliance

IV.7.8 The Parties shall agree on appropriate protocols to exchange the financial information necessary to execute the arrangements as set forth in Chapter IV. Commercial, including the information referred to in this Section, in a compliant manner.

IV.8 Historical Balances

IV.8.1 Instead of the repayment mechanism for any RBA HiNA Investment Down-payment and any HiNA Investment Down-payment paid to SMT up to and including 30 September 2020 pursuant to the High NA Development Agreement of 2 November 2016 (which has been terminated pursuant to this Agreement (the “**Historical Repayment Mechanism**”), these payments shall be repaid to ASML through[***]

IV.8.2 For the avoidance of doubt, upon termination of this Agreement, the Historical Repayment Mechanism shall remain terminated and ASML shall, subject to the terms and conditions set forth in this Agreement, be entitled to impair any of the underlying assets as part of the mechanism regarding the final settlement as described in Section VII.2, paragraph 15.

IV.8.3 The payments made by ASML under the High NA Development Agreement after 30 September 2020 will be considered as prepayments [***]

IV.8.4 For avoidance of doubt, the RBA HiNA R&D NRE Payment and HiNA R&D NRE Payment as defined in the High NA Development Agreement of 2 November 2016 from ASML before 30 September 2020 will not be repaid and are considered expensed as agreed in the High NA Development Agreement.

IV.8.5 All other amounts prepaid by ASML to SMT, such as payments under ERBA 1 and ERBA 2, are unaffected by this agreement and have been further addressed in a ‘Support Letter’.

IV.8.6 Any existing agreements regarding warranty obligations of SMT for SMT Products shall continue to apply and may only be amended subject to mutual agreement by the Parties.

IV.9 Payment Terms

IV.9.1 The existing payment terms between the Parties shall continue to apply. Deviations to the payment terms described below can be discussed between the Parties in good faith.

IV.9.2 ASML shall not need to pay any invoices due during[***]. However, immediately following such period, ASML shall settle all accounts payable with SMT.

IV.9.3 During [***] SMT shall be entitled, at its discretion, (i) to request immediate payment of any invoiced accounts receivable, even if they are not due, or (ii) postpone receipt of any payments from ASML. However, immediately following such period, ASML shall settle all accounts payable with SMT. The general payment term will be [***]

IV.10 Accounting

IV.10.1 The Parties agree that the following accounting standards apply: for ASML US GAAP, for SMT IFRS (the “**Applicable Accounting Standards**”).

IV.10.2 In the event of a change in the Applicable Accounting Standards with respect to a Party, and such change has an expected impact of [***] of such Party, it shall immediately inform the other Party of such change and the expected impact.

IV.10.3 If a Party intends to change the manner in which it applies the Applicable Accounting Standards, and such application has an impact of [***] of such Party, the consent of the other Party is required for such change.[***]

IV.11 Tax

IV.11.1 For the avoidance of doubt, other than the SMT Products, the Parties shall not transfer any assets pursuant to this Agreement, including any intangible assets such as IP (except for transactions according to Section V.3) or Goodwill.

IV.11.2 In compliance with all applicable tax and transfer pricing laws and regulations, the Parties shall support each other on the VAT and transfer pricing related documentation and substantiation related to the commercial arrangements under this Agreement. In case the Parties cannot reach agreement on such support, the Parties shall refer such matter to the Lithography Steering Committee, which shall finally discuss and agree on such matter.

IV.11.3 The Parties agree that any taxes, including penalties and interest costs, shall[***].

IV.11.4 Neither Party shall be liable for the other Party's or its Affiliates' taxes, including corporate income tax assessed as a result of or in connection with this Agreement or the transactions contemplated by this Agreement.

IV.12 Exceptional Events

IV.12.1 In case of any ‘force majeure’ event impacting a Party's and/or its Affiliates' assets relating to the Lithography Business representing [***] (act of God such as fire, strike or other labor disturbance, flood, epidemic, earthquake, volcanic activity, quarantine restriction, war, riot or act of terrorism) (“**Force Majeure Threshold**”), the direct financial impact/effect of such event (including the direct loss, damages, fines and any connected legal fees/costs) exceeding the Force Majeure Threshold shall be born [***]

IV.12.2 In case of any legal issues (including any government investigations, proceedings, administrative or civil litigation), the direct financial impact/effect resulting from such issues (including the direct loss, damages, fines and any connected legal fees/costs) shall be born [***]

IV.12.3 The Parties shall support each other using commercially reasonable efforts to mitigate and recover from the consequences of the 'force majeure' events referred to in paragraph 1 above, including through funding in accordance with Section IV.3.

IV.12.4 The Parties shall mutually agree, on a case by case basis, on the parameters for sharing the impact of Included Exceptional Events.

V. Competences, IP & Exclusivity

V.1 Definitions

V.1.1 **“Core Competencies of SMT”** are:

- (i) Know how, processes and devices for designing, manufacturing, assembling, adjusting, measuring, qualifying (not in resist) and, for Collector, cleaning of the below-mentioned Core Components of SMT.

V.1.2 **“Core Components of SMT”** are:

- (i) Illumination systems for optical lithography systems, [***];
- (ii) Projection systems for optical lithography systems, [***];
- (iii) Collector for optical lithography systems, [***].

V.1.3 **“Core Competencies”** of ASML are:

- (i) Know how, processes and devices for designing, manufacturing, assembling, adjusting, measuring and qualifying of the below-mentioned Core Components of ASML.

V.1.4 **“Core Components”** of ASML are:

- (i) Optical lithography systems, [***];
 - excluding reticles and wafers,
 - including EUV light sources,excluding the Core Components of SMT and the Common Components defined below.

V.1.5 **“Common Components”** are:

- (i) [***].

V.1.6 **“SMT Exclusive Field”** shall mean the SMT Core Components.

V.1.7 **“ASML Exclusive Field”** shall mean ASML Core Components.

V.1.8 **“Combined Exclusive Field”** shall mean the ASML Exclusive Field and the SMT Exclusive Field.

V.2 Exclusivity

V.2.1 No Party shall manufacture or have manufactured the other Party's Core Components.

V.2.2 No Party shall sell or have sold, deliver or have delivered the other Party's Core Components to third parties, except that ASML may sell SMT's Core Components supplied by SMT as part of complete lithography systems.

***]

V.3 Intellectual Property; Ownership & Licenses

V.3.1 Definitions:

- (i) **"IP"** shall mean Information and Patents.
- (ii) **"Information"** shall mean all information owned and/or controlled by a Party and/or its Affiliates, including but not limited to Inventions, know-how, trade secrets, technology, applied research engineering data and information, drawings, designs and systems, computer software, report, documents, papers, files and data in any form related thereto.
- (iii) **"Patents"** shall mean all patents, utility models, patent applications, utility model applications (including divisionals, continuations, continuations-in-part, reissues, renewals, amendments, re-examinations or extensions thereof), invention certificates and registered designs in any jurisdiction in the world owned and/or controlled by a Party and/or its Affiliates.
- (iv) **"Inventions"** shall mean concepts eligible for protection by Patents.

V.3.2 Except as set forth in paragraphs 8 and 9 below, IP (Information and Patents) shall be owned by the Party or the Parties whose employee(s) and/or contractor(s) originated such IP.

***]

V.4 IP Disputes

V.4.1 The Parties acknowledge that resolving IP litigation with third parties relating to the Lithography Business (**"Lithography Business IP Disputes"**) requires transparency and open communication between the Parties.

V.4.2 In this connection, each Party shall notify the other Party of any such actual Lithography Business IP Disputes.

V.4.3 The Lithography Steering Committee shall decide the allocation of case management of Lithography Business IP Disputes based on the relevance of each Party's respective Core Components for such Lithography Business IP Disputes. Each Party shall make available their respective Patents as reasonably required for resolving the Lithography Business IP Disputes. In case the Core Components and the Patents of a Party are not relevant to the Lithography Business IP Disputes, such Party will not participate in the case management, but shall be entitled to regular briefings on the progress of such Lithography Business IP Disputes.

V.4.4 Each Party shall diligently monitor and exchange views (subject to an appropriate common interest agreement where required) with the other Party on any third party Patents related to its part of the Lithography Business.

VI. Marketing, Quality, Sustainability

VI.1 Marketing

- VI.1.1 ASML shall expressly mention SMT (i.e. the ZEISS brand) in its marketing activities and promote that SMT optical systems are part of ASML's lithography systems.
- VI.1.2 SMT shall expressly mention ASML in its marketing activities and promote that SMT optical systems are part of ASML's lithography systems.
- VI.1.3 ASML shall affix to all its lithography systems containing an optical system from SMT, the then current ZEISS logo which shall be provided by SMT in a manner that is clearly visible to the end customer.
- VI.1.4 ASML and SMT may jointly present the above-mentioned products to the ASML end customers at end customers sites.

VI.2 Quality

- VI.2.1 The "*Quality First Way of Working*" document applies, reflecting the quality mindset and aspiration of ASML and SMT.
- VI.2.2 ASML and SMT shall align on quality targets and roadmap to meet those targets at least once per year. ASML and SMT shall also review at least once per year the resulting quality performance at the end customer and align on revised quality targets and roadmap.
- VI.2.3 With respect to quality, the Parties shall discuss and timely align upon:
- Validation of designs;
 - Product verifications;
 - Verification methods and equipment;
 - Optical system test methods and test procedures (at SMT and ASML);
 - How rules and regulations for solving quality problems shall be applied;
 - Quality records; and
 - Feedback methods

which shall be executed in line with each Party's R&Rs as described in Section II.2.

VI.3 Sustainability

- VI.3.1 The Parties recognize the increasing importance of corporate sustainability and agree to work towards improving sustainability. The Parties recognize the opportunity to work together to realize ambitious sustainability targets. To this end, the Parties shall exchange sustainability requirements which shall be reviewed, discussed, and result into sustainability targets mutually agreed by the Lithography Steering Committee.
-

VII. Miscellaneous

VII.1 Effectiveness

VII.1.1 The Parties agree that the Agreement shall supersede any and all agreements between the Parties prior to the Original Effective Date covering the same subject matter or contradicting the terms of the Agreement and that the Agreement shall terminate the following agreements:

- The agreement signed on November 25, 1997 (the "1997 Agreement")
- The agreement signed on March 17, 2000 (the "2000 EUV Agreement")
- The agreement signed on October 24, 2003 (the "2003 Agreement")
[***]
- The agreement titled 'High NA Development Agreement' of November 2, 2016 ("High NA Development Agreement")
[***]

VII.2 Term and Termination

Term

VII.2.1 The Agreement shall have an indefinite term.

Parachute

VII.2.2 A first six (6) month "**Termination Period**" shall start two (2) years after the Restated ASBA Effective Date. If the Agreement is not terminated during a Termination Period, then a new six (6) month Termination Period shall start two (2) years after the end of each prior Termination Period. During each Termination Period, either Party may terminate the Agreement for any reason by submitting a written termination notice to the other Party. After the submission of a termination notice and through the remainder of the Termination Period, the Parties shall use commercially reasonable efforts to address the issue(s) that led the terminating Party to submit the termination notice. If in the sole determination of the terminating Party those efforts are insufficient to warrant withdrawal of the termination notice, termination will be effective at the end of the month following one (1) year after the submission of said termination notice, unless the Parties agree on a different effective termination date.

VII.2.3 Nothing in Section VII.2, paragraph 2 shall limit a Party's right to terminate the Agreement if continuation of the Agreement would have an unforeseen materially adverse impact (*aus wichtigem Grund*) on the terminating Party.

VII.2.4 The Parties agree that the principle of continuing the business relationship between the Parties applies during the entire termination process as described in this Section.

Replacement Agreement Negotiation

VII.2.5 Upon receipt of the termination notice as referred to in paragraph 2, the Parties agree to immediately engage in good faith negotiations, led by the Lithography Steering Committee, on an agreement replacing this Agreement (the "**Replacement Agreement**").

VII.2.6 The Parties shall use best efforts to agree on the Replacement Agreement within six (6) months from the date of submission of the termination notice, unless the Parties agree on an earlier period ("**First Negotiation Period**").

VII.2.7 The Replacement Agreement shall be based on the "*Two Companies – One Business*" concept and shall respect the exclusivity terms of Section V.2.

VII.2.8 The Parties agree to use the 1997 Agreement, the 2000 EUV Agreement, the 2003 Agreement and the 2013 Agreements, as important reference points in negotiating the Replacement Agreement.

VII.2.9 If the Parties fail to agree on a Replacement Agreement, immediately after the First Negotiation Period they shall request the Chairmen of the Supervisory Boards of ASML Holding N.V. and Carl Zeiss AG each to appoint an individual with an explicit mandate from ASML and SMT respectively to define a Replacement Agreement for the Parties' future cooperation, including a replacement commercial arrangement ("**Mandated Representatives**").

VII.2.10 The Mandated Representatives shall be appointed within 2 weeks and shall use best efforts to define a Replacement Agreement before the effective termination date of the Agreement (the "**Second Negotiation Period**").

VII.2.11 Each Party shall submit to both Mandated Representatives (1) the reasons underlying the termination of this Agreement, (2) the principles and terms and conditions for a Replacement Agreement that they agree on, (3) the principles and terms and conditions for a Replacement Agreement that they were not able to agree on, (4) a proposal for a Replacement Agreement that aims to resolve the disagreements between the Parties.

VII.2.12 The Mandated Representatives shall use the 1997 Agreement, the 2000 Agreement, the 2003 Agreement and the 2013 Agreements as reference points in their discussions.

Termination for cause

VII.2.13 A Party may terminate this Agreement with immediate effect in case of:

- (i) an Insolvency Event with respect to the other Party; or
- (ii) a Material Breach of Obligations by the other Party; or
- (iii) a Change of Control of the other Party; or
- (iv) at least two Special Audits within a timeframe of three (3) years confirming substantially similar instances of non-compliance by the other Party that have a material impact on the Adjusted EBIT of either Party.

Termination for 'regulatory force majeure'

VII.2.14 If there is a significant risk that any of the following events will occur, the Parties will in good faith negotiate on an appropriate solution to prevent said event from materializing.

[***]

In case no such solution is found, the Agreement may be terminated by SMT in case of (i), (iii) and (iv), by ASML in case of (iv) and by either Party in case of (ii), effective immediately prior to the moment that the event would otherwise have materialized.

Effects of Termination

[***]

VII.2.22 After the effective date of termination, the Parties shall in any event continue to:

- (i) apply the “*Two Companies – One Business*” concept;
- (ii) adhere to the principle of continuing the business relationship between the Parties, by continuing to do business with each other in order to meet end customer demand (i.e. SMT to continue to supply existing SMT Products to ASML, and ASML to continue to procure such products from SMT subject to fair commercial conditions to be agreed on between the Parties); and
- (iii) be bound by the provisions regarding Exclusivity according to Section V.2 of this Agreement.

VII.3 Applicable Law

VII.3.1 This Agreement shall be governed by and construed in accordance with the laws of the Federal Republic of Germany under exclusion of the international conflict of law's provisions thereof. The United Nations Convention on the International Sale of Goods of 11 April 1980 shall not be applicable.

VII.4 Dispute Resolution

Management Escalation

VII.4.1 Other than a Scope Dispute, which shall be addressed in accordance with paragraphs 6-16 of this Section VII.4, the Parties agree to use best efforts to amicably settle any dispute, controversy or claim arising out of or in connection with this Agreement (“**Dispute**”), by first escalating such Dispute to the management boards of both Parties.

VII.4.2 For the avoidance of doubt, the fact that Parties disagree on matters where the Agreement requires mutual agreement, shall not be considered a Dispute in itself.

Mediation

VII.4.3 Any Dispute, that is not settled amicably through the management escalation as described above shall be settled by mediation under the Netherlands Arbitration Institute (NAI) Rules of Mediation.

Arbitration

VII.4.4 Any Dispute, that is not settled through mediation as describes above shall be finally settled by arbitration under the Netherlands Arbitration Institute (NAI) Rules of Arbitration, with the possibility of instituting arbitral appeal under said rules.

Dispute Process

VII.4.5 The Parties agree that:

- (i) the place of mediation/arbitration shall be Amsterdam, the Netherlands;
- (ii) the language to be used in the mediation/arbitration proceedings shall be English;
- (iii) the material laws to be applied by the mediator/arbitrators shall be those of the Republic of Germany with the exclusion of the United Nations Convention on Contracts for the International Sale of Goods (CISG) of 11 April 1980;
- (iv) with respect to mediation, the Parties shall jointly appoint one mediator who may not be a citizen of a state where any of the Parties has its principal place of business;
- (v) with respect to arbitration, the number of arbitrators shall be three and the chairman thereof may not be a citizen of a state where any of the Parties has its principal place of business. Any arbitrators selected based on the above mentioned procedure shall remain competent if further arbitration proceedings are started within two years of the settlement of the Dispute.

Scope Disputes

VII.4.6 Definitions [***]

VII.4.7 Confidentiality [***]

VII.4.8 Evidentiary Standards And Burden Of Proof: [***]

VII.4.9 Product Scope Review Committee: [***]

VII.4.10 Product Scope Assessment Experts: [***]

VII.4.11 Product Scope Review Process: [***]

VII.4.12 Lithography Steering Committee: [***]

VII.4.13 Escalation Process: [***]

VII.4.14 Precedential and Binding Nature Of Decisions: [***]

VII.4.15 Cost Scope Dispute Resolution: [***]

VII.4.16 Financial Impact Reclassification

- (i) In the event a Scope Dispute results in the reclassification of an Item either from an Excluded Item to an Included Item, or from an Included Item to an Excluded Item (in either case, the Party that had originally classified such Item as either an Excluded Item or an

Included Item being the **'Reclassifying Party'**), the financial consequences of such reclassification shall be limited as follows: [***]

VII.5 Confidentiality

VII.5.1 Both Parties agree that the following terms shall be applicable to all meetings and communications between employees and/or representatives of ASML and SMT as well as of their Affiliates in connection with the business relationship between ASML and SMT, specifically in the field of the Lithography Business and in any other field of business activities between ASML and SMT, hereinafter called the **"Authorized Purpose"**.

VII.5.2 The term **"Affiliate"** shall mean any corporation, company or other entity which: (i) is Controlled by a Party; (ii) Controls a Party; or (iii) is under common Control with a Party. **"Control"** is assumed when more than fifty percent (50%) of the controlled entity's shares or ownership interest representing the right to make decisions for such entity are owned or controlled, directly or indirectly, by the controlling entity. An entity is considered to be an Affiliate so long as such ownership or control exists. Notwithstanding the foregoing sentences of this paragraph 2, Carl Zeiss AG and ASML Holding N.V. respectively shall be deemed to be the ultimate parent companies having Control over SMT and ASML respectively.

VII.5.3 Any Party as well as its Affiliates (for the purpose of this Section hereinafter called **Disclosing Party**) may disclose certain information to the other Party as well as its Affiliates (for the purpose of this Section hereinafter called **Receiving Party**) with respect to the Authorized Purpose in writing, orally and/or otherwise. Such information may be, without limitations, in the form of business and/or financial records, presentations, specifications, samples, photographs, drawings or other documents and such information shall in particular include (by way of example) the following information concerning the Disclosing Party's Core Components:

- technical features, such as optical features
- characteristics and specifications
- processes and technologies
- test results.

All information so disclosed is hereinafter referred to as **'Confidential Information'**.

VII.5.4 All Confidential Information, which shall include any derivative therefrom, or translation, abridgement, adaptation or other change thereof by ASML or SMT, shall be the property of the Disclosing Party.

VII.5.5 The Disclosing Party shall provide all Confidential Information on an „as is" basis, without any warranty whatsoever, whether express, implied or otherwise, regarding its accuracy, completeness or otherwise, and Disclosing Party shall not be liable for any direct, special, incidental, consequential or other damages.

VII.5.6 The Receiving Party shall return all Confidential Information and any copies thereof to the Disclosing Party immediately upon the Disclosing Party's first written request.

VII.5.7 The Parties agree that, unless the Disclosing Party gives its prior written authorization, the Receiving Party shall, after disclosure of any Confidential Information hereunder:

- (i) Not use the Confidential Information for any other purpose than for the Authorized Purpose.
- (ii) Protect the Disclosing Party's Confidential Information against disclosure in the same manner and with the same degree of care, with which it protects confidential information of its own, but not less than a reasonable degree of care;
- (iii) Limit circulation of the Confidential Information disclosed by the Disclosing Party to such employees of the Receiving Party that have a need to know in connection with the Authorized Purpose and only if such employees are bound by written non-disclosure agreements whose terms are no less stringent than the ones in this Agreement. In case of doubt the Receiving Party agrees to request the Disclosing Party for the Disclosing Party's opinion.

VII.5.8 The Parties acknowledge that the Disclosing Party may be irreparably harmed if the Receiving Party actually violates or threatens to violate its confidentiality obligations under this Agreement. Therefore, in the event of such actual or threatened violation the Disclosing Party shall be entitled to an injunction or any other appropriate steps regarding any actual or threatened violation by the Receiving Party or its employees.

VII.5.9 The Parties agree that information disclosed by the Disclosing Party to the Receiving Party pursuant to this Agreement which would otherwise be Confidential Information shall not be deemed Confidential Information to the extent that the Receiving Party can prove by written records that said information:

- (i) Is part of the public domain at the time of receipt or thereafter without violation of this Agreement;
- (ii) Is known and on record at the Receiving Party prior to disclosure by the Disclosing Party;
- (iii) Is lawfully obtained by the Receiving Party from a third party who is not bound by similar confidentiality obligations to the Disclosing Party;
- (iv) Is developed by the Receiving Party completely independently of any such disclosure by the Disclosing Party;
- (v) Is ascertainable from a commercially available product; or
- (vi) Is disclosed pursuant to administrative or judicial action, provided that the Receiving Party shall use its best efforts to maintain the confidentiality of the Confidential Information e.g. by asserting in such action any applicable privileges, and shall, immediately after getting knowledge or receiving notice of such action, notify the Disclosing Party thereof and give the Disclosing Party the opportunity to seek any legal remedies so as to maintain such Confidential Information in confidence.

If only a portion of the Confidential Information falls under any of the above subsections, then only that portion of the Confidential Information shall be excluded from the use and disclosure restrictions of this Agreement.

VII.5.10 Nothing contained in this Section shall be construed as a grant by implication, estoppel or otherwise, of a license of any kind by the Disclosing Party to the Receiving Party e.g. to make, have made, use or sell any product using Confidential Information or as a license under any patent, patent application, utility model, copyright, maskwork right, or any other intellectual property right.

VII.5.11 SMT and its Affiliates shall comply with all applicable securities laws and shall (a) refrain from trading in securities of ASML or its Affiliates on the basis of Confidential Information disclosed by ASML in a way that is inconsistent with securities law and (b) not incite others to effect transactions on the basis of such Confidential Information.

VII.5.12 No Party shall (and shall ensure that none of its Affiliates and its and their respective agents, representatives or attorneys shall) originate any publicity, news release, or other public announcement, written or oral, relating to this Agreement without the prior approval of the other Party except as otherwise required by law. Such approval shall not be unreasonably withheld. For the avoidance of doubt, the Parties may disclose the terms of this Agreement to governmental authorities as required by any applicable law or the applicable rules or regulations of any securities exchange on which any of such Party's securities are listed (in either case, as determined by such Party upon advice of counsel), provided that prior to any such required disclosure, the disclosing Party gives the non-disclosing Party reasonable advance notice of such disclosure, minimizes the scope of such disclosure (including by making redactions to documents provided as part of such disclosure and by cooperating with the non-disclosing Party to obtain protective orders) to the extent permitted under applicable law, and otherwise coordinates with the non-disclosing Party with respect to the scope of such disclosure.

VII.5.13 Paragraphs 2-12 of this Section shall survive termination of this Agreement.

VII.6 Change of Control

VII.6.1 **"Change of Control"** shall mean in respect of a Party if (i) that Party sells, leases or exchanges a material portion of its assets, (ii) that Party merges or consolidates with or into another Person, or (iii) a change in Control of that Party occurs. As used herein, **"Person"** shall mean any individual, partnership, corporation, trust, limited liability entity, unincorporated organization, association, governmental authority or any other entity.

VII.7 Insolvency Event

VII.7.1 **"Insolvency Event"** shall mean in respect of a Party if that Party:

- (i) is dissolved (other than as a result of a consolidation, amalgamation or merger);
 - (ii) admits in writing its inability generally to pay its debts as they become due;
 - (iii) makes a general assignment, arrangement or composition with or for the benefit of its creditors;
 - (iv) institutes or has instituted against it, by a regulator, supervisor or any similar official with primary insolvency, rehabilitative or regulatory jurisdiction over it in the jurisdiction of its
-

incorporation or organization or the jurisdiction of its head or home office, a proceeding seeking a judgment of insolvency or bankruptcy or any other relief under any bankruptcy or insolvency law or other similar law affecting creditors' rights, in each case other than by way of an Undisclosed Administration, or a petition is presented for its winding-up or liquidation by it or such regulator, supervisor or similar official;

- (v) has instituted against it a proceeding seeking a judgment of insolvency or bankruptcy or any other relief under any bankruptcy or insolvency law or other similar law affecting creditors' rights, or a petition is presented for its winding-up or liquidation, and, in the case of any such proceeding or petition instituted or presented against it, such proceeding or petition is instituted or presented by a person or entity not described in paragraph (iv) above and
 - a. results in a judgment of insolvency or bankruptcy or the entry of an order for relief or the making of an order for its winding-up or liquidation; or
 - b. is not dismissed, discharged, stayed or restrained in each case within 30 days of the institution or presentation thereof;
- (vi) has a resolution passed for its winding-up, official management or liquidation (other than pursuant to a consolidation, amalgamation or merger);
- (vii) seeks or becomes subject to the appointment of an administrator, provisional liquidator, conservator, receiver, trustee in bankruptcy, custodian or other similar official for it or for all or substantially all its assets, in each case other than by way of an Undisclosed Administration;
- (viii) has a secured party take possession of all or substantially all its assets or has a distress, execution, attachment, sequestration or other legal process levied, enforced or sued on or against all or substantially all its assets and such secured party maintains possession, or any such process is not dismissed, discharged, stayed or restrained, in each case within 30 days thereafter;
- (ix) causes or is subject to any event with respect to it which, under the applicable laws of any jurisdiction, has an analogous effect to any of the events specified in paragraphs (i) to (viii) above; or
- (x) takes any action in furtherance of, or indicating its consent to, approval of, or acquiescence in, any of the foregoing acts.

VII.7.2 “**Undisclosed Administration**” shall mean, in relation to a Party, the appointment of an administrator, provisional liquidator, conservator, receiver, trustee, custodian or other similar official by a supervisory authority or regulator under or based on the law in the country where that Party is subject to home jurisdiction supervision if applicable law requires that such appointment is not to be publicly disclosed.

VII.8 Material Breach

VII.8.1 “**Material Breach of Obligations**” shall mean if a Party is in breach of any of its obligations under either this Agreement or any Loan Agreements, to an extent or in a manner which has a Material Adverse Effect.

VII.8.2 **“Material Adverse Effect”** shall mean, in relation to the other Party, a material adverse effect on

- (i) the business, operations, property, condition (financial or otherwise) or prospects of such Party;
- (ii) the ability of such Party to perform its obligations under this Agreement; or
- (iii) the validity or enforceability of this Agreement or the rights or remedies of the Parties thereunder.

VII.9 Assignment

VII.9.1 Neither Party may assign their rights or delegate or subcontract their duties under this Agreement to any third parties without the prior written consent of the other Party, such consent not to be unreasonably withheld.

VII.10 Other

VII.10.1 The invalidity or unenforceability of one or more provisions of this Agreement shall not lead to its invalidity overall. The Parties shall endeavor to replace invalid or unenforceable provisions by such valid and enforceable provisions that approximate as closely as permissible the commercial intent of the invalid or unenforceable provisions.

VII.10.2 This Agreement and any amendments, supplements or the termination of this Agreement (including this written form clause) shall be valid only if made in writing. Stricter statutory form requirements shall remain unaffected. An amendment or supplement shall not become effective until signed by authorized representatives of both Parties.

VII.10.3 All written notices under this Agreement shall be deemed to have been duly given when delivered personally or sent by registered or certified mail (return receipt requested), to the following addresses:

For ASML: ASML Netherlands B.V., De Run 6501, 5504 DR, the Netherlands, to the attention of [***]

For SMT: Carl Zeiss SMT GmbH, Rudolf-Eber-Strasse 2, 73447 Oberkochen, Germany, to the attention of [***]

Any Party may change its address for the purpose of this clause by giving written notice to the other Party in accordance with this provision. Written notices shall be deemed to have been received on the date of delivery if delivered personally, or on the date of receipt if sent by registered or certified mail.

VII.10.4 In the event of any inconsistencies or conflicts between this Agreement and any other agreements, terms and conditions, processes, and/or ways of working relating to the Lithography Business, the terms of this Agreement shall prevail.

IN WITNESS WHEREOF, the Parties have caused this Restated ASBA to be executed and delivered by their respective duly authorized representatives as of the Restated ASBA Effective Date.

ASML Netherlands B.V.

Carl Zeiss SMT GmbH

By: [***]

By: [***]

Name: [***]

Name: [***]

Title: [***]

Title: [***]

Date: [***]

Date: [***]

By: [***]

By: [***]

Name: [***]

Name: [***]

Title: [***]

Title: [***]

Date: [***]

Date: [***]

By: [***]

By: [***]

Name: [***]

Name: [***]

Title: [***]

Title: [***]

Date: [***]

Date: [***]

APPENDIX I – ASML LITHOGRAPHY BUSINESS PLAN

[***]

APPENDIX II – FINANCIAL INFORMATION PRODUCT LIST

[***]

APPENDIX IIIA – SMT’S MASTER PRODUCT LIST

[***]

APPENDIX IIIB – ASML’S MASTER PRODUCT LIST

[***]

APPENDIX IV – PRICING MODEL EXAMPLE*

[***]

APPENDIX V – FINANCIAL PLANNING PROCESS

[***]

APPENDIX VI

[***]

APPENDIX VII

[***]

APPENDIX VIII – LIST OF INTERNAL COMPONENTS AND INTERNAL SERVICES

[***]

APPENDIX IX – TRANSPARENCY DOCUMENTATION

[***]

APPENDIX X –DEPRECIATION SCHEDULE

[***]

APPENDIX XI

[***]

APPENDIX XII – CAPITAL UTILIZATION VARIANCE

[***]

APPENDIX XIII – SMT SUPPLY CHAIN REPORTING TEMPLATES

[***]

APPENDIX XIV – ASML DISCLOSURES REGARDING EXCLUDED ITEM TRANSACTIONS

[***]

Exhibit 8.1

List of main subsidiaries

Legal Entity	Jurisdiction of Incorporation
Subsidiaries of ASML Holding N.V.¹:	
ASML Belgium B.V.	Belgium (Antwerp)
Hermes Microvision Co., Ltd. (Beijing)	China (Beijing)
ASML (Shanghai) Electrical Equipment Co. Ltd.	China (Shanghai)
ASML (Beijing) Equipment Repair Company Limited	China (Beijing)
ASML (Shanghai) Lithography Facilities Science and Technology Co. Ltd.	China (Shanghai)
Cymer Semiconductor Equipment (Shanghai) Co. Ltd.	China (Shanghai)
Brion Technologies (Shenzhen) Co. Ltd.	China (Shenzhen)
ASML France S.a.r.l.	France (Crolles)
ASML Verwaltungs GmbH i.l.	Germany (Berlin)
ASML Berlin GmbH (formerly Berliner Glas GmbH)	Germany (Berlin)
ASML Germany GmbH	Germany (Dresden)
ASML Participations Germany GmbH	Germany (Dresden)
ASML Hong Kong Ltd. (in Members' Voluntary Liquidation)	Hong Kong SAR
ASML Ireland Ltd.	Ireland (Dublin)
ASML Israel (2001) Ltd.	Israel (Kiryat Gat)
ASML Italy S.r.l.	Italy (Avezzano)
ASML Japan Co. Ltd.	Japan (Tokyo)
Cymer Japan, Inc.	Japan (Tokyo)
ASML Equipment Malaysia Sdn. Bhd.	Malaysia (Georgetown, Pulau Pinang)
Cymer B.V.	Netherlands (Veldhoven)
ASML Netherlands B.V.	Netherlands (Veldhoven)
ASML Trading B.V.	Netherlands (Veldhoven)
Hermes Microvision Incorporated B.V.	Netherlands (Veldhoven)
ASML Singapore Pte. Ltd.	Singapore
Cymer Singapore Pte Ltd.	Singapore
ASML Korea Co. Ltd.	South Korea (Gyeonggi-Do)
ASML Repair Center Korea Ltd.	South Korea (Gyeonggi-Do)
Cymer Korea Inc.	South Korea (Gyeonggi-Do)
ASML Taiwan Ltd.	Taiwan (Hsinchu City)
ASML Technology Taiwan Ltd.	Taiwan (Hsinchu City)
Cymer Southeast Asia Ltd.	Taiwan (Hsinchu City)
ASML (UK) Ltd.	UK (Edinburgh (Scotland))
Cymer, LLC	US (Carson City, Nevada)
EO Technical Solutions LLC	US (Vancouver, Washington)
ASML US, LLC	US (Wilmington, Delaware)
ASML US, LP	US (Wilmington, Delaware)
Associates of ASML Holding N.V.²:	
Carl Zeiss SMT Holding GmbH & Co. KG (24.9%)	Germany (Oberkochen)
HighTechXL Group B.V. (31.97%)	Netherlands (Eindhoven)

1. All of our subsidiaries are (directly or indirectly) wholly-owned.

2. The interests in these associates are held through our wholly-owned subsidiaries. For these associates, the principal place of business is the same as the jurisdiction of incorporation.

Exhibit 12.1

Certification of the Chief Executive Officer

I, Christophe D. Fouquet, certify that:

1. I have reviewed this Annual Report on Form 20-F of ASML Holding N.V.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the Financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the company as of, and for, the periods presented in this report
4. The company's other certifying officer(s) and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the company and have:
 - a. Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the company, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - b. Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Financial statements for external purposes in accordance with generally accepted accounting principles;
 - c. Evaluated the effectiveness of the company's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - d. Disclosed in this report any change in the company's internal control over financial reporting that occurred during the period covered by the Annual Report on Form 20-F that has materially affected, or is reasonably likely to materially affect, the company's internal control over financial reporting; and
5. The company's other certifying officer(s) and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the company's auditors and the audit committee of the company's board of directors (or persons performing the equivalent functions):
 - a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the company's ability to record, process, summarize and report financial information; and
 - b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the company's internal control over financial reporting.

Date: February 25, 2026

/s/ Christophe D. Fouquet

Name: Christophe D. Fouquet

Title: President, CEO and Chair of the Board of Management

Certification of the Chief Financial Officer

I, Roger J.M. Dassen, certify that:

1. I have reviewed this Annual Report on Form 20-F of ASML Holding N.V.;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the Financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the company as of, and for, the periods presented in this report;
4. The company's other certifying officer(s) and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the company and have:
 - a. Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the company, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - b. Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Financial statements for external purposes in accordance with generally accepted accounting principles;
 - c. Evaluated the effectiveness of the company's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - d. Disclosed in this report any change in the company's internal control over financial reporting that occurred during the period covered by the Annual Report on Form 20-F that has materially affected, or is reasonably likely to materially affect, the company's internal control over financial reporting; and
5. The company's other certifying officer(s) and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the company's auditors and the audit committee of the company's board of directors (or persons performing the equivalent functions):
 - a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the company's ability to record, process, summarize and report financial information; and
 - b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the company's internal control over financial reporting.

Date: February 25, 2026

/s/ Roger J.M. Dassen

Name: Roger J.M. Dassen

Title: Executive Vice President, CFO and member of the Board of Management

Exhibit 13.1

Certification of CEO and CFO Pursuant to 18 U.S.C. Section 1350, as Adopted Pursuant to Section 906 of the Sarbanes-Oxley Act of 2002

In connection with the Annual Report on Form 20-F of ASML Holding N.V. for the fiscal year ended December 31, 2025 as filed with the SEC on the date hereof, Christophe D. Fouquet, as CEO of the Company, and Roger J.M. Dassen, as CFO of the Company, each hereby certifies, pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, that, to the best of his knowledge:

1. The Report fully complies with the requirements of Section 13(a) or 15(d) of the Exchange Act; and
2. The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the issuer.

/s/ Christophe D. Fouquet
Name: Christophe D. Fouquet
Title: President, CEO and Chair of the Board of Management
Date: February 25, 2026

/s/ Roger J.M. Dassen
Name: Roger J.M. Dassen
Title: Executive Vice President, CFO and member of the Board of Management
Date: February 25, 2026

A signed original of this written statement required by Section 906 of the Sarbanes-Oxley Act of 2002 has been provided to the Company and will be retained by the Company and furnished to the SEC or its staff upon request.

This certification accompanies the Report pursuant to section 906 of the Sarbanes-Oxley Act of 2002 and shall not, except to the extent required by the Sarbanes-Oxley Act of 2002, be deemed filed by the Company for purposes of section 18 of the Securities Exchange Act of 1934.

Exhibit 15.1

Consent of Independent Registered Public Accounting Firm

We hereby consent to the incorporation by reference in the Registration Statement on Form S-8 (Nos. 333-203390, 333-219442, 333-227464, and 333-291580) of ASML Holding N.V. of our report dated February 25, 2026 relating to the financial statements and the effectiveness of internal control over financial reporting, which appears in this Form 20-F.

/s/ PricewaterhouseCoopers Accountants N.V.

Eindhoven, The Netherlands.

February 25, 2026

Exhibit 15.2

Consent of Independent Registered Public Accounting Firm

We consent to the incorporation by reference in the registration statements on Form S-8 (Nos. 333-203390, 333-219442, 333-227464, and 333-291580) of our report dated March 5, 2025, with respect to the consolidated financial statements of ASML Holding N.V.

/s/ KPMG Accountants N.V.

Amstelveen, The Netherlands

February 24, 2026